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PAUL GONSON
SECURITIES AND EXCHANGE COMM'N
WASHINGTON, DC 20549

DISCLOSURE TO INVESTORS

A Reappraisal of Federal Administrative Policies under the '33 and '34 Acts

The Wheat Report

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COMMERCE CLEARING HOUSE, INC.,

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Douglas P. Woodlock

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FOREWORD

The Securities and Exchange Commission has received this Report entitled "Disclosure to Investors—A Reappraisal of Administrative Policies under the '33 and '34 Acts." It is referred to as "The Wheat Report," having been submitted by a small group drawn from the SEC staff, under the direction of Commissioner Francis M. Wheat. The Report was transmitted to the Commission on March 27, 1969 and was released to the public on April 14, 1969. The Commissioner's Letter of Transmittal is reproduced below.

The Report deals essentially with registration requirements under the '33 Act, with the principal exemptions from registration under that Act, and with reporting requirements under the '34 Act.

The Commission would welcome informal comment on the Report to assist it in considering the Report's recommendations.

COMMERCE CLEARING HOUSE, INC.

Letter of Transmittal

Washington, D.C.
March 27, 1969

To Chairman Hamer H. Budge and
Commissioners Hugh F. Owens and Richard B. Smith

I have the honor to transmit herewith the Report of the Disclosure Policy Study authorized by the Commission in November, 1967.

The work of the Study was undertaken by a small group from the Commission's staff who gave unstintingly of their time and talents. This group consisted of Richard M. Phillips, staff director until September, 1968 (when he left the Commission to enter private practice), Bernard Wexler, who acted as special counsel, Mrs. Beatrice M. Mattison, R. David Mishel, Kenneth L. Marshall, my legal assistant Richard H. Rowe, and, during the final months, Edmund P. Shevlin.

Francis M. Wheat
Commissioner

First Printing, April, 1969
Second Printing, June, 1969
Third Printing, October, 1969

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CHAPTER I.

INTRODUCTION, SCOPE AND SUMMARY

A. Introduction

In November, 1967, the Commission announced the formation of a small, internal study group "to examine the operation of the disclosure provisions of the Securities Act of 1933 and the Securities Exchange Act of 1934 and Commission rules and regulations thereunder."[1/]

This report is the product of that assignment.

The '33 and '34 Acts were the first in time of the six federal securities statutes (not counting portions of Chapter X of the Bankruptcy Act) administered today by the Commission. Together, these two Acts provide a disclosure system broadly applicable to American business enterprise. Various proposals for changing features of that system have been made, both from inside and outside the Commission. It has been the task of the study group (the "Study") to sift these proposals, to appraise the Commission's existing rules and policies with a critical eye, and to recommend a course of action to the Commission.

The Study wishes to acknowledge with deep appreciation the assistance provided to it by numerous groups and individuals concerned with or affected by the work of the Commission. Many

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1/ Securities Act Release No. 4885 (November 29, 1967).

persons, at considerable inconvenience and expense, traveled to Washington (some on two or more occasions) to meet with the Study for extended discussion. On several occasions, help was requested with difficult and time-consuming statistical projects. It was invariably forthcoming. Concrete suggestions were asked for and received. No agency of government could possibly have expected any finer cooperation from the private sector. Listed below are representative organizations which provided the Study with invaluable help. Regrettably, it is impossible to list the names of all of the individuals and private firms who contributed in equal measure, although in a non-representative capacity, to the Study's work.

The American Bar Association, Committee on Securities Regulation (Banking and Business Law Section)

The American Institute of Certified Public Accountants

The American Society of Corporate Secretaries

The American Stock Exchange

The Association of the Bar of the City of New York, Committee on Securities Regulation

The Financial Analysts Federation

The Financial Executives Institute

The Investment Bankers Association

The North American Securities Administrators

The National Association of Securities Dealers, Inc.

The New York Stock Exchange.

This report is essentially a technical memorandum. It makes no attempt to treat its subject matter in scholarly detail. Many items of historical or collateral interest (such as the history of the development of Forms 10, 10-K, 9-K and 8-K) which were examined in supporting memoranda during the course of the Study, have been omitted from this report. Arguments in favor of and against the Study's recommendations have been condensed. Citations to cases, books and articles dealing with matters discussed in the report have been sparingly used.

If the Study had confined itself to matters of broad policy, this report could have been completed many months earlier. Two factors influenced the Study to reject this approach and to carry its work to the point of drafting on specific rules and forms for the Commission's consideration.

First, one reason for the Study was the lack of coordination which characterized previous efforts by the staff to draw up suggested amendments to the rules and forms. Inevitably, such efforts tended to be responsive to particular problems as they arose. It was the Study's clear responsibility to provide a broader view. Had the Study submitted a report to the Commission containing no more than generalized policy recommendations its work would have been incomplete. A new task force would have been required to undertake the difficult drafting assignment. Further delay would have been inevitable.

Second, the best test of a recommended policy if the effort to reduce it to a coherent set of rules. The Study applied that test to the policies it recommends. Certain of the proposed rules—especially those dealing with secondary distributions[2/] are long and complex. In the case of secondary distributions, however, they replace a large volume of legal lore with some 12 pages of specifics. The Study realizes that any recommendation which would tend to render obsolete such a body of accumulated lore will induce a twinge of regret. As Baron Parke said of new rules proposed in his day: "They will make pleading no art."

It should also be borne in mind that the rules and forms proposed by the Study, although each has gone through many drafts, are unfinished products. The Study has no doubt that their careful examination by others will disclose matters of importance not yet fully considered, or alternatives that may prove more promising. This report has been written as a report to the Commission. With the foregoing in mind the Commission may wish to publish it as a whole for critical comment.

B. Scope of the Report

This report deals with a limited area of federal securities

2/ See Chapter VI and Appendix VI-1.

regulation, appropriate to the Study's modest size[3/]. It does not analyze the investment process or the economics of investment. It is not directly concerned with securities fraud. Questions which have recently excited the greatest interest, such as the obligation of so-called "insiders" to make appropriate disclosures of unpublished material information in connection with their purchases or sales of securities, are beyond its scope; such questions, arising largely under Rule 10b-5, involve disclosure in the context of Federal policy aimed at the prevention of fraud and manipulation in the securities markets.

Because of its limited focus, the Reports does not cover various specialized aspects of disclosure policy, such as disclosures required by the Investment Company Act, the Public Utility Holding Company Act, or the Trust Indenture Act. Nor has any examination been made of the workings of the provisions of Chapter X of the Bankruptcy Act dealing with voting by security holders and creditors on plans of reorganization.

There are two principal roads to disclosure policy reform. One is by statutory amendment. The Study was aware at the outset of the existence of important and serious proposals for a

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3/ For a portion of the last fourteen months, five persons were involved full time in the work of the Study; for the balance of the period, four persons were so engaged. One member of the Commission's staff acted as senior adviser to the Study and others contributed assistance in particular areas.

recodification of the Federal securities laws[5/]. One problem with such a program, however, is its time frame; as a leading authority in the field has observed, "it may take twenty years."[6/] The Study determined to explore what could be done administratively within the confines of the '33 and '34 Acts as they presently exist. It concluded that much could be accomplished by this second road to reform. This conclusion in no way lessens the validity of the codification approach. The two roads run parallel; one may be humbler than the other, but each presents a serious challenge.

It has been the goal of the Study to discover what could be done through the rule-making process—

(a) to enhance the degree of coordination between the disclosures required by the '33 and '34 Acts;

(b) to respond to the call for greater certainty and predictability; and

(c) to develop a consistent interpretative pattern which would help to assure that appropriate disclosures are made prior to the creation of interstate public markets in the securities of any issuer.

The Study has attempted to "see disclosure whole" while examining its parts. It has tried throughout to weigh and balance the many interests involved. Its recommendations are interdependent.

5/ See Cohen, "Truth in Securities" Revisited, 79 Harv. L. Rev. 1340 (1966) and Proceedings of the Conference on Codification of the Federal Security Laws, 22 Bus. Law. 793 (April, 1967).

6/ Loss, History of S.E.C. Legislative Programs and Suggestions for a Code, 22 Bus. Law. 795, 799 (April, 1967).

For example, the proposed rules which set forth objective tests and specific holding periods for resales following private placements under the '33 Act are believed practicable if the pattern and coverage of '34 Act reports is improved. The report and its recommendations should be viewed and considered as a whole.

Finally, this report reflects the conclusion that change in disclosure policy through Commission rule-making should be evolutionary in nature. The results of each stage in that evolution should be tested and evaluated before further changes are made. Thus, in no sense do the recommendations represent a final set of parameters, but only the Study's judgment as to the best practicable steps to be taken at this time.

C. Summary of the Report.[6a/]

1. Chapter II – Background for a Re-examination of Disclosure Policy

A re-examination of disclosure policy is appropriate at this time for several reasons. Among them are: (1) the rapid increase in the American shareholder population and the accompanying increase in the number of investment decisions; (2) the trend toward a greater measure of professionalism in the securities business with the accompanying demand for more information about issuers; (3) the expansion in the coverage of the '34 Act's reporting and

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6a/ A condensed list of the specific rule changes and other recommendations made in the report is provided in Appendix I-1.

proxy provisions effected by the 1964 amendments; (4) technological advances that enable users of information to obtain it from such sources as the Commission's files more rapidly and at less expense than was previously possible; and (5) growing criticism of the status quo in disclosure.

Disclosure is and has from the outset been a central aspect of national policy in the field of securities regulation. The emphasis on disclosure rests on two considerations. One relates to the proper function of Federal government in investment matters. Apart from the prevention of fraud and manipulation, the draftsmen of the '33 and '34 Acts viewed that responsibility as being primarily one of seeing to it that investors and speculators had access to enough information to enable them to arrive at their own rational decisions. The other, less direct, rests on the belief that appropriate publicity tends to deter questionable practices and to elevate standards of business conduct. Consistent with these fundamental considerations, a pragmatic balance must be struck between the needs of the unsophisticated investor and those of the knowledgeable student of finance. Information communicated to and absorbed by professionals filters out to and benefits a wider public. This filtration effect is more significant today than ever before because of (1) the growing importance of the professional money manager, and (2) increased brokerage firm stress on research and analysis.

Historically, the Commission's efforts in the disclosure field have been concentrated in the new issue market, despite the far greater statistical importance of the trading markets. This traditional emphasis has a certain justification. The special selling effort by which new issues are normally distributed calls for countervailing measures to protect the public customer. Moreover, transactions through which new capital flows into industry can be regarded as having a more significant impact on the economy than mere trading transactions. However, it is the opinion of the Study that for the future, greater attention must be paid to those continuing disclosures which benefit the trading markets in securities. Prior to 1964, the Commission's ability to meet this need was limited. Its authority with respect to continuing disclosure reached only those issuers whose securities were listed on exchanges and those which had voluntarily registered securities under the '33 Act. Full exercise of that authority might have deterred listing. This is no longer the case, and a serious impediment to progress in disclosure policy has been removed.

2. Chapter III – The Form and Content of '33 Act Prospectuses

Throughout its history, the Commission has endeavored to simplify the prospectus and to make it a document of maximum usefulness. Much has been accomplished. More remains to be done, however, and the Study recommends several further steps. These include: (1) no acceleration of the effective date where the prospectus is unnecessarily complex, lengthy or verbose; and (a) a requirement of an expanded table of contents or “guide” where the text of the prospectus, exclusive of financial statements and the list of underwriters, exceeds 10 pages in length.

The informational content of the prospectus will be substantially improved by adoption of the pending proposal for reporting of sales and earnings of the separate “lines of business” of diversified businesses. Other improvements should be considered, including: (1) requiring a flow of funds statement; (2) improved disclosure of earnings in the case of life insurance companies, and (3) more information bearing on the experience and background of management.

Although company projections of sales and earnings are of great interest to investors, serious problems are associated with requiring, or permitting, such projections to be included in ’33 Act prospectuses. Because of their conjectural and rapidly changing character, projections would—if included in prospectuses—raise difficult questions of civil liability. Moreover, projections in filed documents might become traps for the unsophisticated who would be prone to attach more significance to such projections than they deserve. The Study does not recommend any change in present Commission policies relating to projections.

Improvement in the content and dissemination of reports filed under the ’34 Act should permit a closer coordination of the disclosures required by that Act and the disclosures required in ’33 Act prospectuses. To this end, the Study recommends a substantial expansion of the availability of Form S-7. The requirement that the issuer’s business has been of “substantially the same general character since the beginning of the last five fiscal years” would be deleted as would the $50 million gross sales test. The net income test would be reduced to $500,000 for each of the last five years. Given time and experience, it is hoped that the Form S-7 prospectus will evolve in the direction of a more thoroughly condensed and simplified disclosure document.

Finally, there are occasions where the need for a full prospectus, even of the S-7 variety, is questionable, although registration is required under the law. The Commission has ample powers to classify types of offerings and should exercise them in imaginative and practical ways. Thus, a one or two page prospectus could be provided for continuous offerings of the registered shares underlying warrants, incorporating by reference significant information in the Commission’s files concerning the issuer. This technique can also be applied (1) to an offering of securities underlying the convertible securities of an affiliate, and (2) to secondary offerings on exchanges to which Rule 153 applies. In the latter case, it is impractical to expect brokers whose compensation is limited to the minimum stock exchange commission to engage in a thorough and complete investigation of the issuer's affairs. A less rigorous "standard of reasonableness" for the purposes of Section 11(c) of the Act could be prescribed by rule without sacrificing appropriate investor protections.

3. Chapter IV – The Dissemination of '33 Act Prospectuses

The '33 Act seeks to inform investors through prospectuses. However, under the Act's substantive provisions the actual delivery of the prospectus to the investor may be deferred until confirmation of sale is mailed. The problem of getting the prospectus to the investor at some point before he buys remains unsolved.

This problem is especially acute in first public offerings where the prospectus is a uniquely valuable document. To the extent practicable, each prospective investor in a first public offering should receive a copy of the preliminary prospectus a reasonable time in advance of the effective date. Forty-eight hours would be deemed to be a reasonable time under the Study's proposal, which involves an amendment to Rule 460 dealing with the Commission's discretionary power to accelerate the effectiveness of '33 Act filings.

One purpose of the prospectus is to deter the fraudulent sales pitch. However, under present practice the salesman who does the actual selling during the pre-effective period may never have seen the preliminary prospectus. Moreover, he is sometimes unable to supply copies to those of his customers who want it. This problem should be dealt with by a new Commission rule establishing that

(1) Participants in underwritings should take reasonable steps to give prospectuses to all who ask for them.

(2) Each salesman who is expected to offer for sale any security as to which a registration statement has been filed should be given a copy of the preliminary prospectus and of any amended preliminary prospectus. If the salesmen are expected to offer securities after the effective date, they should first receive a copy of the final prospectus.

(3) Managing underwriters should be obliged to take reasonable steps to see to it that other participants in the offering (including dealers) receive enough copies of the various versions of the prospectus to enable those participants to comply with the foregoing requirements and with the amended Rule 460. In addition, managing underwriters must furnish any dealer with prospectuses sufficient to enable such dealer to comply with post-effective delivery obligations.

For non-reporting companies, the prospectus is the only reliable source of information generally available following a registered public offering. Therefore, its dissemination should be encouraged. The 90-day post-effective prospectus delivery requirement serves that purpose. It should be retained and enforced. Different considerations apply to the post-effective delivery of prospectuses of reporting companies. Information about such companies is on file with the commission and available to the financial community. It is questionable whether the dealer's present duty to deliver prospectuses during the 40 days following the effective date of a registration statement is particularly helpful to investors in the trading markets. If the '34 Act reports are improved as recommended in Chapter X of this report, dealers who are not acting as underwriters should be relieved from any post-effective obligation to deliver prospectuses of issuers that report under the '34 Act.

4. Chapter V – The "Gun-Jumping" Problem

When Section 5 of the '33 Act applies, no offering can be made until a registration statement is filed; after such filing, a written offer may be made only by means of a prospectus that meets the statutory requirements. Thus, publicity which develops interest in a forthcoming registered offering may run afoul of the Act's prohibitions. However, the policy of protecting prospective buyers of new securities from undue sales pressures must be harmonized with the need to keep buyers, sellers, and holders of the issuer's outstanding securities appropriately informed.

With respect to issuer-generated publicity, present standards are sound and generally workable. They distinguish the normal flow of corporate news unrelated to an effort to sell securities from the type of publicity aimed at selling the issuer's stock. Issuers who are making or are about to make public offerings can as a general rule continue to give normal publicity to corporate events. In general, the Study agrees that projections of sales and earnings which would not be permitted in a prospectus should not be released by corporate management when a registered offering is about to take place.

Standards as to publicity generated by brokers, dealers, and investment advisers are less clear. The point in time when restrictions on such publicity commence should be made more definite. Other recommendations are summarized below:

(1) It should be specified that the gun-jumping doctrine generally applies only to the participants in the particular distribution. Assuming that securities of a reporting company are to be offered, non-participants who are truly independent of the participants should be under no restriction.

(2) If an issuer meets the standards for use of Form S-7, expression of opinion about its common stock should be permitted when a registration statement relating only to non-convertible senior securities is pending, and vice versa.

(3) If a securities firm publishes a broad list of recommended securities on a regular basis, it should be permitted to include in the list a recommendation as to securities which are the subject of an underwriting in which it is a participant, subject to certain conditions which guard against abuse.

(4) Factual follow-up reporting on previously recommended securities should be permitted at any time, subject to appropriate conditions.

(5) Pre-filing distribution of market letters and industry surveys that were fully prepared and delivered to printers before the firm reached an understanding that it would participate in the underwriting should be permitted under appropriate conditions.

5. Chapter VI – Secondary Distributions and Brokers' Transactions

When can securities that have been purchased in non-public transactions from issuers and from controlling persons be reoffered publicly without registration? Present doctrine in this field turns on the private purchaser's state of mind. The resulting emphasis on subjective factors causes unacceptable uncertainty and administrative difficulty. "How long do I have to hold" is the question most frequently raised in requests for "no-action" letters. The answer often depends upon cloudy concepts which have arisen over the years, such as "change of circumstances" and "fungibility."

The consequences of this uncertainty are damaging to the healthy administration of the '33 Act. They include: (1) an increasing burden of requests for no-action letters and interpretative advice, (2) substantial inconsistency in advice given by private lawyers to their clients, which frequently puts careful and experienced counsel at a marked disadvantage, (3) wide leeway for the unscrupulous, and (4) the existence of formidable problems of proof in the enforcement of the law.

Various alternative solutions examined by the Study are outlined in the body of the chapter. The best of these, in the Study's view, would be the adoption of new rules (to take effect prospectively) which would, to the extent practicable, replace present subjective tests with objective ones. It is believed that the Commission has authority to adopt such rules, an opinion in which the Commission's General Counsel concurs.

A central feature of the proposed new rules would be a definition of the term "distribution" in Section 2(11) of the '33 Act. The new definition would apply both to the sale of securities on behalf of controlling persons and to sales by persons who have purchased their securities in private offerings. In developing such a definition the Study focused its inquiry (in the words of Justice Clark) on ". . . the need of the offerees for the protections afforded by registration."[7/] When securities held by a controlling person are sold, or when securities sold privately by the issuer are resold, under what circumstances do investors need the protection of registration?

It was concluded that a sensible answer to this question could only be found by drawing a distinction between companies

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7/ SEC v. Ralston Purina Co., 346 U.S. 119, 127 (1952).

which file regular, informative reports on their affairs with the Commission under Sections 13 or 15(d) of the ’34 Act (so-called “reporting companies”) and companies which do not. If there has been no full disclosure of a company’s business, earnings and financial condition (or if, despite the fact that the company is a reporting company, its reports appear to be defective or out of date), then a sale to the public of that company’s securities ought to be accompanied by the disclosures afforded by ’33 Act registration. Conversely, if a company has registered a class of its securities with the Commission under the ’34 Act and is maintaining the currency of the information in that original registration statement through up-to-date periodic reports to the Commission, then it ought to be possible to permit secondary sales of its securities to the public without the filing of a ’33 Act registration statement except (1) where the quantity of those securities to be sold exceeds an amount which the trading market could normally be expected to absorb within a reasonable period of time, or (2) where, in order to move the securities from private into public hands, arrangements for the solicitation of buying customers, or selling incentives exceeding the commissions paid in ordinary trading transactions, are required.

Objective tests were needed to determine what sales are consistent with ordinary trading. Here, a precedent was available to the Study. The draftsmen of the present version of Rule 154 sought a similar objective. That rule was designed to separate the routine trading transaction from the transaction involving the disposition of a large block of securities by means of extra selling incentives.

The Study reached the conclusion that the general framework of Rule 154 is valid as applied to the securities of reporting companies, at least until the Commission can assess the results of an initial period of experience with improved '34 Act reporting. The basic quantity limitations of Rule 154 were retained, with the following changes: (1) private placements of securities within the preceding six months do not reduce the quantity which may otherwise be sold, (2) only those members of a carefully defined family group are considered together as one "person" for purposes of the quantity limitation, (3) sales may be made in successive six-month periods, (4) inquiry by the broker of other bona fide broker dealers is not prohibited, (5) the broker involved is permitted to remain in the "sheets" if acting as a genuine market maker, and (6) commission limits are specified by reference to the minimum commission required by the exchange on which the security is listed and, for over-the-counter securities, by reference to the minimum New York Stock Exchange commission schedule.

If such a definition of "distribution" is to be workable both for sales on behalf of controlling persons and for sales of privately placed securities, one problem must be solved. The use of ostensible private purchasers as conduits for the sale of securities to the public without registration must be prevented. To solve this problem, a short mandatory holding period is essential, during which the private purchaser is at risk. (A controlling stockholder who acquired his shares in the trading market would not be subject to any holding period.) All who consulted with the Study recognized the need for such a holding period, but views as to its appropriate length differed appreciably. Some favored a period of six months. Others strongly believe that the period should be two years. The Study recommends a period of one year. During the holding period, a private purchaser could not resell publicly without registration, unless Regulation A, or another Section 3 exemption, is available. He could, of course, always sell in transactions which are not public offerings.

A similar holding period would apply to the purchaser in a private resale. (If it were otherwise, for example, a holder of 5% of the outstanding stock of a company, restricted as to his own public sales without registration to 1% in each six month period, could dispose of his entire block simply by selling it to five intermediaries, each of whom would immediately be in a position to resell all of his shares to the public.) However, on some occasions, such as transfers involving pledges and gifts, those resulting from death, and those resulting from the distribution to beneficiaries on termination of a bona fide trust, a transferee would be permitted to avail himself of the period during which his transferor held the securities. On other occasions (such as the combination of two bona fide going businesses or the conversion of privately placed convertible securities) where outstanding securities are surrendered in exchange for newly issued securities, a holder of the newly issued securities would be permitted to make use of the period during which he held the surrendered securities.

The so-called Guild Films doctrine and Rule 155 under the '33 Act would be eliminated in the structure of the proposed new rules. To a large extent, the "fungibility" concept would be eliminated. Sales could be made—or could not be made—under the proposed rules irrespective of the private purchaser's intent at the time of purchase. The existence or non-existence of a "change of circumstances" would be irrelevant.

The essence of the proposed new definition of "distribution" is as follows:

First, non-public transactions are excluded from the term "distribution" and do not require registration of the securities involved.

Second, any public offering of the securities of an issuer which is not subject to appropriate reporting requirements is a "distribution."

Third, a public offering of the securities of an issuer which is subject to the reporting requirements and is not delinquent in its filings[8/] is not a "distribution" (and no registration of the securities is required) if the amounts involved and the method of sale are within the standards for "ordinary trading" outlined in the preceding paragraphs.

The framework of statutory provisions and Commission rules into which the proposed new definition of "distribution" would fit is, in simplest outline, as follows:[9/]

(1) Any security acquired directly or indirectly from its issuer, or from any person in a control relationship with its issuer, in a transaction or series of transactions none of which was a public offering or other public disposition, would be defined as a "restricted security."

(2) Any person who disposes of a "restricted security" in a "distribution" would be an "underwriter."

(3) Transactions by an "underwriter" are not exempt from registration under the '33 Act.

Logic would appear to dictate that the above-outlined framework of restrictions on public resale of securities originally

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8/ Such an issuer would be listed on a "qualified list" under proposed Rule 164, which list could be published and kept up-to-date by frequent published supplements.

9/ An expanded outline of this framework is set forth in a "preliminary note" to the proposed new rules, which are contained in Appendix VI-1 of this report.

taken in private placement should last indefinitely. After long and careful consideration, however, the Study determined that the restrictions should last for a definite period of years (assuming that the issuer has met appropriate tests of a bona fide active business enterprise during the period) after which the securities would be free of restrictions on resale. Perpetual restraints on alienation have been viewed with disfavor and would create difficulties in the administration of the Act. The Study believes that the period should be at least 5 years. The Commission may determine, however, that a longer period is justified by the primary objective of investor protection.

As a part of the above framework, present Rule 154 would be revised in order to provide exemption to a broker whenever he acts as agent either for the account of a controlling person or for the account of a person selling a "restricted security" (i.e., a person who purchased in a private placement) if the broker has made reasonable inquiry of his customer and has no grounds for believing, and does not believe, that the transaction constitutes a "distribution" of the securities. In the interest of a consistent policy for the protection of public investors in all types of secondary transactions in securities, the revised rule would not permit the public sale without registration of control stock of a non-reporting company. It would, however, furnish protection (not available under present rule 154) to the honest broker who handles the public resale of securities purchased by his customer in a private placement even if the customer, unknown to the broker, is in fact engaged in a "distribution."

There will continue to be close questions involving the distinction between "public" and "non-public" offerings in applying the proposed new rules, as there are in applying present concepts. Various considerations prevented formulation by the Study of a satisfactory objective test of broad applicability which would serve to eliminate such questions. Further efforts in that direction might well be productive and should be encouraged. In one limited area—that of business combinations—a more definite standard to assist the issuer in determining when it may rely on the "private offering" exemption was deemed to be practicable and necessary. It is described in the summary of Chapter VII below.

Questions of "control" will also arise under the framework of the proposed new rules, as at present. Again, no broadly applicable objective test of "control" was found to be practicable. Instead, the Study recommends adoption of a rule which would exclude from the concept of "control" persons who do not have certain defined relationships with the issuer. An explanatory note to the proposed rule indicates that the possession of one of the designated relationships does not necessarily imply a finding of "control" and gives a series of examples to illustrate situations in which directors, officers, or large stockholders are not deemed to "control" the issuer.

6. Chapter VII – Business Combinations

Business combinations in which payment by the acquiring corporation is made in its own securities are effected in three standard ways: (1) a voluntary exchange of securities, (2) a statutory merger or consolidation, and (3) a sale of the assets of the acquired company in exchange for securities of the acquiring company which are thereupon transferred to the seller's shareholders on its dissolution.

Where method (1) is used, an offer of securities of the acquiring corporation is made directly to the shareholders of the acquired corporation. In methods (2) and (3), the shareholders of the corporation to be acquired are asked to cast their individual votes for or against approval of the acquisition, or, in realistic terms, for or against a legal procedure by which their present shareholdings are exchanged for shares in another company.

The first method subjects the transaction to the disclosure requirements of the '33 Act. The other two do not. The reason for this lies in the existence of a long-standing Commission rule (Rule 133) under which the submission of the acquisition transaction to the vote of shareholders is not deemed to involve a "sale" or "offer to sell" the shares of the acquiring company so far as those shareholders are concerned.

Rule 133 has led a controversial life. In 1956, the Commission proposed its abolition. Ultimately, the Rule was retained in amended form. Doubts have persisted, however, as to its applicability in situations where the acquired company is held by a private group of shareholders and the vote of such shareholders approving the acquisition is a mere formality. Since 1967, the Commission has refused to grant "no action" letters to issuers intending to rely on Rule 133 in cases where, if the transaction were structured otherwise than as a merger or sale of assets, the issuance of the new shares would clearly be a private placement.

The Commission's position points up one of the principal problems created by Rule 133. If Corporation A (a publicly held corporation) wishes to acquire Corporation B (a non-public corporation) through a voluntary exchange of shares, the former shareholders of B must take their new shares subject to severe restrictions on resale if A is to claim the "private offering" exemption from registration. If the structure of the transaction can be changed, however, to a merger or sale of assets and Rule 133 applies, then restrictions on resale affect only the controlling stockholders of B and those restrictions permit immediate public resale in brokerage transactions of substantial quantities of the newly-acquired stock.

Assuming that Corporation B's outstanding shares are held by 400 shareholders of record (so that the requirement of registration under Section 12 of the '34 Act is inapplicable) then, if Corporation A wishes to offer its shares in a voluntary exchange for the outstanding shares of B, it must register the shares to be offered under the '33 Act and deliver a prospectus to the offerees. If the transaction can be structured as a merger or sale of assets and Rule 133 applies, however, not only is registration under the '33 Act avoided but, under the laws of many states, the only document which must be sent the shareholders of B in advance of their vote on the transaction is a bare notice of meeting.

The Study questions whether these important distinctions between the Securities Act consequences of different methods of business combination—differences which affect not only the choice of the method to be used but also the interest of public investors—can be justified.

Several possible alternative solutions to the problem were examined. The most promising of these involves the replacement of Rule 133 with a special kind of '33 Act registration procedure adapted to mergers and sales of assets. The new procedure would be consistent with the proposition that where an acquired company is publicly held, a proxy statement under the Commission's rules is both an appropriate and an adequate form of disclosure; nothing additional, by way of a prospectus, is needed. Such a solution would substantially eliminate all distinctions under the ’33 Act between the three types of business combinations.

There are, of course, certain practical difficulties in applying the ’33 Act registration process to transactions now covered by Rule 133. The Study does not minimize these practical difficulties. It believes, however, that they are surmountable.[10/] Under the proposed procedure, one document would serve both as a ’34 Act proxy statement (where the acquired company is subject to the proxy rules) and as the ’33 Act prospectus. The ’33 Act registration statement would consist, essentially, of a proxy statement conforming to the proxy rules. It would be processed in much the same fashion as the proxy statement is now processed and would be made effective prior to mailing. Specific procedures and rules are suggested to authorize appropriate announcements of a forthcoming merger and to deal with prospectus delivery requirements, persons not considered to be “underwriters,” the mechanics of registration in a consolidation, and sale-of-assets transactions which do not require registration.

10/ It is of interest to note that the viewpoint of two very recent commentators appears to be in accord. Schneider, Acquisitions Under the Federal Securities Act – A Program for Reform, 116 U. Pa. L. Rev. 1323, 1349 (1958). (“All acquisitions should be treated as sales for purposes of section 5. Registration under that section should be required in all cases, except where [the disappearing corporation] is closely held and the private offering exemption can be applied”); Knauss, Disclosure Requirements—Changing Concepts of Liability, 24 Bus. Law. 43, 47 (1968).

Where the acquired company is non-public, two new provisions would be applicable.

First, as mentioned in the summary of Chapter VI, the Study found it impracticable to develop a comprehensive definition of “public offering” as opposed to “private placement.” In the field of business combinations, however, it was believed possible to formulate a less ambitious rule which would be of value in answering the question whether a particular transaction may be regarded as one not involving a public offering. A special problem exists in business combinations, where the acquiring company has had no part in the selection of the persons to whom its securities are to be offered. The Study proposes a rule under which an offering of securities made solely in connection with a business combination to not more than 25 offerees who hold interests in the acquired business would be deemed to be non-public, provided later resales by the offerees do not cause it to “involve a public offering.”

Second, under the proposals outlined in the summary of Chapter VI, persons who acquire securities directly from issuers in non-public transactions will be able (if the issuer reports under the ’34 Act) to make limited resales on a brokerage basis after holding and being at risk for at least one year. Normally, this holding period would not begin to run until the private purchaser pays for his securities. In a business combination, however, the investor took his risk when he made his initial investment in the acquired company. Accordingly, the Study believes that the holding period in such transactions should be deemed to begin when the initial investment was made, assuming that the acquired company satisfies an appropriate gross sales test designed to demonstrate that it was a bona fide, going business for at least one year prior to the acquisition.

7. Chapter VIII – Small Offerings Exempt under Section 3(b) of the '33 Act

Consistent with its orientation toward rule changes within the Commission's existing powers, the Study makes no recommendation on proposals to increase the present $300,000 limit of Section 3(b). However, it has been the Study's aim to improve the usefulness of Regulation A as a vehicle for the public sale, with appropriate disclosures, of limited amounts of securities.

At present, securities sold in secondary offerings under Regulation A by persons in control of an issuer or by persons acquiring securities from an issuer in private transactions are "integrated" with sales under that regulation made on the issuer's behalf. Sales made by the issuer and all such persons in any period of one year may not in the aggregate exceed $300,000. Thus, if several persons utilize Regulation A for secondary offerings amounting to a total of $250,000, the issuer is thereby prevented (for one year) from making use of the regulation for a sale exceeding $50,000. Conversely, if the issuer uses the entire $300,000, no secondary sales can thereafter be made under the regulation for one year.

The Study sees no need for so rigid a pattern of restriction. It recommends that any controlling person who has occupied that status for at least one year, and any purchaser in a private placement who has held his shares for at least one year, be permitted to sell up to $100,000 of securities under Regulation A in any twelve-month period without affecting the issuer's ability to sell up to $300,000 of securities under the regulation, and vice versa.

If an issuer is newly formed and has just commenced business, it makes sense to restrict the resale of its securities to the public on behalf of promoters, controlling persons and underwriters under a statutory exemption. The issuer itself (under the terms of Rule 253) remains able to use Regulation A for primary financing purposes. However, at present secondary sales under the regulation are prohibited if the issuer has had losses in its last two years. The Study doubts the need for this restriction and recommends its deletion.

At present, no offering circular need be given to public investors so long as the amount of securities sold in any one year does not exceed $50,000. All of the information required in an offering circular (except financial statements) must, however, be furnished to the Commission as an exhibit to the notification.

Thus, with the single exception of financial statements, all of the disclosures required by Regulation A must be prepared and given—but not to the public. The Study considers this practice inconsistent with good disclosure policy and recommends that delivery of the offering circular be required in all cases.

The rule that now bars Regulation A to an issuer whose prior claim to an exemption under that regulation was suspended by the Commission solely because of an underwriter's misconduct (for which the issuer was in no way responsible) seems unnecessarily harsh. The Study therefore recommends appropriate revision of Rule 252. Certain other technical changes in the rules are suggested.

8. Chapter IX – The Breakthrough in Dissemination of '34 Act Reports

The Study recognizes that it would be impractical to expand '34 Act reporting requirements without first improving existing means of dissemination of those reports. The costs associated with obtaining copies of the reports, together with their limited content, have contributed to a situation in which relatively meager use is made of the reports by the financial community.

The microfiche reproduction system installed at the Commission in the fall of 1968 may prove a significant step toward the improved dissemination that ought to accompany improved reporting. A microfiche is a small sheet of film on which up to 60 pages of typed or printed material can be reproduced. A desk-top "reader projects the microfiche image on a screen the size of a standard page. With somewhat more expensive equipment, one can obtain full-sized printed copies of the material being viewed on the screen.

At the outset, all of the basic K reports and all quarterly reports of investment companies filed on Form N-1Q were made available on microfiche. In response to the requests of actual and potential subscribers, the contractor has recently undertaken to offer, in addition, microfiche copies of registration statements filed under the '34 Act on Form 10, annual and interim reports to shareholders, definitive proxy statements, effective registration statements under the '33 Act, and Form N-1R reports.

Microfiche are mailed to subscribers within five days after filing of the document.

The microfiche system supplements the Commission's long standing hard copy reproduction service. For someone who has the equipment to use it, microfiche is substantially cheaper than hard copy. For example, a hard copy of a 60-page document costs $5.40 (9 cents per page) as against 75 cents (1 1/4 cents per page) for a microfiche copy. The latter figure refers to the price of a special order for a single fiche. Per copy costs vary between 50 cents and 23 cents when the microfiche service is purchased on a subscription basis. Moreover, a microfiche library requires only a tiny fraction of the space needed to house the same volume of material in hard copy form.

Improved content and accessibility of ’34 Act reports should tend to enhance the obligation of broker-dealers to consider the information in such reports when making recommendations to investors. Following a period of experience with the new dissemination techniques and with improved ’34 Act reports, the Commission and the self-regulatory organizations of the securities industry should give careful thought to steps which would help to insure that material information in reports filed with and made available by the Commission is fully utilized by the brokerage community.

9. Chapter X – ’34 Act Registration and Reporting

The recommendations in this report are interdependent. Improved ’34 Act reporting would provide continuing sources of disclosure which could act, to a larger degree, as an acceptable substitute for the special and, at best, occasional disclosures produced under traditional ’33 Act practice. Such of the Study’s recommendations as permitting limited brokerage sales of the privately purchased securities of reporting companies, extending the availability of Form S-7 to a much larger category of issuers, and eliminating the post-effective prospectus delivery requirement for securities of reporting companies, all anticipate substantial improvement in ’34 Act reporting.

The Study carefully reviewed the principal '34 Act reporting forms. Its recommendations for revision of these forms will be found in the appendices to Chapter X. The chart in Appendix X-1 may prove helpful in reviewing the Study's proposals which rest on the following general principles:

(1) Reports should be as timely as practicable without imposing undue burdens on those who have to prepare them.

(2) Reports and registration statements should be designed to provide information of maximum utility to investors and their advisers.

(3) Requirements that compel the repetition in a new filing of matter already disclosed in an earlier one should be avoided.

(4) The format of reports and registration statements should be compatible with microfiche reproduction (see the Summary of Chapter IX above) and with other contemporary data processing techniques.

Form 10 is the first document that an issuer files under the '34 Act. It needs improvement and the Study offers a number of suggestions to that end.

Form 10-K, the annual report to the Commission, should be converted into an annual updating of the material in the Form 10. Contribution of separate lines of business to sales and income should be indicated, together with disclosure of specific current developments in the registrant's business.

Groups of securities analysts, accountants, corporate officials, and representatives of the major stock exchanges advised the Study that the 10-K could be filed earlier than is now required. Several accountants informed the Study that improved auditing methods now in use can greatly reduce any burden imposed by timelier reporting requirements, even for smaller companies. In addition, representatives of the major stock exchanges and a number of analysts expressed the view that there is a definite trend toward earlier publication of annual reports to shareholders. Ninety-eight percent of all companies with securities listed on the New York Stock Exchange and a significant number of companies with securities listed on the American Stock Exchange published annual reports to shareholders for 1967 within 90 days or less following fiscal year-end. The Study found no major differences between financial statements in reports to shareholders and those in 10-Ks, except for the schedules required by the latter form.

The Study recommends that the 10-K be required to be filed no later than 90 days after the close of the fiscal year. In order to coordinate the availability of the 10-K report with that of the annual report to stockholders (see Chapter XI), the 10-K should be filed no later than 5 days after publication of the annual report to stockholders if such publication takes place within 90 days after the fiscal year-end. To ease the transition from present requirements, the Study recommends that the proposed 90-day filing deadline not become effective until one year after its adoption. In addition, the revised form provides that Schedule XVI to the financial statements, which is time consuming to prepare, may at the registrant's option be filed separately at a later date no more than 120 days from the end of the fiscal year.

The Commission's current reporting requirements are not intended to, nor could they adequately, duplicate the timely disclosure policies of the self-regulatory agencies. Commission requirements act to a degree as a backstop for those policies; they operate to encourage willingness on the part of issuers to keep the market place informed. They provide details which may be overlooked in the preparation of a news release or may not be included in a published news report. The Study attempted to balance the requirements which it considered essential for meaningful current reports against the time to be allowed for filing them. It also considered how such reports could best be coordinated with other sources of disclosure. The conclusion reached was that a regular, quarterly report would be more useful than the present, irregular 8-K report.

More and more publicly-held corporations are releasing condensed quarterly financial information. Both the New York and American Stock Exchanges require publication of such information by all listed companies, although the standards which they set for such information are minimal. The Study carefully examined a significant sample of quarterly financial reports and releases provided by the two exchanges. It was readily apparent (and acknowledged by representatives of the exchanges) that they varied from extremely useful to extremely poor and uninformative.

Conferences were held by the Study with accountants representing both large and small firms throughout the country, with members of a special committee of the Financial Executives Institute, and with the American Society of Corporate Secretaries, regarding the feasibility of condensed quarterly financial reporting. It was the general opinion that such reporting was feasible and that a useful advance in disclosure policy could be achieved by developing standards for such reporting. A special committee of the AICPA greatly assisted the Study in this effort.

The Study proposes that a new form to be designated 10-Q be substituted for present Forms 8-K and 9-K. It would be due 45 days after the close of each fiscal quarter (except that a report of a significant acquisition or disposition of assets would be due 10 days after the execution of a written agreement for such acquisition or disposition). It would consist of two parts. Part I would cover the substance of the present 8-K with a number of changes. Part II would consist of condensed, comparative financial information. Part II would not be required for the fourth fiscal quarter. It would not be audited or subject to the liability provisions of Section 18 of the '34 Act. Quarterly reports to shareholders containing the information required by Part II of Form 10-Q could be submitted in lieu of that part of the form.

10. Chapter XI – Annual Reports to Shareholders and Proxy Statements

Annual reports to stockholders and proxy statements are widely disseminated. This gives them an especially important place in the disclosure system. The Study's treatment of annual reports is based on its review of well over 100 examples in the Commission's files. The number of reports that appeared materially misleading was small. Most of these involved textual references to, or condensed tabular presentations of, certain material in the certified financial statements. Such condensations sometimes tend to indicate a financial position or results of operations significantly more favorable than that revealed by the full statements. The Study recommends a rule to prevent this from occurring.

The rapid increase in the number of mergers and corporate acquisitions in recent years has greatly increased the importance of the merger proxy statement in the pattern of disclosure. In conferences with the Study, many security analysts stressed the value of merger proxy statements. No other single document, apart from the prospectus, was regarded as containing information of greater usefulness in evaluating the securities of publicly-held corporations. However, the typical merger proxy statement has been criticized by those to whom it is primarily directed, the shareholders whose approval of the transaction is being sought. In addition, representatives of the American Society of Corporate Secretaries informed the Study that they had received many complaints from shareholders concerning the length and complexity of merger proxy statements prepared in accordance with the Commission's rules.

The Study reviewed a number of merger proxy statements which ranged from approximately 60 to over 300 pages in length. The complaints of shareholders concerning these massive documents are understandable.

First, the Study questions whether the mass of detailed financial statements provided in many merger proxy statements (and frequently constituting considerably more than half the bulk of the statement) is entirely necessary. A review of the requirements of Item 15 of Schedule 14A of the Proxy Rules should be made with a view to possible reduction of present requirements in the case of business combinations. In particular, if a large corporation purposes to acquire a small corporation by merger and must therefore seek the approving vote of its own shareholders a very short summary of the proposed transaction may be all that is needed adequately to inform such shareholders. More complete information about both parties to the merger may well be needed by shareholders of the disappearing corporation.

Second, some means of summarizing the essential data for the benefit of the average shareholder should be found. Various alternatives were considered. It is recommended that a very short summary of essential information, together with comparative net income, market price, dividend and per share book value data, be required to be printed separately as the merger proxy statement. Accompanying the merger proxy statement would be an appendix containing the detailed information, financial statements and exhibits not provided in the shorter document. Such a summary, separately printed, should average no more than 6 or 7 pages in length. Its modest size, in comparison with a single, massive document, would respond to the needs of the average shareholder. A summarization of essential data, similar to that suggested for the merger proxy statement, should be required in the forepart of the prospectus used in an offer of exchange of securities.

11. Chapter XII – Administration and Enforcement of ’34 Act Reporting Requirements

Previous chapters recommend increased coordination between the disclosure requirements of the ’33 and ’34 Acts and it is suggested that still greater coordination may evolve as experience is gained with improved ’34 Act reporting. The success of any such coordination depends heavily on improved procedures for and increased emphasis on administration and enforcement of ’34 Act reporting requirements. The Study is of the opinion that existing enforcement tools are adequate for this purpose if effectively used. Moreover, there are promising opportunities for the development of new EDP programs to permit rapid discovery of reporting delinquencies.

A critical need is for allocation of additional staff to the administration of ’34 Act registration and reporting requirements. Should the Study’s recommendations in Chapter X be adopted, important new information will be called for in ’34 Act reports. If other aspects of disclosure policy are to rely more heavily on this information, assurance that reasonable standards of disclosure are being met is essential. These considerations, set against a background of rapid growth in the trading markets and their importance to increasing numbers of investors, may well justify an increase in the Commission’s professional staff.

Under Rule 12b-25, an issuer may by application request an extension of not more than 60 days following the due date in which to file a report. The application is deemed granted unless denied by Commission order issued within 10 days of receipt of the application. The Study found a number of instances in which Rule 12b-25 was clearly abused. Moreover, an extension request can be an attempt to mask a fraud. The Study believes that Rule 12b-25 should be tightened.

CHAPTER II.

BACKGROUND FOR A RE-EXAMINATION OF DISCLOSURE POLICY

A. Introduction

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CHAPTER II.

BACKGROUND FOR RE-EXAMINATION OF DISCLOSURE POLICY

A. Introduction

The notion that the law can and should require business enterprises to disclose pertinent information about their affairs to public investors, both present and prospective, has become part of the prevailing wisdom of the American private enterprise system. No longer is the subject a burning issue. More than a generation has elapsed since the federal statutes which codified this concept were enacted. The financial community, the accounting profession, the bar and industry generally have come not only to accept but to support the principle that those who make use of the public's money must supply the information essential to the formulation of intelligent investment decisions, and that it is a proper responsibility of government to keep an eye on the accuracy and adequacy of such information.[1/]

1/ The President of the Investment Bankers Association of America is quoted by Professor Loss as observing in 1954:

> I assure you that as long as I am mixed up in the Investment Bankers Association--I have been mixed up in it for 40 years--the investment banking business--that I and others for whom I speak would never come before you and suggest anything that would weaken in any way the Securities Act.
>
> We stormed and ranted about it when it first came along, we had to get used to it and so forth, but the spirit of full disclosure means as much to us as the small investor, or anyone else.
> (Hearings on S. 2846 before a Subcommittee of the Senate Committee on Banking and Currency, 83rd Cong. 1st Sess. 81 (1954).)

1 Loss, Securities Regulation 128, n. 17 (2d. Ed. 1961).

Lately, a few economists have challenged this principle (see, for example, Stigler, Public Regulation of the Securities Markets, 37 Journal of Business 177 (1964)) but their views do not appear to be representative of the economic profession as a whole or to find a strong echo in the general business community.

Why, then, is a broad re-examination of disclosure policy needed? At least five reasons could be briefly noted:

First, the American shareholder population has been swiftly increasing in recent years. Studies by the New York Stock Exchange give the following estimates of the number of Americans with direct interests in equity securities.[2/]

1952	6,490,000
1959	8,630,000
1962	17,010,000
1965	20,120,000
1967	25,000,000
1968	26,400,000

This growth in numbers has led to a vast increase in the number of investment decisions based, directly or indirectly, on information supplied by corporations.

Second, the spread of higher standards of knowledge, skill and craftsmanship in the investment business has brought about a more insistent demand for careful and up-to-date disclosure by publicly held corporations.

Third, The [sic] amendments to the '34 Act adopted in 1964, which greatly expanded the coverage of the reporting and proxy provisions

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2/ These estimates include shareholders of investment companies but exclude persons with indirect interests in equity securities through such intermediaries as pension and profit-sharing plans.

of that Act, have made is practicable, in the formulation of disclosure policy, to minimize discrimination between securities markets.

Fourth, technological advances have made possible new applications for disclosure and faster, less expensive methods for its transmission from repositories such as the Commission's files to those who can make use of it.

Fifth, there has been growing criticism of certain long-established practices associated with disclosure policy. This criticism comes mainly from sources sympathetic to the general principle of disclosure. Its constructive value should be recognized and utilized.

As Harry Holler has observed:

> The swiftness of industrial and economic change in free societies such as the United States and the countries of Western Europe makes reappraisal of the effects of securities legislation a recurring necessity.[3/]

The Study does not wish to overemphasize the importance of disclosure policy in securities regulation. Disclosure is not a cure-all. More difficult and significant problems of policy formation may well lie ahead in other areas. Some of those areas.

3/ Heller, "Integration" of the Dissemination of Information Under the Securities Act of 1933 and the Securities Exchange Act of 1934, 29 Law and Cont. Prob. 749 (1964).

are to be examined by the Commission's pending Study of Institutional Investors.

B. The philosophy of disclosure.

1. Basic aims.

A brief word concerning the basic philosophy of the disclosure provisions in the '33 and '34 Acts is in order.

The fundamental aim of the prospectus requirement was to provide information, and not to shield the public from ventures deemed to be of dubious merit. "The purpose of these sections," said the House Committee, "is to secure to potential buyers the means of understanding the intricacies of the transaction into which they are invited."[4/]

But the '33 Act made no provision for informing the trading markets. The mechanism for this purpose was developed by degrees. First, the '34 Act permitted the Commission to require periodic reports by companies with a class of securities listed on a national securities exchange. Next, by amendment of the '34 Act adopted in 1936, the Commission was given authority to require the filing of such reports by issuers which had effectively registered securities under the '33 Act. Finally, in 1964, over-the-counter companies meeting specified asset and shareholder tests were

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4/ H.R. Rep. No. 85, 73d Cong., 1st Sess. 8 (1933).

required to register under Section 12(g) of the '34 Act and were made subject to the reporting and proxy requirements of that Act.

A classic statement of the purposes of provisions designed to inform the trading markets is found in the report of the House Committee on the '34 Act:

> No investor, no speculator can safely buy and sell securities . . . without having an intelligent basis for forming his judgment as to the value of the securities he buys or sells. The idea of a free and open public market is built upon the theory that competing judgments of buyers or sellers as to the fair price of the security brings about a situation where the market price reflects as nearly as possible a just price. Just as artificial manipulation tends to upset the true function of an open market, so the hiding and secreting of important information obstructs the operations of the markets as indices of real value. There cannot be honest markets without honest publicity. [5/]

2. Indirect benefits.

Although basically intended to inform, the disclosure provisions of the early Acts were expected to accomplish more. Their principal architects were disciples of Justice Brandeis who, in 1913, made the famous observation in Other People's Money that:

> Publicity is justly commended as a remedy for social and industrial diseases. Sunlight is said to be the best of disinfectants. . .[6/]

5/ H. Rep. No. 1383, 73d Cong., 2nd Sess. 2 (1934).

6/ p. 92.

The fact that there is a significant degree of truth in such observations is attested by all who have worked with the disclosure provisions of the ’33 and ’34 Acts. The registration process has sometimes been referred to as a housecleaning: one of its most valuable consequences is the elimination of conflicts of interest and questionable business practices which, exposed to public view, have what Justice Frankfurter once termed “a shrinking quality.”[7/] Many illustrations could be given; one representative example is provided by a paragraph from a recent ’33 Act registration statement:

> From time to time during the past three years, certain officers, directors, and stockholders received loan accommodation from [name of company], without interest, all of which loans were repaid by September 30, 1968. This practice has been discontinued and such loans will not be made in the future.

3. Disclosure for whom?

At what audience should disclosure be aimed? Is the literature elicited by the Commission’s requirements intended primarily to aid the unsophisticated? Is it, on the contrary, designed to assist the assiduous student of finance who searches for every clue to the intrinsic value of securities? Or should the Commission strive to meet the needs of a hypothetical “reasonable” investor of “reasonable” sophistication?

7/ Frankfurter, The Securities Act: Social Consequences, Fortune, August 1933.

Throughout its history, the Commission has struggled with these questions. They may well be unanswerable. A balance must be struck which reflects, to the extent possible, the needs of all who have a stake in the securities markets.

By and large, the Commission has responded to the various needs for disclosure in pragmatic fashion. Thus, where an issue of securities possessed unusually speculative elements, it was felt that special efforts should be made to call these factors to the attention of the ordinary investor--hence the development of the "introductory statement" to the prospectus.[8/] By contrast, the detailed financial information required by the schedules to the Form 10-K report could be intended only for the skillful analyst. Indeed, it was recognized from the beginning that a fully effective disclosure policy would require the reporting of complicated business facts that would have little meaning for the average investor. Such disclosures reach average investors through a process of filtration in which intermediaries (brokers, bankers, investment advisers, publishers of investment advisory literature, and occasionally lawyers) play a vital role.

The values of the filtration process are also pertinent, albeit to a lesser degree, to the '33 Act registration process.

8/ See Securities Act Release No. 4936, pp. 7-8, (December 9, 1968); Doman Helicopters, Inc., 41 S.E.C. 431 (1963); Universal Camera Corporation, 19 S.E.C. 648 (1945) and cases cited therein. Similar considerations apply to offerings of issuers engaged in enterprises of a type that has never been publicly held and with respect to which professionals in the securities business have no special expertise. See The Wolf Corporation, Securities Act Release No. 4830, p. 8, n. 21 (May 4, 1966).

The prospectus is designed to help the investor to make an informed decision. It is also intended to assist those to whom investors look for professional advice. The Congress that passed the '33 Act was concerned that methods of distribution then in vogue

> . . . practically compelled minor distributors, dealers, and even salesmen, as the price of participation in future issues of the underwriting house involved, to make commitments blindly.[9/]

Shortly after the '33 Act went into effect, a commentator who was later to be the Chairman of the Commission observed:

> The truth about securities having been told, the matter is left to the investor. The Act presupposes that the glaring light of publicity will give the investors needed protection. But those needing investment guidance will receive small comfort from the balance sheets, contracts, or compilation of other data revealed in the registration statement. They either lack the training or intelligence to assimilate them and find them useful, or are so concerned with a speculative profit as to consider them irrelevant. And wise and conservative investors will find the Securities Act useful but not necessary and from it will gain but little real protection against an occasional Kreuger or Insull. This means that the results of the Act so far as investors are concerned are primarily two-fold: (1) the requirement that the truth about securities be told will in and of itself prevent some fraudulent transactions which cannot stand the scrutiny of publicity: (2) even though an investor has neither the time, money, nor intelligence to assimilate the mass of information in the registration statement, there will be those who can and who will do so, whenever there is a broad market. The judgment of those experts will be reflected in the market price. Through them investors who seek advice will be able to obtain it.[10/]

9/ H. R. Rep. No. 85, 73d Cong. 1st Sess. 8 (1933).

10/ Douglas, Protecting the Investor, 23 Yale Rev. (N.S.) 508, 523-524 (1933).

In more concrete terms, those with experience in the preparation of registration statements will be able to recall instances in which, following the careful investigation of the registrant's affairs necessary for the preparation of the draft prospectus, the proposed public offering price was substantially reduced. That investigation may on occasion reveal a situation which will lead the prospective underwriters to decide that a public offering is unsuitable.

The significance of disclosures which have an initial impact at the professional level has been heightened by recent changes in the securities business. Most important of these is the enormous growth of intermediation in investment. The relative importance of such professional money managers as bank trust departments, pension fund managers, investment counseling firms and investment advisers to mutual funds and other investment companies is greater than ever before. To a degree, at least, there have been parallel changes in the brokerage firms. Research and analysis have become progressively more important as merchandising tools. These changes are reflected in dramatic fashion in the membership figures of the Financial Analysts Federation. At the end of 1950, there were 2,422 individual members. By the end of 1967, that figure had grown to 11,752.

C. Criticisms of current disclosure policy.

Over the years, the existence of problems of interpretation in determining when the registration requirements of the '33 Act are applicable has been the source of much critical comment and analysis. Among the articles which might be cited in this connection are:

Loss, Contemporary Problems in Securities Regulation, 45 Va. L. Rev. 787 (1959).

Knauss, A Reappraisal of the Role of Disclosure, 62 Mich. L. Rev. 607 (1963).

Flanagin, The Federal Securities Act and the Locked-In Stockholder, 63 Mich. L. Rev. 1139 (1964).

Wood, The Investment-Intent Dilemma in Secondary Transactions, 39 N.Y.U. L. Rev. 1043 (1964).

Practical aspects of such problems of interpretation were extensively dealt with in two books published under the auspices of the Practicing Law Institute: SEC problems of Controlling Stockholders and in Underwritings (1962) edited by Carlos L. Israels and When Corporations Go Public (1962) edited by Mr. Israels and George M. Duff, Jr., of the New York Bar. Experienced lawyers and members of the Commission's staff made important contributions to each of these publications.

In the sprint of 1966, a scholarly examination of criteria for a coordinated disclosure system was published in the Harvard Law Review.[11/] Its author, Milton H. Cohen, was director of the Commission's Special Study of the Securities Markets.

11/ Cohen, "Truth in Securities" Revisited, 79 Harv. L. Rev. 1340 (1966).

In the fall of 1966, a conference was held under the auspices of the American Bar Association Section of Corporation, Banking and Business Law on "Codification of the Federal Securities Laws." Distinguished lawyers from all parts of the country participated in the conference. Their widely-shared view was expressed by the principal speaker, Professor Louis Loss, who observed: "There simply is not enough predictability in this field."[12/]

Subsequent to the codification conference, suggestions for reform by administrative action were published (Schneider, Reform of the Federal Securities Laws, 115 U. Pa. L. Rev. 1023 (1967) and Acquisitions Under the Federal Securities Acts -- A program for Reform, 116 U. Pa. L. Rev. 1323 (1968)) and humor lightened the weight of criticism (Kennedy, The Case of the Scarlet Letter, 23 Bus. Law. 23 (1967)).

Another aspect of the current interest in disclosure policy centers around the problem of prospectus distribution. In a wide ranging series of articles appearing in the Dallas Morning News in the summer of 1968, Business Editor Al Altweg asserted that it is often impossible for an interested investor to get a red herring prospectus on a new issue of securities and recommended that prospectuses be made more readily available. Recommendations of a

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12/ Proceedings of the Conference on Codification of the Federal Securities Laws, 22 Bus. Law. 793, 805 (1967).

related nature were received by the Commission in 1967 from the North American Securities Administrators, who specifically urged the requirement of a summary prospectus in addition to the final, full prospectus as a means of informing investors.[13/]

Aware of the value of constructive criticism, the Study has reviewed the comments cited above (and many others) with care and interest. In addition, in a series of conferences held during the period February-June, 1968, the Study asked for critical comments from representatives of the securities industry, the securities bar, state administrators, financial analysts, accountants, corporate officers, financial reporting services and various individuals, all of which have been taken into account in this report.

D. Comparison of the new issue and trading markets; implications for disclosure policy.

In absolute terms, the amounts of money raised by new offerings of securities (the principal subject matter of the '33 Act) are substantial. Although no statistics are available on the number of people who buy securities in such offerings, that figure, too, can be assumed to be substantial. However, when viewed in relation to the amounts of money changing hands in the trading markets and to the number of investors who buy or sell securities in those markets, the new issues phase of the securities business pales into

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13/ These recommendations are outlined in more detail and the Study's response thereto is contained in Chapters III and IV.

relative insignificance. This pattern is not new. Nevertheless, it is a factor of importance in any assessment of disclosure policy.

A review of available data pertaining to offerings of new equity securities for cash, as compared with exchange trading volume in equity securities, was made by the Study, covering the period 1920-1967. The results are contained in a table in Appendix II-1. Before summarizing those results, a few preliminary remarks are necessary. First, the data presented relates only to equity securities. Most trading in debt securities--even when listed--takes place on the over-the-counter market. Because of the absence of statistical data, it is not possible to compare new bond flotations with the volume of trading in outstanding bonds. Second, the lack of statistical information on over-the-counter volume necessitates recourse to exchange volume as the sole measure of trading market activity. This regrettable necessity results, of course, in an understatement of trading volume. Third, information on secondary offerings by control persons and so-called “statutory underwriters” which are required to be registered under the ’33 Act is lacking for years prior to 1933. To avoid distorted comparisons, figures on new offerings refer only to primary equity financing by or for the account of issuers.

The review showed:

1. Over the entire period covered (1920-1967, inclusive) the aggregate volume of new equity securities offered for cash

was approximately 3.15% of aggregate exchange trading volume. Thus, during that period of almost half a century, investors spent approximately $31.70 on the purchase of already outstanding equities for every dollar they spent on new equities.

2. During the 1920's, new equity offerings as a percentage of exchange trading volume varied from 0.95% in 1927 to 3.60% in 1920. The low point was reached in the 1930's, with new equity securities offerings amounting to only 0.01% of exchange trading volume in 1931 and 1932. Trading volume dropped to its lowest point in the years 1941 and 1942, but new equity securities offerings did not exceed 4.42% of exchange trading volume in those years.

3. The largest ratio between the two figures (12.52%) appears in the year 1947. During the 1950's, the ratio was generally high, with new equity securities offerings recovering more rapidly than exchange trading volume. Since 1961, however, the growth of exchange trading volume has generally outstripped that of new equity securities offerings, and the ratio between them declined from 5.3% in 1961 to 1.63% in 1967.

It would appear that, quantitatively speaking, the trading markets are an area of far greater significance than the area of new offerings for the application of disclosure policy. Statistical quantities alone, however, are not an adequate basis for the formulation of policy. There are two principal qualitative reasons for placing particular stress on the disclosures required by the '33 Act.

First, the buyer of securities in an initial distribution is in a somewhat different position from the buyer in the trading markets. Not only the '33 Act but much of the legislation previously passed by the states in the securities field rests on this premise. The compensation that dealers and salesmen receive when they participate in a '33 Act offering is almost always appreciably more generous than that customarily received in exchange or over-the-counter trading. New securities have to be distributed in short order. Special efforts are necessary if disclosure is to serve as a useful shield against the dangers inherent in such a situation.

Second, new public offerings, especially those for the accounts of issuers, have a special economic significance. The transaction in which one investor purchases from another a security originally issued many years ago has less impact on the economy than one in which the investor's dollars go directly into the treasury of a corporation in order to help it to develop a mine, construct a new plant, or exploit a new technological development. A special disclosure effort may well be justified when allocation of capital in a free society is affected. The thrust of the report of the House Committee on Banking and Currency in 1933 was to this point. After commenting on the losses sustained by investors in new issues, the Report observes:

> Equally significant with these countless individual tragedies is the wastage that this irresponsible selling of securities has caused to industry . . . [I]nvestment bankers with no regard for the efficient functioning of industry forced corporations to accept new capital for expansion purposes in order that new securities might be issued for public consumption. Similarly, real estate developments would be undertaken, not on the basis of caring for calculated needs but merely as an excuse for the issuance of more securities to satisfy an artifically [sic] created market. Such conduct has resulted both in the imposition of unnecessary fixed charges upon industry and in the creation of false and unbalanced values for properties whose earnings cannot conceivably support them. Whatever may be the full catalogue of the forces that brought to pass the present depression, not least among these has been the wanton misdirection of the capital resources of the Nation.[14/]

For these reasons, among others, quantitative differences between the new issue and trading markets must be regarded with caution. Nevertheless, in the Study's judgment, the statistics demonstrate the need to achieve a better balance in disclosure policy, with greater emphasis on continuing disclosures for the trading markets.

14/ House Report No. 85, 73d. Cong., 1st Sess. 2-3 (1933).

In the past, such a balance was difficult for the Commission to achieve. The reason: until 1964, the coverage of '34 Act reporting requirements was only partial. When that Act was adopted the primary focus was on the securities exchanges. In consequence, only those corporations whose securities were listed on exchanges were covered.[15/] Improvement in continuing disclosure might have provided an incentive for corporations to delist their securities and could thus have been self-defeating. It is therefore not surprising that the Commission focused its primary attention on the prospectus. Although prospectus disclosure came only on the fortuituous [sic] occasion of a new public offering or a registered secondary, it was clearly the Commission's most valuable disclosure tool.

E. Recent developments relevant to the future course of disclosure policy.

1. The opportunity presented by the '64 amendments.

The '64 amendments gave recognition to the importance of the trading markets by requiring that reports furnishing information for the benefit of those who trade in those markets should be filed both by listed and unlisted companies. By ending the privileged

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15/ No provision was made in the original '34 Act for the filing of reports by any unlisted company. Coverage of the reporting requirements was extended in 1936 by addition to the '34 Act of the original version of Section 15(d), which covered those unlisted companies which had filed '33 Act registration statements. Such companies were required to file reports only if the aggregate value of the class of securities covered by the '33 Act registration statement amounted to at least $2 million following the offering 49 Stat. 1377 (1936).

position of many unlisted companies, the amendments made it possible for the Commission to move forward with the development of disclosure policy, free of concern that by doing so it might create an unwise or unacceptable discrimination between the two markets.

2. Technological developments and their implications.

Until very recently the utility of ’34 Act reports was limited by their relative inaccessibility. Readership of the reports was confined in the main to: (1) a small number of financial men who had been led by experience to regard the reports as valuable in spite of gaps and imperfections; (2) a somewhat larger group that made intermittent use of the ’34 Act files for occasional intensive study; and (3) members of the Commission’s own staff, who consulted the reports in order to keep track of developments in the companies to which they were assigned.

Contemporary technology shows promise of breaking the circle of high cost and consequent neglect of the reports as disclosure tools for the trading markets. All ’34 Act reports are now being photographed promptly after filing and the photographs assembled on microfiche which can easily be mailed to subscribers. Other aspects and potentials of this new service are described in Chapter IX.

In addition to enhancing the Commission's ability to supply continuing disclosures quickly and inexpensively, technological progress may have heightened the financial community's demand for such material. Computer-based techniques are being used more and more extensively in the study of investments. The potential of data processing enhances the value of original sources of information such as '34 Act reports.

Technology has still a third implication for disclosure. It is now feasible for the Commission to keep continuous track of the performance of thousands of companies in meeting disclosure obligations under the '34 Act. Thus, for an appropriate purpose the Commission can know at any time, and can make known to the world, the roster of those issuers which are up-to-date in reporting on their affairs.

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The time is ripe for a re-examination of disclosure policy, for a careful evaluation of present disclosure tools, and for an inquiry into the practicability of achieving greater coordination between the '33 and '34 Acts.

CHAPTER III

THE FORM AND CONTENT OF ’33 ACT PROSPECTUSES

A. Introduction

B. By way of background, the record shows an effort by the Commission over the years to improve the usefulness of the prospectus, in part by classifying issuers and types of offerings in accordance with particular disclosure needs.

1. The early development of the two-part registration statement: Forms S-1, S-2 and S-3.

2. Registration forms for different classes of registrants and offerings: Forms S-8, S-9, S-14 and S-7.

3. Efforts to achieve a more readable prospectus.

C. Further steps should be taken to assure that prospectuses will be useful to investors.

1. The Commission’s staff should decline to review and the Commission should refuse to accelerate unnecessarily long, complex or verbose prospectuses.

2. If the text of the prospectus is necessarily lengthy, a “guide” to the text should be required in lieu of the typical table of contents.

3. More informative disclosures are needed in particular areas.

(a) Sales and earnings by separate “lines of business” of a diversified business.

(b) Statement of the source and application of funds.

(c) Adjusted earnings of life insurance companies.

(d) Management background and experience.

4. The question involving projections of sales and earnings is debatable; however, at present the Study does not believe that such projections should be permitted in prospectuses.

D. Assuming improvement in the content and dissemination of '34 Act Reports, a closer coordination of '34 Act and '33 Act disclosures is justified.

1. Form S-7 should be made available to a wider range of companies.

2. A short prospectus form should be permitted for certain secondary offerings on exchanges.

3. A short prospectus form would be appropriate for stock to be issued by reporting companies on exercise of publicly-held warrants.

4. A short prospectus form would be appropriate for stock to be issued by a corporation on conversion of the publicly-held securities of an affiliated corporation.

CHAPTER III

THE FORM AND CONTENT OF '33 ACT PROSPECTUSES

A. Introduction

The Commission can take pride in the evolution of the '33 Act prospectus into a document widely regarded as being of unusual value.[1/] Largely as a result of the process of careful staff review, numerous improvements have been made over the years in prospectus disclosures involving both textual and financial items.[2/] This process can be expected to continue. Some suggestions aimed at making the prospectus more useful to investors and their advisers are contained in Part C of this Chapter.

If '34 Act reports can be improved as recommended in Chapter X, it should be possible to reduce the emphasis which has been laid on the '33 Act prospectus as the key to full disclosure. The steps in this direction which are recommended by the Study are described in Part D of this Chapter.[3/] They include,

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1/ Illustrative of this viewpoint is a comment made to the Study by an investment banker. He observed that the best way to begin a study of a company is to acquire a prospectus. Even a prospectus several years old will, he said, often shed valuable light on a company's basic situation and the caliber of its management.

2/ An analysis of this process based on his own long experience has recently been written by former Commissioner Byron D. Woodside. See Woodside, Development of S.E.C. Practices in Processing Registration and Proxy Statements, 24 Bus. Law. 375-380 (1969).

3/ Recommendations relating to the dissemination of '33 Act prospectus are contained in Chapter IV.

principally, a substantial expansion of the availability of the short registration Form S-7. Further steps to coordinate the disclosures required under the ’33 and ’34 Acts should be considered after the Commission has had the benefit of a period of experience with improved ’34 Act reporting. Additional simplification of Form S-7 and extension of its availability may well be possible. For certain reporting companies, it may be feasible to reduce the scope of the prospectus to cover only the essential disclosures relating to the plan of distribution. This could be combined with an appropriate legend referring to the issuer’s reports and proxy statements under the ’34 Act and telling the reader how to obtain them.

With rare exceptions, however, the prospectus delivered to the investor should be a concise, coherent document focusing on the particular distribution. Careful consideration was given by the Study to proposals for the development of a “wrap-around” prospectus form which would compress between specially prepared cover and end pages, recent ’34 Act Reports and proxy statements on file with the Commission. It was decided that such a prospectus would be more likely to confuse than to assist the average investor.

B. By way of background, the record shows an effort by the Commission over the years to improve the usefulness of the prospectus, in part by classifying issuers and types of offerings in accordance with particular disclosure needs.

The content of the prospectus is expressly prescribed under Section 10(a) and Schedule A of the Act. However, the Commission may prescribe additional information or may permit any of the prescribed information to be omitted as it deems necessary or appropriate in the public interest or for the protection of investors. In exercising such powers, the Commission is given authority by Section 10(d) to classify prospectuses "according to the nature and circumstances of their use or the nature of the security, issue, issuer, or otherwise. . ." and to prescribe for each class "the form and content which it may find appropriate and consistent to the public interest and the protection of investors." The breadth of this authority is widely accepted.[4/]

4/ See e.g.: 1 Loss, Securities Regulation 236 (2d ed. 1961):

"Sec. 10 generally, as well as comprehensive rule making authority in Sec. 19(a), gave the Commission broad powers to alter the contents of the prospectus as specified in the statute and to classify prospectuses according to the nature and circumstances of their use."

Schneider, Reform of the Federal Securities Laws, 115 U. Pa. L. Rev. 1023, 1034, n. 55 (1967).

"The SEC has the power to promulgate registration forms [a fortiori, prospectus forms] which do not cover all the items in Schedule A of the 1933 Act . . . Doubt about this power should be put to rest by years of practice with abbreviated forms . . ."

Heller, Address during Conference on Codification of Federal Securities Laws, 22 Bus. Law. 821, 827 (1967):

"I believe the Commission's rule-making power under both Acts is ample to deal with the contents of the prospectus."

The Commission has periodically re-evaluated its registration forms, which govern the content of prospectuses, in the light of its administrative experience. A number of forms appropriate to specific disclosure needs have thus been developed. Efforts have also been made from time to time to encourage the preparation of more readable prospectuses.

1. The early development of the two-part registration statement: Forms S-1, S-2 and S-3.

Prior to 1941, a registration was accomplished by filing two forms: a registration statement, comprising a lengthy series of questions and answers, and a prospectus, wherein the information in the registration statement had to be repeated in narrative form.

The first step in simplification occurred in 1941 when the Commission adopted Form S-3 for mining companies in the promotional stage. This action followed "lengthy study, including discussions with the trade of methods to make the registration process easier without losing any of the necessary safeguards of investor protection."[5/] The new form was designed to "eliminate duplication and non-essential requirements."[6/] This was accomplished principally by permitting the prospectus to be filed in narrative form as one part of the registration statement. A second part of the registration statement consisted

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5/ Securities Act Release No. 2672, Adoption of Form S-3, 1 (September 29, 1941).

6/ Id.

of information of a character which did not require its circulation to investors, such as bulky exhibits.

The Commission thereafter followed the two-part format of Form S-3 in adopting new or revised registration forms. Later in the year 1941, Form S-2 was adopted for certain commercial and industrial companies in the developmental stage.[7/] Form S-1, the basic registration form now in use, was adopted in 1942 in connection with a general revision of the forms then in use under the statutes administered by the Commission.[8/] The 1942 version of Form S-1 included changes in the requirements for financial statements "designed to simplify and shorten such data by permitting ... omissions or partial omission of certain schedules . . ."[9/]

Form S-1 was further simplified in 1947. In proposing the 1947 revision, the Commission stated:

> While Form S-1 represented an improvement over the Commission's earlier forms, a recent review of the requirements of that form in the light of the Commission's experience in recent years indicates that this form can be further simplified. It is, therefore, the purpose of the proposed revision to eliminate requirements which experience has shown do not produce information essential to the prospective investor's appraisal of registered securities, and at the same time to clarify the requirements of the form in certain limited respects so as to inform a registrant more fully as to the nature of the information deemed essential.[10/]

7/ Securities Act Release No. 2681 (October 17, 1941).

8/ Securities Act Release No. 2887 (December 18, 1942), adopting Form S-1 as an option to Forms A-1, A-2 and E-1. (These old forms were repealed in 1946. Securities Act Release No. 3171 (November 20, 1946).)

9/ Securities Act Release No. 2887, 3. (December 18, 1942).

10/ Securities Act Release No. 3171 (November 29, 1946).

2. Registration forms for different classes of registrants and offerings: Forms S-8, S-9, S-14, and S-7.

The 1950's saw additional revisions of Form S-1[11/] and the adoption of Form S-8 and S-9.

Form S-8, adopted in 1953,[12/] may be used by an issuer required to file reports pursuant to Sections 13 or 15(d) of the Exchange Act for stock purchases, savings or similar plans offered to companies which meet certain conditions. Since such plans are generally offered to persons who have access to information concerning the issuing company, the information required in the prospectus is limited essentially to a description of the plan, the issuer's securities and financial condition and recent significant development concerning the issuer's business.[13/]

11/ One of the more significant revisions was the proposal that the summary of earnings be accepted in lieu of the required profit and loss statements. Securities Act Release No. 3406 (January 25, 1951).

12/ Securities Act Release No. 3480 (June 16, 1953). Form S-8 was made applicable to employee stock options in Securities Act Release No. 4533 (August 30, 1962).

13/ The Study concentrated its effort on the principal registration forms, and did not give full consideration to possible amendments to Form S-8. When the form was adopted, the Commission noted that it was responding to the suggestion that "the investment decision to be made by the employee is of a substantially different character than is involved where securities offered for the purpose of raising capital are sold upon the best obtainable terms." Securities Act Release No. 3480 (June 16, 1953). In those cases where the issuer of the securities is filing reports within the Commission under the '34 Act and (in the case of stock purchase plans) the plan requires the employer to contribute at least a certain percentage of the purchase price, it may well be possible to limit the prospectus to a brochure or other appropriate document describing the particular plan, the securities being offered, and the employees' rights and obligations thereunder. Moreover, undertaking "C" should be reconsidered. If unlisted securities of a reporting company registered on Form S-8 are purchased on exercise of a "qualified" or "restricted" stock option and registration and prospectus delivery requirements of the '33 Act need not apply to any later resale of such securities unless such resale amounts to a "distribution" under proposed Rule 162 (see Appendix VI-1) by a controlling person of the issuer.

In adopting Form S-9 for high-grade debt securities, the Commission indicated its expectation that "prospectuses and registration statements on this new form will be substantially shorter than heretofore and will, therefore, be substantially easier both for the issuer to prepare and for the Commission to process."[14/] This new form was based on the theory that "much of the information required by the general registration form is not of material significance to investors in view of the senior position of the securities, the history of the issuer [and] the earnings coverage, etc., of the companies eligible to use the form.[15/]

The Study has observed that, at present, prospectuses using Form S-9 are considerably shorter than the average prospectus on Form S-1. Moreover, the Commission's staff is generally prepared to review a registration statement on Form S-9 as rapidly as the issuer's needs require, barring any substantial problems in the qualification of the trust indenture under the Trust Indenture Act of 1939 for the securities to be offered. The staff is able to expedite its review because of its familiarity with issuers eligible to use the form, most of whom periodically seek new financing, and the care which issuers and their counsel take in preparing the prospectus and indenture.

14/ Securities Act Release No. 3509, p. 1 (July 21, 1954).

15/ Id.

Form S-14 was adopted in 1959[16/] to facilitate registration of public offerings of securities previously issued in merger or acquisition transactions specified in Rule 133(a), if the registrant was subject to, and solicited proxies from its shareholders in accordance with, the Commission's proxy rules. The information required in the prospectus is that specified by Regulation 14A, supplemented by certain other information including the terms of the underwriting. Thus, the registrant is not required to develop an additional complex disclosure document for the offering in addition to the merger proxy statement. In some cases, a cover and back page can simply be "wrapped around" a copy of that statement.

The latest effort on the Commission's part to simplify the registration process for a particular class of issuers involved the adoption in November 1967 of Form S-7. This Form is similar to Form S-1 except that the registrant is not required to describe its business history or properties or to provide information concerning its management. The Commission acted on the theory that for the class of companies eligible to use the new form[17/] adequate disclosure in

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16/ Securities Act Release No. 4115 (July 16, 1959).

17/ The registrant must be a reporting company under Section 12 of the '34 Act which has complied in timely fashion with the reporting and proxy solicitation requirements of that Act. Other important requirements are that it must have been engaged in business of the same general character since the beginning of the last five fiscal years; a majority of its board of directors must have been directors of the registrant for at least three fiscal years; it must not have been in default on its indebtedness, preferred stock or long-term leases during the past ten years; its consolidated sales or gross revenues must have totaled $50,000,000 for the last fiscal year; its consolidated after-tax net income for such year must have been at least $2,500,000; and its consolidated after-tax net income for each of the preceding four fiscal years must have been at least $1,000,000.

these specific areas could be assumed to have been made in reports and proxy statements filed over the years pursuant to the ’34 Act. By this means, the new form sought to achieve a limited degree of coordination between the disclosure requirements of the two Acts.

In first proposing Form S-7, the Commission stated its objectives as follows:

> The Commission anticipates that prospectuses and registration statements on this form would be substantially shorter than heretofore and would, therefore, be substantially easier both for the issuer to prepare and for the Commission to process. For this reason, bearing in mind the information about the issuer publicly available, the Commission hopes to be in a position to consider favorably, in such cases, requests to shorten substantially the waiting period between filing and effectiveness of statements on the new form. The success of this program depends, of course, on the cooperation of issuers and underwriters in preparing the registration statement so that Commission review and comment can be held to a minimum.[18/]

Adoption of the form was accompanied by a release in which the Commission observed that its action was “in the nature of an experiment” the results of which would be subject to review.[19/] The Study has attempted such a review and its evaluation follows.

The Study interviewed a number of investment bankers which had underwritten offerings of securities registered on Form S-7. They expressed satisfication [sic] with the form and its purpose, particularly with the shorter time involved in staff review.

18/ Securities Act Release No. 4849, p. 1 (November 16, 1966).

19/ Securities Act Release No. 4886 (November 29, 1967).

The Study carefully reviewed twelve of the sixty-nine registration statements filed on Form S-7 between the date of adoption of that form and June 30, 1968. It was observed that the staff had completed its review of eight of these twelve statements in 14 days or less. The shortest review period was 6 days. The review process included satisfying all staff comments on disclosure deficiencies. The average time between filing and effective date as to all sixty-nine statements was 22 days. By contrast, during the period immediately prior to June 30, 1968, the average time between filing and effectiveness of a registration statement on Form S-1 was from 6 to 8 weeks.

Although they are being processed more rapidly, registration statements on Form S-7 examined by the Study were not appreciably shorter than well-prepared statements on Form S-1. The length of the twelve S-7 prospectuses extensively reviewed by the Study ranged from a minimum of seven pages (in the case of a modified employee stock option offering) to a maximum of 36 pages (in the instance of combined offering of sinking fund debentures and convertible subordinated debentures). Eight of the 12 prospectuses were from 26 to 30 pages in length. This has been due, in part, to the inclusion of unnecessary information in the S-7 prospectuses. For example, the Division of Corporation Finance reported that in studying the registration statements filed on Form S-7 through June 30, 1968 twenty-two (32%) included capitalization tables which are not required and 63 (91%) included descriptions of business which substantially exceeded the requirements of Form S-7.

It should be noted, however, that Form S-7 has been in use only a little over one year. It is hoped that, with time, the securities industry and bar will become more familiar with the new form and will cooperate in achieving the goal of a shorter prospectus.

The Study concludes that the "experiment" to date has been generally successful. At a later point in this Chapter (pages 96 to 98) the Study discusses its recommendation that the category of companies eligible to use Form S-7 be significantly expanded.

3. Efforts to achieve a more readable prospectus.

The Commission has long been aware of the problem created by prospectuses which are so long or complex that the average investor cannot readily understand them. In 1936, the Director of the Commission's Division of Forms and Regulations observed that "if the prospectus is to serve its purpose, it must not be prepared with a view to making it a detailed book of reference with respect to the issuer and its securities."[20/] a year later, he expressed the view that "there is no doubt that in many instances prospectuses have been so long and cumbersome as partially to destroy their usefulness."[21/]

When the first edition of his treatise on Securities Regulation was published in 1951, Professor Loss cited the unreadable

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20/ Securities Act Release No. 874 (July 2, 1936).

21/ Securities Act Release No. 1503 (July 12, 1937).

prospectus as one of the four basic problems which stood out in any survey of the effectiveness of the registration scheme.[22/] In the 1961 edition, he indicated some improvement, observing that "prospectuses do seem on the whole to be considerably shorter than they were in the thirties and forties."[23/]

The Commission once stated that "the prospectus is meant to be an epitome or summary . . ."[24/] The record discloses a continuous effort by the Commission through rules, staff guidelines and the use of the acceleration policy to achieve such a prospectus.

Commission rules under Regulation C provide that the contents of prospectuses must be "clearly understandable" and expressed in condensed or "summarized form," in "reasonably short paragraphs or sections."[25/] Summaries of documents must be in "succinct and condensed form."[26/] In addition, the prospectus must contain a "reasonably detailed table of contents."[27/]

Section 8(a) of the Act requires the Commission to give due regard to "the facility with which the nature of the securities to be registered, their relationship to the capital structure of the issuer and the rights of the holders thereof can be understood . . ." in

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22/ 1 Loss, Securities Regulation 148-66 (1st ed. 1951).

23/ 1 Loss, Securities Regulation 265 (2d ed. 1961).

24/ Securities Act Release No. 3429 (November 11, 1951).

25/ Rule 421 (b) and (d).

26/ Rule 422.

27/ Rule 421(c).

considering an issuer's request for acceleration of the effective date of its registration statement. Rule 460, which sets forth the Commission's policy in responding to requests for acceleration, provides, among other things, that the Commission will consider "whether there has been a bona fide effort to make the prospectus reasonably concise and readable, so as to facilitate an understanding of the information to be contained in the prospectus."

Finally, in guidelines published to assist those affected by the registration requirements,[28/] the Commission's staff has encouraged registrants to reduce the size of the prospectus by "careful organization of material, appropriate arrangement and subordination of information, use of tables and avoidance of prolix or technical expressions and unnecessary detail."[29/] In addition "[w]here appropriate to a clear understanding by investors. . ." the factors which made a particular offering risky or speculative must be set forth in an introductory statement.[30/]

The Study has set forth the Commission's past efforts in some detail in order to place the needs of the present in perspective. Unfortunately, too many prospectuses still become effective which are

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28/ The latest version of these staff guidelines was published, following opportunity for public comment, in December 1968, Securities Act Release No. 4936 (December 9, 1968).

29/ Guides, Item 5.

30/ Guides, Item 6.

extraordinarily difficult to comprehend. Some, usually involving large conglomerate corporations, are of extreme length. Additional efforts on the Commission's part are necessary to make all prospectuses readable and understandable documents.

C. Further steps should be taken to assure that prospectuses will be useful and informative to investors.

1. The Commission's staff should decline to review and the Commission should refuse to accelerate unnecessarily long, complex or verbose prospectuses.

The Commission recently directed its staff to adopt new procedures to assist it in processing the substantially increased volume of registration statements filed under the '33 Act "until such times as normal procedures may be resumed."[31/] If a registration statement under these new procedures is "poorly prepared or otherwise presents serious problems," the staff will not comment on it, and will so notify counsel. The staff will also notify counsel that acceleration of the statement will not be recommended.

The Study recommends that this policy be followed whenever a prospectus is unnecessarily complex or verbose.

In addition, it is believed that the staff could take affirmative steps to make prospectuses shorter and more readable. Negative statements in response to items of disclosure in the registration forms are not necessary. Information should not be repeated unless it is

31/ Securities Act Release No. 4934 (November 21, 1968).

essential to fair disclosure. Lengthy descriptions of a company's business should be required to be appropriately condensed. Consideration should be given to the further development of techniques for condensation of the financial statements of large and complex corporations.

2. If the text of the prospectus is necessarily lengthy, a "guide" to the text should be required in lieu of the typical table of contents.

The length of many '33 Act prospectuses has caused concern among lawyers, analysts and state securities administrators interviewed by the Study. All concur in the judgment that many prospectuses do not adequately inform the average investor.

A related matter of special concern to state securities administrators is the fact that in the traditional underwritten distribution of securities, investors generally receive no disclosure document until copies of the final prospectus are mailed to them with confirmations of sale.

A possible solution to these related problems was first proposed in the summer of 1967 by the Midwest Securities Commissioners' Association.[32/] By official resolution, that organization asked the Commission to require in the case of all first public offerings of securities:

32/ See Pringle, Summary Prospectus Proposal of Midwest Securities Commissioners' Association, 23 Bus. Law. 567 (1968).

(a) that the reverse side of the cover page of the prospectus contain summarized data on the issuer, and

(b) that the cover page, together with such summarized data on the reverse side thereof, be distributed as a "summary prospectus" to all customers to whom securities are expected to be sold at least 48 hours "before any sales are made."

It was recognized that the Commission lacks power under the '33 Act to require the use of such a summary prospectus. However, the suggestion was made that the Commission use its anti-fraud powers under Section 10(b) of the '34 Act to implement the requirement.

Soon after the Midwest Securities Association took the foregoing action, the Prospectus Committee of the North American Securities Administrators formulated a proposal similar in form but not limited to first public offerings. The latter proposal was approved in principle at the annual conference of the North American Securities Administrators in the fall of 1967.[33/]

The Study has considered with great interest and sympathy the proposals of the Midwest Securities Commissioners and of NASA. On two occasions, members of the Study conferred at length with members of the NASA Special Committee on Summary Prospectus. Alternatives were explored, including procedures for better dissemination

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33/ See Proceedings of the Fiftieth Annual Conference of the North American Securities Administrators (1967), pp. 70-79.

of the preliminary prospectus in advance of the effective date. According to information given by the Committee to the Study, one state administrator had suggested that, in lieu of the use of a separate summary prospectus, a summary of salient facts be required in the "red herring" and that the red herring then be required to be distributed to customers a reasonable time prior to the effective date.

Subsequent to these meetings, the Study made a careful analysis of the sample summary prospectuses prepared by the Committee. A number of prospectuses prepared for first public offerings were examined to determine how they might be effectively summarized, and the Study itself drafted a number of sample summaries. The conclusions of the Study were as follows:

> First, the Commission should respond affirmatively to the request to the state securities administrators that investors be provided with an appropriate disclosure document prior to the effective date of the registration statement, at least in all first public offerings. Accordingly, the Study proposes an amendment to Rule 460 which would make reasonable efforts to effect such a distribution at least 48 hours prior to the desired effective date a condition of acceleration. (Further details of this proposal are given in Chapter IV at pp. 113-16.)

Second, the document so distributed to investors should be the red-herring prospectus. Where such prospectus exceeds a specific length, there should appear in the prospectus immediately following the cover page a "guide" to its contents, consisting of a brief summary of certain important information plus clear references, in plain English, to those pages in the prospectus where additional material information on designated topics may be obtained.

The Study found, through practical trial, that summarizing a prospectus is an extremely difficult undertaking. The prospectus should, ideally, consist of no more than a concise statement of the material information about an issuer.[34/] Further condensation of a well-prepared prospectus runs the risk of overlooking data which may have an importance to investment judgment equal to the data selected for a one or two page summary. Condensation of the required financial statements (which are, themselves, essentially a summary presentation of financial data) is especially hazardous, and the hazard is greatly increased if such a condensation is provided in a

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34/ The perils of summarizing are highlighted by a story told by former Chairman Manuel F. Cohen about Commissioner (later Judge) Jerome Frank, who was given to the writing of lengthy opinions. One day his legal assistant summoned up the courage to suggest to the Commissioner that perhaps a 60 page opinion which the latter had drafted could be shortened. "You do it, then," ordered Frank. The assistant came up with a 10 page version. "Splendid," Frank remarked, "we'll put this first."

document separate from the prospectus. The gross asset, liability and shareholders equity amounts and (to a lesser degree) the gross sales and earnings figures are of little importance in themselves. In some instances, particular items in the balance sheet or summary of earnings in the prospectus may be highly significant in analyzing financial condition and results of operations; in other instances, different items may be significant for this purpose.

A particularly difficult problem arises in highly speculative first public offerings where an "introductory statement" is appropriate.[35/] The requirement of such a statement represents the response of the Commission's staff, based on many years of practical experience, to the need for a prominent summary of factors which should be considered with particular care by investors. The summary prospectus format suggested by the state securities administrators would not permit the inclusion of the typical introductory statement.

A separate summary which includes precisely designated items may create an additional difficulty. The identity of the underwriters may be very significant in one offering and of little importance in another. Similarly, the identity of management officials or of the company's auditors may be or greater or lesser importance depending

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35/ A summary of the factors which make the offering one of "high risk" must be set forth "immediately following the cover page of the prospectus," and must consist of "carefully organized short, concise paragraphs." Included among the factors which should be disclosed in this fashion are "absence of operating history," "absence of profitable operations in recent periods," "erratic financial history," and "the nature of the business." See Securities Act Release No. 4936 (December 9, 1968) Item 6.

upon the particular case. In most instances, description of the usually traditional features of the stock being offered is of no great importance; however, corporate styles change and the factual data required in the prospectus concerning the rights, preferences and restrictions associated with the securities being offered cannot be omitted without risk.

The Study recognizes the essential validity of the suggestion of the state securities administrators. It is of the opinion that when a prospectus exceeds a certain specified length, a “guide” to its contents, including a summarization of certain basic data, should be required. Such a guide would serve, in essence, as an expanded table of contents, and the latter could be omitted. The Study noted with interest the use of a similar technique in offering circulars for bond offerings not required to be filed with the Commission. Thus, immediately inside the cover of the “official statement” dated March 26, 1964 for an issue of $2,000,000 of bonds of the West Orange, Texas Independent School District, there is an excellent one-page “Synopsis of Essential Facts” with references to pages in the circular where further details appear.

In a very few prospectuses filed with the Commission, a similar synopsis is voluntarily provided on the cover page or on the inside cover page.

In attempting to develop standards for a guide, the Study found that a fair number of prospectuses used in first public offerings contain, in a relatively few pages of text, a readable, condensed statement of the material facts about the company and the offering. For example, the prospectus of Friendly Ice Cream Corporation, dated August 6, 1968, is 25 pages in total length. The financial statements (including the notes and opinion of the auditors) take up 10 of those pages and the list of underwriters 2. Eliminating these pages, the cover page, the table of contents and a map, the total text does not exceed 10 pages. It is difficult to see the necessity of further condensing this already condensed text, and the bulk of the prospectus as a whole is not such as to discourage a reader.

The Study therefore recommends that a guide to the prospectus be required only where the text of the prospectus (exclusive of the list of underwriters) exceeds 10 pages. If a guide is required, it should be substituted for the more abbreviated table of contents but should ordinarily be limited to one or two pages. The exact format for the guide will vary to a degree from case to case but, in general, it should include the following:

(a) A brief statement of the business in which the issuer is engaged, with reference to those pages in the prospectus where such matters as the history of the business, products, properties, and competitive factors are described in greater detail.

(b) A reference to the introductory statement (if there is one) and to the several items covered therein.

(c) A statement of the number of units outstanding of the class of securities being offered, and the location in the prospectus of details of the capital structure of the company and of the description of the offered securities.

(d) A summary, for the past 5 years, of the gross revenues and net income of the business, the net income per share, and dividends paid per share, showing, where called for, the effect of extraordinary items and outstanding convertible or residual securities. Reference should be made to the more complete income statements in the prospectus.

(e) A brief statement as to where control of the issuer resides, with reference to more complete data if contained in the prospectus.

(f) A statement identifying the nature of the information included in the prospectus concerning the management (such as, for example, names of officers and directors, their remuneration, pension benefits, bonus benefits, stock options, and transactions they have had with the issuer) with reference to the location of detailed information in the prospectus.

(g) If material litigation is described in the prospectus, a statement to that effect and an appropriate reference.

3. More informative disclosures are needed in particular areas. [36/]

(a) Sales and earnings of separate segments of a diversified business

The Commission has recently proposed revisions to certain of its registration forms to provide investors with information as to the "approximate contribution which various lines of business make to a company's profitability . . ."[37/] The conferences held by the Study strongly substantiated the need for this additional information in the prospectus.

Appropriate segment reporting is equally necessary on a periodic basis, in the Study's opinion. In Chapter X, the Study recommends that annual reports on Form 10-K contain a breakdown of sales and earnings similar to that ultimately specified by the Commission for '33 Act registration forms.

36/ The Study has not attempted to detail in this Chapter the miscellaneous changes in Form S-1 which are (1) presently needed, or (2) will be needed if recommendations made by the Study in other chapters of this report are accepted. These include (1) changes to conform Item 20 to the present requirement of the proxy rules, (2) revision of instruction 2 to Item 10 to conform that instruction to the proposed instructions to Item 3 of Form 10, (3) changes in Item 17 to conform to existing and proposed changes in the proxy rules, including an increase in the $30,000 figure, and (4) deletion of undertaking A as no longer necessary.

37/ Securities Act Release No. 4922 and Securities Exchange Act Release No. 8397, Proposed Revisions of Forms 10, S-1 and S-7 (September 4, 1968); published for additional comment, Securities Act Release No. 4949 and Securities Exchange Act Release No. 8530 (February 18, 1969).

(b) Statement of the source and application of funds.

Many persons who consulted with the Study indicated their belief that a statement of the source and application of funds (sometimes referred to as a "flow of funds statement") is a valuable tool for the investor and security analyst which should be required in prospectuses and annual reports filed with the Commission. Both major stock exchanges now recommend its use in annual reports to shareholders[38/] and a growing number of companies are following this recommendation.

One experienced analyst observed:

> "A table on source and application of funds . . . has obvious value in forecasting dividend policy, in indicating a company's ability to meet its debt service requirements, and in suggesting whether a company can finance its capital expenditure program from internally-generated funds, or whether it may have to resort to raising capital through debt or equity issues. . . it cannot be constructed from the balance sheet or income account. . ."

A flow of funds statement generally consists of two sections reflecting, for a given period, sources of funds in one section and expenditures of funds in the other. It should not be confused with the so-called cash flow statements used by some companies, particularly those engaged in real estate investment. Such cash flow statements show only funds generated from operations. This may lead investors to confuse "cash flow" generated from operations with net income.

38/ See, e.g., American Stock Exchange Guide Section 612 (April 15, 1968).

The argument was advanced that a flow of funds statement is really unnecessary, since the skillful analyst can construct such a statement for himself from a comparison of conventional balance sheets and the income statement. This does not appear to be true in all cases, except perhaps in a very rough manner. In any event, it is preferable to have a reliable statement prepared by those familiar with the detailed information.

The Study recommends that, following development of appropriate standards for the source and application of funds statement for inclusion in Regulation S-X, such a statement be required in the prospectus.

(c) Adjusted earnings of life insurance companies.

It is well known that investors face great difficulty in comparing the earnings of life insurance companies. In an effort to achieve a rational basis for comparison, various organizations and individual firms in the investment community have developed adjustment formulae. However, the financial statements used in a life insurance company prospectus are unadjusted. This is also typically true of the annual reports to shareholders furnished by life insurance companies.

The problem results, at least in part, from the accounting practices followed by the life insurance industry. Life insurance companies are required under state laws to file complex and lengthy “annual statements” or “convention blanks.” The conservative financial reporting practices required to be followed in preparing these statements reflect the objective of insuring adequate protection of policy holders rather than providing meaningful information to investors. These practices are reflected in the financial statements used in prospectuses. For example, the cost of writing policies and obtaining premiums is charged to operations as incurred, although premiums are taken into income over the life of a policy. Thus expenses may not be matched properly with revenues. Consequently, the reported earnings of a company writing an increasing volume of insurance (which is sufficiently profitable to recover the cost of writing such insurance) will understate the true earning of the company. This is because in a period of increasing premium volume, this method of accounting penalizes the statutory underwriting results by increasing operating costs in the amount of the deferrable expenses on the increased premium volume. Conversely, if a company is in a period of declining premium volume, the statutory underwriting results are benefited because credits to the profit and loss account are based on the higher premium volume in the past and charges are based on the reduced current volume.

The Study compared the various adjustments made by different brokerage and advisory firms to the earnings figures of a life insurance company as reported in its annual report to shareholders for the year 1967. Eight different adjustment formulae were employed.

Each produced a different result. The company reported earnings of $1.85 per share. The adjustments produced figures which ranged from $1.95 per share to $2.49 per share.

The Study conferred with the Adjustments Committee of the New York Association of Insurance and Financial Analysts, which has developed a suggested adjustment formula for industry-wide use. The Study also conferred with a committee of the AICPA which is studying the reporting problems of life insurance companies in depth. The work done by the Adjustments Committee is highly promising, and the Study hopes that that committee will promptly confer with the AICPA Committee. The Commission should await the conclusion of the work being done by the AICPA but should encourage an early conclusion to that work in the hope that a troublesome problem of disclosure may finally be solved.

(d) Management background and experience.

A number of persons who conferred with the Study emphasized the view that a key factor in investment analysis is an appraisal of management. They believed that the Commission's disclosure forms fail to elicit adequate information concerning the background and experience of management.[39/] Responsible officials of the Division of Corporation Finance concur in these views.

39/ See, e.g., Parker, A Professional's Thoughts – Needed Information, 24 Bus. Law. 63, 66 (1968).

Specific suggestions were: that disclosure should be obtained of the age of officers and directors; their education; their experience in the business engaged in by the company; insolvencies or bankruptcies in which they had been involved; and criminal convictions.

The Study recommends that:

(1) although it is a close question, disclosures as to age and education should not be required;

(2) broader disclosure of business experience over a period of 10 years (in lieu of the present 5 years) should be required;

(3) insolvencies or criminal proceedings within the past 10 years involving directors and executive officers may be material to an evaluation of their ability and integrity. On the other hand, lengthy items in the forms calling for disclosure concerning all relevant types of misconduct or financial difficulties would not only complicate the forms but might be offensive. Procedures should therefore be adopted so that registrants and the staff are informed of such situations, where they exist, rather than learning of them in some cases but not in others. Appropriate decisions as to materiality and disclosure can then be made.

(4) the '33 Act registration forms, Schedule 14A of the proxy rules, and Forms 10 and 10-K should be modified accordingly. (See proposed revisions in Forms 10 and 10-K, and proposed new Form 10-Q, appendices X-2, X-3 and X-4, respectively.)

4. The question involving projections of sales and earnings is debatable; however, at present the Study does not believe that such projections should be permitted in prospectuses.

A number of experienced security analysts suggested to the Study that the Commission should permit "controlled" projections of sales and earnings in prospectuses and other documents filed with the Commission. These analysts are in the business of estimating the present and future value of securities based on predictions of sales and earnings. Management projections of sales and earnings serve as a valuable check on their own conclusions. The British disclosure system recognizes this to a limited degree and the Study carefully considered the merits of British practice. Moreover, the Study recognizes that most investment decisions are based essentially on estimates of future earnings.

Lawyers, underwriters and company officials were generally opposed to the analysts' suggestion. Even if projections were not required but only permitted, it was observed that problems of civil liability would be insurmountable unless projections in prospectuses were expressly granted immunity from Sections 11 and 12 of the Act.

This would be extremely difficult for the Commission to do. Moreover, from a management standpoint, projections may change rapidly during a given year as changes occur in the factors on which they are based. Inclusion of such changing projections in a prospectus, which might be used long after it became effective would give rise to significant problems.

It has been the Commission's long-standing policy not to permit projections and predictions in prospectuses and reports filed with the Commission. Such documents are designed to elicit material facts. Their factual character is widely recognized. Investors and their advisers are at liberty to make their own projections based on the disclosures resulting from the Commission's requirements. A real danger exists, in the Study's judgment, that projections appearing in prospectuses and other documents filed under the securities laws and reviewed by the Commission would be accorded a greater measure of validity by the unsophisticated than they would deserve.

For these reasons the Study concludes that the Commission's policy on projections should not be changed.

D. Assuming improvement in the content and dissemination of '34 Act reports, a closer coordination of '34 Act and '33 Act disclosures is justified.

1. Form S-7 should be made available to a wider range of companies

The experiment with Form S-7 has been described at an earlier point in this chapter (pp. 74-7). The policy of coordination between ’33 and ’34 Act disclosures reflected by that form should be extended if the improvements in ’34 Act disclosures recommended by Chapter X are adopted.

It was the Commission’s judgment, when Form S-7 was under study, that elimination of certain disclosures in the statutory prospectus could be justified only if those disclosures had been made in other materials filed under the ’34 Act for a substantial period of time. Thus, Form S-7 would be available only to issuers seasoned by the process of periodic disclosure. The Study concurs in this judgment. However, two principal changes are suggested which are not inconsistent with the foregoing.

First, the Study believes that the requirement that “the registrant has been engaged in business of substantially the same general character since the beginning of the last five fiscal years” should be removed. It has proven difficult to apply in practice. If the registrant has had no substantial change in its business during the past five years, the form should require only a brief identification of the nature of the business, together with an appropriate breakdown of sales and earnings by segments of the business. If the business has changed through acquisitions or otherwise, a brief description of the changes can be added. For this purpose, the Study suggests that Item 5(a) of the form be revised to add the following sentence:

> Unless the registrant has been engaged since the beginning of the last five fiscal years in the business of the same general character, describe the changes in the business during such five year period, including the nature and effect of any materially important acquisition or disposition of property, and materially important changes in the types of products or services rendered by registrant and its subsidiaries, and any materially important changes in the mode of conducting the business.

Second, the Study recommends elimination of the requirement that a company have sales or gross revenues of at least $50,000,000 for the last fiscal year and a reduction of the present net income requirement from $2,500,000 for the last fiscal year (and at least $1,000,000 for each of the four preceding fiscal years) to $500,000 for each of the past five fiscal years. The Investment Bankers Association supplied the Study with valuable data indicating the number of companies which would be able to comply with these criteria. According to the IBA data, a total of 1,462 companies which filed annual reports with the Commission from 1962 through 1966 would have been eligible to use Form S-7, assuming they could meet the other requirements of the form.

2. A short prospectus form should be permitted for certain secondary offerings on exchanges.

If a registered secondary offering of securities is to be made through a prearranged, special solicitation of customers with the aid of extra selling incentives, delivery of a copy of an informative prospectus to such customers is both practical and rational. However, if the offering is to be made on the exchange without a special solicitation of customers, a requirement that copies of a full prospectus be delivered to other brokers on the floor who may buy part of the offered securities becomes burdensome and serves little purpose. Recognizing this, the Commission adopted Rule 153, permitting delivery of copies of the prospectus to the exchange to substitute for deliveries between brokers.

In secondary offerings to which Rule 153 applies, the Study is advised that the prospectus frequently disappears into a file drawer at the exchange and is seen no more. Although Rule 153 does not eliminate the requirement of delivery of the prospectus to any solicited customer in connection with a sale to him of the offered securities, in practice the Study is advised that rarely, if ever, is there a demand for prospectuses for this purpose. As a practical matter, no distinction exists between the offered securities and any other securities of the same class simultaneously offered by other brokers.

Under these circumstances, the Study believes that to require a company with a class of shares listed on the exchange to prepare a full prospectus makes little sense. If registration is required despite the fact that the offeror is charged no more than them minimum commission, [40/] a registration statement (and form of prospectus) which essentially incorporates by reference the issuer's pertinent '34 Act filings should be sufficient. A proposed form for such statement is submitted in Appendix III-1.

40/ This could occur if the quantity limitations provided under the Study's proposed Rule 162(c) are exceeded. See Chapter VI, at pp. 191-5.

A broker handling the sale on an exchange of securities registered on the proposed new form is an “underwriter” as defined in Section 2(11) of the ’33 Act and is subject to Section 11 liability under that Act. By hypothesis, however, he will charge the seller no more than the applicable minimum commission and will not have the economic incentive to conduct the painstaking examination of the issuer’s affairs normally made by an underwriter in connection with a conventional financing. Nor will the broker have had the opportunity to prepare, or to participate in the preparation of, the disclosures in the registration statement. For these practical reasons, and to eliminate troublesome uncertainty on the point, the Study believes that the Commission would be justified in adopting a rule to define the scope of the broker’s investigation which would be appropriate under such circumstances.

The proposed rule is set forth in Appendix III-2. It provides, in essence, that, for the purposes of Sections 11(b)(3) and 11(c) of the ’33 Act, the broker will be deemed to have made a reasonable investigation and to have had reasonable ground to believe that statements made in the registration statement if he has read the registration statement and the documents incorporated by reference therein and is not aware of any false or misleading data contained in such documents. The proposed rule would apply where (1) the order is not received until the registration statement is effective; (2) none of the proceeds of the offering will benefit the issuer; (3) the broker receives no more than the applicable minimum commission; and (4) the broker obtains a statement in writing signed by the seller that, to the seller's knowledge, the prospectus does not contain false or misleading information.

It is entirely possible that a similar procedure can be developed for secondary offerings of over-the-counter securities where the seller's broker does no more than offer the securities to market makers. Various problems with such a procedure would require a careful review, however, and the Study was unable to reach a final conclusion as to its practicability prior to completion of this report.

3. <u>A short prospectus form would be appropriate for stock to be issued by reporting companies on exercise of publicly-held warrants.</u>

Where an issuer makes a registered public offering of warrants, it is considered thereafter to be making a continuous offering of the underlying securities. Conventional requirements for currently updating the registration statement and for prospectus delivery apply.

The warrant holder exercising his warrant, however, is influenced primarily by the market price for the underlying security. This price reflects the collective decision of the market as to the value of the underlying security which is ultimately based on information currently available. In the case of a reporting company, that information would consist basically of the kinds of data contained in the issuer's reports and proxy statements filed with the Commission.

No significant additional protection to investors would appear to be gained by requiring the issuer to prepare and deliver a full prospectus to warrant holders under these circumstances. The prospectus required by the terms of the '33 Act to be delivered to the warrant holder could, in the Study's judgment, be a short, one or two page document referring the reader to the pertinent documents on file with the Commission. The registration statement proposed on pp. 98-9 for Rule 153 sales (Appendix III-1) is adaptable to this purpose. As a condition to its use in lieu of Form S-1, no commission or other remuneration should be paid or payable for the exercise of the warrants.

An amendment to Rule 427 to permit use of the new form is contained in Appendix III-3.

4. A short prospectus form would be appropriate for stock to be issued by a corporation on conversion of the publicly held securities of an affiliated corporation.

The offer involved where issuer A offers securities convertible into securities of issuer B is similar to the continuous offering of securities underlying an issue of warrants. Such an offering usually occurs where a foreign subsidiary of a domestic corporation finances its operations through a foreign dollar offering of debt securities convertible into common stock of the parent.[41/]

The initial offering need not be registered if confined to persons residing outside the United States.[42/] Registration of the securities issuable on conversion is required because the exemption in Section 3(a)(9), normally applicable to conversion of convertible securities, applies only where the issuer of the convertible and of the conversion securities is the same. The Study questions whether, under these circumstances, the delivery of a full prospectus on conversion adds significantly to the protection of investors. A decision to convert is not likely to be based on facts of the kind set forth in a prospectus. It will largely be influenced by other considerations. Absent exemption, however, a prospectus must be used. A short prospectus of the type recommended for issuance of shares on exercise of warrants would seem appropriate.

41/ See, e.g., Investment Company Act Release No. 5269 (February 9, 1968).

42/ Securities Act Release No. 4708 (July 9, 1964).

CHAPTER IV.

THE DISSEMINATION OF '33 ACT PROSPECTUSES

A. Introduction

B. At present, adequate use is not made of the prospectus in the pre-effective period.

1. Efforts by the Commission over the years to secure better pre-effective dissemination of the prospectus have been only partially successful.

2. A wide variation exists among underwriters and dealers in the dissemination given to prospectuses during the pre-effective period.

C. The Study recommends rules requiring (1) delivery of each preliminary prospectus to all salesmen offering the security and (2) delivery of a preliminary prospectus to customers within a reasonable time prior to the effective date in all offerings by non-reporting companies.

1. Analysis of proposed Rule 15c2-8 and proposed amendment to Rule 460.

   (a) Proposed revision of Rule 460.

   (b) Proposed Rule 15c2-8.

2. Possible alternatives to the proposed rules.

   (a) Retain present procedures and practices with modifications.

(b) Require delivery of a prospectus prior to any offer of the security.

D. The 40-day post-effective prospectus delivery requirement in the case of reporting companies presents numerous difficulties. Assuming improvement in the content and dissemination of '34 Act reports, this requirement could be eliminated.

E. In first public offerings by non-reporting companies, the 90-day prospectus delivery requirement serves a valid purpose. It should be retained and steps taken to assist dealers in complying.

CHAPTER IV.

THE DISSEMINATION OF ’33 ACT PROSPECTUSES

A. Introduction

Two periods are, in general, involved in any consideration of the dissemination of prospectuses: the period prior to and the period after the effective date of the registration statement. Except in certain “best efforts” underwritings, the actual offering of securities occurs during the first of those periods and the sale of the securities is confirmed to the purchasers when the second period begins.

The absence of better pre-effective dissemination to prospective investors has been criticized for many years. Recently, as mentioned in the previous Chapter, the North American Securities Administrators have made recommendations dealing with pre-effective dissemination. A touch of irony is to be found in the comment ascribed to an English investment banker: “What you chaps have is not a prospectus but a retrospectus.” Although pre-effective dissemination presents some difficult problems in light of the structure of the ’33 Act, the Study believes that improvement is possible, particularly in connection with public offerings by non-reporting companies where it is most needed.

The Study also explored in detail the problems and benefits of post-effective prospectus delivery, considering in this connection the views of underwriters, lawyers and many others. It was the opinion of the Study that for this period (as for the pre-effective period) a valid distinction can be drawn between the reporting and non-reporting issuer, permitting present post-effective delivery requirements to be reduced where appropriate.

B. At present, adequate use is not made of the prospectus in the pre-effective period.

1. Efforts by the Commission over the years to secure better pre-effective dissemination of the prospectus have been only partially successful.

From the beginning, a difficult and somewhat paradoxical problem has confronted the Commission in administering the '33 Act.

The fundamental thrust of the Act was to inform investors through the medium of a prospectus. In the language of the House Report, the information required was "indispensable to any accurate judgment upon the value of the security."[1/] Stress was laid in the House Report on the so-called "waiting period." One of its purposes, at least, was to prevent the distribution of an issue "before the investing public could digest the information demanded."[2/] Nevertheless, until the 1954 amendments, no "offer" of a security could be made prior to the effective date. And the Act provided

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1/ H. R. Report No. 85, 73d Cong., 1st Sess., 3 (1933).

2/ Id. at 3.

for delivery of a prospectus only in connection with actual delivery of the security itself, of any written offer of the security, or of the confirmation of sale.

Over the years, the Commission has sought ways to reconcile the apparent purpose of the Act with those substantive provisions which deal with the prospectus.

A first step was taken by the Federal Trade Commission late in 1933. That Commission issued a release authorizing the distribution, prior to the effective date, of what has come to be known as the "red herring" prospectus,[3/] thereby affording an officially sanctioned procedure for underwriters to communicate the details of an offering to dealers. Under the theory of the release, the red herring did not offer the security for sale. In 1935, this same concept was extended by an opinion of the Commission's general counsel to summaries of information in prospectuses prepared by statistical services and sold by them to underwriters and dealers for distribution to potential investors.[4/] Such summaries came to be known as "blue cards."

These measures failed to achieve the desired objective and, in 1941, the Commission proposed legislation which would have required

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3/ Securities Act Release 70 (November 6, 1933).

4/ Securities Act Release No. 464 (August 19, 1935).

the delivery of a form of prospectus to a prospective investor a reasonable time before he contracted to buy the security. An "identifying statement" was also proposed to be used as a means of locating persons interested in receiving a prospectus.[5/] A counter-proposal was made by the securities industry, to the effect that (1) a sale would be final if a prospectus had been sent in time to reach the investor not later than the business day before the sale, and (2) all others could repudiate the sale if they had purchased within seven days after the effective date and had notified the seller of their intention not to proceed by noon of the business day after purchase.[6/] Neither proposal was adopted.

In 1946, a Commission rule (Rule 131) was adopted to formalize the "red herring" practice.[7/] It expressly permitted distribution of the red herring to "any person." Acceleration of the effective date of a registration statement was to be conditioned upon distribution of the red herring a reasonable time in advance of the effective date to all underwriters and participating dealers.[8/] Prospective investors were not mentioned.

5/ SEC Report on Proposals for Amendments to the Securities Act of 1933 and the Securities Exchange Act of 1934, H. R. Com. Print, Com. on Int. and For. Commerce, 77th Cong., 1st Sess. (1941).

6/ Investment Bankers Assn., et al., Report on the Conferences with the SEC and its staff on proposals for Amending the Securities Act of 1933 and the Securities Exchange Act of 1934 (1941).

7/ Securities Act Release No. 3177 (December 5, 1946).

8/ This policy is now contained in Rule 460.

In 1952, the Commission tried another approach. Rule 132 was adopted, permitting the use of the “identifying statement” first proposed in the 1941 legislative program. The identifying statement was intended to be similar to the card summaries prepared by statistical services except that it was limited to sixteen categories of information, could not contain a summary of earnings, and was subject to review by the staff. It was designed to locate persons who might be interested in receiving a “red herring’ or final prospectus.[9/] However, in actual practice, the identifying statement turned out to be no more than the red herring legend and a detachable form requesting a copy of the prospectus. Its use died out and Rule 132 was repealed in 1956.

The 1954 amendments expressly provided that offers of a security might be made during the waiting period. Congress also sought to achieve a wider dissemination of information to investors during the waiting period by requiring in Section 10(b) the adoption of rules permitting the use of summary prospectuses.

The Commission responded by adopting Rule 434A, which authorized a “summary prospectus” to be used by certain issuers. Its use was never widespread, however, and only a handful have been filed within the past five years.

9/ Securities Act Release No. 3453 (October 1, 1952).

During the 1962 hot issue period, the Division of Corporation Finance developed the informal policy of requiring pre-effective delivery of an amended preliminary prospectus to prospective investors as a condition of acceleration in first public offerings where highly speculative factors were reflected in an introductory statement. This procedure has been used sparingly in recent years, however, and was not generally revived during the recent period of high activity in the new issue market.

The Study has been advised that the practice of statistical services in preparing summaries of prospectuses (the so-called "blue cards") for use by underwriters and dealers during the pre-effective period has been discontinued.

In light of the foregoing, it appears that the problem of reaching the investor with prospectus information during the pre-effective period remains substantially unsolved.

2. A wide variation exists among underwriters and dealers in the dissemination given to prospectuses during the pre-effective period.

In order to gather data concerning present-day practices in disseminating the preliminary prospectus during the waiting period, the Study took a representative sample of first and repeat offerings of common stock during 1967, and examined all data in the Commission's files submitted in connection with the request for acceleration.

The variations in practice were large. In one first public offering and in one repeat offering, a single preliminary prospectus was delivered to each underwriter prior to the effective date. Distribution of preliminary prospectuses, however, averaged 50 per underwriter in the case of first public offerings and 67 per underwriter in the case of repeat offerings. In a number of instances, the distribution of preliminary prospectuses greatly exceeded those averages: one first public offering involved the distribution of over 11,000 such prospectuses to the underwriting group.

Distribution of preliminary prospectuses to dealers was negligible in the majority of cases. For first public offerings, it averaged less than four per dealer. In several offerings, no preliminary prospectuses were distributed to dealers, and in others, the report showed one per dealer. The average for repeat offerings was 1.7 preliminary prospectuses per dealer.

It was not possible to determine how many preliminary prospectuses distributed to underwriters or dealers found their way into the hands of ultimate investors, but again, based on conversations held by the Study with underwriting firms, a large variation in practice appears to exist. Some firms make it a practice not to distribute the preliminary prospectus except to institutional investors. Others have adopted the policy, applicable in particular where they act as the managing underwriter, of making a broad and immediate distribution of the preliminary prospectus to their customers soon after the registration statement is filed with the Commission. In some instances, the Study was advised that branch offices of an underwriting firm may receive no copies of the preliminary prospectus, or of the amended preliminary prospectus. Other firms send sizeable quantities to their branch offices.

It appears to be the general policy among underwriting firms consulted by the Study to respond, if they can, to the request of a customer for a copy of the preliminary prospectus.

C. The Study recommends rules requiring (1) delivery of each preliminary prospectus to all salesmen offering the security and (2) delivery of a preliminary prospectus to customers within a reasonable time prior to the effective date in all first public offerings by non-reporting companies.

1. Analysis of proposed Rule 15c2-8 and proposed amendments to Rule 460.

(a) Proposed revision of Rule 460.

The prospectus in the case of a first public offering is a uniquely valuable document. In most instances, it contains the first comprehensive disclosures about the issuer. It is the product of joint effort and examination in depth, stimulated by the liability provisions of Section 11 of the '33 Act. As a matter of good policy, the utmost in the way of benefits to investors should be obtained from this document while its disclosures are of optimum timeliness.

Assuming the correctness of that statement of policy, it follows, in the Study's judgment, that present practices with regard to the pre-effective dissemination of the prospectus in first public offerings are unsatisfactory.

The Study considered this problem with two groups which are particularly concerned with the form which any suggested solution might take: The North American Securities Administrators and the Investment Bankers Association of America. Based in large part on its conferences with special committees from each of these groups (which were of great value to the Study) the following recommendation is submitted:

To the extent practicable, all prospective investors in a first public offering should receive a copy of the preliminary prospectus a reasonable time in advance of the effective date, and well in advance of the mailing to them of a confirmation of sale. The requirement in this respect should be flexible, since some underwriting firms will prefer to make such distribution immediately after filing and others will deem it advisable to wait until they receive such comments as the Commission's staff may have to make on the disclosures in the registration statement. Dealers as well as underwriters should make the prospectus available to their customers. The requirement cannot be absolute, however, without unnecessarily disrupting the processes of distribution of securities. If customers become prospective investors in the securities at the last moment prior to the effective date, it would not be feasible to hold up the effective date on that account, nor is it sensible to require that they receive a preliminary prospectus when they will almost immediately receive the final prospectus.

The Study found that the desired flexibility could best be obtained by adding the foregoing requirements to Rule 460 as a condition of acceleration. The proposed amendment to Rule 460 (see Appendix IV-1)[10/] states that the Commission would ordinarily be satisfied by a written statement of the managing underwriter to the effect that copies of a preliminary prospectus complying with Rule 433(a) have been or are being distributed to all underwriters and dealers expected to participate in the offering so as to enable each underwriter or dealer to mail copies thereof, a reasonable time prior to the desired effective date, to all persons to whom it then expects to mail confirmations of sale. A reasonable time should ordinarily be not less than 48 hours. The managing underwriter's statement should affirm that it has been advised by each such underwriter and dealer that the necessary distribution has been made,

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10/ Information as to Commission policy with respect to requests for acceleration is presently found in three separate locations: (1) Rule 460, (2) Rule 461 and (3) Guide No. 19 of Guides for Preparation and Filing of Registration Statements (Securities Act Release 4936, December 9, 1968). The proposed amendment to Rule 460 combines these sources of information into a single rule; if it is adopted, Rule 461 and Guide 19 could be rescinded.

On the very infrequent occasions when the Commission requires "recirculation" as a condition of acceleration, it is important that changes made in the preliminary prospectus to correct material inaccuracies or inadequacies be called to the attention of recipients. The amended preliminary prospectus should, on such occasions, be accompanied by a memorandum of changes. Revised Rule 460(c)—changed to Rule 460(d)—so provides.

or will be made, immediately after copies of the preliminary prospectus have been received.

The question remains whether a similar policy should apply in the case of offerings when the issuer is a reporting company. Here, of course, it can reasonably be assumed that information will be available concerning the affairs of the issuer and the prospectus will not be so unique a form of disclosure. The Study determined that, as a first step and pending a review of its effectiveness, the new acceleration policy should apply only to first public offerings.

(b) Proposed Rule 15c2-8.

From the outset, it was intended that the prospectus would act as a deterrent to the fraudulent oral sales pitch.[11/] The objective remains a valid one. It cannot be reconciled with a prevailing practice in which many salesmen who offer newly issued securities largely by telephone never see the preliminary prospectus, and customers who may wish to review the proposal more carefully, or to check what the salesman told them, may be unable to obtain a copy of that document.

Section 15(c)(2) of the '34 Act permits the Commission to "prescribe means reasonably designed to prevent such acts and

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11/ "The full revelations . . . should not be lost in the actual selling process. This requirement will undoubtedly limit the selling arguments hitherto employed. That is its purpose." H. R. Report No. 85, supra., n. 1, p. 8.

practices as are fraudulent, deceptive or manipulative . . ." In the Study's judgment, a rule would be appropriate under that section to implement the following policies:

(1) A broker-dealer participating in an underwriting should take reasonable steps to see to it that any person who desires a copy of the preliminary prospectus prior to the effective date (or of the final prospectus, between the effective date and the termination of the distribution or expiration of the applicable 40 or 90 day period, whichever occurs last) is furnished such copy promptly.

(2) Each salesman who is expected to offer the securities for sale should receive a copy of the preliminary prospectus and any amended preliminary prospectus. If offers are expected to be made after the effective date, he should receive a copy of the final prospectus before making such offers.

(3) A managing underwriter should be under obligation to take reasonable steps to see to it that (a) all other underwriters and dealers participating in the distribution are promptly furnished with sufficient copies of the necessary documents to enable them to comply with the foregoing, and (b) all dealers are furnished with sufficient copies of the final prospectus, as requested, to enable them to comply

with the delivery requirements in Section 4(3) of the '33 Act.[12/]

In a sense, the proposed rule (see Appendix IV-2) would take over where the Commission's acceleration policy ends, by providing for continuing dissemination of the prospectus after the effective date when such dissemination is essential.

2. Possible alternatives to the proposed rules.

(a) Retain present procedures and practices with modifications.

Critics of the '33 Act flatly asserted that investors do not read prospectuses and it is therefore useless to devise procedures designed to further the dissemination of prospectuses to the ordinary investor. Unfortunately, the Study was not equipped to conduct an empirical review of the reading habits of investors. Even if such a review were to be made, it is questionable how much it would prove. The preliminary prospectus has been laboriously prepared, printed and filed with the Commission. It is available to and used by the professionals. The argument for making it available to the ordinary investor who is expected to be a purchaser of the securities offered seems a strong one, even if only a small minority of such investors actually make use of it. The Study is

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12/ See pp. 121-2 of this Chapter, where elimination of the 40 day delivery requirement as applied to transactions involving the registered securities is recommended.

of the opinion that a significant minority would do so, based on expressions of belief by a number of sophisticated representatives of the industry and by a number of experienced state administrators.

An attorney who has long specialized in the securities field advised the Study that, in his opinion, the principal value of the prospectus lies in curbing over-zealous selling. He would retain present dissemination practices, with one modification. The cover page of each final prospectus would be required to contain a conspicuous legend cautioning the investor to read the prospectus, and pointing out specifically his rights under Section 11 of the '33 Act and rights of rescission under state law. A post card would be attached, addressed to the SEC, on which the investor could report inconsistencies between the disclosures in the prospectus and the salesman's representations.

The Study concluded that this suggestion should not be adopted. Practical difficulties are presented. A number of states (New York, for example[13/]) have adopted the Statute of Frauds provision of the Uniform Commercial Code applying to investment securities. That Section provides that where the broker acts as principal, a contract for the sale of securities is not enforceable unless (1) a writing signed by the party sought to be held or his agent is sufficient to indicate a contract of sale has been made; (2) delivery of the security has been accepted or payment has

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13/ McKinney's Consolidated Laws of New York, Book 62 1/2 , Part 3, Uniform Commercial Code, Sec. 8-319.

been made; or (3) the purchaser has failed to object to the confirmation of sale within 10 days of its receipt. However, state laws on this subject vary, and it would be difficult if not impossible to provide a meaningful disclosure which could be universally used. Moreover, it can be argued that preventive effort should be applied at an earlier stage than the final prospectus. In this connection, the Study is impressed by the value of the special procedures which have been used by the Division of Trading and Markets and by the Commission’s regional offices in the case of highly speculative offerings. When it is informed that such an offering is contemplated, the Division arranges a conference with the underwriters and discusses the obligations of the underwriter under the securities laws. The Division will normally inform the underwriter in advance that the offering will be subject to surveillance. The Study believes that this procedure has prevented potentially serious fraud in a number of instances.

(b) Require delivery of a prospectus prior to any offer of the security.

It has been recommended that, as a means of preventing fraud, the Commission should adopt a rule under the ’34 Act requiring broker-dealers to furnish any potential customer with a copy of the available prospectus prior to any offer of a security as to which an initial registration statement is on file. Such a rule would effect a major change in present-day distribution processes. Aside from questions of statutory interpretation, the Study is of the opinion that more limited measures will be responsive to the undoubted need for better pre-effective dissemination and should be tried.

D. The 40-day post-effective prospectus delivery requirement in the case of reporting companies presents numerous difficulties. Assuming improvement in the content and dissemination of '34 Act reports, this requirement could be eliminated.

The Study acknowledges the fact, based on conferences with numerous lawyers and representatives of the securities industry, that the post-effective prospectus delivery requirements imposed on dealers by Section 4(3) of the Act are disregarded or overlooked in numerous instances. These requirements, effective for 40 days after the earlier of the effective date or the date on which the first bona fide offer to the public takes place (or for 90 days in the case of first public offerings) apply only to the registered security. They do not affect the availability of the broker's transactions exemption of Section 4(4). Thus, if the security is sold by a broker in an unsolicited transaction, no prospectus need be delivered.

The 40 day requirement applicable to securities which have been the subject of a previous offering is especially troublesome from the standpoints of compliance and administration. In most cases, such securities will already have an established market. As a practical matter, it is often impossible for a dealer to determine whether the particular securities involved in a trade are those recently registered or those which were previously outstanding. If such a dealer is to deliver a copy of the prospectus with every trade, however, he will need more prospectuses than are obtainable in many instances.

The Study considered the possibility of applying stronger enforcement measures to guard against any violation of Section 5 of the '33 Act during the course of post-offering trading. It was concluded that, apart from first public offerings, the efforts which would be necessary could more profitably be expended elsewhere. The question is one of judgment, but the Study would recommend that emphasis be placed on improvement in the content, timeliness and dissemination of '34 Act reports in striving for the goal of informed public markets.

Accordingly, if such a step can be coordinated with the improvements in '34 Act reporting recommended by Chapter X, the Study would recommend that the requirement for prospectus delivery in the case of reporting issuers be removed. This can be done under the authority of Section 4(3)(D) by amendment of Rule 174 (see Appendix IV-3).

E. <u>In first public offerings by non-reporting companies, the 90-day prospectus delivery requirement serves a valid purpose. It should be retained and steps taken to assist dealers in complying</u>.

Consideration largely different from those referred to in the preceding section of this chapter apply in the case of offerings by non-reporting companies. Here, there is no repository of information about the issuer. The only source of such information for a substantial period of time will be the prospectus. The first annual report on Form 10-K would not be due until after the first full fiscal year following the last full fiscal year for which certified financial statements were provided in the prospectus.[14/] Under the Study's proposal in Chapter X, the first quarterly report would not be filed until 45 days after the first quarter ending after the registration statement is effective. This means that no information concerning the company could be expected under the reporting requirements until after the end of the 90 day prospectus delivery period.[15/]

Moreover, in most instances the securities publicly traded during the 90 day period will be largely if not entirely those registered for the public offering. For this reason, practical problems associated with post-offering prospectus delivery are minimized.

14/ Rule 15d-1.

15/ In almost all instances, the applicable period would be 90 days. That period, however, applies if securities of the issuer have not previously been sold pursuant to an earlier effective registration statement. It is possible for a suspension of the reporting requirements otherwise applicable to such an issuer to occur under Section 15(d) if the number of record holders of the previously registered securities drops below 300. In that case, even though the issuer was non-reporting, the applicable period for prospectus delivery in the event of a new offering would be 40 days.

It is the Study's opinion that the prospectus delivery requirement, as applied to non-reporting issuers, serves an important purpose and is workable, assuming cooperative efforts on the part of the Commission and the securities industry to make it so. Representatives of the industry who conferred with the Study agreed with this conclusion.

Proposed Rule 15c2-8 contains a provision requiring managing underwriters to provide any dealer with sufficient copies of the prospectus, on request, to meet the latter's delivery obligations. The Investment Bankers Association of America currently publishes for the benefit of all of its members a weekly list of all current issues as to which the prospectus delivery requirement applies, with the date on which the requirement for each issue terminates and the name of the managing underwriter from whom prospectuses can be obtained. It is possible that this helpful publication could be made available to all dealers.

CHAPTER V.

THE "GUN JUMPING" PROBLEM

A. Introduction

B. More clearly defined policies should be adopted to deal with the publication of information during the time a company is "in registration".

1. Nature of the problem.

2. A sound and generally workable standard has been developed dealing with publicity generated by the issuer of securities in registration; questions which arise concerning its applicability in particular situations should continue to be handled administratively.

3. Clearer standards defining the limits of permissible activity by brokers and investment advisers during the registration period are needed and should be published by the Commission in appropriate form.

   (a) Background of recommendations.

   (b) The commencement of restrictions.

   (c) The status of non-participants in the offering.

   (d) Offerings of non-convertible senior securities.

   (e) Broad lists of recommended securities published on a regular basis.

(f) Follow-up reporting where a security has previously been recommended by the broker.

(g) Market letters and industry surveys printed before a broker has reached any understanding as to participation in an underwriting.

CHAPTER V.

THE "GUN JUMPING" PROBLEM

A. Introduction

Given the value of the prospectus as a disclosure document and the concentration of effort which goes into its preparation, it is sound policy to place restrictions on the use of written materials other than the prospectus in the solicitation of buyer interest connected with a registered offering. However, if such restrictions are carried too far, they can inhibit or prevent publicity which is beneficial to the interest of investors. There is a need for clearer standards to differentiate between helpful and informative publicity and publicity primarily designed to "condition" the market in such a way that the disclosure in the prospectus would be rendered ineffective. This is particularly true with regard to the publication activities of broker-dealer firms.

This chapter discusses the background of that need and recommends adoption of clarifying rules in particularly difficult areas.

A form of restraint in the publication of information and opinion by broker-dealers continues during the post-offering period by virtue of the prospectus delivery requirements of Section 4(3)(B) of the ’33 Act (the so-called “40 day” and “90 day” periods). This subject is dealt with in the previous chapter, and it is recommended in that chapter (at pp. 121-2) that the prospectus delivery requirement be eliminated in the case of reporting issuers.

B. More clearly defined policies should be adopted to deal with the publication of information during the time a company is “in registration.”

1. Nature of the problem

Where no exemption from registration is available, the statutory design of the ’33 Act clearly contemplates that any written offering of a security shall be made by means of the prospectus. Thus, Section 5(c) prohibits any written offerings during the period prior to the filing of the registration statement. Section 5(b)(1) provides that after the registration statement has been filed no prospectus may be used unless it meets the requirements of Section 10 of the Act. “Prospectus” is broadly defined in Section 2(10) to include any written material (or statement on radio and television) which offers any security for sale. (The typical “tombstone” advertisement is excepted).

These provisions have been interpreted broadly, in keeping with the statutory design. As the Commission observed in the leading case on the subject (which has become popularly known as the “Arvida case"), the definitions of "offer and prospectus"

> . . . are not limited to communications which constituted an offer in the common law contract sense, or which on their face purport to offer a security. Rather, as stated by our General Counsel in 1941, they include "any document which is designed to procure orders for a security"[1/]

Putting the matter in other words, the Commission emphasized that:

> The statute prohibits issuers, underwriters and dealers from initiating a public sales campaign prior to the filing of a registration statement by means of publicity efforts which, even though not couched in terms of an express offer, conditioned the public mind or aroused public interest in a particular security. [Footnote omitted][2/]

This reading of the statute has become generally known as the "gun jumping" doctrine. Those who "jump the gun" on a forthcoming offering, whether by interviews with newspaper or magazine reporters, speeches, reports to shareholders, market letters or otherwise, violate the basic prohibitions of Section 5 of the '33 Act.

There is sound justification in principle for the "gun jumping" doctrine. "Gun jumping" is fundamentally inconsistent with the rationale of the '33 Act. As the Commission noted in the Arvida case:

> One of the cardinal purposes of the Securities Act is to slow down this process of rapid distribution of corporate securities at least in its earlier and crucial stages, in order that dealers and investors might have access to, and an opportunity to consider,

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1/ Carl M. Loeb, Rhoads & Co., 38 S.E.C. 843-48 (1959).

2/ Id. at 850.

> the disclosure of the material business and financial facts of the issuer provided in registration statements and prospectuses . . . The entire distribution process was often stimulated by sales literature designed solely to arouse interest in the securities and not to disclose material facts about the issuer and its securities. [Footnote omitted][3/]

In practical application, however, the "gun jumping" doctrine presents numerous difficulties. With the growth of public participation in the markets it has become the practice of widely held companies to publish more and more information concerning their affairs. This practice has been encouraged by the Commission and stimulated by the "timely disclosure" policies of the New York and American Stock Exchanges. In Securities Act Release No. 3844 (October 8, 1957) the Commission specifically referred to the "increas[ed] tendency . . . to give publicity through many media concerning corporate affairs which goes beyond the statutory requirements," as "a commendable and growing recognition on the part of industry and the investment community of the importance of informing security holders and the public generally with respect to important business and financial developments."

Moreover, even the casual observer cannot fail to note the increase in the output of market letters, industry surveys, recommended lists and similar publications by the brokerage community. This flow of material to customers and prospective customers not only responds to investors' demands but constitutes a primary medium for the dissemination of information about securities to the investing public.

3/ Id. at 849.

The problem has two aspects.

First, there is the continuing need to strike a balance between two groups of investors: (1) those to whom securities are sold in registered public offerings and (2) those who purchase and sell securities in the trading markets. As observed in Chapter II of this Report, the volume of transactions by the latter group far exceeds the aggregate volume of sales made to the former. Second, there is a legitimate desire for clearer definition and greater certainty on the part of brokers who act as underwriters and dealers in connection with registered offerings.

2. A sound and generally workable standard has been developed dealing with publicity generated by the issuer of securities in registration; questions which arise concerning its applicability in particular situations should continue to be handled administratively

For many years, the standard for information published by the issuer of securities which plans, or is in the midst of, a registered public offering, has been what is normal and customary for that particular issuer. A careful statement of this standard appears in the Arvida case:

> We realize, of course, that corporations regularly release various types of information and that a corporation in which there is wide interest may be called upon to release more information more frequently about its activities than would be expected of lesser known or privately held enterprises. In the normal conduct of its business a corporation may continue to advertise its products and services without interruption, it may send out its customary quarterly, annual and other periodic reports to security holders, and it may publish its proxy statements, send out its dividend notices and make routine announcements to the press. This flow of normal corporate news, unrelated to a selling effort for an issue of

> securities, is natural, desirable and entirely consistent with the objective of disclosure to the public which underlies the federal securities laws.[4/]

The Study's conferences with members of corporate managements and of the financial community suggests that by and large the gun-jumping doctrine with respect to issuer-generated publicity has worked reasonably well and makes a sensible accommodation between the needs of the trading markets for a continuing flow of investment information and the underlying policies of the '33 Act.

Difficult and close questions inevitably arise as to whether particular items of publicity are part of a selling effort or are merely regular and customary disclosures unrelated to the selling effort for a particular registered offering. Even if the issuer and its counsel are satisfied that the publicity is legitimate, an informal consultation with the staff of the Commission may be desirable to avoid potential controversy. The Division of Corporation Finance and the Office of General Counsel of the Commission are accustomed to such informal consultation and in most instances are able to give a swift and definite response. The Study knows of no substitute for this procedure and issuers are encouraged to employ it.

There has, however, been one development during the decade since the Arvida opinion which requires consideration. As a result of the evolution of law and corporate practice in recent years,

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4/ Id. at 853.

publicly-owned corporations have come under increasing obligations and incentives to make timely disclosure of information which might materially affect the market for their securities. These developments include both the expanded policy on timely disclosure adopted by the major stock exchanges and the principles with respect to "insider trading" developed in the Texas Gulf [5/] and other cases. Thus, a question arises as to a possible conflict between an obligation to make disclosure under these principles and the "gun jumping" doctrine. The Study believes that such a question will not arise very often in view of the fact that events creating a duty to make prompt disclosure under the principles referred to above are relatively infrequent and consequently will not often occur during the period when the "gun jumping" doctrine inhibits corporate publicity. Furthermore, these events are of such a nature that they would undoubtedly require disclosure in the prospectus, so that the problem is apt to arise primarily during the pre-filing period. The Study believes that if such an event occurs and the issuer, in good faith, determines that it is obligated to make disclosure, the "gun jumping" doctrine should not be applied to preclude such disclosure, provided that, following the teaching of the court in the Texas Gulf case, it is purely factual and does not include predictions, conclusions or opinions.[6/]

5/ SEC v. Texas Gulf Sulphur Co., 401 F2d 833 (C.A. 2, 1968)

6/ It might be argued that insofar as the Texas Gulf problem is involved, the issuer could avoid the conflict by preventing any trading by insiders during the period when the "gun jumping" doctrine is applicable, thus avoiding a necessity for disclosure under the principles announced in Texas Gulf. It may, however, be impractical for the issuer completely to prevent such trading, particularly by "tippees."

Where an issuer is contemplating a public offering of securities to be registered under the '33 Act, the position has been taken by the Division of Corporation Finance that the issue might be "jumping the gun" if it announced that fact before a registration statement was filed. However, a considerable number of issuers have made such announcements without consulting the Division. Some financial publications contain lists of issuers contemplating offerings of securities to be registered. The Study believes that clarification could be achieved by amending Rule 135 to permit limited announcements of this nature. (A draft of such revision is included in Appendix VII-2).

The usefulness of Securities Act Release No. 3844 to illustrate a variety of "gun jumping" problems has not diminished with time. It is generally suggested in that release that projections of earnings, which are not permitted in prospectuses, should not be included in any publicity during the registration period. The Study agrees. However, it is not necessary to conclude that information which may not be permissible in a prospectus can under no circumstances be disseminated during that period. An example may help to illustrate this point. Certain public utility companies have been accustomed to estimate in advance their kilowatt hour sales for the forthcoming fiscal year. Such estimates in the public utility field are essential to a determination of financing needs; the character of such needs is important in analyzing the securities of public utility companies. In this limited area, the Study believes that the regular and customary publication of an estimate of kilowatt hour sales, not amounting to a projection of earnings, is proper.

It is suggested that a better understanding of the standards that govern issuer-generated publicity might be achieved by publication from time to time of positions taken by the Division of Corporation Finance.

3. Clearer standards defining the limits of permissible activity by brokers and investment advisers during the registration period are needed and should be published by the Commission in appropriate form.

(a) Background of recommendations.

The effect of '33 Act restrictions on the normal publication activities of the brokerage community can be substantial. On occasion, the restrictions may commence several months prior to the filing of the registration statement. This period is followed by the so-called "waiting period" between filing and effective date. After the effective date, the restrictions are modified: under Section 2(10) of the '33 Act, any written material offering the security for sale must be accompanied or preceded by a copy of the final prospectus for 90 days (in the case of first public offerings) or 40 days (in the case of repeat offerings).

The effect of the restrictions is particularly significant in the case of public utility companies, many of which make frequent registered public offerings for the purpose of obtaining additional debt financing.

Nevertheless, some interference with normal broker-dealer publication activities appears to be inevitable. Apart from the specific requirements of the statute, the question can be raised as to the independence of judgment of the broker-dealer who is participating in an underwriting. He has a given allotment of securities, frequently substantial in relation to the normal trading volume, which must be sole in a limited period. His compensation for this service is substantially higher than the usual commission. He faces, in a particularly hazardous form, the old conflict of interest between his functions as a "broker" and as a "dealer".

The pressures affecting a securities firm are of a different character when no underwriting is in prospect. Publications distributed by brokers to the trading market are more likely to reflect independent judgments and recommendations. In many instances, such publications are derived from research done by independent financial publishers and independent research organizations.

Thus, in considering what restrictions are appropriate and necessary, it is important to determine whether or not a particular publication was initiated and completed in the absence of the prospect of an underwriting commitment.

The Study made a careful survey of the informal rulings on "gun jumping" questions involving brokerage firms issued by the Division of Corporation Finance over a period of years. References in the remainder of this Chapter to the positions taken by the Division are derived from this survey. In addition, members of the Study conferred at length with groups of underwriters and analysts. A surprising diversity of views on the interpretation of existing law emerged from these conferences.

For example, one leading brokerage firm stated that it had been unable to include in its regular quarterly survey of stocks on its recommended list any recommendation concerning American Telephone and Telegraph for a period of two years, for the reason that AT&T was always "in registration" during this period. This was so, even though the brokerage firm was not a member of any underwriting syndicate or selling group for the security. It is noteworthy that a number of the AT&T registration statements during the period involved non-underwritten rights offerings of senior securities.

Another leading brokerage firm, on the other hand, advised the Study that it refrains from publishing a recommendation concerning a security in registration only when it will be included in the underwriting group.

Similarly, a leading financial publisher stated that it believed itself precluded from publishing opinions and recommendations in its regular subscription service concerning a company which was " in registration". A second leading publisher did not deem itself bound by any such restriction.

Other illustrations could be given. It is apparent that a considerable uncertainty pervades the application of '33 Act restrictions to the publication activities of brokers and investment advisers. This state of affairs underscores the need for a clearer articulation of standards.

The Study considered the question whether its recommendations as to standards should be in the form of proposed guidelines to be issued by the Commission or proposed rules. It is difficult to define with precision the kind of activity to be covered by a rule of the Commission where such wide diversity of practice exists in the financial community. Guidelines have the advantage of greater flexibility. On the other hand, rule making has two distinct advantages: (1) it would provide a greater degree of certainty and (2) it would give the investment community the protection afforded by Section 19(a) of the '33 Act, which provides that "no provision of this title imposing any liability shall apply to any act done or omitted in good faith in conformity with any rule or regulation of the Commission . . ." The Study determined to attempt the drafting of three rules. These are contained in Appendices V-1 to V-3.

(b) The commencement of restrictions

It appears to the Study that there is some confusion, both within and without the Commission, as to when restrictions upon publication activities commence. One standard which has been applied involves a subjective concept, and is phrased in terms of a broker's "reason to believe that he will participate" in a forthcoming underwriting. The Study questions the ability of the Commission to administer or the industry to operate under such a standard. It is preferable, in the Study's view, to apply a more objective standard, similar to the standard which was ultimately adopted by the Commission as a part of the definition of "prospective underwriter" for purposes of Rule 10b-6.

Thus, a broker would become subject to restrictions at such time as he has reached an understanding with the issuer or other person on whose behalf a planned distribution is to be made that he will become a managing underwriter, whether or not the terms and conditions of the underwriting have been agreed upon.

Similarly, a broker (other than a managing underwriter) would become subject to restrictions at such time as he has reached an understanding with a managing underwriter, or with the issuer or other person on whose behalf a planned distribution is to be made, that he will participate in the underwriting.

Dealers would become subject to restrictions at such times as they are offered a participation, or request a participation, if they in fact participate in the distribution.

(c) <u>The status of non-participants in the offering.</u>

Does the "gun jumping" concept preclude non-participants from issuing written recommendations and opinions concerning a company with securities in registration? As noted above, investment advisory firms have responded differently to this question. Advice given on the question by the Division has not been consistent. A clearer answer is needed.

In the opinion of the Study, application of the "gun jumping" doctrine to non-participants has, at best, a dubious legal basis. Most non-participants would be able to demonstrate that their publications are designed only to stimulate trading interest in particular securities and use of the brokerage services they offer. Moreover, normal publication activities with respect to securities in registration by non-participants in the offering would not appear to be inconsistent with the scheme of the Securities Act. The publications of non-participants are not usually distributed in a context where extra compensation could operate to affect the independence of judgment of the publisher. Indeed, application of the "gun jumping" doctrine to publications of non-participants could well deprive potential purchasers of the securities being distributed of a primary source of independent opinion.

To the extent that the Division has applied the restrictions to non-participants, its action appears to have sprung from recognition of the fact that the relationships between brokers and investment advisers in the financial community are complex and interrelated and that it is difficult as an administrative matter to determine whether a non-participant is truly independent of the participants in an offering. One cannot deny the possibility of abuse. However, in attempting to strike a balance between the needs of the trading markets and the regulatory scheme affecting registered public offerings, the Study believes that it would be appropriate to recommend that the restrictions not be applicable to non-participants, subject to the qualifications outlined below:

> (1) The rule should be accompanied by conditions which serve to guard against the kinds of relationships which might impair independence;
>
> (2) The rule should be restricted to companies with a class of securities registered under Section 12 of the '34 Act or subject to Section 15(d) of that Act. It is the securities of these companies that are likely to arouse trading interest apart from any registered public offering.

A proposed rule is submitted in Appendix V-1.

(d) Offerings of non-convertible senior securities.

Should the "gun jumping" doctrine apply to recommendations and expressions of opinion concerning the common stock of an issuer when the registration statement covers only non-convertible preferred stock or debt securities?

Relaxation of the restrictions under such circumstances would reduce the problem for the broker where it is most severe, viz., in the case of public utility companies whose needs for debt financing result in frequent registered offerings of senior securities.

Two arguments can be advanced in favor of such a relaxation. First, investment conditions with respect to common stocks and non-convertible senior securities are significantly different. Second, and equally important, the market for bonds and preferred stocks of public utilities and other sizeable corporations is largely an institutional one. In the case of pure preferred stock, the market consists to a great extent of corporations which, under existing tax laws, enjoy tax benefits on the receipt of preferred stock dividends.

These conditions, of course, do not apply in the case of convertible securities where the purchaser looks in substantial part to the opportunity for gain attributable to the conversion feature of the bonds or preferred stock, nor are they persuasive in those instances where an issuer in the promotional stage offers debt securities to the public with a coupon rate so high so as to excite substantial speculative interest. For these reasons, the Study recommends a rule (set forth in Appendix V-2) which would permit brokers to recommend common stock where the issuer is in the process of registering non-convertible senior securities, or vice versa, on condition that the issuer meets the standards recommended in Chapter III of this Report for Form S-7.

(e) Broad lists of recommended securities published on a regular basis

The Study has observed an increasing tendency on the part of securities firms to publish at relatively regular intervals broad general lists of recommended securities. If such a firm expects to participate in an underwriting on behalf of an issuer which appears in the list of recommendations, the broker today will typically delete all reference to the issuer from its publication or, in the alternative, will replace its recommendation with a footnote reference which may read: "prospectus requirements--no opinion or estimate can be given."

The Study believes that this procedure carries the "gun jumping" doctrine too far. It is recognized that a market letter relating to a specific company, or even a glowing survey of the particular industry to which that company belongs, could well play a major part in a selling effort geared to an offering of the company's securities. However, where the publication covers a broad range of companies in different industries and gives no great prominence to any one company, the danger that such a publication could condition the market for an offering is substantially reduced. This would be all the more true if the publication was not sporadic, but was issued on a regular schedule and if, as a condition, it were required that the broker must have previously published an equivalent recommendation of the securities in question.

Accordingly, the Study recommends a rule (set forth in Appendix V-3) which would permit publication by a broker of a recommendation despite a prospective underwriting of the securities of the company so recommended in which the broker expects to participate, if:

(1) The recommendation appears in a publication containing recommendations as to the securities of companies in a broad group of industries;

(2) The publication has in the past been distributed with reasonable regularity on an annual or more frequent basis;

(3) The data concerning the company which is "in registration" is no more extensive than that included as to

other companies and does not contain projected sales or earnings beyond the company's current fiscal year; and

(4) A recommendation no less extensive as to the security in question was contained either in the last previous publication of the same character, or in a subsequent publication of any other character which was distributed prior to the time the broker had reached an understanding that it would participate in the underwriting.

(f) Follow-up reporting where a security has previously been recommended by the broker

Brokers who met with the Study argued that when they place their customers in a particular security, they acquire a continuing obligation to report to those customers new information and revised opinions concerning the security. It appeared from these discussions that (a) the distribution of such follow-up material is not usually limited to actual holders of the security, but is mailed at the discretion of registered representatives to prospective customers and to existing accounts which may not own the security, and (b) it may well be impracticable to insure that such follow-up material goes only to existing holders of the security among the broker's customers.

To the extent that follow-up material is factual, there is considerable merit to the argument that severe restriction on its use may not serve the best interest of investors. To permit the broker to restate or revise his recommendation, however, when he expects to participate in a forthcoming underwriting of of [sic] the security, poses an unacceptable "gun jumping" risk. The Study, therefore, recommends that if events involving or affecting the issuer occur during the pre-filing period[7/], brokers who expect to participate in the underwriting be permitted to issue brief factual reports of such events, provided that the reports do not include projections of sales or earnings or a recommendation to buy.

(g) Market letters and industry surveys printed before a broker has reached any understanding as to participation in an underwriting

If a market letter or industry survey recommending a security is both prepared and published by a broker before that broker has reached any understanding as to participation in an underwriting of the security, no objection to such participation should be raised. The broker's activities may be presumed in such circumstances not to be part of the selling effort for the securities being registered.

7/ If the registration statement has been filed, written material mailed or published by an underwriter should, in the opinion of the Study, be confined to the preliminary prospectus or to the forms of advertising permitted by Section 2(10) and Rule 135.

It can be expected that practical problems will arise on occasion in applying this standard. Such problems should continue to be dealt with administratively through informal advice given by the Division on request. There have been a number of instances in which both the Commission and the Division have responded to such requests in a flexible and realistic fashion. For example, in one case a broker proposed to mail to its own customers in January a brochure evaluating in objective fashion recent events involving a company engaged in the transportation of natural gas. At the time, the broker knew that it would participate in an underwriting for the company scheduled to take place in May or June. Based upon a review of the brochure, the character of the company's financing plan and the lengthy interval between the publication and the proposed underwriting, the Commission interposed no objection to publication of the brochure.

Two specific problems were brought to the Study's attention on which the Study recommends that a flexible administrative position be taken:

(1) The Study recommends that the Division should generally permit a broker to distribute during the pre-filing period a market letter or industry survey which it can demonstrate to the Division's satisfaction was fully prepared and sent to the printer prior to the time the broker reached

any understanding as to participation in an underwriting of the security. One qualification is appropriate: the number of copies printed should be no greater and the distribution no more extensive than for similar publications issued by the firm in the recent past.

(2) In the case of registered secondary distributions at the market, where no particular securities firm or syndicate of firms has made arrangements with the selling stockholders to distribute the security, a broker should not be restricted in disseminating market letters or industry surveys which contain its recommendations as to the registered security until such time as it receives an order to sell securities covered by the registration statement. Appropriate restrictions should then be imposed until the broker has completed its participation in the distribution.

It may be appropriate for the foregoing recommendations, if adopted, to be published in the form of a Commission release.

CHAPTER VI.

SECONDARY DISTRIBUTIONS AND BROKERS' TRANSACTIONS

A. Introduction

B. Present doctrine under the '33 Act governing resale of securities purchased in so-called "private offerings" is of uncertain application, creates serious administrative burdens and produces results incompatible with the policy objectives of the Act. A solution consistent with good disclosure policy must be found.

1. The test of "investment intent" for so-called private offerings and its origins.

2. Problems associated with present doctrine and their consequences.

   (a) "How long do I have to hold?"

   (b) What is a sufficient "change of circumstances?"

   (c) The dubious magic of "investment letters."

   (d) The peculiar effects of the "fungibility concept."

   (e) The consequences of uncertainty.

3. The search for a solution; the alternatives.

C. New rules should be adopted which would (1) distinguish between non-reporting and reporting companies in respect of the public sale of securities, without registration, either by controlling persons or by persons who acquired their securities in non-public transactions, and (2) replace subjective with objective tests to the extent practicable.

1. Basic concepts of the proposals recommended by the Study.

(a) New rules dealing with securities issued in private placements and securities held by controlling persons.

(i) Background

(ii) The term “distribution” (Rule 162).

(iii) “Restricted security” (Rule 161).

(iv) Persons deemed to be “underwriters” (Rule 163).

(v) The effect of transactions not constituting “distributions” under Rule 162 on applicability of the exemption provided by Section 4(2) (Rule 180).

(vi) The qualified list (Rule 164).

(vii) Expanded availability of Regulation A.

(viii) Proposed rules to take effect prospectively.

(ix) The inclusion of a “preliminary note” to the proposed rules.

(b) Amendment of Rule 154 to modify the definition of “brokers’ transactions” in Section 4(4).

2. Practical consequences of the Study's proposals.

   (a) Sales made on behalf of controlling person (non-reporting company).

   (b) Sales made on behalf of controlling person (reporting company).

   (c) Sales by those who purchased privately (non-reporting company).

   (d) Sales by those who purchased privately (reporting company).

   (e) Recipients of securities in business combinations where the acquired company is privately owned—herein of "contingent stock".

   (f) Private placements of convertible securities.

   (g) Transfers by gift, on death, or on termination of a bona fide trust.

   (h) Pledges of securities.

   (i) Securities acquired by reason of stock dividends, stock splits and recapitalizations.

   (j) Non-reporting company becomes a reporting company.

   (k) Restricted securities cease to be restricted.

3. Some implications for the future of the proposed rules.

D. The concept of "control" under Section 2(11) of the '33 Act should exclude remote relationships. It would be consistent with good policy to clarify this point by rule and appropriate illustrations.

CHAPTER VI.

SECONDARY DISTRIBUTIONS AND BROKERS' TRANSACTIONS

A. Introduction

This Chapter proposes definitional rules dealing in the main with resales by persons who have purchased securities in so-called "private placements." The proposed rules are at variance with certain long-standing interpretations of statutory language. The reason is simply stated. In the area of statutory interpretation which is primarily involved, uncertainty and divergence of practice presently prevail to an unacceptable degree. Greater certainty and predictability are essential. They can be obtained, in the Study's judgment, only under a new interpretative framework more closely attuned to the objectives of the '33 Act.

Present interpretations are keyed to the necessity of asserting, and then demonstrating, a state of mind on the part of the private purchasers of securities. The test for claiming exemption from the registration requirements is subjective. Did the purchaser possess the requisite "intent"? Can he demonstrate that his intentions were legally correct? It is this emphasis on state of mind which is at the heart of the problem. In lieu thereof, the Study recommends a specific set of objective rules—rules which would inform the purchaser how long he must hold and how he may sell, irrespective of his state of mind. Similarly informed, the issuer would be in a position to take appropriate precautions against violation of registration requirements.

An essential point should be stressed. The proposed rules are grounded on an informative system of periodic reporting by issuers which are subject to the reporting requirements of Sections 13 or 15(d) of the Act. The present system of periodic reporting needs improvement if it is to furnish an adequate backstop for the proposed rules. Chapter X contains the Study's recommendations for this purpose.

Does the Commission have power to adopt the rules which are here proposed? The Study believes that it has that power, although the question is not free from doubt. The Commission's General Counsel concurs.

First, it is evident that Congress intended that the Commission would utilize its accumulated experience in the formulation of rules necessary to make the statute work. Section 19(a) of the '33 Act provides a broad grant of rule-making power together with specific authority to define accounting, trade, and technical terms. The proposed rules are built upon a careful and detailed definition of the general term "distribution" in Section 2(11), the meaning of which was left to the agency to clarify.

Second, students of the administrative process have, in recent years, stressed the duty of administrative agencies to use their rule-making power to provide specificity and predictability, where possible. A distinguished jurist, Judge Henry J. Friendly of the United States Court of Appeals for the Second Circuit, had this to say:

> My thesis is that where the initial standard is . . . general, it is imperative that steps be taken over the years to define and clarify it . . . I do not suggest that this process can be so carried out that all cases can be determined by computers; I do suggest that it ought to be carried to the point of affording a fair degree of predictability . . . in the great majority of cases and of intelligibility in all.[1/]

School comments:

> Where a statute allows wide range for policy choice the agency's failure to define policy may give rise to evil consequences and bring administrative delegation into disrepute. A broad delegation of power in not only a power, it is a summons to create order.[2/]

In his Administrative Law Treatise, Professor Davis at once compliments and chides the Commission:

> Some of the regulatory agencies are too much holding back from the use of their rule-making power. Even the SEC, whose accomplishment in clarifying law through rule-making is outstanding among the agencies, unduly refrains from resort to rule making…[3/]

1/ Friendly, The Federal Administrative Agencies: The Need for Better Definition of Standards 75 Harv. L. Rev. 863, 874 (1962).

2/ Jaffe, Judicial Control of Administrative Action 49 (1965).

3/ 1 Davis, Administrative Law Treatise §6.13 (Supp. 1965).

Third, one of the benefits of the administrative process is the opportunity it affords to change long-standing interpretations which have ceased to function effectively in light of changing conditions. A recognition of this fact led the President of the New York Stock Exchange to testify in 1934:

> Instead of having a fixed rule of law, which can only be changed by an act of Congress . . ., we advocate the power being put in a commission to make these rules and regulations, which if they are wrong, they can immediately change.[4/]

The same thought has been expressed by Mark Massel, formerly of the Brookings Institution staff:

> Policy formulation is a never-ending process. It calls for feedbacks of ideas and information coming from the administration of existing policies. New problems arise that cannot be foreseen when rules are developed. As conditions change, they may require changes in policy.[5/]

Finally, for reasons more fully set forth in the text which follows, the Study believes that the proposed rules are necessary not only to provide greater predictability, but to give fuller effect to the statutory purpose. "The focus of inquiry," said the Supreme Court in U. S. v. Ralston Purina Co., "should be on the need of the offerees for the protections afforded by registration".[6/] Yet the most casual inquiry into the effects of prevailing interpretative pattern discloses its grave shortcomings in this respect. Sale

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4/ Hearings on H. R. 7832 and 8720 before the House Committee on Interstate and Foreign Commerce, 73rd Cong., 2d Sess. 726 (1934).

5/ Massel, The Regulatory Process, 26 Law and Contemp. Probs. 181, 188 (1961).

6/ 346 U. S. 119, 127 (1952).

without registration may turn on events wholly unconnected with the needs of investors, and without distinction as to whether (1) the issuer of the securities is providing information concerning its business and financial affairs in regular reports to the Commission, (2) the quantity of securities being sold without registration is massive or modest, and (3) there is, or is not, a heavily compensated selling effort involved. The proposed rules have been designed to do away with such anomalies.

* * * *

The great bulk of interpretative requests and requests for "no action" letters received by the Division of Corporation Finance raises questions which are answered by the rules proposed in this Chapter. These rules, however, employ certain statutory concepts which have never been given precise and definite content. Can more specific definitions be developed to assist in determining when a particular offering of securities is a "public offering", or when a particular person should be regarded as a "controlling" person?

The Study considered these questions long and seriously. In the areas involved, it was apparent that a substantial lack of specificity was inherent in the workings of the statutory scheme—a degree of generality made mandatory by the almost infinite variety of circumstances encountered in the practical world. Those with whom the Study met generally concurred in this observation.

The distinction between a public and a private offering has acquired a substantial legal gloss over the years. Any attempt to simplify the issue by application of a "numbers test" runs afoul of two important considerations which are essential to the distinction: (1) the integration of separate offerings which are, in essence, parts of the same "issue" of securities, and (2) the effect of subsequent resales by initial purchasers. In the time available to it, the Study found no satisfactory way to reduce these considerations to precise terms. Both are discussed in some detail in the most recent Commission release dealing with the private offering exemption.[7/] The development of effective techniques for controlling subsequent resales has been the subject of sophisticated commentary reflecting its importance in the statutory scheme.[8/]

Further efforts to develop a rule generally applicable to the distinction between a private and a public offering may well be productive and should be encouraged.

In one particular area (where "integration" is not a significant factor) a more definite standard, although limited in scope, was thought to be practicable. An issuance of securities for the purpose of acquiring a closely-held going business can reasonably be considered as distinct from issues made for other purposes. Accordingly,

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7/ See Securities Act Release No. 4552 (November 6, 1962).

8/ See Israels, Stop Transfer Procedures and the Securities Act of 1933-Addendum to Uniform Commercial Code – Article 8, 17 Rutgers L. Rev. 158 and Israels, Addendum, 23 Bus. Law, 865 (1968).

Part E of Chapter VII, at pp. 293-4 infra, proposes a rule restricted to bona fide business combinations and intended to provide assurance that registration is not required where the offerees are limited to a designated number, assuming that resales of the securities by the original purchasers are also appropriately restricted. The rule would not prevent reliance upon the private offering exemption in instances not expressly covered by its terms.

A holder's right to sell securities publicly without registration may depend on whether or not he is in a control relationship with the issuer. "Control" is not defined in the Act. The generalized definition found in Rule 405 provides little assistance in deciding particular cases. Control of a company may arise from a combination of factors and the significance of most of these may vary from case to case, depending not only on the presence or absence of certain relationships but also upon the particular circumstances of the company and of the persons having an interest in it. The factors which would determine who is in control of General Motors would be far different from the factors which would determine who is in control of a small over-the-counter company; and even among similar companies, each case may present different relationships, corporate structures and managerial pattern.[9/]

9/ The problem of defining "control" in the context of the '34 Act is described in the following passage from the House Committee's report:

> It would be difficult if not impossible to enumerate or to anticipate the many ways in which actual control may be exerted. A few examples of the methods used are stock ownership, lease, contract, and agency. It is well known that actual control sometimes may be exerted through ownership of much less than a majority of the stock of a corporation either by the ownership of such stock alone or through such ownership in combination with other factors.

H.R. Rep. No. 1383, 73d Cong., 2d Sess. 26 (1934).

In an effort to provide a modest degree of guidance in this area, however, the Study gave careful consideration to the possibility of a rule which would clarify those conditions under which a person would not be deemed to be "in control," regardless of the particular circumstances. Such a rule has several disadvantages. First, it is possible that a person might employ it to conceal a control relationship. Accordingly, the net cast by such a rule must necessarily be a very broad one. Second, there is a danger that all persons who have one or more of the relationships enumerated in the rule would, ipso facto, be classified as controlling persons. In fact, however, the existence of one or more of such relationships might be entirely consistent, under particular facts, with an absence of control.

In an effort to minimize this second disadvantage, the Study developed a series of illustrative examples of instances in which a person would not be considered to be in control despite the fact that the rule in question would offer him no safe haven.

The combination of rule and illustrative cases was thought to be of sufficient value to justify its recommendation to the Commission. The details of the Study's proposal are more fully discussed in Part D of the text which follows, at pp. 245-7.

B. Present doctrine under the '33 Act governing resale of securities purchased in so-called "private offerings" is of uncertain application, creates serious administrative burdens and produces results incompatible with the policy objectives of the Act. A solution consistent with good disclosure policy must be found.

1. The test of "investment intent" for so-called private offerings and its origins.

Two elementary concepts are basic to an understanding of the prevailing wisdom as applied to so-called "private offerings" of securities.

First, the scheme of the '33 Act requires registration of any offer of any non-exempt security made by any person to any other person absent a specific exemption.

Second, in dealing with the registration requirement (as contrasted with the antifraud provisions), the draftsmen of the '33 Act were essentially concerned with offerings to the public rather than with offerings limited to persons who could fend for themselves.[10/]

10/ Landis, The Legislative History of the Securities Act, 28 Geo. Wash. L. Rev. 29, 37 (1959):

"Public offerings" as distinguished from "private offerings" proved to be the answer. The sale of an issue of securities to insurance companies or to a limited group of experienced investors was certainly not a matter of concern to the federal government. The bureaucracy, untrained in these matters as it was, could hardly equal these investors for sophistication, provided only it was their own money that they were spending.

A series of specific exemptions therefore lie at the heart of the ’33 Act. One of these (now Section 4(2) is intended to provide exemption for the issuer of securities engaged in what is essentially a private financing transaction.

The provisions of this specific exemption did not fully answer the draftsmen’s problems, however. Suppose that an issuer sells a block of its stock to A, a non-controlling person, who thereafter resells the stock. If the resale is not to the public, an exemption from registration is appropriate; if the resale is to the public, registration ought to be required.

The following drafting technique was adopted:

First, an exemption from registration (now Section 4(1)) was provided for any person “other than an issuer, underwriter or dealer.” (A, in the foregoing example, is clearly neither an issuer nor a dealer. He may or may not be an “underwriter;” if not, his transaction is exempt from registration.)

Second, the term “underwriter” was broadly defined in Section 2(11). Under this definition, ordinary investors may become “underwriters” if they act as links in the chain of transmission of securities from issuers (or those who control them) to the public. A key word in Section 2(11) is “distribution”. Although not expressly defined, the term “distribution” in Section 2(11) has always been regarded by the Commission as essentially synonymous with public offering.[11/] (A, in the foregoing example, is an "underwriter" if his resale is to the public. Being an "underwriter," he does not come within the terms of the exemption in Section 4(1). No other exemption can apply to his transaction.[12/] He must register the securities.)

The application of these principles to the real world of investment proved to be no easy task. Both the securities bar and the Commission seized upon a phrase in the broad definition of "underwriter." That phrase is: "… purchased from an issuer with a view to… distribution". Thus, any person who purchases a security from an issuer with a view to its subsequent distribution (or public offering) is an "underwriter" and is not entitled to exemption from registration. A corresponding interpretation was given to the issuer's exemption in Section 4(2). If any of the several persons to whom an issuer sells securities in a private financing transaction happens to purchase the securities "with a view to" their later "distribution", the issuer's transaction is one "involving a public offering." It is therefore not exempt.

11/ Loss, Securities Regulation 551 2d ed. (1961); Orrick, Some Interpretative Problems Respecting the Registration Requirements Under the Securities Act, 13 Bus. Law. 369, 370 (1958).

12/ For purposes of this analysis, the so-called intra-state exemption of Section 3(a)(11), the small transactions exemption provided by Section 3(b) and the Commission's Regulation A, and the exemption for officially approved exchanges (Section 3(a)(10), are disregarded.

As a result of this process of interpretation, the Commission and those affected by the '33 Act soon found themselves tied to a wholly subjective test by which to determine when a person is an "underwriter." Does the person who buys from the issuer or controlling stockholder have the "view" or "intent" of later reselling his securities to the public? How can his true "intention" be accurately determined? It is obviously impossible to peer into his mind. Only two procedures were available, both of doubtful efficacy:

> (1) A procedure which involved placing in a written record his own assertion of what was in his mind when he took the securities; and
>
> (2) A procedure which involved looking to his later acts, and the circumstances surrounding them, as evidence of what was in his mind when he took the securities.

The first of these two procedures became settled in practice as the so-called "investment letter." The purchaser of securities in a private financing signs a statement containing the assertion that he is not taking the securities with a view to their later "distribution"; that, on the contrary, he intends to hold them for "investment."

The second procedure evolved into the doctrine that a "change of circumstances" is a necessary precondition to the public sale of securities originally purchased under an "investment letter", unless the length of holding of itself furnishes sufficient evidence of an original "investment intent."

2. Problems associated with present doctrine and their consequences.

(a) "How long do I have to hold?"

The Commission has indicated that "one evidentiary fact" to be considered in determining whether or not a private purchaser took with the necessary investment intent is the length of time between acquisition of the securities and resale.[13/]

Will any particular holding period furnish sufficient evidence of investment intent? No definite answer is available. In the language of the Commission's statement, the weight to be given to the holding period will "vary with the circumstances of each case. Of course, the longer the period of retention, the more persuasive would be the argument that the resale is not at variance with original 'investment intent'…"[14/]

Other pronouncements on this subject by the Commission and its staff furnish little additional clarification.[15/] In its opinion

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13/ Securities Act Release No. 3825 (August 12, 1957).

14/ Id.

15/ The Commission's Rule 155, relating to the private placement of convertible securities, provides a special application of the holding period requirement. Under that rule (1) the convertible security may never be sold to the public without registration, regardless of the length of time it has been held, and (2) upon conversion of the convertible security, whenever occurring, a new determination must be made as to whether the person to whom the conversion securities are issued is or is not an "underwriter"; in other words, a new holding period commences at the time of conversion, whenever that act occurs.

in the Crowell-Collier case[16/], the Commission observed that "… holding for one year does not afford a statutory basis for an exemption…" Subsequent to Crowell-Collier, former Chairman (then Commissioner) Cohen remarked that a presumption of investment intent might arise after a two-year holding, a statement which has sometimes been referred to as the "Cohen two-year rule." Its author clearly indicated, however, that certain kinds of factual situations would negate any such presumption, despite the period of holding.[17/] A very recent comment on the subject by an experienced private practitioner is as follows:

> . . .As a practical matter, the shares may . . . be sold in any manner after the lapse of a sufficient amount of time, the period being rather indefinite but probably two to three years. For the record, however, it is official dogma that if stock is acquired for investment, a lapse of time (no matter how long) does not automatically free the stock from restrictions on resale. [Footnote omitted][18/]

Members of the Commission's staff have on occasion advised investors who hold privately placed debt securities that the staff would not look with disfavor on a resale after five years. A recent registration statement filed by a closed-end investment

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16/ Crowell-Collier Publishing Co. Securities Act Release No. 3825, p. 7 (August 12, 1957).

17/ SEC Problems of Controlling Stockholders and in Underwritings, 30-31 (Israels, ed., 1962).

18/ Schneider, Acquisitions Under the Federal Securities Laws – A Program for Reform, 116 U. Pa. L. Rev. 1323, 1337 (1968).

company stated the registrant's intention to invest largely in securities acquired privately from issuers and controlling stockholders. Under these circumstances the Commission's staff took the position that the registrant is acting as an underwriter irrespective of the period of holding, and the registration statement discloses that no public resales of portfolio securities will be made without registration.[19/]

(b) What is a sufficient "change of circumstances?"

As noted above, the "change of circumstances" doctrine resulted from the felt need for an affirmative demonstration of an original investment intent. If an investor suffers a "change of circumstances" between his original purchase and his subsequent resale, one can argue on the basis of factual evidence that resale was not contemplated from the very start. But what is a sufficient "change of circumstances" for this purpose?

This has always been a troublesome question.

In the first place, a change that could reasonably have been anticipated at the time of purchase will be of no evidentiary value. Assume, for example, that an investor purchases in a non-public offering shares of a company which later merges into another

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19/ Fund of Letters, Inc., Registration No. 2-28515 (1968) company. Even if the specific merger was not in contemplation at the time of the original investment, the Commission's staff has taken the position that a merger is an event reasonably to be anticipated in the life of a company, and hence does not constitute a sufficient "change of circumstances." The stock of the surviving company received as a result of the merger is therefore held subject to the same restrictions as the stock originally purchased in the private offering.

Secondly, it has been held that no change of circumstances occurs where investors anticipate business success only to be disappointed by actual results.[20/] There is an analogous proposition: neither an advance nor a decline in the market value of the securities purchased can constitute a valid "change of circumstances."[21/]

Thirdly, the substantiality of the required "change of circumstances" varies directly with the length of time between purchase and sale. The shorter the time, the more drastic the require change. Is there a minimum period, in all events? This is unclear, and

> . . . prudent counsel would prefer to see the passage of at least two years as partial basis for his opinion that sale may be made because of a change of circumstances which was not contemplated at the time the security was originally acquired.[22/]

20/ Gilligan, Will & Co. v. SEC. 267 F 2d 461, 468 (2d Cir., 1959) cert. den. 361 U.S. 896.

21/ Crowell Collier Publishing Co., Securities Act Release No. 3825 (Aug. 12, 1957).

22/ When Corporations Go Public, 20, (Israels and Duff, Jr., eds., 1962)

Is it possible for an institution (such as an insurance company) which purchases securities directly from an issuer or from a controlling stockholder to have a "change of circumstances"? Doubts on this score have been expressed by members of the Commission's staff. Moreover, it has been questioned whether the "change of circumstances" doctrine can have any application to a broker-dealer firm which purchases securities in private transactions, since the essence of such a firm's business is the purchase and sale of securities.[23/]

Apart from its uncertainty,[24/] the "change of circumstances" test, like the holding period requirement, is essentially non-functional in that it bears no relation to the needs of investors for adequate disclosure. Its paradoxical impact may be illustrated as follows: assume that two investors, A and B, acquire shares of a company in a private offering. A takes 50,000 shares, or 10% of the total number of common shares outstanding after completion of the offering. B takes 5000 shares. Some time later, A has a "change of circumstances." Under the prevailing wisdom, A may now sell all of his 50,000 shares to the public, without registration, in any fashion he pleases. If a substantial selling effort is essential to dispose of the entire block of 50,000 shares, he may pay whatever underwriting commission is needed (or sell to a

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23/ Where a brokerage firm acquires securities or warrants to purchase securities in connection with the performance of an underwriting function, such securities are part of the public offering and must be registered. Securities Act Release No. 4936, Guide No. 10 (December 9, 1968).

24/ Perhaps the best commentary on the uncertain content of the "change of circumstances" doctrine is found in the mildly sardonic verses of C. Leonard Gorden of the New York bar:

If you buy stock privately,
Enlightened counsel will implore:
Heed the Act of Thirty-Three
Subsection One of Section Four.

Make your purchase for investment.
Have a clear and pure intent.
Do not think about divestment
Till some unforeseen event.

Avoid the Crowell-Collier snare
Be one of few and not of many.
You need not be a millionaire
But don't go in with your last penny . . .

Thereafter, changing factors which
Might make a sale by you exempt
Must be a bad and sudden switch
Which justifies a changed intent.

When you have held two years or more
That sad and unforeseen event
Need not be tragic as before
To justify a new intent!

So put your stock upon the shelf;
Don't question when it will be free.
The very thought defeats itself
With legal logic's subtlety.

With time and troubles, you may get
Advice of counsel or, much better,
Advice to sell that's safer yet –
An SEC "no action" letter.

syndicate of underwriters at whatever discount from the market price in necessary) in order to provide the required selling incentive. The commission (or discount) would remain undisclosed. By his sale, he may even create a public market for the company's shares where none existed before.

By contrast, B, who has had no change of circumstances, may not sell without registration even a few hundred of the shares he had previously purchased.

An obvious question may be asked: in what possible way is A's "change of circumstances" relevant to the needs of public investors, so as to justify the sale of A's entire block of shares without appropriate disclosure?

The easy answer to the question is "none." That answer, however, does not do justice to the effort made by the Commission and its staff over the years to protect public investors through disclosure. Both "change of circumstances" and the holding period requirement arose from the need, deeply felt by the Commission, to find ways of deterring the flow of securities from issuers to the public without registration. It can be persuasively argued that these doctrines were a necessary means to that end in an earlier era. This chapter will examine whether or not there is a better procedure for today.

(c) The dubious magic of "investment letters".

Mention has been made[25/] of the established practice of obtaining a so-called "investment letter" from each purchaser in non-public offerings made by issuers and controlling persons. The development of such a practice is understandable, since the subjective intent of the purchaser is crucial to the existence of an exemption. Intent is an elusive thing and all precautions should be taken. What, then, is the effect of an "investment letter"?

The Commission responded to that question in its Crowell-Collier opinion:

> An issuer may not establish a claim to an exemption under section 4(1) merely by collecting so-called "investment representations" from a limited group of purchasers if in fact a distribution by such persons occurs.[26/]

Commenting on this opinion, Mr. David Henkel of the New York bar has remarked:

> The Crowell-Collier case made it perfectly clear that the investment letter is not worth the paper it is written on, if in fact it is not lived up to.[27/]

So long as the present interpretation of Section 2(11) obtains, however, it would be incautious for an issuer to fail to obtain carefully phrased "investment letters" in all private sales. One could argue that the taking of investment letters is mere ritual,

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25/ P. 163, supra.

26/ Securities Act Release 3825, p. 6 (August 12, 1957).

27/ When Corporations Go Public 22 (Israels and Duff, eds., 1962).

but failure of an issuer to do so might be deemed to evidence a disregard for the significance of the purchaser's intent with respect to the securities.

The important fact is that the "investment letter" device is of little practical value in furthering a policy which would provide disclosure to the public investor when he needs it.

(d) <u>The peculiar effects of the "fungibility concept"</u>.

If there is to be an "investment intent" test for exemption under the '33 Act, the fungibility of securities purchased at different times is essential to its integrity. An example will illustrate the concept:

> A purchases 10,000 shares of the common stock of a particular issuer in the trading market. One year later he acquires 10,000 additional shares directly from the same issuer in a non-public transaction. Ten days after the latter transaction, without having experienced any "change of circumstances," A seeks a "no action" letter from the Commission's staff regarding the proposed sale to the public of the 10,000 shares he purchased in the trading market. The "no action" request would be denied. All of the shares now held by A would be deemed to be restricted against public sale.

> Assume, however, that A's transactions are reversed. His first purchase is a private placement and his second is in the trading market. It is by no means clear whether the Commission's staff would apply the same theory of fungibility, if, 10 days after his purchase in the market, A were to decide to sell those recently purchased shares.

"Fungibility" also applies, of course, when successive blocks of the same security are purchased in a series of private offerings. A special application of the fungibility doctrine relates to so-called "contingent stock" issued in acquisitions. Assume that company A acquires company B from its 7 shareholders, agreeing to issue 50,000 shares of A's common stock in exchange for the stock of B, and also agreeing that if B's business maintains or achieves certain levels of profitability (and not otherwise) the 7 shareholders of B will be entitled, five years later, to an additional 25,000 shares of A. C, one of the 7 shareholders of B, receives 2,000 shares as his portion of the "contingent" block of 25,000 shares. A month later he decides to sell a portion of the shares acquired by him five years previously. The Commission's staff, in denying no action requests under similar circumstances, takes the position that the receipt of the "contingent" shares starts a new holding period as to all shares of the same class then held by C.

In application, the present "fungibility concept" bears little relationship to the needs of investors for disclosure. It has never been formalized as a Commission rule or interpretative release, and hence introduces an additional element of uncertainty into an already clouded situation. It is essential, however, to prevent evasion of registration requirements under present interpretations of the exemptive provisions. The extent to which such a concept remains a necessary element in a new interpretation of the exemptions will be considered at a later point in this chapter (at pp. 201-02).

(e) The consequences of uncertainty.

Apart from the more obvious difficulties experienced by issuers, investors and brokers as a result of uncertainties in the application of statutory requirements, four consequences of the prevailing interpretation of "investment intent" deserve to be stressed. All are detrimental to the healthy administration of the securities laws:

> (1) The existence of vague and imprecise standards ("change of circumstances" and passage of indeterminate amounts of time) have operated through the years to sanction the sale in interstate commerce of large quantities of securities originally issued in non-public transactions.

Such sales have occurred and are occurring irrespective of the availability or non-availability of information concerning the issuers of the securities. The prevailing interpretation of Section 2(11) draws no distinction between issuers furnishing periodic reports to the Commission for the benefit of the public and issuers as to which no information is available.

(2) The Commission's staff is faced with a growing burden in responding to requests for interpretative advice and "no action" letters centered around the question: "when may I sell?" In fact, a large majority of all such requests under the '33 Act pertain to resales following a private offering. It is important that this burden be reduced. To the extent that certainty can be provided, "no action" requests would become unnecessary.

In order to test the possible impact of the new rules which it recommends, the Study made a detailed analysis of approximately 500 written requests for "no action" letters to which the Chief Counsel's office of the Division of Corporation Finance responded during the months of November and December, 1968. It was estimated that had the new rules been in effect during those months, approximately 90% of such requests would have been unnecessary. (A request was regarded, for this purpose, as unnecessary if the question raised is specifically answered in the new rules.)

It would, of course, be overly optimistic to expect a 90% reduction in requests for interpretative advice should the proposed new rules be adopted. It can be expected that questions will be asked about the interpretation of any such new rules. However, the need for “no action” letters arising from uncertainties inherent in present standards should be drastically reduced.

Apart from the mere bulk of requests currently faced by the staff, there is a constant problem in providing reasonably consistent advice. Since the tests with which the staff must work are subjective, its reactions in given situations depend, to a degree at least, on a “feel” of the transaction conveyed by the request for “no action”. Troublesome inconsistency is often the result. Yet that inconsistency, which exists within a relatively compact staff operating under a single director, pales in comparison with the inconsistency in advice given by private counsel as to when and under what circumstances securities sold in private offerings may be resold.

Any lawyer who has practiced in the securities field can recall instances in which several able counselors, viewing an identical set of facts, all reached differing conclusions. An overly conservative counsel may block a transfer of securities which other counsel would consider perfectly within the law, or (on occasion) an issuer of securities may advance a particularly rigid view of the law in order to prevent a transfer of securities from occurring which it does not wish to see occur for other reasons. Practical problems of this sort are not infrequent.

(3) The lack of objective tests to determine when and how shares issued in a non-public transaction may be offered publicly provides an unfortunate leeway for the unscrupulous. It has been the Commission's experience that unprincipled counsel will often given opinions on the availability of exemption from registration when careful or responsible counsel would not do so. The result of this is to put careful counsel at a marked disadvantage. The client's objective is immediate cash. The pressures are strong, and the temptation to cut the statutory corner is magnified by uncertainty.

(4) Even in flagrant cases of alleged violation of the registration requirements, the Commission's staff faces formidable problems of proof. An intent to distribute must be shown. All of the surrounding circumstances must be developed as bearing on the existence or lack of existence of such intent. The difficulties faced by issuers and issuees of securities in coping with subjective tests are paralleled by the difficulties encountered by the Commission's staff in its attempt to enforce the federal law.

3. <u>The search for a solution; the alternatives</u>.

In the Study's judgment, it is essential for the Commission to find a solution to the problems outlined in this portion of the chapter. Such a solution should be sought with appropriate criteria in mind. Three such criteria are suggested:

(1) The present subjective tests associated with the statutory exemptions should be replaced with tests as objective in character as possible. This represents an essential step toward predictability.

(2) Any new interpretations should reflect a greater degree of integration between the disclosure requirements of the '33 Act and the '34 Act. Assuming improvement of '34 Act disclosures, as recommended in this report, it should be possible to permit secondary sales of the securities of reporting companies to take place which would not be permitted under a system to restrictions applicable to secondary sales of <u>all</u> securities.

(3) New interpretations of the exemptive provisions should be consistent with the fundamental aim expressed in the opening phrases of the '33 Act:

> to provide full and fair disclosure of the character of the securities sold in interstate and foreign commerce and through the mails and to prevent fraud in sale thereof. . .

Where such full and fair disclosure concerning a particular issuer of securities is unavailable to the public, whether because the issuer has never registered any securities under the '33 Act or because it has never registered a class of securities and placed itself under obligation to make periodic reports under the '34 Act, the rules of the Commission should inhibit, insofar as practicable, the flow of its securities into the interstate trading markets through secondary sales.

There are a number of alternative procedures, some of which have previously been suggested to the Commission. All have been carefully considered by the Study. Three will be briefly discussed here.

The first would involve retention of the test of "investment intent" for purposes of determining (1) who is an "underwriter," and (2) when transactions by an issuer "involve" a public offering. An attempt would be made, however, to provide some measure of certainty by expressly permitting resale of privately placed securities in limited brokerage transactions (consistent with the present requirements of Rule 154) after a three-year holding period. In order to prevent the "parking" of securities of dormant companies for three years prior to their public "distribution" under such a rule, it would be provided that the rule applies only if the issuer of the securities has continuously conducted its business during the three-year period with gross revenues during the period exceeding a minimum figure of several hundred thousand dollars.

This suggested approach was rejected by the Study as giving no effect to the availability of information about an issuer and thus failing to meet the policy objectives of the Act.

A <u>second</u> suggested approach would rely principally upon the Commission's power to specify the content of registration statements and prospectuses. Essentially, <u>all</u> public resales of securities (excepting only securities originally purchased in registered public offering or in the trading markets and, possibly, minimal amounts of other securities) would require registration. However, the forms to be used for this purpose would vary from the present Form S-1 (for public resale of the securities of non-reporting companies) to a minimal one-page document to be filed by a reporting issuer whenever a resale occurred of an appropriately limited amount of its securities in ordinary brokerage transactions. (A variant of this approach would expend the availability to individual sellers of the Section 3(b) exemption, but require that an offering circular be used in connection with any sales, however made, in excess of $50,000 in any one year.)

This suggested approach did not appeal to the Study because of the immense burden of paperwork which it would impose on sellers of securities without clear and corresponding benefits to the public.

A <u>third</u> approach would be constructed around a definition of "distribution" (as that term is used in Section 2(11) of the '33 Act) aimed at reducing '33 Act registration requirements where they do not result in significant benefits to investors and requiring registration where disclosure is not otherwise available. The new definition would permit limited secondary sales of the stock of reporting companies without registration while restricting secondary public sales (without registration) of the stock of non-reporting companies for a substantial period of years. It would apply both to securities sold on behalf of controlling persons and to securities acquired in private placements. This would end the peculiar anomaly created by the Commission's Rule 154 under which, at present, a controlling stockholder of a corporation may be able to sell without registration securities which he has acquired in the market of the value of several millions of dollars, whereas a subordinate supervisory employee, who purchased 1000 shares one year ago in an unregistered employees' stock purchase plan and who signed an "investment letter" regarding those shares, would be advised that he cannot sell even 100 shares through his broker.[28/] The tests under the new definition would, insofar as possible, be objective ones.

28/ In his article Acquisitions Under the Federal Securities Acts – A Program for Reform, 116 U. Pa. L. Rev. 1323, 1336 n. 45 (1968) Carl Schneider cites the case of a registration statement filed under the '33 Act on behalf of several stockholders of Minnesota Mining and Manufacturing Company who had acquired their shares in what was classified as a private offering. The registration statement covered 29,275 shares, representing 1/20 of 1% of the outstanding common stock. These shareholders could not sell without full registration. But a controlling shareholder of the same company could have sold without registration, within the limits of the Rule 154 definition of "distribution", many times that number of shares.

The third approach was selected by the Study. Its details and practical consequences are discussed in the ensuing section of this chapter.

C. New rules should be adopted which would (1) distinguish between non-reporting and reporting companies in respect of the public sale of securities, without registration, either by controlling persons or by persons who acquired their securities in non-public transactions, and (2) replace subjective with objective tests to the extent practicable.

The new rules proposed by the Study for this purpose are found in Appendix VI-1. They are grouped together in a proposed new Article 5 of the General Rules and Regulations under the '33 Act and are designated by number – Rules 161, 162, 163, 164 and 180.

The proposed new Article 5 (entitled "Rules relating to underwriters and non-public offerings under Sections 2(11) and 4(2) of the Act") collects under one heading all new and existing rules dealing with Sections 2(11) and 4(2).[29/] This necessitates

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29/ Other recommended rules proposed to be included in the new Article 5 are:

(a) Rule 160, dealing with the meaning of the phrase "directly or indirectly controlling an issuer" in Section 2(11), which is discussed in Part D of this chapter.

(b) Rule 181, dealing with the definition of "not involving any public offering" in Section 4(2) in connection with acquisitions of bona fide going businesses, which is discussed in Part E of Chapter VII.

a rearrangement of certain existing rules. The proposed rearrangement is outlined in detail in Appendix VI-2.

In the sections of this chapter which follow, (1) the basic concept of proposed Rules 161-164 are outlined, (2) their practical consequences are dealt with under a series of headings illustrative of typical problem situations, and (3) some implications for the future are briefly explored.

1. Basic concepts of the proposals recommended by the Study.

(a) New rules dealing with securities issued in private placements and securities held by controlling persons.

(i) Background

Apart from the intrastate exemptions of Section 3(a)(11), the small offerings exemption provided by Section 3(b) and the regulations thereunder, and two exemptions designed primarily for exchanges of securities Sections(3(a)(9) and 3(a)(10)), the exemptions applicable to transactions in securities are found in Section 4 of the Act. Three of these are clearly not available to anyone acting as an "underwriter" of securities. (The fourth, found in Section 4(4), protects only those who act as brokers under certain limited circumstances). For anyone (other than the issuer of the securities or a control person) who seeks to find out whether or not an exemption from registration is available for his sale of securities, the crucial question is: am I an underwriter?

The investment banking firm which arranges with an issuer (or with a controlling stockholder) for a public sale of securities is, of course, clearly an "underwriter" under Section 2(11). No rules are needed to introduce certainty here; the plain language of the statute is sufficient. Not clear, however (as discussed in the preceding section of this chapter) are the circumstances under which individual investors who are non-professionals in the securities business; and brokers who sell for the accounts of such non-professional investors, become underwriters under the Act.

It is the latter area which is intended to be clarified by the proposed rules, through objective tests to determine when a person of the sort described is an underwriter and when he is not.

The keys to this determination are found in three of the proposed rules:

(1) Rule 162, which defines the term "distribution;"

(2) Rule 161, which defines the term "restricted security," and

(3) Rule 163, which provides that persons are "underwriters" when they participate in or are connected with a "distribution" of "restricted securities."

These three rules will be discussed in turn.

(ii) The term “distribution” (Rule 162).

A curious paradox is involved in the use of this term under the prevailing interpretations. It is not found in Section 4(4). However, in an attempt to lend a degree of certainty in the meaning of Section 4(4), the Commission developed a rule (Rule 154) which is built around a definition of “distribution.” The term “distribution” does appear in Section 2(11) of the Act. It is a key word in the meaning of that section, although not defined. Yet under existing interpretations, the definition of “distribution” in Rule 154 has no application in the context of Section 2(11).[30/] The rule does not allow what is sauce for the goose to be sauce for the gander.

Essentially, the Study recommends that this peculiar state of affairs be reversed. A definition of “distribution” should be introduced in the context of Section 2(11) which will apply both to the sale of securities on behalf of controlling persons and to sales by persons who have purchased their securities in private offerings. This would be accomplished by proposed Rule 162.[31/] The Study also recommends amendment of Rule 154 to bring its provisions into consonance with Rule 162, as discussed on pp. 220-6, infra.

30/ Securities Act Release No. 4818 (Jan. 20, 1966).

31/ The proposed definition does not fit other contexts, such as Rules 10b-2 and 10b-6 under the ’34 Act.

As observed in the Introduction to this Chapter, in developing a new definition of "distribution" in the context of Section 2(11), the Study focused its inquiry (in the words of Justice Clark) on "… the need of the offerees for the protections afforded by registration."[32/] A central question was asked: when securities held by a controlling person are sold, or when securities sold privately by the issuer are resold, under what circumstances do investors need the protection of registration?

It was concluded that a sensible answer to this question could only be found by drawing a distinction between companies which file regular reports on their affairs with the Commission under Sections 13 or 15(d) of the '34 Act (so-called "reporting companies") and companies which do not. If there has been no full disclosure of a company's business, earnings and financial condition (or if, despite the fact that the company is reporting company, its reports appear to be defective or out of date), then a sale to the public of that company's securities ought to be accompanied by the disclosures afforded by '33 Act registration. Conversely, if a company has registered a class of its securities with the Commission under the '34 Act and is maintaining the currency of the information in that original registration statement through up-to-date periodic reports to the Commission, then it ought to be

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32/ SEC v. Ralston Purina Co., 346 U.S. 119, 127 (1952).

possible to permit secondary sales of its securities to the public without the filing of a '33 Act registration statement except (1) where the quantity of those securities to be sold exceeds an amount which the trading market could normally be expected to absorb within a reasonable period of time, or (2) where, in order to move the securities from private into public hands, arrangements for the solicitation of buying customers, or selling incentives exceeding the commissions paid in ordinary trading transactions, are required.

In other words, the exemptions from '33 Act registration should be interpreted not only in light of the selling effort which can reasonably be anticipated but also in light of the character and extent of the disclosures already made by the issuer of the securities.

If these propositions are correct, then a person who supplies capital to a new venture must do so with full realization that his investment is not liquid in the sense that he can expect to have a free choice of markets. Depending upon the success of the venture—a risk which he must take—he may or may not have a free choice of markets in the future. Unless it becomes practicable to provide the public with adequate disclosure through an appropriate Commission filing, he may well be limited to private resale, irrespective of any changes that may occur in his circumstances.

On the other hand, if the venture is successful, he can anticipate the likelihood that the company may require additional equity capital. If that capital is obtained through a registered public offering of stock, the company will become a reporting company (unless the amount of new capital to be raised is so small that the offering can be made under Regulation A) and a public market—subject to some limitations—will be open to him. A similar result would, of course, flow from the registration for public sale of securities held by other stockholders of the company. In appropriate circumstances, he might himself utilize the registration process (or the Regulation A exemption) to dispose of all or part of his investment.

Logic would appear to dictate that the foregoing restrictions on public resale of any securities originally taken in a private placement should last indefinitely.[33/] After long and careful

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33/ In the context of possible statutory change, such is the view of Milton Cohen:

> With respect to issuers other than continuous registrants, on the other hand, the holding period should perhaps be indefinite; that is to say, purchasers in a private placement whose later resales, at any time, amount to a distribution, and thereby turn the issuer into a "public" company, should be deemed underwriters in the present statutory sense, at least for the purpose of attributing their distribution to the issuer itself.

Cohen, "Truth in Securities" Revisited, 79 Harv. L. Rev. 1340, 1404 (1966) consideration, however, the Study determined that the restrictions should last for a definite period of years, after which the securities would be free of restrictions on resale.[34/] Perpetual restraints on alienation have been viewed with disfavor and would create difficulties in the administration of the Act. How long should the period of restrictions be? The Study believes that it should be at least 5 years. This is the period used in the draft of Rule 161. The Commission may well determine, however, that a longer period is justified by the primary objective of investor protection.

The new definition of "distribution" in Rule 162 is consistent with the above analysis.

First, non-public transactions are excluded from the term" distribution" and do not require registration of the securities involved.

Second, any public offering of the securities of an issuer which is not subject to appropriate reporting requirements is a "distribution."

Third, a public offering of the securities of an issuer which is subject to the reporting requirements and is not delinquent in its filings is not a "distribution" (and no registration of the securities is required) if the amounts involved and the method

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34/ This assumes that the issuer has been a bona fide operating company during the period. A test for this purpose is found in Rule 161, discussed at p. 203, infra.

of sale are consistent with ordinary trading.[35/]

Objective tests were needed to determine what sales are consistent with ordinary trading. Here, a precedent was available to the Study. The draftsmen of the present version of Rule 154 sought a similar objective. That rule was designed to separate the routine trading transaction from the transaction involving the disposition of a large block of securities by means of extra selling incentives. The Study examined the various parts of Rule 154 and consulted many persons, both within and without the Commission, who had accumulated practical experience with the operation of the rule.

As a result of this examination, the Study reached the conclusion that the general framework of Rule 154 is valid as applied to the securities of reporting companies, at least until the Commission can assess the results of an initial period of experience with improved '34 Act reporting. Following such a period of experience, the Commission would be in a position to

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35/ It was recommended to the Study that, in advance of all public sales which are excluded by Rule 162 from the definition of "distribution," a statement be required to be filed with the Commission indicating the number of shares to be sold, the name of the broker to be used, and affirming that the seller does not possess any material information about the issuer's affairs which had not been made public. The Study considered the suggestion, and determined for a number of reasons not to recommend that it be adopted. It seemed questionable whether the benefits of such a filing would outweigh the burdens involved. Although the filing might serve as a deterrent to fraud, other means would seem to be better adapted to that function.

determine whether the limits applicable to ordinary trading could be broadened.[36/] Certain problems exist with the Rule 154 tests, however, which need to be solved. The following paragraphs present the Study's detailed conclusions on the subject of appropriate objective tests of ordinary trading.

(1) Quantity limitations. The quantity limitations of Rule 154[37/] have been a frequent target of criticism. Some who were consulted by the Study took the position that these limitations are far too generous and permit major dispositions of securities to be made to the investing public with essentially no disclosure. At the opposite end of the spectrum, the view was expressed that there should be no quantity limitations whatever. Still others believed that, for "seasoned" corporations which had been reporting on their affairs to the Commission for a period of years and which met

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36/ See pp. 244-5, infra.

37/ Specifically, "a sale or series of sales of securities which, together with all other sales of securities of the same class by or on behalf of the same person within the preceding 6 months will not exceed approximately 1% of the outstanding shares or units of the security in the case of a security which is traded only otherwise than on a securities exchange and, with respect to a security which is admitted to trading on a securities exchange, the lesser of either 1% of the outstanding securities of the class or the aggregate reported volume of trading during any one week within the preceding 4 calendar weeks." Securities Act Release No. 3525 (December 12, 1954).

certain additional "quality" criteria, the quantity limitation should be increased but not eliminated.

The Study does not believe that, for the present at least, a test based solely upon the absence either of unusual brokerage commission charges or direct solicitation of public customers, with no quantity limitation, could be recommended. During the active market of the last few years, an enormous public appetite has developed from time to time for certain stocks. In such periods, a large percentage of the outstanding stock of a company might easily have been disposed of without selling effort.[38/] An appropriate quantity limitation will tend, at least, to diminish the temptation to stimulate the public's appetite in advance of sale which may otherwise exist on the part of those who wish to dispose of a sizable percentage of a company's outstanding stock. For quantities in excess of the limitations, the requirement of registration will cause the available factual information about the company to be weighed and measured with care.

Assuming that some quantity limitations should be retained, should those now contained in Rule 154 be used? The

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38/ For an earlier example of such a situation, see Ira Haupt & Company, 23 SEC 589 (1946). During a period of less than six months, the brokerage firm was able to sell 93,000 shares of the stock of Park & Tilford, Inc. (constituting approximately 38% of the then outstanding common stock) on behalf of the controlling interests of that company. Some solicitation of customers' orders apparently did occur, but only about 4,000 shares were involved.

Study has not been persuaded either by those who should reduce the present limitations or by those who would increase them. Sizable dollar amounts of securities can be sold without registration under the present limitations.[39/] However, the Study does not consider a quantity limitation based on dollars to be either logical or feasible.

Rule 154 uses the dual test of trading volume and percentage of outstanding shares to measure the quantity of listed securities which may be sold. In periods of heavy volume, the share percentage test would fix the maximum. The Study became interested in determining whether or not the share percentage test was reasonably related to average weekly trading volume. An inquiry (make with the aid of the Commission's computer) disclosed that it was. A total of 2,242 issues of common stock listed on the New York and American Stock Exchanges were studied for the period October 1, 1967 – March 31, 1968 to determine how frequently the share percentage test, as opposed to the trading volume test,[40/] controlled the maximum quantity of shares which could be sold. The results, averaged

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39/ For example, common shares of a well-known listed corporation (with approximately 45 million shares outstanding) valued at over 21 million dollars could have been sold under the existing limitations by a controlling person of that corporation at almost any time during the spring of 1968.

40/ Only the trading volume on the principal exchange on which the security was listed was used.

for all issues, showed that the trading volume test controlled the quantity 48.6% of the time, whereas the share percentage test controlled the quantity 51.4% of the time. Clearly, under today's conditions at least, a rough but reasonable relationship exists between the two tests, and application of the share percentage test to over-the-counter securities, which is a practical necessity since trading volume figures are as yet not available[41/], results in no obvious discrimination between the markets.

Under Rule 154, the quantity which may be sold, measured by the share percentage test, is reduced by the amount of securities sold within the last six months. The Study sees no compelling reason for this reduction, insofar as prior private placements are concerned, and the test in Rule 162 has been modified accordingly. Prior public offerings may stand on a somewhat different footing. Solicitation of buyers is likely to have been widespread during such offerings, and to permit additional quantities to be sold under Rule 162 in close conjunction with such offerings might conflict with the limitations of the rule.

41/ The Study is hopeful that when the NASDAQ system developed by the NASD is put into operation, it may be possible to employ a trading volume test as the primary quantity limitation applicable to sales of over-the-counter securities as well as listed securities.

A logical case can be made for separating reporting companies into various categories, depending on size, stability, earnings record, character of market, etc., and applying a different quantity limitation to each category. This subject was carefully considered by the Study, and it was ultimately determined that advantages of such a system were outbalanced by its inherent complexity. The principle of Occam's razor which counsels against the multiplication of categories is not to be forgotten in administrative rule-making. A single, broadly applicable quantity limitation represents a compromise, but it is a compromise necessary, for the present at least, to make the proposed rules administratively workable.

Finally, it was strongly suggested to the Study that the share percentage test should apply only to the floating supply of stock in the market. Several methods for determining an approximate figure for the floating supply were suggested, including subtraction of the securities owned by all officers and directors from securities outstanding. Such subtraction would be done at least once a year. The Study considered this suggestion carefully and determined not to recommend it. The processes of calculation would be complex, and could possibly result in inaccurate data.

(2) Who is a "person?" Rule 154 permits a limited quantity of securities to be sold "on behalf of the same person."

Under existing interpretations, “person” may mean “group”. The Commission had indicated that all sales by members of “a group of closely related persons” are deemed to be sales by any one member of the group.[42/] The relationship is not limited to ties of blood or family connection. The uncertainties created by this interpretation led to its reexamination by the Study. It is the Study’s recommendation (embodied in Rule 162) that only those members of a carefully defined family group be considered together for purposes of the quantity limitation.

(3) Sales in successive periods. Uncertainty has also arisen under Rule 154 as to whether or not the permitted quantity of securities can be sold on behalf of the same person in successive six-month periods. In 1966, the Commission announced that if any plan exists to effect such sales, they would be deemed to constitute a distribution not exempted by the rule.[43/] The Study reexamined this limitation (which is of uncertain application in many instances) and decided to recommend that it be dropped. Other limitations of greater functional importance (such as the requirement that the issuer be a reporting company) will govern the public sale of unregistered securities under Rule 162.

42/ Securities Act Release No. 4818 (January 20, 1966).

43/ Id.

(4) Restrictions on solicitation. Rule 154 prohibits all solicitation of buy orders by the broker excepting only that the broker may make inquiry of other dealers who have recently appeared in the "sheets." The Study believes that brokers should also be permitted to address inquiries regarding the security to be sold, whether listed or unlisted, to any other bona-fide broker-dealer. Rule 162 so provides.

(5) Appearance of broker in the "sheets". Rule 154 is presently interpreted to forbid a broker handling an order to remain in the "sheets."[44/] The Study has included a provision in Rule 162 which would permit a broker, if he is a bona fide market maker, to remain in the sheets while executing a transaction permitted by the rule.

(6) Limitations on the commission charge. Rule 154 is not available if the broker receives more than "the usual or customary brokerage commission." This test is obscure, particularly as applied to the over-the-counter market. Rule 162 specifies the commission limits by reference to the minimum commission required by the exchange on which the security is listed and, for over-the-counter securities, by reference to the applicable minimum New York Stock Exchange commission.

44/ Id.

The Study conducted an informal survey of broker-dealer firms in various parts of the country, both members and non-members of the principal stock exchanges, to determine what commissions were charged by them in brokerage transactions relating to unlisted securities. The response was that the charge did not exceed the New York Stock Exchange commission, except on rare occasions when a small odd lot was involved—an unlikely event when dealing with control or privately-placed securities. In large transactions, the Study was advised that the commission charge was frequently substantially below the required minimum for a listed security.

It should be noted, of course, that if a broker has an unsolicited customer for the other side of a Rule 162 transaction, it can effect a cross and charge both seller and buyer a commission. ¶The Study reviewed the question whether the exception to "distribution" in Rule 162 should include appropriately limited principal transactions in over-the-counter securities. This would introduce a desirable flexibility if it could be accomplished without detriment to the restriction on selling compensation. To this end, it might be possible to formulate a requirement that the price paid by the dealer to his customer could be no less than a defined inter-dealer bid, minus the minimum commission applicable to the sale of a like amount of securities on the New York Stock Exchange. It may be easier to achieve such a formulation after the NASDAQ system of the NASD goes on stream. Today, the spreads between wholesale bid and ask prices of some over-the-counter securities are large, and neither the lowest nor the highest independent bid seems to the Study to present a workable standard. Accordingly, until the question has been examined further, it is recommended that the exception for distribution remain limited to agency transactions. This also avoids any lack of coordination between Rule 162 and revised Rule 154 (described at pp. 220-26). A careful broker who is misled by his principal into believing that no distribution is in progress even though the principal is, in fact, engaged in a distribution, can be given protection by a rule under Section 4(4) only if the transaction is an agency transaction.

* * * * *

If the new definition of "distribution" is to be workable both for sales on behalf of controlling persons and sales of privately placed securities, one problem must be solved. The use of ostensible private purchasers as conduits for the sale of securities to the public without registration must be prevented. To solve this problem, a short, mandatory holding period is essential, during which the private purchaser is at risk.[45/] All who consulted

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45/ A controlling stockholder who acquired his shares in the trading market is not subject to any holding period.

with the Study on this matter recognized the need for such a holding period, but views as to its appropriate length differed appreciably. Some favored a period of six months. Others strongly believe that the period should be two years. The Study recommends (and has embodied in Rule 162) a period of one year. Such a period should be sufficient for the purpose. During the holding period, a private purchaser may not resell publicly without registration, unless exemption under Regulation A (or any other provision of Section 3) is available. He can, of course, always sell in transactions which are not public offerings, provided such resales are not of such a character as to make the initial sale a public offering.[46/]

If the quantity limitation is to be meaningful, a similar holding period must apply to the purchaser in a private resale. If it were otherwise, for example, a holder of 5% of the outstanding stock of a company, restricted as to his own sales to 1% in each six month period, could dispose of his entire block simply by selling it to five intermediaries each of whom would immediately be in a position to resell all of his shares to the public.

However, on some occasions, such as transfers involving pledges and gifts, those resulting from death and those resulting from the distribution to beneficiaries on termination of a bona fide trust, a transferee should be permitted to avail himself of the

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46/ As to the effect of resales of this character, see Gilligan, Will & Co. v. S. E. C. 267 F 2d 461, (2d Cir., 1959) cert. den. 361 U.S. 896.

period during which his transferor held the securities. On other occasions (such as the combination of two bona fide going businesses at the conversion of privately placed convertible securities) where outstanding securities are surrendered in exchange for newly issued securities, a holder of the newly issued securities should be permitted, in the Study's judgment, to make use of the period during which he held the surrendered securities. These special aspects of the holding period requirement are illustrated in the next section of this chapter.

A holding period would be of little effect if a private purchaser could acquired successive blocks of securities at short intervals and intermix such purchases with sales of blocks which had been held for one year. To the limited extent necessary to prevent such a "rolling distribution," a clear and precise provision embodying the concept of fungibility is needed. That provision, found in Rule 162(b), requires that during the applicable holding period, the holder shall not have purchased any additional restricted securities of the same issuer. Purchases of securities of the same class in the open market, and sales, either of restricted or unrestricted securities, should not affect the period of holding. Although serving a necessary purpose, the provision in question can give rise to substantial complexity and possible hardship when applied in the context of an unregistered, qualified stock option program. The employee granted an option or options by his company may be hard pressed to develop an effective plan to meet both IRS and SEC requirements. Issuers do not seek capital through the exercise of such stock options. Therefore, an exception to the limited fungibility provision appears to be justified for securities privately purchased through the exercise of qualified or restricted stock options. Under Rule 162(c), exercise of such an option will not affect the holding period of shares previously purchased in connection with an option exercise.

(iii) “Restricted security” (Rule 161).

It will be recalled that, under the proposed rules, a person who makes a “distribution” of “restricted securities” is deemed to be an “underwriter.” If a sale is made which clearly comes within the definition of “distribution” but the securities involved are not “restricted securities,” the seller is not an underwriter. Nor is a seller of “restricted securities” an “underwriter” if he stays within the scope of the exceptions to the definition of “distribution.”

The term “restricted security,” defined in Rule 161, means any security acquired directly or indirectly from its issuer, or from any person in a control relationship with its issuer, in a transaction or chain of transactions none of which was a public offering or public disposition.

Thus, when shares purchased privately are disposed of privately, they remain "restricted securities." Once sold in a public offering, however, they cease to be "restricted securities."

As mentioned previously (at pp. 188-9), the Study reached the conclusion that restrictions could not be applied for an indefinite time to the resale of outstanding securities. Accordingly, under Rule 161, "restricted securities" automatically lose that status after a fixed period of years. There is one qualification, however: in order to prevent circumvention of the rule through the employment of shell corporations, it is essential to provide a means of assurance that the issuer of the securities has been an active, going business during the five year period. The test for this purpose recommended by the Study (and embodied in Rule 161) would require annual gross revenues of at least $250,000 from the conduct of business in the ordinary course during the last 4 of the 5 years.

(iv) Persons deemed to be "underwriters" (Rule 163).

It is the purpose of this rule to remove the emphasis heretofore given to the phrase ". . . has purchased from an issuer with a view to . . ." in Section 2(11) of the '33 Act.

As a substitute for the old emphasis, the rule incorporates a precise definition of the phrases (disjunctively connected to the above-quoted phrase):

> . . . or offers or sells for an issuer in connection with, the distribution of any security, or participates or has a direct or indirect participation in any such undertaking, or participates or has a participation in the direct or indirect underwriting of any such undertaking;. . .

The foregoing phrases are defined together by Rule 163 to include any person who disposes of a "restricted security" in a "distribution."

Such a person is an underwriter within the meaning of Section 2(11). Of course, the investment banking firm which performs a classic underwriting function in the distribution of securities for an issuer or controlling person is also an underwriter under that section. The definition in Rule 163 (as the language of the rule makes clear) is not exclusive.

The test of Rule 163 is an objective one. Its components, "restricted security" and "distribution" have been defined by other rules. It will not be necessary to prove that a person lacked investment intent in order to find that he is an underwriter of securities if it can be shown that he has disposed of restricted securities in a distribution. Conversely, proof of the purity of one's intent will no longer be crucial to establishment of a claim for exemption. A person holding securities originally sold by the issuer or a controlling person in a non-public offering need only show (1) that his sales, whenever occurring, did not amount to "distributions" or (2) that the securities he sold, at the time of sale, were no longer restricted.

Under Rule 163, an effort has been made to relate the test for determining who is an underwriter to the needs of public investors. A holder of restricted securities would no longer be permitted to sell them, irrespective of the manner of sale, the quantity sold, or the availability of information concerning the issuer, on the basis of a claim that he has had a "change of circumstances."

On the other hand, one who invests in privately placed securities will know in advance what he can and cannot do with his investment. His ability to resell publicly without registration will depend on the availability of information concerning the issuer in the Commission's public files, and not on some fortuitous change in his own fortunes.

(v) The effect of transactions not constituting "distributions" under Rule 162 on applicability of the exemption provided by Section 4(2) (Rule 180).

Availability of the exemption of Section 4(2) to an issuer of securities is not determined solely by the character and extent of the initial private group of offerees. The transaction may “involve” a public offering as a result of resales made by those offerees.[47/] Rule 180 is designed to prevent loss of the exemption from occurring as the result of any public resale transactions which are excepted from the definition of “distribution” by the provisions of Rule 162(b)(1)(2) and (3).

(vi) The qualified list (Rule 164).

The new definition of “distribution” distinguishes between issuers which have filed an informative registration statement with the Commission and are submitting timely and significant reports under the ’34 Act from other issuers of securities.

How is such a separation to be accomplished from a practical standpoint? It is proposed that a list be maintained at the Commission’s headquarters and at its principal regional offices to be known as the “Rule 164 Qualified List.” This list would contain the names of all issuers whose securities may be publicly sold without registration in transactions not constituting “distributions” under Rule 162. If deemed desirable, the list could be published and kept up-to-date by frequent published supplements. As recently as two years ago, a sizeable clerical force would have been necessary to maintain an accurate list of the kind

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47/ Victor and [illegible], Private Offering: Hazards for the Unwary, 45 Va. L. Rev. 869, 871, 879 (1959); Loomis, Enforcement Problems under the Federal Securities Laws, 14 Bus. Law. 665, 669 (1959).

referred to in Rule 164. Today, with the aid of the Commission's Electronic Data Processing Division, it can be accomplished with relative ease.

Another possible method, perhaps administratively easier, would be to maintain a list of those issuers, otherwise obligated to file reports on the appropriate forms, which had been disqualified for delinquency or other reasons specified in Rule 164.

The central policy embodied in the proposed rules is that public resales without registration under the '33 Act should be confined to the securities of those companies which are filing information with the Commission adequate to keep the trading markets reasonably well informed, and immediately available to all interested investors and their advisers through the Commission's microfiche system.

Adequate information is supplied annually by the following categories of companies whose securities are not exempt from registration:

> (1) domestic corporations (other than public utility holding companies, certain public utilities and investment companies) with a class of securities listed on a national securities exchange or registered under Section 12(g) of the '34 Act, or subject to Section 15(d) of the '34 Act, which are required to file annual reports on Form 10-K;

(2) North American and Cuban issuers with a class of securities listed on a national securities exchange—the only foreign issuers required to file annual reports with the Commission on Form 10-K.

(3) Public utility holding companies required to file annual reports with the Commission on Form U5-S.

(4) Public utilities regulated by the Federal Power Commission or the Federal Communications Commission, which may file annual reports with the SEC either on Form 10-K or 12-K.[48/]

(5) Investment companies which are required under the '40 Act to file annual reports with the Commission on Form N-1R and to send certain designated reports to their shareholders.

All of the foregoing categories of companies are required to file quarterly reports on Form 7-Q, 10-Q or N1-Q. (Form 7-Q and 10-Q are proposed by the Study Group in Chapter X to supercede Forms 7-K, 8-K and 9-K).

48/ As indicated in Chapter X, the Study suggests a review of Form 12-K to determine whether certain additional information, not now provided by that form, would be of significance to investors.

Requirements consistent with the foregoing are contained in Rule 164(b).[49/] Subject to those requirements, an issuer will automatically be placed on the list—

(1) If it has effectively registered a class of securities on a national securities exchange pursuant to Section 12(b) of the '34 Act, or

(2) If it has become subject to the requirements of Section 15(d) of the '34 Act by virtue of having filed a registration statement under the '33 Act which has become effective.

In both of the foregoing instances, it can be reasonaly [sic] be assumed that the registration statement filed with the Commission has been circulated to interested persons.

In the case of an issuer which, by virtue of acquiring over 500 shareholders of record and over $1,000,000 in assets, is required to file a registration statement under Section 12(g) of the '34 Act, there is less assurance that the information in the registration statement will be disseminated with reasonable dispatch. Moreover, a registration statement under Section 12(g) may well become effective (since the process is automatic under

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49/ Included in the Rule 164 Qualified List would be companies otherwise required to file interim financial information on Form 10-Q but specifically exempted from that obligation by Rules 13a-11 and 15d-11, as proposed to be amended. See pp. 361-3, infra., and Appendices X-5 and X-6.

the statute) before any response has been received to the staff's comments on the disclosures in the registration statement. For these reasons, the effective date of the registration statement is not a propitious time for relaxation of the restrictions on public sale of the issuer's securities effected on behalf of controlling persons or by persons who acquired their securities in private placements. Rule 164 therefore provides for a delay of six months (or such shorter time as the Commission may deem appropriate) after the effective date before such sales may occur. It can be anticipated that the Commission will shorten this period in appropriate cases.

A procedure is provided in Rule 164 which enables the Commission to take action to keep from or to remove from the list the name of any issuer where the circumstances are such that full disclosure concerning the issuer is not available to public investors. The procedure contemplates an opportunity for hearing on the part of any such issuer.

Insurance companies present a special issue. Such companies have a conditional exemption from the registration requirements of Section 12(g) of the '34 Act, provided the following conditions specified in Section 12(g)(2)(G) are met:

> (1) The company is required to and does file an annual statement with the appropriate authority (typically the Insurance Commissioner) of its domiciliary state which conforms to

the standards of the National Association of Insurance Commissioners ("NAIC") or, in the judgment of the proper state official, substantially conforms thereto. (NAIC has prescribed an annual form for the reporting of detailed financial data by all insurance companies, frequently referred to as the "convention statement." Early in 1964, and prior to adoption of the Securities Acts Amendments of that year, NAIC also developed and prescribed an annual "Stockholder Information Supplement" to be filed by all domestic stock companies with 100 or more stockholders. The supplement elicits certain information about management and about the shareholdings and share transactions of officers, directors and 10% stockholders. The Study understands that regulations requiring the filing of these forms have been adopted by all states and the District of Columbia.)

(2) The company is subject to proxy regulation by its domiciliary state conforming to that prescribed by NAIC. (Soon after adoption of the '64 amendments, NAIC prescribed proposed proxy regulations for all domestic stock insurers having over 100 stockholders. It is understood by the Study that such regulations have been adopted in all states and the District of Columbia.)

(3) Short swing trading by officers, directors and 10% stockholders is subject to reporting and profit recovery regulation "substantially in the manner" provided in Section 16

of the ’34 Act. (NAIC developed a model “insider trading” statute, and it is understood by the Study that all states and the District of Columbia have adopted such legislation.)

State requirements as to insider trading are expressly inapplicable in the case of insurance companies which have registered a class of securities under Section 12 of the ’34 Act. State requirements as to proxy regulation are inapplicable to insurance companies which comply with the Commission’s proxy rules. There are at present 11 insurance companies with a class of securities registered under Section 12(b) of the ’34 Act. In addition, 25 insurance companies have registered a class of securities under Section 12(g) of that Act, although not required to do so. These 36 companies are subject in all respects to the reporting, proxy and insider trading requirements of the ’34 Act. Approximately 227 additional insurance companies are subject to the annual and periodic reporting requirements (but not the proxy rules or insider trading provisions) of the ’34 Act under Section 15(d) of that Act, by virtue of a prior registration of securities under the ’33 Act.

No accurate figures are available as to the number of publicly-held insurance companies which have obtained exemption from Section 12(g) pursuant to Section 12(g)(2)(G). Based on data furnished to the Study by the NASD, an examination of quotations furnished by the National Quotation Bureau, Inc., and information derived from Best’s and Moody’s, the Study estimates that there are at least 465 insurance companies with over 100 stockholders and at least 120 insurance companies with over 500 shareholders which are not subject to either the reporting or proxy requirements of the '34 Act.

The issue as to whether these insurance companies should be placed on the Rule 164 Qualified List involves a number of important factors, among which are the following.

(1) The annual financial information filed by such companies with state authorities (the convention statement) was designed for regulatory purposes and not for the information of investors. It is complex and detailed, and its interpretation requires the skills of a specialized financial analyst.

(2) Although financial statements are required to be sent to shareholders preceding a company's annual meeting, they are designated only by name and (to the Study's knowledge) there are no explicit requirements as to their content.

(3) The annual reporting requirements applicable to such companies do not cover matters of the type proposed to be included in the amended Form 10-K, such as developments and changes in business and types of risks insured.

(4) No interim reports of events of substantial significance to investors (such as are contemplated by present Form 8-K and proposed Form 10-Q) are required to be filed.

(5) No mechanism similar to the microfiche system presently in operation at the Commission's Washington office

(see Chapter IX) is available or in prospect for the ready dissemination to interested persons throughout the country of reports and other information filed with state insurance commissioners.

A further issue is involved which cuts across the insurance company field. Is it feasible and desirable from the standpoint of informing investors for insurance companies to file interim, condensed financial information? All insurance companies required to file reports with the Commission are presently exempt from filing semi-annual financial reports on Form 9-K under Rules 13a-13 and 15d-13. A few states (California, for example) require quarterly financial reports from a broad range of insurance companies subject to their jurisdiction. Others may require such reports from particular companies during a "seasoning" period.

The foregoing factors should be carefully weighed and considered before any change is made in the standards suggested for the Rule 164 Qualified List. The Commission should obtain more complete data concerning the policies of the state insurance commissioners and the practices of unregistered insurance companies in which there is substantial investor interest. Various matters deserve to be more carefully examined, including (1) the practicability of periodic reporting which would more closely approximate that proposed by the Study (in Chapter X), for those insurance companies wishing to be placed on the List; (2) the possibility of a procedure whereby duplicates of documents filed with state authorities would be made available for purposes of the Commission's microfiche system; and (3) the quality of the disclosures in annual and interim reports sent to the shareholders of insurance companies.

There remains the question whether insurance companies (other than title insurance companies) which are required to file reports with the Commission should continue to have the benefit of an exemption from the filing of any interim financial information. The Study recommends that this exemption be retained temporarily while the feasibility and usefulness of condensed interim financial reporting by insurance companies is explored. See text at note 9, p. 362, infra.

(vii) Expanded availability of Regulation A.

Is Regulation A in conflict with the policy of the new rules? It would provide a limited outlet for the public sale of securities of non-reporting companies, unless its present availability were to be significantly curtailed. The Study does not recommend this. There are countervailing considerations. Regulation A does provide disclosures appropriate to the modest size of the offerings permitted thereunder. The Study sees no reason why it should not be made somewhat more widely available.

Today, use of Regulation A up to the $300,000 limit by the issuer automatically precludes its use for another year by any control person or holder of privately placed securities. If three individuals have sold a total of $300,000 worth of securities under Regulation A, the issuer is barred from its use for another year. The Study proposes to change this feature of the Regulation. Any person holding restricted securities which have been outstanding for over one year and who, if he is a control person, has been such for over one year, should be able to sell up to $100,000 of securities in any one year, irrespective of the use made of the Regulation at any time by the issuer or any other person. Details of this proposal will be found in Chapter VIII.

With the expansion of Regulation A, a combination of outlets will be available to the controlling person or holder of the privately placed securities of a non-reporting company. He can resell in a private transaction which does not violate Ralston Purina standards. Under appropriate circumstances, the exemption provided by Section 3(a)(11) may be available to him.[50/]

50/ It is recognized that this exemption is not always available and, where available, may be difficult to rely upon. See Loomis, Enforcement Problems Under the Federal Securities Laws, 14 Bus. Law. 665, 670-671 (1959); Mulford, Private Placements and Intrastate Offerings of Securities, 13 Bus. Law. 297 (1958). If available, the exemption permits public sales of securities without disclosure, except as the states may act. For example, the California Corporate Securities Law of 1968 authorizes the California Commissioner to establish prospectus requirements for securities not registered under either the ’33 Act or ’34 Act (Section 25148) and provides for limited continuing disclosures to be required in such cases (Section 25146).

He may be in a position to utilize Regulation A, without regard to what others have done. Finally, if these outlets are insufficient for his purposes, he may be able to obtain '33 Act registration either (1) through his position as a controlling person, or (2) through appropriate contractual arrangements with the issuer, if he is a supplier of private capital.

(viii) Proposed rules to take effect prospectively.

Substantial amounts of securities have been sold and are now held in reliance on existing interpretations associated with the private offering exemption. The Study recognizes that it would be extremely difficult to apply the new rules to such securities held by non-controlling persons. Prospective application of the new rules would mean, of course, that for a short period after their adoption, the old interpretations would continue to govern the resale of certain outstanding securities. There is no reason, however, why holders of such outstanding securities could not rely on the new rules if it would be beneficial from their standpoint to do so. After two or three years, for all practical purposes, only the new rules would be effective.

A different set of considerations applies to outstanding securities held by controlling persons. The proposed revised Rule 154 (see pp. 220-5, infra.) has no application to the securities of non-reporting companies. It is manifestly impracticable to have two versions of Rule 154 in effect simultaneously, one applying to securities outstanding before the new rules are adopted, and one applying to securities acquired by controlling persons subsequent thereto. Moreover, such a situation, extending into the future for an indeterminate period, would be contrary to the fundamental policy intended to be implemented by the new rules.

Accordingly, the Study recommends that the new rules apply to all resales on behalf of controlling persons, regardless of the date of acquisition by the seller of the securities so sold. The hardship involved is believed to be minimal.

(ix) The inclusion of a "preliminary note" to the proposed rules.

As mentioned previously (at pp. 182-3) it is suggested that the proposed rules (with the exception of the amended Rule 154) be grouped together in a separate article of the General Rules and Regulations adopted under the '33 Act. Article 5 has been used for this purpose in the drafting process.

At the outset of the new Article 5, the Study proposes to include a somewhat expanded preliminary note to explain the scope and purposes of the rules contained in the Article. Certain of the

Commission's rules are presently accompanied by explanatory notes (for example, the Note to Rule 460 under the '33 Act, the introductory Note to Schedule 14A of the Proxy Rules and the Note to Rule 14a-6). This procedure seems particularly appropriate where rules are necessarily lengthy and complex.

The preliminary note to the new rules accomplishes one additional objective. From the onset of its work, the Study has been impressed by the value and effectiveness, in policing an offering made in reliance on the exemption in Section 4(2) of the '33 Act, of a protective legend on certificates evidencing the privately placed securities. Unfortunately, the Study was unable to find a practicable way to require such a legend as a condition of exemption.

Without a conspicuous legend on the certificates, the issuer may be unable to stop transfers of privately placed securities which would destroy the private character of an offering. With such a legend, it can do so and for practical purposes protect the availability of the exemption.[51/] The use of the legend has recently been referred to by a leading commentator as "an almost

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51/ Israels, Stop Transfer Procedures and The Securities Act of 1933 – Addendum to Uniform Commercial Code – Article 8, 17 Rutgers L. Rev. 158, reprinted in Selected Articles on Federal Securities Law, 231, 238-240 (American Bar Assn., 1968).

standard pattern of corporate practice."[52/] In the Study's judgment, the Commission should consider the presence or absence of an appropriate legend on certificates evidencing restricted securities a significant indication as to whether or not the circumstances surrounding an offering are consistent with exemption under Section 4(2).

For these reasons, the Study included a paragraph in the preliminary note to Article 5 (1) referring specifically to the necessity for careful precautions on the part of an issuer to see to it that premature resales do not destroy an exemption, and (2) referring to the importance placed by the Commission on the use of an appropriate legend.

(b) Amendment of Rule 154 to modify the definition of "brokers' transactions" in Section 4(4).

A review of the limited legislative history of Section 4(4) indicates that Congress may well have contemplated the applicability of that exemption only in those limited circumstances (essentially three in number) when (1) the "dealer's exemption" provided by Section 4(3), usually relied upon by broker-dealers in their

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52/ Israels, Addendum, 23 Bus. Law. 865 (1968). See also Jennings and Marsh, Securities Regulation, Cases and Materials, 394 (1968); Sommer, Mergers, Consolidations, Sales of Assets—Rule 133, 16 West. Res. L. Rev. 11, 40 (1964) recommends use of a legend on certificates issued to the controlling persons of the acquired company in Rule 133 transactions.

everyday transactions, is not available, and (2) it would constitute a hardship to prevent an owner of securities who is neither an underwriter nor a dealer from disposing of such securities with the assistance of his broker. Under these circumstances, a special exemption is necessary to protect the broker; it is not needed to protect the broker's principal, who obtains exemption under Section 4(1).

To illustrate the first of these three limited circumstances, assume that a corporation's first registration statement became effective two months ago and that the public offering was successfully completed. A, a customer of broker B, purchased some of the securities in the public offering and now wishes to resell them. In the meanwhile, a stop order has been entered by the Commission against further distribution of the securities. B cannot claim exemption under Section 4(3) and therefore cannot sell the securities for A unless he delivers a prospectus to buyers of the security. He is unable to do this because of the stop order. Unless special relief is provided, B will be prevented from acting as broker on behalf of A. It is only fair that relief be afforded; otherwise, the innocent customer would be unable to sell. On the other hand, the relief afforded should be limited. By hypothesis, other members of the public who will buy the securities will not receive a prospectus. It would be contrary to the purposes of the Act to permit the broker to solicit such buyers. Hence the express provisions against solicitation in Section 4(4).

The foregoing fact situation was selected by the House Committee on Banking and Currency to illustrate the operation of Section 4(4):

> This exemption also assures an open market for securities at all times, even though a stop order against further distribution of such securities may have been entered. Purchasers, provided they are not dealers, may thus, in the event that a stop order has been entered, cut their losses immediately, if there are losses, by disposing of securities. On the other hand, the entry of a stop order prevents any further distribution of the security.[53/]

A second situation in which Section 4(3) would not be available (by its own terms) to exempt a broker-dealer from the obligation to deliver a prospectus with each sale of securities, and yet the absence of an exemption might cause severe hardship to innocent customers, exists during the 90 days following commencement of a first registered public offering of those securities.[54/] If the customer bought securities in the offering which he wishes to resell and the broker cannot obtain a supply of prospectuses, the broker would be unable to act absent a special exemption. The third situation, similar to the second, exists during the first 40 days following an illegal public distribution of securities.

53/ H. R. Rep. No. 85, 73 Cong., 1st Sess., 16 (1933).

54/ A prospectus must also be delivered at the present time during the first 40 days following the commencement of any registered public offering. The Study proposes that the requirement be removed (see pp. 121-2).

The innocent purchaser of securities in such a distribution should be able to resell; he cannot do so with the aid of his broker unless the broker (who is denied the Section 4(3) exemption under these circumstances) can take advantage of a special exemption. Again, a special exemption for such a situation should be conditioned on no solicitation of buying customers. Section 4(4) so provides.

To repeat, it may not have been contemplated that the special exemption of Section 4(4) for brokers' transactions would be applicable otherwise than in the three situations described. Over the years, however, the scope of the exemption has been extended through a series of changing interpretations, culminating in the present Rule 154.[55/]

Is an appropriate extension of the scope of the Section 4(4) exemption justifiable?

The Study believes that it is, provided such extension is consistent with the basic policy of the Act to provide public investors with appropriate disclosure. The purpose of the extension should be to protect the careful broker from liability under proper circumstances.

55/ The detailed history of these changing interpretations is described by Professor Loss in 1 Securities Regulation 697-706, (2d Ed. 1961). In brief, the Commission at first permitted the exemption to apply to the sale of very sizable quantities of stock held by controlling persons, only to reach a completely contrary result and invalidate the theory on which its former interpretations were based in Ira Haupt & Company, 23 S.E.C. 589 (1946). The opinion in Ira Haupt left the impression that any sale of unregistered securities to the public on behalf of a controlling person might violate the Act. Great uncertainty ensued and there was a demand for clarification. After several proposals and a public hearing the Commission adopted the present version of Rule 154. Securities Act Release 3525 (December 22, 1954).

Under the present Rule 154, if the broker selling for the account of a controlling person is unaware of circumstances indicating that his principal is engaged in making a distribution, the broker escapes liability even though his principal may have violated the '33 Act.[56/] If, however, the broker sells securities for the account of a shareholder who is, in fact, an underwriter of the securities under Section 2(11), the broker, however innocent, is also an underwriter. No rule exists which grants the broker absolution in such a case. It is the Study's recommendation that Rule 154 be revised to protect a broker under both sets of circumstances if, after reasonable inquiry of his customer, he has no grounds for believing and does not believe that the customer's sale amounts to a "distribution" under Rule 162.

To illustrate, assume that A purchases a block of stock amounting to 5% of the outstanding shares from reporting company C in a non-public transaction. One year later he determines to sell the entire block without seeking registration of the shares. He goes to several brokers for this purpose, falsely representing to each of them that he has sold no other shares of C during the past six months. Broker B, having made appropriate inquiry and having no reason to believe that A is in fact engaged in a distribution,

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56/ U. S. v. Wolfson, C.C.H. Fed. Sec. L. Rep. (current) para. 92, 328 (C.A.2, December 27, 1968).

sells on his behalf a quantity of shares well within the Rule 162 standards. Today, B would be an underwriter.[57/] The recommended revision of Rule 154 would provide B with an exemption. On the other hand, the revised Rule 154 would limit the exemption to those cases where the securities being sold to the public without registration are those of reporting companies. Rule 154 is not so limited today. This feature of the present rule is inconsistent with a sound disclosure policy. If the scope of the Section 4(4) exemption is to be extended by interpretation beyond the three situations described above in which there is clear need for a special exemption for brokers' transactions in addition to the dealers' exemption, that extension should not be so broad as to conflict with the interests of public investors.

The Commission has indicated that a broker handling a sale under Rule 154 is obligated to make inquiry into the facts surrounding the proposed sale in order to obtain reasonable assurance that the transaction comes within the scope of the rule.[58/] This

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57/ The Commission has expressly stated that neither Rule 154 not [sic] Section 4(4) can be relied upon by the broker under such circumstances. Securities Act Release No. 4818 (January 21, 1966).

58/ Id. In addition to such inquiry, a careful broker usually obtains a written representation from his customer (the controlling person, in the instance of the present Rule 154) certifying to the absence of any circumstances which might cause the exemption to be unavailable (such as any payments in excess of the brokerage commission, solicitation of orders in anticipation of the transaction, or sale or other securities of the same class which might cause the quantity limitation to be exceeded).

obligations is expressly included in the proposed amended rule. The proposed amended rule also makes clear that the exemption applies only to the broker's part of the transaction. (See Appendix VI-3 for the amended rule).

2. Practical consequences of the Study's proposals.

In the ensuing portion of this chapter, a number of typical practical situations are discussed and the effect of the proposed new rules is indicated. Illustrative examples are given where it appears that they may contribute to an understanding of the proposed new rules.

(a) Sales made on behalf of controlling persons (non-reporting company).

A person who sells securities for a controlling person becomes an "underwriter" if the sale amounts to a "distribution" (Section 2(11)). A private placement is not a distribution (Rule 162). Any sale to the public is a "distribution" except transactions in the securities of reporting companies which are effected within the limitations of Rule 162.[59]

Accordingly, a sale of securities on behalf of a controlling person of a non-reporting company may be made without registration of the securities—

59/ Hereafter the term "reporting company" refers to a company on the Rule 164 Qualified List. See pp. 206-15, *supra*.

(1) if the sale is a private placement, or

(2) if the sale is within the intrastate exemption of Section 3(a)(11), or

(3) if the sale is made in accordance with Regulation A or one of the other regulations adopted under the authority of Section 3(b).

Apart from (2) and (3) above, public sales of securities on behalf of controlling persons of non reporting companies may be made only after registration of the securities.

(b) <u>Sales made on behalf of controlling persons (reporting company)</u>

Securities held by a controlling person may be of two kinds: (1) securities acquired in a public distribution of its shares made by the issuer or another controlling person or in the trading markets, and (2) securities acquired directly or indirectly from the issuer or from another controlling person in a non-public transaction or chain of non-public transactions.

Securities in the former category are not within the definition of "restricted security." Only securities in the latter category come within that definition (Rule 161).

Sales of restricted securities of reporting companies are dealt with in (d) below; the same standards are applicable, whether or not the seller is a controlling person of the issuer.

Non-restricted securities may be sold on behalf of controlling persons of reporting companies, without registration—

(1) if the sale is a private placement, or

(2) if the sale is within the intrastate exemption of Section 3(a)(11), or

(3) if the sale is made in accordance with Regulation A or one of the other regulations adopted under Section 3(b), or

(4) if the sale meets the requirements of Rule 162(b). Rule 162(b) permits the sale of a limited quantity of securities during any one six-month period in brokerage transactions where no more than the minimum commission is charged.[60/]

Apart from (2), (3), and (4) above, public sales of non-restricted securities on behalf of controlling persons require registration.

(c) Sales by those who purchased privately (non-reporting company)

Under the proposed rules, a holder of "restricted securities" of a non-reporting company stand on much the same footing as a controlling person of such a company. Both may sell without registration only—

60/ The holding period requirement of Rule 162(b) is not applicable when the securities being sold are not "restricted securities."

(1) if the sale is a private placement, or

(2) if the sale is to the public and within the limitations of Section 3(a)(11), or

(3) if the sale is in accordance with Regulation A or any other applicable regulation adopted under Section 3(b).

Any resale of shares sold by an issuer in reliance upon the exemption from registration in Section 4(2) will, of course, be of concern to the issuer, since it may affect the availability of the exemption. Thus, in the Crowell-Collier case[61/] shortly after the purported private offering took place, certain of the original purchasers resold a part of their securities. No single resale involved a large number of purchasers, but the original and subsequent purchasers aggregated approximately 115 in number. It was held that a public offering had occurred in violation of Section 5 of the '33 Act. Under the proposed rules, issuers will still find it necessary to take appropriate steps to prevent such an occurrence.

(d) Sales by those who purchased privately (reporting company)

Except in one respect, controlling persons and holders of "restricted securities" of reporting companies are on much the

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61/ Crowell-Collier Publishing Co., Securities Act Release No. 5825 (August 12, 1957).

same footing. There is a difference between them only if the controlling person acquired his securities in a public offering or in the trading markets. In that case (as indicated in the discussion under (b) above and in footnote 45 on page 199) the securities are not "restricted securities" and the holding period requirement in Rule 162(b) does not apply.

If the securities are "restricted securities", the holding period required by Rule 162(b) applies whether or not the seller of the security is a controlling person.

Those who hold restricted securities of reporting companies may sell them without registration—

(1) in a private placement, or

(2) in transactions exempted by Section 3(a)(11), or

(3) in sales complying with Regulation A or any other applicable regulation adopted under Section 3(b), or

(4) after the necessary holding period, in ordinary brokerage transactions involving a limited quantity of securities in any one six month period (Rule 162(b) and (c)).[62/]

The discussion under (c) above regarding the precautions which must be taken by an issuer which relies on the exemption in

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62/ It should be noted that "restricted securities" acquired by an underwriter from an issuer or controlling person in connection with services rendered in a registered public offering are deemed to be integrated with the securities publicly offered and must be registered. Securities Act Release No. 4936, Guide 10 (December 9, 1968).

Section 4(2) is also germane here. However, resales in brokerage transactions within the limits of Rule 162(b) (1)(2) and (3) would have no effect upon the issuer's right to claim the exemption (Rule 180).

Under the new rules, there is no need for a "fungibility concept" as pervasive as that which now applies in the area of private offerings. If a person holds securities purchased in the trading markets and securities of the same issuer recently acquired in a private placement, he may resell the former at any time without affecting either the issuer's right to claim the exemption under Section 4(2) or the holding period for the private placement securities. The holding period would be compromised only if during that period he acquired other restricted securities of the same issuer (as outlined more fully on pp. 201-2).

The following examples will illustrate the foregoing aspects of the new rules:

Example one:

Reporting company A, with 4,000,000 shares of common stock outstanding (traded over-the-counter) issues 20,000 shares of its common stock to X and Y, two unrelated businessmen, each of whom take 10,000 shares (the "initial transaction"). X had never previously owned shares of A but Y, three months earlier, had purchased 5,000 shares in the market. Five months after the initial transaction, X purchases an additional 10,000 shares from A's president and controlling stockholder in a private placement. Seven months after the initial transaction, Y sells to a dealer the 5,000 shares he had acquired ten months earlier. Eleven months after the initial transaction, X acquires 5,000 shares of A in the market. One year after the initial transaction, X and Y decide to sell the shares they purchased in the initial transaction. Y may sell in brokerage transactions as contemplated by Rule 162(b)(3). He has satisfied the holding period requirement of Rule 162(b)(2) by holding his restricted securities for one year, during which he acquired no other restricted securities of A. His sale has no effect upon the ability of A to claim the exemption of Section 4(2) for the initial transaction.

X may not sell any of his shares to the public without registration of compliance with the provisions of Regulation A. His holding period for the 10,000 shares purchased in the initial transaction was interrupted by his purchase of additional restricted shares from A's president. One year after his last acquisition of restricted shares of A, he will be in a position to sell the shares he purchased in the initial transaction. His recent purchase of 5,000 shares of A in the market does not affect such holding period.

Example two:

Company A (in the last example) issues to X, a plant supervisor, a qualified stock option to purchase 2,000 of its common shares, exercisable in equal, cumulative installments during the last 4 years of its 5 year life.

There is no registration statement in effect as to the shares to be issued on exercise of the option. At the mid-point of the second year of the option, X exercises his right to purchase 500 shares. Immediately prior to the end of the fourth year of the option, X exercises as to an additional 500 shares. Shortly after the midpoint of the fifth year of the option, X decides to sell the first block of 500 shares, which he has now held for three years, in order to finance the exercise of the option on the last 1,000 shares.

X may sell the shares in brokerage transactions as contemplated by Rule 162(b)(3). Since the option is qualified, the necessary holding period under Rule 162(b)(2) is not interrupted by X's purchase of additional restricted shares of A on exercise of his option less than one year prior to the sale.

(e) Receipients [sic] of securities in business combinations where the acquired company is privately owned—herein of "contingent stock"

Assume that company X wishes to acquire company Y (a corporation with 10 shareholders) through a voluntary exchange of securities.[63/] The new shareholders of company X are in the same position and

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63/ It is the Study's recommendation in Chapter VII (Business Combinations) that the same principles should apply whether the acquisition is structured as a voluntary exchange of securities, as a statutory merger, or as a sale of assets followed by dissolution of the acquired company.

subject to the same restrains as other purchasers of X's stock in non-public transactions. See (c) and (d) above. The foregoing is, however, subject to two qualifications which are important where the acquiring company is a reporting company:

First qualification: Under Rule 162(c)(2) a special method (discussed in greater detail in Chapter VII at pp. 294-6) is provided for calculating the holding period for shares issued in business combinations. Briefly, if the acquired company satisfies the "going business" requirements of Rule 162(c)(2) each new shareholder may use, for a part or all of the required holding period, the length of time he has held the shares of the acquired company.

An example may be useful to illustrate the application of Rule 162(c)(2) to business combinations:

> Reporting company A issues a total of 100,000 shares of its common stock to the shareholders of company B in exchange for all of B's stock. B has ten shareholders, viz., its president, X, who owns 20% of B's stock, his wife (who owns 10%), a trust for his minor child (which owns 10%), the vice president, Y (no relation of X) who owns 40%, and 6 other employees, all unrelated to each other or to X or Y. B has been in operation for several years with gross sales during the past 12 months of approximately $300,000. Each of B's shareholders, except Z (who acquired 5% of B's stock six months ago), has held his shares of B for more than the past 12 months. None of B's shareholders have previously acquired any shares of A.

A has outstanding a total of 5,000,000 common shares and its shares are traded over-the-counter.

Each of B's shareholders, except Z, may (if permitted to do so under the contract of purchase and sale with A[64/]) resell all of the shares of A he has received in the exchange in ordinary brokerage transactions of the kind contemplated by Rule 162(b)(3).

Although the shares of A received by the shareholders of B were "restricted securities," the holding period required by Rule 162(c)(2) was satisfied (except in the case of Z) by the periods of time the shares of B had been held prior to the sale. Z will be able to sell his new shares of A in six months time by "tacking" that period to the period during which he previously held his B shares. The holdings of X, his wife, and the trust for his minor child must be considered together under Rule 162(a), but together they do not amount to 1% of the outstanding stock of A. Such holdings, if they were to be combined with the holdings of Y, would exceed 1% of the outstanding stock of A, but X and Y are unrelated and may act independently of each other.

64/ Under present standards, if A wishes to obtain pooling of interests accounting treatment for the acquisition of B, the principal stockholders of B will have to retain a major portion of their shares of A for a substantial period.

Second qualification: This qualification is found in the last paragraph of Rule 162(c)(1). To illustrate, assume that in the above example the contract provides that if, in the two years following the transfer of B's stock to A, the business of B achieves certain sales and profit levels, an additional contingent installment of 50,000 shares of A will be paid to the former shareholders of B in consideration of the original transfer to A of the B shares. The condition precedent to this payment is met. Accordingly, two years after the initial transaction, X (who has remained with B under an employment contract executed at the time of the sale) receives 10,000 shares of A. Three weeks later X decides to sell the 20,000 shares of A which he received at the time of the initial transaction together with the 10,000 he has just received. He may do so without registration in ordinary brokerage transactions (as contemplated by Rule 162(b)(3). The 10,000 contingent shares are deemed to have been "purchased" by him at the time of the initial transaction since no further money or property was paid or payable by him for such shares. (The rule makes it clear that the employment of X is not considered a payment for the contingent shares).

(f) Private placements of convertible securities.

Under present interpretations (1) privately placed immediately convertible securities can never be sold publicly without registration, and (2) upon conversion of such securities, whenever occurring, the conversion securities cannot be publicly sold unless it is demonstrated that they were acquired at the time of conversion with “investment intent”.

Rule 155, which establishes the foregoing principles, was deemed necessary by the Commission in 1962 to prevent the private placement of convertible senior securities from being employed as a device for the creation of interstate public markets in unregistered common stock. It could be rescinded, in the Study’s opinion, if the proposed new rules are adopted.

As applied to the private placement of convertible securities, the proposed new rules would operate as follows:

Privately placed convertible securities are restricted securities. If a holder of such securities should convert them, the conversion securities would likewise be restricted securities. Restricted securities can be sold only by the several methods outlined in (c) and (d) above. As indicated in (d) above, if the issuer is a reporting company, public sales of restricted securities can take place in ordinary brokerage transactions contemplated by Rule 162(b)(3) after a one-year holding period.

Is it necessary that a new holding period begin when conversion takes place?

A negative answer is given in Rule 162(c)(5) under which the holding period requirement is deemed satisfied if the time during which the seller owned the securities surrendered for conversion, combined with the time he has held the conversion securities, totals at least one year and the other requirements of Rule 162(c)(5) are met. An example may be helpful to illustrate the foregoing:

> Reporting company A (with 1,000,000 outstanding common shares traded over-the-counter) issues its convertible debentures (constituting a new class of securities) to seven persons. X, a purchaser who is unrelated to the others, holds his convertible debentures for one year and then coverts them into 10,000 shares of common stock. He can immediately sell the common stock in ordinary brokerage transactions of the kind contemplated by Rule 162(b)(3).

(g) <u>Transfers by gift, or death, or on termination of a bona fide trust</u>

Restricted securities transferred by reason of gift, death, or termination of a bona fide trust remain restricted securities. If the issuer is a reporting company, must the legatee, donee or beneficiary under such circumstances hold the securities for one year before he can sell within the limitations of Rule 162(b)(3)?

Rule 162(c)(3) provides that the legatee, donee or beneficiary can “tack” the period during which the decedent, donor or trustee owned the security; if that period is less than one year, the legatee, donee or beneficiary would have to hold for the balance of a one year period. No holding period at all is required if the decedent, donor or trustee was a controlling person of the issuer and the securities in question were not restricted securities in his hands.

(h) Pledges of securities.

The so-called Guild Films doctrine[65/] is currently applied by the Commission to the resale of pledged securities. It consists essentially of two propositions:

(1) A pledgee is considered to stand at least in part in the shoes of the pledgor, and to act at least in part for the pledgor when it sells the collateral;

(2) Accordingly, if the pledgor is a controlling person or a purchaser from the issuer in a private offering, the pledgee can sell the collateral without registration only if an exemption is available to the pledgor which would have permitted the pledgor to sell the same shares without registration.

This doctrine serves a purpose under present interpretations. It is unnecessary under the proposed new rules.

Prior to the advent of the Guild Films doctrine, it was generally believed that a sale of collateral deposited with a bona

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65/ S.E.C. v. Guild Films Co., Inc., 279 F. 2d 485 (2d Cir. 1960). Cert. denied 364 U.S. 819 (1960).

fide pledgee by a controlling person, or by a person who purchased the securities in a private offering, was exempt under Section 4(1) of the '33 Act, unless the pledgee itself controlled the issuer.[66/] The concept of bona fides was needed to prevent the pledge transaction from being used (as it was in the Guild Films case) as a mere device to secure the sale of the pledged shares, the pledgor and pledgee both anticipating that the pledgor would default on the loan.

Under the Guild Films doctrine, the bona fides of the pledgee are disregarded. The Study recommends that the concept of the bona fide pledge be revived. As Professor Loss has observed:

> The "good faith" test, properly circumscribed, would surely be adequate to take care of evasions like Guild Films or situations where the interest rate of the amount of collateral is so disproportionately high as to raise an inference that the pledgor or pledgee or both looked primarily toward ultimate distribution of the pledged security.[67/]

Rule 162(c)(4), which deals with the holding period in cases involving pledged securities, treats the bona fide pledgee in the same fashion as any other non-public purchaser of restricted securities, except that he is permitted to "tack" the holding period of the pledgor. If the pledged securities were not restricted

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66/ 1 Loss, Securities Regulation 645 (2d ed. 1961)

67/ Id. at 650.

securities in the hands of the pledgor (as would be true if the pledgor at the time the pledge was made was a controlling person of the issuer and the securities had been acquired by him in the open market), there is no holding period prior to the time the pledgee can sell. The securities transferred to the pledgee in either case, however, are restricted securities in the pledgee's hands, and cannot be sold in a "distribution" without first being registered under the '33 Act. Absent such registration, a pledgee holding restricted securities of a non-reporting company would be limited to the kinds of resale transactions referred to in (c) above. If the securities are those of a reporting company, the pledgee could, in addition, resell them in ordinary brokerage transactions of the kind contemplated by Rule 162(b)(3).

If a pledgee sells restricted securities in a non-public transaction, the purchaser of the securities is permitted under Rule 162(c)(4) to "tack" the holding period of the pledgee <u>and</u> the pledgor.

(i) <u>Securities acquired by reason of stock dividends, stock splits and recapitalizations.</u>

If a holder of restricted securities received a stock dividend on such securities, if such securities are split, or if such securities are changed or exchanged in a recapitalization, the resulting new shares are likewise restricted securities (Rule 161).

For purposes of the holding period requirement of Rule 162(b)(2), such securities are deemed to have been held for the same period of time and under the same circumstances as the split shares, the shares on which the dividend was paid, or the shares affected by the recapitalization (Rule 162(c)(1)).

<u>Example one:</u>

Reporting company A, with 1,000,000 outstanding common shares traded over-the-counter, sells 10,000 shares of its common stock to its vice president, X, in a non-public transaction. One year later (X not having purchased any other restricted securities of A in the meanwhile and having retained the 10,000 shares), a 25% stock dividend is paid by A on its outstanding common shares. X can immediately resell the 12,000 shares he then holds in ordinary brokerage transactions of the kind contemplated by Rule 162(b)(3).

<u>Example two:</u>

Reporting company A issues 10,000 shares of its 6% cumulative preferred stock, of which there are a total of 1,000,000 shares outstanding traded over-the-counter, to X in a private placement. One year later, pursuant to proceedings taken in accordance with the requirements of the law of the state of incorporation, all such shares are changed into shares of 7% non-cumulative preference stock, subordinated to a new class of cumulative preferred stock. X now wishes to sell his shares.

X can sell in brokerage transactions of the kind contemplated by Rule 162(b)(3). No new holding period began when the recapitalization took place.

(j) Non-reporting company becomes a reporting company.

A person who purchases securities of a non-reporting company in a private offering may, of course, be in a position to resell publicly within the limits of Rule 162(b)(3) as soon as the company registers with the Commission and thereby becomes a reporting company.

Example:

Company A, in order to raise initial equity capital, sells 100,000 shares of its stock to 15 persons. Two years later, having increased its business to the point where additional equity capital is needed, A sells 100,000 additional shares to the public through underwriters, having first registered the shares under the '33 Act. A is now obligated to file reports with the Commission by virtue of Section 15(d) of the '34 Act. X, who purchased 5,000 of the original 100,000 shares, can now sell up to 2,000 of his shares (or 1% of the total outstanding) through his broker in transactions which meet the tests of Rule 162(b)(3).

(k) Restricted securities cease to be restricted.

Under Rule 161, restricted securities cease to be restricted after a period of 5 years, if the issuer has met the gross revenues test designed to give assurance of an active, going business throughout the period.

Example:

Company A, in the previous example, does not require additional equity capital after the initial private offering and remains closely held. During the first year following the private offering, its gross sales amounted to $100,000 and, during the second year, to $150,000. In each subsequent year, gross sales have been in excess of $250,000. X, a purchaser in the original private offering, is free to sell his shares in any fashion he may choose after the end of the sixth year.

3. Some implications for the future of the proposed rules.

The proposed rules represent the Study's best judgment as to the appropriate next step to take in the evolution of disclosure policy. They move modestly in the direction of greater coordination of '34 Act disclosures with those of the '33 Act, and the recommendation of the Study is conditioned upon improvement in '34 Act reporting—the subject matter of Chapter X. It is possible that they go too far, and it is equally possible that they do not go far enough. Only a period of experience will tell. The rules provide a flexible framework for later modification. In time, the Commission may wish—

(1) to increase, or to decrease, the quantity limitation in Rule 162(b)(3) (presently set at 1% of outstanding securities in the case of over-the-counter securities, or the lesser of 1% of outstanding securities or weekly trading volume, in the case of listed securities);

(2) to reduce, or to increase, the time period (presently six months) during which not more than a specified quantity of securities may be sold in brokerage transactions on behalf of any one offeror; or

(3) to remove altogether the quantity limitation of Rule 162(b)(3) and rely solely upon restrictions which limit selling compensation and the solicitation of orders from buying customers.

The Study assumes that if the proposed rules are adopted the Commission will review their operation and reexamine their provisions at suitable intervals.

D. The concept of "control" under Section 2(11) of the '33 Act should exclude remote relationships. It would be consistent with good policy to clarify this point by rule and appropriate illustrations.

As indicated in the Introduction to this Chapter (at pp. 158-9) the Study considered with care the possibilities for lending greater precision to the concept of "control." An examination was made of informal rulings on the issue of control in the files of the Division of Corporation Finance. Although the immense variety of the problems presented makes it highly doubtful whether any precise series of pigeonholes can be developed to contain the "control" concept, a number of issues were raised in which the application of that concept appeared to the Study to be fanciful and unnecessary to a sound disclosure scheme. This observation gave rise to the drafting of a rule (proposed Rule 160, included in Appendix VI-1) providing that a person who possessed none of certain enumerated relationships with the issuer would not be deemed included within the concept.[68/]

Necessarily, the relationships enumerated are broad ones. They include: a director, an executive officer, an owner of securities possessing 10% or more of the voting power, a designated close relative of one or more of the foregoing, and a creditor who may, at his election, veto those changes in management or important corporate transactions to which he does not expressly consent.

A person whose relationship to a corporation is solely that of a non-executive officer would be outside the concept of

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68/ The rule might also be applicable in the context of the definition of "affiliate" in Rule 251 of Regulation A. There is some question as to whether it is either necessary or appropriate for such a rule to apply in other contexts of the '33 and '34 Acts.

"control" under the proposed rule. The same would be true of the nephew or aunt of the president, for example, or of a person who, although holding just under 10% of the voting power, was otherwise unrelated to the officers, directors of [sic] other shareholders of the company.

The Study was concerned that an inference could arise from such a rule that a person possessing one of the enumerated relationships was necessarily to be deemed in control. No such inference is intended. It appeared to the Study that it might be helpful to provide illustrations of situations involving one or more of the enumerated relationships where control was not deemed to exist. Five such illustrations are given in a note to the proposed rule.

CHAPTER VII.

BUSINESS COMBINATIONS

A. Introduction

B. Application of '33 Act requirements to offers of securities made in connection with business combinations involves both uncertainty and inconsistency. A solution is needed which would reduce the area of uncertainty and eliminate substantial distinctions from a '33 Act standpoint between different types of business combinations.

1. The protean history of the "no sale" concept as applied to business combinations.

   (a) The early position of the Federal Trade Commission.

   (b) The Merck decision.

   (c) The Note to Rule 5 of Form E-1.

   (d) The Leland Stanford case and its aftermath.

   (e) Rule 133.

   (f) When does Rule 133 apply?

2. Problems and inconsistencies created by Rule 133.

3. What is needed.

4. The alternative solutions.

C. Rule 133 should be replaced by application of the fundamental principal of the ’33 Act (disclosure appropriate under the circumstances) if practical problems inherent in the application of that principle to business combinations can be solved. The Study believes that this is possible.

1. What sort of a registration statement would be filed?

2. What would the prospectus consist of?

3. How would the registration statement be processed by the Commission’s staff and when would it be made effective?

4. When does the public offering of securities take place.

5. What restrictions would apply to the offering of securities?

6. How would the prospectus delivery requirements of Section 5(b)(2) be met?

7. What post-effective prospectus deliveries would be required?

8. Who are “underwriters” under the ’33 Act?

9. How can registration be accomplished in a consolidation?

10. When would registration be required in connection with reclassifications of securities?

11. What sale-of-assets transactions would not require registration?

D. A more definite guideline would be useful to assist the acquiring company in determining when an acquisition transaction does not involve a public offering.

E. A rule should be adopted governing the resale of shares issued to a non-public group of shareholders of an acquired company which would give recognition to the special characteristics of business combinations.

CHAPTER VII

BUSINESS COMBINATIONS

A. Introduction

Business combinations in which payment by the acquiring corporation is made in its own securities are effected in three standard ways: (1) a voluntary exchange of securities, (2) a statutory merger or consolidation, and (3) a sale of the assets of the acquired company in exchange for securities of the acquiring company, which are thereupon transferred to the seller's shareholders on its dissolution.

Where method (1) is used, an offer of securities of the acquiring corporation is made directly to the shareholders of the acquired corporation. In methods (2) and (3), the shareholders of the corporation to be acquired are asked to cast their individual votes for or against approval of the acquisition, or, in realistic terms, for or against a legal procedure by which their present shareholdings are exchanged for shares in another company.

Employment of method (1) subjects the transaction to the disclosure requirements of the '33 Act. Employment of methods (2) and (3) does not. The reason for this lies in the existence of a long-standing Commission rule (Rule 133) under which the submission of the acquisition transactions to the vote of shareholders is not deemed to involve a "sale" or "offer to sell" the shares of the acquiring company so far as those shareholders are concerned.

Rule 133 has led a controversial life.[1/] It seems clear to the Study that its theoretical basis—the notion that the change in the stockholdings of the acquired corporation occurs exclusively through "corporate action"—is, in the words of Professor Loss, "unforgivably formalistic."[2/]

1/ The following are some of the more significant commentaries on Rule 133, both pro and con:

Sargent, A Review of the "No-Sale" Theory of Rule 133, 13 Bus. Law. 78 (1957); Orrick, Some Interpretative Problems Respecting the Registration Requirements Under the Securities Act, 13 Bus. Law. 377 (1958); Throop, In Defense of Rule 133—A Case for Administrative Self-Restraint, 13 Bus. Law. 389 (1958); Purcell, A Review of the "No Sale" Theory of Rule 133, 24 Brooklyn L. Rev. 254 (1958); Nelson, Recent Developments in the No Sale Theory, 47 Calif. L. Rev. 112 (1959); Hanes, Rule 133 and the No Sale Theory, Interpretation or Legislation, 13 Jr. of Pub. L. 520 (1964); Sommer, Mergers, Consolidations, Sale of Assets – Rule 133, 16 West. Res. L. Rev. 11 (1964); Volker, The Securities Act of 1933 and the Stockholders of Acquired Corporations, 1965 Duke L. Jr. 1 (Winter; Schneider, Acquisitions Under the Federal Securities Act – A Program for Reform, 116 Pa. L. Rev. 1323 (1968).

2/ 1 Loss, Securities Regulation 522 (2d ed. 1961).

If excessive formalism were the only problem with the Rule, its continued existence over many years would constitute a powerful argument against any disruption of the status quo.[3/] Unfortunately, however, experience with Rule 133 has given rise to problems which must be faced in any review of disclosure policy. Consideration of these problems has led the Study to reexamine the Rule, not so much from a theoretical as from a practical point of view. Can the important differences which presently exist in the '33 Act consequences of different methods of business combination –differences which inevitably affect the choice of the method to be used—be justified? If not, can a workable procedure be devised to eliminate those differences?

3/ It might be argued further that the failure of Congress to reverse the "no sale" theory when it amended Section 2(3) of the '33 Act in 1954 gives Rule 133 the force of law. However, the authorities are clear that the power of an agency to change rules prospectively is not impaired by "reenactment" of the statute when prior rules are in effect. 1 Davis, Administrative Law Treatise, 357; American Chicle Co. v U.S. 316 U.S. 450 (1942); Helvering v Reynolds, 313 U.S. 428 (1940); See: Helvering v Wilshire Oil Co., 308 U.S. 90, 100-01 (1938).

> "The more reenactment of a statute following administrative construction should be given no weight whatever in determining the proper construction of the statute." Griswold, A Summary of the Regulations Problems, 54 Harvard L. Rev. 398, 400 (1941).

B. Application of '33 Act requirements to offers of securities made in connection with business combinations involves both uncertainty and inconsistency. A solution is needed which would reduce the area of uncertainty and eliminate substantial distinctions from a '33 Act standpoint between different types of business combinations.

1. The protean history of the "no sale" concept as applied to business combinations.

Almost from the outset, the Commission has been plagued by problems engendered by its reliance upon a "no sale" concept in applying the provisions of the '33 Act to business combinations. A brief outline of the recurring difficulties experienced with this concept is essential to place today's disclosure policy dilemma in proper perspective.[4/]

(a) The early position of the Federal Trade Commission.

At an early stage in the administration of the '33 Act, a question arose as to whether its disclosure provisions applied to a business combination effected by merger, consolidation or sale of assets, assuming that the securities issued in the combination were not specifically exempt from registration under Section 3 of the Act.[5/] An affirmative answer was implied in a much quoted

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4/ For those interested in a more detailed history of the "no sale" concept reference is made to the excellent discussion in 1 Loss, Securities Regulation 518-542 (2d ed. 1961).

5/ Section 3(a)(10) exempts any security issued in exchange for the outstanding securities of another corporation if the terms and conditions of the exchange are approved after a hearing by an authorized federal or state official.

passage from the legislative history[6/] and in the brief period prior to the establishment of the Securities and Exchange Commission, the Federal Trade Commission, while administering the ’33 Act, took the position that a merger was a “sale” subject to the registration and disclosure requirements of the Act.

(b) The Merck decision

Shortly after the Securities and Exchange Commission was entrusted with administration of the ’33 Act, the applicability of its registration provisions to a proposed statutory consolidation involving Merck Corporation and Merck & Co., Inc. came before the Commission. Counsel for Merck argued that when the consolidation became effective, the shareholders of the two corporations were transformed by operation of law into shareholders of the new corporation so that the exchange of their old shares for new shares

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6/ The passage reads as follows:

> Reorganizations carried out without such judicial supervision possess all the dangers implicit in the issuance of new securities and are, therefore, not exempt from the act. For the same reason the provision [Section 3(a)(10)] is not broad enough to include mergers or consolidations of corporations entered into without judicial supervision. (H.R. Rep. No. 85, 73d Cong., 1st Sess. 16 (1933)).

Professor Loss comments:

> If this does not say in so many words that mergers and the like effectuated by “corporate” rather than “individual” action are covered by the statute unless specifically exempted, it does seem to squint pretty hard in that direction. (1 Loss, Securities Regulation 519 (2d ed. 1961)).

was not a "sale". By a divided vote, the Commission decided not to require registration.

This decision should be considered in its context. The Commission had just take up its responsibilities. Mergers and consolidations were a relative rarity. Controversial issues of far greater consequence faced the Commission, and insistence on disclosure in mergers may not have seemed to be a particularly pressing matter under the circumstances of that day.

(c) The Note to Rule 5 of Form E-1

The Commission's position in the Merck case was given formal expression in Note to Rule 5 of Form E-1 adopted, again by a divided vote, in September 1935.[7/] In the Note it was stated that the Commission deemed "no sales to stockholders of a corporation to be involved" where, pursuant to provisions of a statute or of the certificate of incorporation, a majority vote of the stockholders was required to approve a plan for a statutory merger or consolidation or an exchange of the assets of the corporation for stock of another company.

7/ Securities Act Release No. 493 (September 19, 1935). Form E-1 was a special form for registration of securities in connection with a "reorganization" which had been initially adopted by the Federal Trade Commission in May, 1934. In 1947, this form was abolished, including the Note to Rule 5; however, the Commission continued to follow administratively the "no sale" theory embodied in the Note, until the earliest version of Rule 133 was adopted.

(d) The Leland Stanford case and its aftermath

In 1943, the Commission indicated the view amicus curiae that a consolidation of two existing companies into a new company did not constitute a "sale" under the '33 Act for any purpose. In other words, the view was taken that neither the registration nor the anti-fraud provisions of the Act applied in such a transaction. This view was expressed in Commission briefs filed in the course of private litigation in which Stanford University sought to recover the value of certain securities it had held prior to a consolidation which terminated the existence of the issuer of those securities.[8/] The University complained, among other things, of a violation of the '33 Act by the defendant and specifically charged that it had received misleading and fraudulent proxy material when its vote was solicited on the consolidation. The Court of Appeals for the Ninth Circuit decided in the defendant's favor on ground of estoppel but observed, without comment, that it was in agreement with the views of the Commission.

Early in the 1950's, the Commission found it necessary to retreat somewhat from the position it had taken in Leland Stanford

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8/ Leland Stanford, Jr. University v National Supply Co., 46 F. Supp. 389 (N.D. Cal. 1942), rev'd. 134 F2nd 689 (9th Cir. 1943, cert. den. 320, U.S. 773 (1943).

The circumstances are described by former Chairman Manuel F. Cohen:[9/]

> In 1951, one of our Regional Administrators advised that he had received complaints regarding certain mergers brewing in his area. He referred to the repeal of Form E-1 in 1947 and sought instructions whether it was appropriate to investigate these matters, since the antifraud provisions of Section 17 related only to "sales". About this time, a case had also arisen under Section 16(b) of the Securities Exchange Act of 1934 in which one issue was whether the acquisition of securities in a merger could be treated as a purchase and matched with a sale of these securities within 6 months. [Blau v. Hodginson, 100 F. Supp. 361 (S.D. N.Y., 1951.]
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> The Commission determined to appear in the Section 16(b) case amicus curia to urge that a "purchase" within the meaning of Section 16(b) had taken place and that the "no sale" theory which had been raised by way of defense had no application under the 1934 Act . . . The Commission also directed that the Regional Administrator be advised that the position previously reflected in the Note to Form E-1, which had been rescinded, should not be construed as in any way limiting the Commission's jurisdiction under Section 17 of the Act or Section 10 of the Securities Exchange Act of 1934.

The foregoing quotation states the position which has been taken by the Commission in cases subsequent to Leland Stanford. During the decade of the sixties, a number of court decisions supported the view that a statutory merger or consolidation involved a "sale" of securities within the meaning of the antifraud provision of the '33 and '34 Acts, despite existence of a Commission rule to

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9/ Cohen, Rule 133 of the Securities and Exchange Commission, 14 Record of the Association of the Bar of the City of New York (1959).

the effect that such transactions are not "sales" for the purposes of Section 5.[10/] Very recently, the Supreme Court in Securities and Exchange Commission v. National Securities, Inc. (decided January 27, 1969) reached the same conclusion. The majority opinion written by Mr. Justice Marshall observes:

> Whatever the terms "purchase" and "sale" may mean in other contexts, here an alleged deception has affected individual shareholders' decisions in ways not at all unlike that involved in a typical cash sale or share exchange. The broad anti-fraud purposes of the statute and the rule [10(b)(5)] would clearly be furthered by their application to this type of situation. Therefore we conclude that Producers Life's shareholders "purchased" shares in the new company by exchanging them for their old stock.[11/]

(c) Rule 133.

The administrative practice originally embodied in the Note to Form E-1 was given the status of a Commission rule in August, 1951.[12/] The new Rule 133 expressly stated that the Commission

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10/ Mader v. Armel, CCH Fed. Sec. L. Rep. (Current) [illegible] 92,294, (6th Cir., No. 17976, Oct. 29, 1968); Dasho v. The Susquehanna Corp., 267 F. Supp. 508 (N.D. Ill., E.D., 1966), 380 F. 2d 262 (7th Cir. 1967), cert. den. Sub nom. Bard v. Dasho, 389 U.S. 977 (1967); Vine v. Beneficial Finance Co., Inc., 374 F. 2d 627 (2d Cir. 1967), cert. den., 389 U.S. 970 (1967); Simon v. New Haven Board & Carton Co., 250 F. Supp. 297 (D.C. Conn. 1966); Voege v. American Sumatra Tobacco Corp., 241 F. Supp. 369 (D. Del. 1965); H.L. Green Co. v. Childree, 185 F. Supp. 95 (S.D.N.Y. 1960).

11/ CCH Fed. Sec. L. Rep. (Current), V 92,334.

12/ Securities Act Release No. 3420 (August 2, 1951).

considers mergers, consolidations and similar transactions not to involve a "sale," but only for purposes of Section 5 of the '33 Act.

Within five years, however, the Commission was persuaded that the position it had taken in the "no sale" rule should be reexamined. Notice was published in October, 1956 that the Commission had under consideration a complete reversal of Rule 133. The proposed amendment to the Rule provided affirmatively that all mergers, consolidations and similar transactions should be deemed to involve the offer and sale of securities. The Commission's release did not suggest how registration under the '33 Act was to be effected in these transactions. It was observed, however, that provision would be made so that information furnished in a '33 Act prospectus would not be "unnecessarily duplicated" in a proxy statement where the Commission's proxy rules applied.

Adverse reaction to the Commission's proposal was strong. Many of the comments observed that disclosure was needed in these transactions but that it should be provided by the furnishing of a proxy statement. The Commission was urged to seek legislation which would subject over-the-counter companies to the proxy rules. The Commission determined to defer action on the proposal pending further study.13/

In September, 1958, the Commission published a proposal to revise Rule 133 by specifying those persons deemed to be "underwriters"

13/ Securities Act Release No. 3761 (March 15, 1957).

of the securities newly issued in mergers, consolidations and similar transactions. Persons controlling the acquired corporation in such transactions, although not in control of the surviving corporation, were defined as "underwriters" if they acquired their newly issued shares with a view to distribution. However, their subsequent sales were not deemed to be "distributions" requiring registration if they occurred in brokerage transactions subject to limitations identical to those contained in the Commission's Rule 154.

The accompanying release observed that the new proposal was based upon certain conclusions reached by the Commission's staff after detailed examination of all relevant statutory materials, prior Commission and staff actions, and the various arguments which had come to its attention. The first conclusion of the staff was expressed as follows:

> We do not agree with the proposition that the transactions described in Rule 133 do not involve a "sale" within the meaning of that term as defined in Section 2(3) of the Securities Act and that, therefore, the Securities Act has no application to such transaction. We reach this result essentially for two basic reasons:
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> (1) the concept of "sale" as defined in Section 2(3) is broader than the commercial or common-law meaning of that term, and embraces a number of situations which would not be regarded as sales in the commercial sense but fall within the purposes of the Securities Act and
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> (2) the transactions described in Rule 133 do not, as is often said, occur solely by operation of law and without the element of individual consent by security holders, but on the contrary are basically contractual in their foundation, reflecting essentially contractual relationships among security holders and between security holders and corporations.

The ultimate conclusion of the staff was, however (1) that the procedural and liability provisions of the '33 Act as they affect issuers, underwriters and dealers would not operate reasonably and effectively in the types of transactions covered by Rule 133, and (2) that, despite its view that the transactions described in Rule 133 come within the definition of "sale" in Section 2(3) of the '33 Act, it would be reasonable for the Commission to declare by appropriate interpretation of statutory language that such transactions do not involve "offers" or "sales" for purposes of the registration requirements.

In July, 1959, the amendments to Rule 133 proposed in September of the previous year were adopted with modifications.[14/] No subsequent material changes have been made in the Rule.

(f) When does Rule 133 apply?

The July, 1959 amendments to Rule 133 reflect certain limitations on the scope of that Rule which had been articulated in two important cases. In its Great Sweet Grass opinion,[15/] the Commission stated that the Rule did not mean that securities issued in a business combination of the type described in the rule are "free" securities which can thereafter be offered and sold to the general public without

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14/ Securities Act Release No. 4115 (July 16, 1959).

15/ Great Sweet Grass Oils, Ltd., 37 S.E.C. 683 (1957), aff'd per curiam sub nom. Great Sweet Grass Oils, Ltd. V. S.E.C., 256 F 2d 893 (D.C. Cir. 1958); Kroy Oils, Ltd., 37 S.E.C. 683 (1957), petition for review withdrawn sub nom. Kroy Oils, Ltd. V. S.E.C., D.C. Cir., No. 13, 920, Dec. 10, 1958.

registration. The District Court in the Mirco [sic]-Moisture case[16/] held that Rule 133 provides no exemption from registration for the sale of stock received in a stock-for-assets reorganization by persons who acquired control of the issuing corporation in the transaction.

What if the vote of shareholders approving the transaction is a mere formality? In Great Sweet Grass, the Commission stated by way of dictum that where that is the case (because one person or a small group control enough stock to assure the requisite favorable vote), Rule 133 does not apply since the transaction is then not authorized by "corporate action." Although the Commission has never expressly withdrawn this dictum, nothing was said on the point in the amended Rule 133. For this reason, many lawyers concluded that the Great Sweet Grass dictum had been rendered irrelevant.

Moreover, since 1959 the Commission's staff has generally raised no question as to the applicability of Rule 133 where there are public shareholders who will be bound by the results of a shareholders' vote, even though a single shareholder or a small controlling group of shareholders holds the votes necessary to assure the favorable outcome. If, however, the corporate charter, state law, or terms of the reorganization plan call for the unanimous vote of shareholders of the acquired corporation, the staff has taken the position that Rule 133 does not apply. The reasoning is as follows: since one shareholder

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16/ S.E.C. v. Micro-Moisture Controls, Inc., 148 F. Supp. 558 (S.D.N.Y. 1957) (preliminary injunction), reargument denied, CCH Fed. Sec. L. Rep. ¶ 90,805 (S.D.N.Y. 1957) final injunction, 167 F. Supp. 716 (S.D.N.Y. 1958), aff'd sub nom. S.E.C. v. Culpepper, 270 F. 2d 241 (2d Cir. 1959).

can defeat the transaction by withholding his consent, every shareholder is, in effect, making an individual choice.

Assume that there are only two stockholders of the corporation to be acquired, each of whom holds 50% of the stock. The assent of both is necessary to meet the requirement of state law that the merger be approved by two-thirds of the voting shares. Thus the vote must, as a practical matter, be unanimous. Does this mean that Rule 133 is inapplicable? If so, assume that the number of shareholders is increased to 3, and that each owns one-third of the shares. Would Rule 133 then be applicable because the merger could theoretically be authorized by the vote of only two out of the three?

Assume that the number of shareholders of the acquired corporation is increased to 5 or 10 persons, who will usually be members of the same family group. Normally, an offer of voluntary exchange of shares by the acquiring corporation to a group of such size and character would be considered to be a private offering. It would be accompanied by "investment letters" containing representations by the issuees and, very likely, restrictions on any resale of the securities by them. Is the transaction converted into something entirely different by structuring the transaction so as to require a vote of these shareholders? Is not the shareholder vote, under these circumstances, the merest formality?

The applicability of Rule 133 in the situations described is in doubt. For a time, following the 1959 amendments, the staff of the

Commission granted no-action letters with respect to Rule 133 transactions in which the acquired corporation was held by no more than a handful of shareholders. However, a no-action position was not taken if all of the stock of the acquired corporation was held by a single person.

In 1965, the Division reexamined its position and recommended to the Commission that where only a handful of persons, related by blood or business connections, hold the stock of the acquired corporations, they should be treated as a single person by analogy to the interpretation which had been given to Rule 154. The Commission disagreed.

Shortly thereafter, the Division recommended denial of a “no action” request relating to a transaction in which two persons held the stock of the acquired company in equal amounts and would receive, upon consummation of the sale of its assets, the stock of a company whose shares were listed on the New York Stock Exchange. The Commission rejected the recommendation and granted the request. Additional no action requests under similar circumstances were thereafter granted. In some instances, all of the stock of the acquired corporation was held by a single shareholder.

In the spring of 1967, a request for a “no action” letter came before the Commission involving a transaction in which, although the acquiring corporation was a reporting company, the shares it proposed to issue to the single stockholder of the corporation to be acquired were not listed on a national securities exchange. Inviting the Commission's attention to this fact, the Division recommended against granting the request. The Commission refused a "no action" letter. In August of the same year, in situations where the acquired corporation's stock was held by two and three persons, respectively, and the acquiring corporation's stock was listed on the American Stock Exchange, the Commission likewise refused to take a "no action" position.

Thereafter, the Commission advised its staff that no further "no action" letters be granted in instances where the acquiring company was held by only a relative handful of persons. The Division has since denied "no action" requests in cases where, if the transaction were structured otherwise than as a merger or sale of assets, the issue of the new shares would clearly amount to a private placement. In explaining its denial of "no action," the Division has on occasion referred to what has been termed the "negotiated transaction" exception to Rule 133.[17/] The argument for the exception is this: where the terms of the transaction are essentially "negotiated" by the shareholders of the company to be acquired and representatives of the acquiring company, no "corporate action" really occurs except in a purely theoretical sense; hence the rationale behind the "no sale" concept is missing.

17/ See the discussion in Schneider, Acquisitions under the Federal Securities Act – A Program for Reform, 116 U. Pa. L. Rev. 1323, 1325-26 (1958).

2. Problems and inconsistencies created by Rule 133.

Apart from the uncertainties and anomalies involved in the application to transactions which are essentially private placements, Rule 133 leaves a decided disclosure gap when the company to be acquired is publicly held but has not registered with the Commission under Section 12 of the '34 Act.

This situation will ordinarily exist whenever any one of three circumstances obtains: (1) the company has less than 500 shareholders of record; (b) the company has more than 500 shareholders of record but less than one million dollars in assets; or (c) the company has in excess of 500 shareholders of record and more than one million dollars of assets but no registration of a class of its securities has as yet become effective under Section 12(g).[18/]

If the company to be acquired has registered a class of its securities with the Commission under Section 12, it can normally be assumed that its shareholder will receive disclosure in the form of a proxy or information statement under the Commission's proxy rules adequate to permit them to exercise an informed choice on whether to vote for or against the transaction, i.e., the proposed exchange of their shares. If, however, no registration is in effect, there is no

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18/ Upon acquiring over 500 shareholders and over $1 million of assets, a company is required to file a registration statement not later than 120 days after the beginning of its ensuing fiscal year. The registration statement becomes effective 60 days after filing. Thus, as long a period as 18 months can elapse between the time a company meets the standards for registration and the time such registration takes place.

such assurance. Under the laws of many states, the only document which must be sent to shareholders in advance of a meeting called to vote on a proposed merger or sale of assets is a bare notice of the meeting. Such proxy solicitation material as may be sent is not subject to any review process to assure that it comports with standards of good disclosure.[19/] The informational gap facing the shareholder is

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19/ With respect to a sale of substantially all the company's assets: (i) 3 states have no requirement with respect to the notice to be sent shareholders; (ii) 2 states leave the notice provisions to be as prescribed by the company's by-laws; (iii) 3 states require only that the notice give the date, time and place of meeting; (iv) 40 states require that a notice of meeting to vote on a sale of the company's assets also state the purpose of the meeting; (v) 1 state requires that a copy or summary of the terms of the transaction be sent with the notice; and (vi) 1 state requires that the instrument of proxy set forth "in reasonable detail" the purpose of the meeting.

With respect to mergers and consolidations: (i) 1 state has no notice requirement; (ii) 2 states leave the provisions re notice to shareholders to be prescribed by the company's by-laws; (iii) 18 states require that the notice state the purpose of the meeting called; (iv) 22 states require that a copy or summary of the plan of merger or consolidation be sent with the notice of meeting; (v) 1 state requires that the purpose of the meeting be set forth "in reasonable detail" in the notice; (vi) 3 states require a "summary of the plan" of merger or agreement to be included with the notice; (vii) 1 state requires that a copy of the merger or consolidation agreement be sent with the notice of meeting; (viii) 1 state requires that the notice include a statement of the value of the soliciting company's assets, the amount of its indebtedness, and a copy of the agreement; and (ix) 1 state requires that the notice include a copy of the plan or an accurate outline of its material features and financial statements of each company for the past three fiscal years showing their financial condition in reasonable detail.

compounded by the fact that accurate factual information about his company may not otherwise be available since the company is not required to file any reports with the Commission under the ’34 Act.

This disclosure gap has become more acute as the number of business combinations has continued to rise.

The Study surveyed a total of 173 corporate acquisitions completed in January and February of 1968, as reported by “Mergers and Acquisitions: The Journal of Corporate Venture.”[20/] All of the 144 acquiring corporations involved in these transactions were reporting companies. Only 46 of the total of 186 acquired corporations were required to file reports with the Commission and to comply with the proxy rules if a vote of their shareholders was necessary to authorize the acquisition transaction. An informal inquiry by telephone was made in order to obtain data on a sample of those transactions in which the acquired corporation was non-reporting. The inquiry indicated that in approximately 15% of those transactions, the acquired company had in excess of 25 (but less than 500) shareholders. In such cases, the disclosure to shareholders in connection with obtaining the necessary shareholder vote varied from a bare notice of meeting to a proxy statement about as extensive in scope as that required by the Commission’s proxy rules. Instances in which a relatively full proxy statement was used although no such disclosure was legally required

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20/ Volume 2, No. 2, 85-115 (March-April 1968).

show that careful counsel are concerned about the need for disclosure regardless of the form of the acquisition.[21/]

Many factors are of important in the choice of the form of acquisition, including the nature and provisions of leases and labor contracts of the acquired company, sales and other taxes, problems in transferring certain kinds of assets, avoiding the necessity of a meeting of the shareholders of the acquiring company, and so forth. Unfortunately (in the Study's view), the disclosure consequences under the '33 Act of the various forms of acquisition are, at the present time, also a factor of significance in making that choice.

Moreover, today the form chosen for the acquisition transaction affects the answer to the question: are any of the former shareholders of the acquired company "underwriters" of the newly issued shares which they receive?

Assume that the acquired company is publicly held and that the acquisition is structured as a voluntary exchange of stock. The offer is made by prospectus. Non-controlling shareholders of the acquiring corporation who, before the acquisition, were in control of the

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21/ One conglomerate corporation advised the Study of a recent acquisition by it, in a Rule 133 transaction, of a company with approximately 300 shareholders. Counsel for the acquired company saw no reason to send to the shareholders of his client anything more than a single page notifying them of the meeting and announcing the proposed merger. However, the acquiring company, as a matter of policy, insisted that a full proxy statement, essentially complying with the Commission's proxy rules, be forwarded to all shareholders of the acquired corporation. Had this same acquisition taken the form of a voluntary exchange offer, the shares to be issued by the acquiring corporation would have been registered under the '33 Act and the solicited shareholders would have been entitled under the law to receive a prospectus giving them full information regarding the proposed exchange.

acquired corporation, are generally deemed not to be “underwriters” and are therefore free to resell their new securities when they wish to do so without registration.

When Rule 133 applies, however, a special set of rules comes into play. As person who controlled the acquired corporation but who does not control the acquiring corporation, may, under Rule 133(c), be an underwriter of the securities he receives. He is deemed <u>not</u> to be an underwriter, however, if he resells only in unsolicited brokerage transactions within the limits specified in Rule 133(d) and (e). The securities must be registered only if his sales exceed these limits. He is treated, in effect, as though he became a controlling person of the acquiring corporation.

The Study questions the distinctions thus created between different types of acquisition transactions. A shareholder of the acquired corporation ought not to be deemed an underwriter following a statutory merger or sale of assets if he is not so regarded following a voluntary exchange of securities, and vice versa. If the acquired corporation is publicly held, if there has been full disclosure to its shareholders in connection with the transaction, and if the issuing corporation, as a consequence of the transaction or for other reasons, is required to keep such disclosures reasonably current through periodic reports under the ’34 Act, provisions such as Rule 133 (c), (d) and (e) are no longer appropriate.[22/]

3. What is needed.

A renewed attempt must be made to solve the problems associated with business combinations. The following guideposts are suggested:

(a) Commission policy should recognize the fact that when a shareholder is asked to vote on the question whether or not his company should be acquired by another and, accordingly, whether or not he wishes to exchange his shares for the securities of the acquired company, an offer of a security within the meaning of the ’33 Act is made to him;

(b) When the offering to such shareholders constitutes a “public offering” within the meaning of the ’33 Act, Commission policy should be to give the shareholders of the company to be acquired a disclosure document containing the information essential to an intelligent choice;

22/ There may well be special circumstances under which a person might be deemed to be an underwriter of securities acquired by him in a registered public offering of those securities, whether or not involving an acquisition transaction. Additional study is required on this difficult point, and is presently under way under the auspices of the Commission’s Division of Corporation Finance. This report therefore does not recommend a precise policy in this area.

(c) When the offering to such shareholders constitutes a non-public offering under the '33 Act, Commission policy should be to provide the shareholders of the company to be acquired with clear and appropriate guidelines as to where and how they can resell the new shares which they have received. Such guidelines should eliminate the unwarranted distinctions which presently exist between a business combination accomplished by a voluntary exchange of shares on the one hand, and one which takes the form of a statutory merger or sale of assets on the other.

4. The alternative solutions.

Five possible solutions to the business combination problem suggest themselves. They are:

First: Retain Rule 133 in its present form and announce officially that the rule means precisely what it says: for purposes of Section 5 of the '33 Act, no sale is made to the shareholders of an acquired corporation, regardless of their number, when the acquisition is structured as a statutory merger or transfer of assets and must be approved by a vote of those shareholders. The Rule presently makes no reference to the number of shareholders. The Commission would make it clear that the Rule applies whether the acquired corporation has a single shareholder or 10,000 shareholders.

This approach would eliminate the confusion created by the Commission's present unwillingness to agree to the proposition that

Rule 133 is applicable where the acquired corporation is closely held. It has the advantage of clarity. Unfortunately, however, that is its only advantage. Irrational distinctions from the standpoint of disclosure policy between the methods by which business combinations can be effected – distinctions based on legal form – would be perpetuated.

The disclosure gap that now exists whenever the acquired company in a merger or sale of assets has a public body of shareholders but is not subject to the Commission's proxy rules would remain undisturbed.[23/] And when the acquired company is owned by a small group of stockholders, the non-controlling members of the group would be free to dispose of their new shares issued by the acquiring company in any fashion they might choose, provided the acquisition took the form of a statutory merger, consolidation or sale of assets. If the acquisition was structured as a voluntary exchange of securities, however, the shareholders of the acquired company would be subject to all of the restrictions applicable to a private placement.

23/ See pp. 287-9 supra. There are paradoxical instances in which the shareholders of the acquiring corporation receive a prosy statement (as, for example, when the transaction is a statutory merger or consolidation, or a sale of assets in connection with which (1) the authorized stock of the acquiring company must be increased to accommodate the transaction, or (2) the stock exchange on which the acquiring corporation's shares are listed requires approval by its shareholders of the issuance of the necessary additional shares) but the shareholders of the acquired corporation (since they number less than 500) do not.

<u>Second</u>: Retain Rule 133, but amend it by adding an express provision making clear that the Rule applies only to cases in which a public body of shareholders approves proposals negotiated for and recommended to them by management. If the shares of the acquired company are closely held, the acquiring company would have to rely on the exemption from registration in Section 4(2) of the ’33 Act unless it chose to register its securities.

This approach would essentially eliminate distinctions between the three types of business combinations where the company to be acquired is non-public. Aside from that, however, it does not satisfy the requirements of good disclosure policy. It would furnish no assurance of adequate information to the shareholder-offerees when their company was not registered under Section 12 of the ’34 Act. The incentive to structure such an acquisition as a merger or sale of assets rather than as a voluntary exchange <u>for Securities Act reasons</u> would remain, since only in the latter case would a disclosure document under the Commission’s rules be required.

<u>Third</u>: Retain Rule 133, but limit its scope to situations in which the company to be acquired is subject to the Commission’s proxy rules.

This alternative would clarify the scope of the rule. Moreover, if the acquired company is publicly held, the shareholder-offerees would receive either a proxy statement or a prospectus and would thus be provided with adequate information on which to base an intelligent choice. An important matter would continue to hinge, however, on the legal form chosen for the transaction. Where the acquisition is structured as a merger or sale of assets, the acquiring company's duties and liabilities under the '33 Act would turn entirely on the acquired company's status under the '34 Act, whereas this would not be the case if the acquisition takes the form of an exchange offer. The Study is strongly of the opinion that such distinctions in legal consequence between the several methods employed in effecting business combinations are essentially unwarranted.

Fourth: Retain Rule 133 for the time being, but recommend legislation that would subject every transaction of the kind referred to in that rule, except for those clearly private in character, to the Commission's proxy rules.

This solution would close the disclosure gap where the acquired corporation is publicly held but not now subject to the Commission's proxy rules. It is sympathetically discussed by a leading commentator who came to the defense of Rule 133 at the time when the Rule was under reconsideration.[24/] However, it would mean referring an essentially technical matter, arising under a doctrine of the Commission's own creation, to an overburdened Congress. If the same result could be accomplished administratively, there would be no justification for a congressional solution. This brings us to the fifth alternative.

Fifth: Replace Rule 133 with a special kind of '33 Act registration procedure adapted to mergers and sales of assets. The new procedure would be consistent with the proposition that where an acquired company is publicly held, a proxy statement under the Commission's rules is both an appropriate and an adequate form of disclosure; nothing additional, by way of a prospectus, is needed.

This last alternative would substantially eliminate all distinctions under the '33 Act between the three types of business combinations. Its effect would be substantially identical to the proposed legislative solution, with one exception; if the disclosure

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24/ See Throop, In Defense of Rule 133 – A Case for Administrative Self-Restraint, 13 Bus. Law. 389, 416 (1958).

document used in soliciting the vote of shareholders of the acquired corporation is defective, the legislative solution would give those shareholders implied rights of action under the Commission's Rule 10b-5, whereas the administrative solution proposed by the fifth alternative would give them statutory rights of action under Sections 11 and 12 of the '33 Act.

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A strong argument can be made in favor of continued adherence to the "no sale" approach which has been followed, with ups and downs, since the Commission's earliest days. Nevertheless, on balance, the Study concludes that the fifth alternative offers the best way out of an unsatisfactory situation. The carefully considered 1958 report of the Commission's staff, which recommended retention of Rule 133, was based on certain practical difficulties in applying the '33 Act registration process to transactions covered by Rule 133. The Study does not minimize these practical difficulties. It believes, however, that they are surmountable.[25/] The Commission's General Counsel concurs, particularly in view of the additional authority granted the Commission by the '64 admendments [sic].

25/ It is of interest to note that the viewpoint of two very recent commentators appears to be in accord. Schneider, Acquisitions under the Federal Securities Act – A Program for Reform, 116 U. Pa. L. Rev. 1323, 1349 (1958). ("All acquisitions should be treated as sales for purposes of section 5. Registration under that section should be required in all cases, except where [the disappearing corporation] is closely held and the private offering exemption can be applied"); Knauss, Disclosure Requirements—Changing Concepts of Liability, 24 Bus. Law. 43, 47 (1968).

If a decision is made against the fifth alternative, the Study believes the second alternative (confining Rule 133 to those cases in which the acquired company is publicly held) to be the best course of action.

There are three related aspects to the recommendation that the present Rule 133 be replaced. They are examined in the three ensuing sections of this chapter. They are:

(a) A recommendation that where the acquired company is publicly held and the vote of its shareholders is necessary there be made available a registration procedure which would not essentially change the character of, or the manner by which, disclosure is presently provided to the shareholders of an acquired company subject to the proxy rules.

(b) A recommendation that where the acquired company is non-public, definite rules should be adopted to govern the resale by its shareholders of their newly acquired shares—rules which, while consistent in principle with those which would apply in the case of a private financing transaction, give recognition to the special attributes of a business combination.

(c) A recommendation that the Commission provide a guideline to assist in determining when an acquisition transaction does not involve a public offering.

C. <u>Rule 133 should be replaced by application of the fundamental principal of the ’33 Act (disclosure appropriate under the circumstances) if practical problems inherent in the application of that principle to business combinations can be solved. The Study believes that this is possible.</u>

1. <u>What sort of a registration statement would be filed</u>?

For business combinations taking the form of a statutory merger or sale of assets followed by dissolution of the acquired company, the Study proposes a new “wrap around” registration form consisting of a facing sheeting given the name and address of the corporation which will offer and sell its shares in the acquisition, a proxy statement to be sent to the shareholder-offerees (containing the information outlined in Items 14 and 15 of the Commission’s proxy rules), and a back cover sheet containing the requisite signatures.

Exhibits to the registration statement would include: (1) a copy of the agreement of merger or other agreement or plan under which the securities registered are to be offered, (2) the form of proxy, (3) an opinion of counsel as to the legality of the securities being registered, and (4) material contracts, most of which (unless the proposed acquisition is very significant to the issuer’s business) would have been filed on a prior occasion by an issuer subject to the reporting requirements of the ’34 Act, and could be incorporated by reference.

A draft of the new form to be designated Form S-16 is contained in the Appendix VII-1.[26/]

It can be expected that the acquiring company will make a detailed and careful study of the affairs of the acquired company before going forward with the transaction, and will be in a position to assess the accuracy of the disclosures in the proxy statement. Today, its responsibility to the shareholders of the acquired company for such disclosures is indirect. Under the proposed registration procedure that responsibility would become direct. The difference between the two may today be less significant than previously, in light of the development of the case law on implied liabilities under Rules 10b-5 and 14a-9. At all events, the question of potential liability would be the same under the Study's proposal regardless of the structure of the acquisition. The Study believes this to be consistent with sound disclosure policy.

2. What would the prospectus consist of?

The "final prospectus" would consist of that portion of the registration statement between the facing sheet and the signature page, viz., the proxy statement.[27/]

26/ Present Form S-14 would no longer be necessary.

27/ Chapter XI contains the Study's recommendations as to changes in the merger proxy statement.

3. How would the registration statement be processed by the Commission's staff and when would it be made effective?

It is suggested that the registration statement on the new form be processed by the staff in exactly the same fashion as proxy statements relating to business combinations are processed today. The only difference would be that a registration statement (as contrasted with a preliminary proxy statement) is a matter of public record at the Commission as soon as it is filed; this is, of course, also true of registration statements filed in connection with voluntary exchange offerings.

Where the acquired company is subject to the proxy rules, the same filing would satisfy the obligation of the acquired company under Rule 14a-6(a) although, if it wished to do so, the acquired company could file separately under Rule 14a-6(a) for purposes of preliminary review.[28/]

The registration statement would be made effective by an order issued on delegated authority by the staff. Immediately upon its effectiveness, the prospectus (proxy statement) could be mailed.

4. When does the public offering of securities take place?

The public offering would occur when the prospectus (proxy statement) is forwarded to the shareholder-offerees.

28/ Rule 14a-2(d) which exempts from the proxy rules "any solicitation involved in the offer or sale of a certificate of deposit or other security registered under the Securities Act of 1933.", would be amended to require compliance with the proxy rules where the solicitation relates to a merger, consolidation or sale of assets.

5. What restrictions would apply to the offering of securities?

Under Section 5(c) of the '33 Act, an offer of a security cannot take place unless a registration statement has been filed. Accordingly, it has been necessary for the Commission to define as "not constituting an offer" those kinds of advance publicity regarding a forthcoming offer which are appropriate and necessary. Rule 135 presently permits advance public notice of a proposed voluntary offer of exchange. An amendment of this rule[29/] would be desirable to clarify its provisions in various respects, including its applicability to proposed acquisitions by statutory merger or sale of assets.

The proposed amendment to Rule 135 would permit whatever advance notice of a proposed acquisition is appropriate under the "timely disclosure" policies of the principal stock exchanges and the NASD.

During the period between the filing and effective dates, by reason of the provisions of Section 5(b)(1), no written offer may be carried through the mails unless it meets the requirements of Section 10 of the '33 Act. Any appropriate notice permitted by Rule 135 would not constitute an "offer" under this provision.

29/ See Appendix VII-2

After the effective date, if a prospectus has been sent to a person, the offeror may mail additional material to such person. Thus, additional proxy soliciting material forwarded to the shareholder-offerees would not need to be filed under the '33 Act. It would, of course, be subject to the usual filing and review procedures of the Commission's proxy rules if the acquired company has registered a class of securities under Section 12 of the '34 Act.

6. How would the prospectus delivery requirements of Section 5(b)(2) be met?

Persons who will receive the stock of the registrant will usually be determined either (1) by the fixing of a record date for shareholders so entitled or (2) by the closing of the stock transfer records of the acquired company, usually accomplished as of a date shortly before the "closing" of a stock-for-assets reorganization. The group of persons thus determined may, because of interim transfer, vary somewhat from the group of persons to whom the final prospectus (proxy statement) was mailed. Section 5(b)(2) of the '33 Act makes it unlawful to send any security through the mails for delivery after sale "unless accompanied or preceded by a prospectus." It would accordingly be necessary for the issuer to check the transfer records for the names and addresses of transferees subsequent to the record date, and to cause a proxy statement to be mailed to such transferees with their new share certificates.

The Study doubts that this additional mailing of the prospectus (proxy statement) is essential to the process of full and fair disclosure in business combinations of the merger or sale of assets variety. In another context, involving the application of Section 5(b)(2) to transactions effected on national securities exchanges where delivery of the prospectus to members of the exchange would otherwise be necessary, the Commission has interpreted the phrase "preceded by a prospectus" to eliminate the requirement of direct delivery of the prospectus in connection with each transaction.[30/] The Study believes that a similar rule might be adopted[31/] providing, essentially, that the phrase "preceded by a prospectus" in respect of the requirement of delivery of a prospectus to shareholders of an acquired corporation who are to receive certificates of the acquiring corporation, may be satisfied by the mailing of the prospectus to all shareholders of the acquired corporation entitled to vote on the proposed transaction.

Will the beneficial owners of shares of the acquired corporation held in street name receive the proxy statement and be afforded the opportunity to vote? Both the New York and American Stock Exchanges have long had rules obligating their members (1) to forward proxy materials to such beneficial owners (whether or not the particular stock is listed) upon being compensated for their reasonable

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30/ Rule 153.

31/ Appendix VII-3.

expenses, and (2) to vote only as directed by such beneficial owners. The National Association of Securities Dealers recently adopted similar rules. The Study has been advised that it is extremely unlikely that any broker-dealer not a member of the NASD would hold securities of public customers in street name. Should any problem ever arise in this connection, it can be minimized by exercise of the Commission's powers under Section 14(b) of the '34 Act.

Issuers which solicit proxies under the Commission's proxy rules customarily furnish sufficient copies of proxy material to brokers for transmission to beneficial owners. They are not obligated under the rules to furnish proxy statements for this purpose, but if the proxies of beneficial owners are not solicited, issuers remain obligated under Rule 14c-7 to furnish sufficient copies of an information statement in order that all beneficial owners may receive one.

7. What post-effective prospectus deliveries would be required?

During a 40-day period after a registration statement has become effective under the '33 Act (90 days in the case of a first registration statement), dealers are not entitled to the exemption provided by Section 4(3) upon which they can normally rely and must therefore deliver prospectuses in connection with any transactions in the registered securities. The Commission, however, has the authority to shorten these periods, and has eliminated the post-effective prospectus delivery requirement in a number of instances.[32/]

The Study recommends that this be done in the case of all registration statements filed for the purpose of effecting business combinations, including those relating to voluntary exchanges.

8. Who are "underwriters" under the '33 Act?

Where a business combination takes the form of a statutory merger or a sale of assets, it is possible that various persons (including the corporation to be acquired, members of its management and the proxy solicitors it has engaged) might be considered to be "underwriters" of the newly issued securities by virtue of activities related to the acquisition transaction. However, none of these persons, by engaging in such activities, is selling securities in a traditional sense, and the Study sees no substantial benefit to be gained by exposing them to the liabilities of underwriters. Accordingly, a rule is proposed[33/] which would negate that possibility.

9. How can registration be accomplished in a consolidation?

The question has been raised whether registration is a

32/ Rule 174.

33/ Rule 169, included in Appendix VI-1.

practicable procedure in connection with a consolidation of two existing corporations where the ultimate surviving corporation, which is to issue the new securities to the shareholders of the two constituents, will not come into legal existence until after the vote of the shareholders has been taken.

The Study does not consider this issue a serious one. Frequently, the corporation which is to survive will be organized prior to the vote of shareholders of the other constituent corporations. If not, the constituent corporations, which perform all of the acts leading up to the issuance of the new shares by the consolidated corporation, can be regarded as, in practical effect, the “issuer”. An analogy could be drawn between the situation and the case of promoters who sell preincorporation subscriptions to the stock of a corporation yet to be formed; such promoters are deemed to be the “issuer” and are required to sign and file the necessary registration statement.

Accordingly, signatures on the registration statement filed in connection with a consolidation could be those of the requisite officers and directors of each of the constituent corporations. Proposed Form S-16 (Appendix VII-1) so provides.

10. <u>When would registration be required in connection with reclassifications of securities</u>?

Reclassifications of securities are essentially of three types:

(1) those which are accomplished by the solicitation of security holders to make a voluntary exchange of one security for another;

(2) those which result from a reorganization either under the provisions of the Bankruptcy Act or under corresponding provisions of state law; and

(3) those which are accomplished by amendment of the corporate charter.

As to the first type, Rule 133 has no application. The issuer would normally be able to claim exemption from registration under Section 3(a)(9) unless paid solicitors are employed. It may be feasible to obtain exemption under Section 3(a)(10). Finally, if both of the foregoing exemptions fail, and if neither the intrastate exemption of Section 3(a)(11) or Regulation A are available, the offer of exchange must be registered.

As to the second type, Rule 133 again has no application, but exemption should be available in most cases either under Section 3(a)(10) or under one or more of the various special exemptions contained in the corporate reorganization provisions of the Bankruptcy Act.

In reclassifications of the third type, as in those of the first type, if it is not necessary to use paid solicitors, exemption from registration can be obtained under Section 3(a)(9). In some circumstances, even if paid solicitors are used, exemption will be available under Section 3(a)(10). One feature distinguishes reclassifications of this type, however. Even though, because of the use of paid solicitors or for other reasons, the transaction is outside the limits of either of the exemptions designed for reclassifications, if the plan relates to corporate stock and the state law or corporate charter requires its submission to a vote of shareholders, Rule 133 expressly applies and makes registration unnecessary.[34/]

This somewhat anomalous result does not, in the Study's judgment, justify retention of Rule 133 for reclassifications of stock, assuming that a simplified registration procedure can be made available.[35/] The procedure outlined in the foregoing subsections of this chapter can readily be used for this purpose. For a reporting company, the registration statement[36/] would consist essentially of a the proxy statement which the company would in any event find it necessary to prepare and use. A publicly held non-reporting company, which now escapes any requirement of disclosure to its shareholders even if it pays solicitors to obtain the necessary votes, would

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34/ Registration would not, of course, be necessary in any event if the reclassification relates to details which do not amount to the substitution of a new security for the existing security. See 1 Loss, Securities Regulation, 514 (2d ed. 1961).

35/ This conclusion appears to be fully supported by the Report of the House Committee on the '33 Act quoted in footnote 6, p. 255, supra.

36/ See recommended Form S-16, Appendix VII-1.

likewise be able to effect registration by preparing a form of proxy statement complying with the applicable items of the Proxy Rules.

11. What sale-of-assets transactions would not require registration?

This question raises the distinction between a sale-of-assets transaction which is essentially a merger of two companies and a casual sale of assets not intended to be followed by dissolution of the selling corporation. It is essential that a clear line of distinction be drawn between the two types of transactions.

Assume that a publicly held corporation sells a part of its assets (a major division of its business, for example) to another corporation for a consideration consisting in whole or part of stock of the latter corporation. Typically, authorization of the sale by shareholders of the seller would not be required, the transaction being within the powers of its board of directors. No public offering of the acquiring corporation's stock occurs which would require registration under the '33 Act. The selling corporation occupies the position of any private purchaser of a block of stock.

If, on the other hand, the vote of the shareholders of the selling corporation is taken to authorize the sale and the selling corporation thereafter decides to dissolve within a relatively short period of time, such as one year, it could be presumed that a sale for value of the purchasing corporation's stock to the shareholders of the selling corporation has occurred. Conversely, if not decision to dissolve and to distribute the stock of the purchasing corporation is made within one year following a sale of part or all of the assets of a corporation, no registration should be required.

The foregoing principles give sensible recognition to the federal tax consequences of business combinations effected by a sale of assets. In almost all cases, the objective of the two corporations is to obtain the benefits of a tax-free reorganization both at the corporate and at the shareholder level. In order to achieve those benefits under IRC Sections 368 and 354, a plan of reorganization will be adopted by vote of the shareholders of the acquired corporation. The acquired corporation must then be dissolved and the stock or securities distributed "pursuant to the plan of reorganization". By reason of these provisions, it is accepted practice for the plan of reorganization to contain a provision requiring the acquired company to be dissolved as expeditiously as possible following the closing of the purchase and sale. Although there is no specific requirement in the Internal Revenue Code that such dissolution occur within one year,[37/] expert federal tax counsel have advised the Study that it would be a very rare instance in which dissolution of the acquired corporation and distribution

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37/ Assuming that for some reason a proposed tax-free C-type reorganization involving the sale of assets does not qualify under IRC Section 354, dissolution within one year is highly desirable, since it could then be argued that, in all events, no tax is payable at the corporate level by reason of IRC Section 337. This latter section contains a specific one-year provision.

of the shares of stock of the acquiring corporation would be delayed more than one year. In the normal situation, dissolution and distribution occur immediately following the sale.

These principles are embodied in the draft amendment of Rule 133 contained in Appendix VII-4.

D. A more definite guideline would be useful to assist the acquiring company in determining when an acquisition transaction does not involve a public offering.

In the introduction to Chapter VI of this Report, the difficulties encountered in attempting to develop a clear definition of a “public offering” as opposed to a “private placement” are outlined. A comprehensive definition was found to be impracticable.

In the field of business combinations, however, it may be possible to formulate a less ambitious rule which—although not furnishing a solution for every problem—would be of value in answering the question whether a particular transaction may be regarded as one not involving a public offering. A special problem exists in business combinations, where the acquiring company has had no part in the selection of the persons to whom its securities are to be offered. By contrast, if the acquiring company planned a private financing for cash, it would presumably select the offerees with care, having in mind the Ralston Purina criteria for a transaction not involving a public offering. The acquiring company in the acquisition transaction is faced with a situation which it did not plan, and which it cannot remedy.

The Study concluded that no offering made in connection with the acquisition of a corporation with less than 25 shareholders should be regarded as a public offering in itself. The rule adopted for this purpose should not, however, foreclose the possibility that an offering to a larger group of persons might also be non-public under particular circumstances. Moreover, such a rule could not lend assurance of exemption regardless of the resale transactions effected by the offerees. It could only provide assurance that no question would be raised concerning the offerees themselves as constituting the "public."

The suggested rule will be found in Appendix VI-1 (Rule 181).

E. A rule should be adopted governing the resale of shares issued to a non-public group of shareholders of an acquired company which would give recognition to the special characteristics of business combinations.

Chapter VI of this Report discusses the general recommendations of the Study regarding resales of securities acquired by non-controlling persons in non-public transactions. Essentially, they are as follows:

1. If the issuer of securities is a non-reporting company, then, for a substantial period following issuance of the securities, resale to the public should be permitted only if the

securities are registered unless exemption under either Section 3(a)(11) or 3(b) is applicable.

2. If, on the other hand, the issuer of the securities is a reporting company on the Commission's Rule 164 Qualified List, resales in brokerage transactions of an appropriately limited nature should be permitted after a holding period of one year. Such holding period serves to distinguish the true risk investment from the situation in which the seller acts essentially as an underwriter for a public distribution of securities by the issuer.

Applying these principles to business combinations, a question arises concerning the necessity for the holding period. The Study considered this question carefully, bearing in mind those situations in which the Commission has found that a deliberate effort was made "to evade the registration requirements of the Securities Act by creating corporate entities and effecting transactions meeting the requirements of [Rule 133] in appearance only....[38/]" If a corporate entity or partnership could be created by a group of persons, infused with cash or assets, and shortly thereafter acquired by a reporting company, and if the members of such group could immediately sell their newly issued stock in the public market, and [sic] obvious rend in the fabric of disclosure policy

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38/ Great Sweet Grass Oils, Ltd., 37 S.E.C. 683, 691 (1957).

would be opened. For this reason, the Study concluded that the one-year holding period should be retained for business combinations effected by what are essentially private offerings. The holding period need not commence, however, upon the consummation of the merger or upon the receipt by such shareholders of their newly acquired securities. The problem alluded to can be avoided by provisions which permit a shareholder to "tack" the period during which he previously held the stock exchanged by him in the transaction. Thus, if the shareholder has held any part of his interest in the acquired business for less than one year prior to the transaction, a proportionate part of his newly acquired securities would be subject to such additional holding period as would be necessary to fulfill the one-year requirement.

"Tacking" of holding periods should be permitted only if the business to be acquired has been an active, going business for a reasonable period. To this end, the Study has incorporated into the draft of Rule 162[39/] an appropriate standard phrased in the following language:

> "A bona fide going business which has had, in the ordinary course of its business, gross revenues of not less than two hundred fifty thousand dollars during the 12 calendar months [immediately preceding consummation of the acquisition]".

39/ Appendix VI-1.

CHAPTER VIII.

SMALL OFFERINGS EXEMPT UNDER SECTION 3(b) OF THE '33 ACT

A. Introduction

B. Regulation A should be amended in various respects, particularly to permit its use in certain secondary offerings without affecting its full availability to the issuer.

1. Sales by control persons and persons who have purchased in private placements need not be integrated with those of the issuer under a "single issue" concept, except under limited circumstances.

2. The provisions for computing the aggregate offering price of securities of companies with a recent history of losses (Rule 253(a)(2)) are unnecessarily restrictive, and interfere with the usefulness of Regulation A as a disclosure tool.

3. Offer and sale of securities without an offering circular (Rule 257) is inconsistent with good disclosure policy. Rule 257 should be rescinded.

4. The duration of disqualifications from use of Regulation A (Rule 252(c) and (d)) and other procedural rules should be altered to avoid hardship and inconsistency.

5. Various changes in Form 1A (the "notification") and Schedule 1 (the "offering circular") would improve disclosure and codify existing administrative interpretations.

   (a) The notification.

   (b) The offering circular.

CHAPTER VIII.

SMALL OFFERINGS EXEMPT UNDER SECTION 3(b) OF THE '33 ACT

A. Introduction

It is desirable once again to emphasize that the various recommendations in this Report are parts of a coordinated whole. Thus, the recommendations of this Chapter VIII for an appropriate relaxation of existing restrictions on the use of Regulation A are keyed to the recommended rule changes dealing with secondary offerings found in Chapter VI. Those rule changes will enhance the importance of Regulation A as a vehicle for the public sale, with appropriate disclosures, of limited amounts of securities, particularly securities of non-reporting companies. It has been the Study's aim to improve the usefulness of Regulation A for this purpose.

Consistent with its orientation toward rule changes within the Commission's existing powers, the Study does not submit a recommendation on the proposals which have been made to increase the present $300,000 limit of Section 3(b). However, as will be seen, the Study's suggestions would permit some secondary sales to take place under Regulation A during the same twelve-month period in which the issuer has sold a full $300,000 of securities under the regulation. Hence, in a given year, well over $300,000 of securities of the same issuer might be sold in reliance on Section 3(b). There is no magic to a one year period under the statute. The regulations giving effect to the exemption could have used a six month, or a two year, period. The concept of a single "issue" of securities is central, and has been maintained. The one year period merely provides a rough guide as to what constitutes a single issue.

A recurring subject for debate in conference of the Commission's Regional Administrators is the question whether certified financial statements (including at least a balance sheet and an earnings statement for the latest year) should be required under Regulation A.

A requirement for certification would provide a check on an issuer's financial disclosures performed by an independent party at least in some measure responsible both to the Commission (under its standards for practice before it) and to the public purchasers. The principal objection is one of cost, together with the fact that such a requirements would narrow the gap between what is designed to be an exemption from registration, and the registration process under Regulations C and S-X. The Study requested and obtained the considered opinions of each of the Regional Administrators on this subject. By and large, the strong sentiment was against requiring certification. If certification was to be required, suggestions included: (a) requiring it for offerings (individually or cumulatively) exceeding $100,000; (b) requiring it as a condition to a waiver of Rule 253; (c) requiring it where the issuer has an operating history, as opposed to an issuer in the purely promotional stage; and (d) requiring it at the discretion of the Commission.

The Study concluded that it would be unwise, in the context of its total package of recommendations, to urge certification of financial statements in Regulation A offerings.[1/]

In the time available, and because of its small size, the Study was unable to make a careful inquiry into disclosure problems under Regulation B (exemption for fractional individual interests in oil and gas rights). E (exemption for SBIC's), and F (exemption relating to assessable stock), or Rules 234 (exemption for first lien notes), 235 (exemption for securities of cooperative housing corporations), and 236 (exemption for shares sold to provide funds for distribution to shareholders in lieu of issuing fractional shares). As the Commission is aware, the volume of offerings under Regulation B has increased substantially.[2/] The Study understands that the Division of Corporation Finance is reviewing a series of recommended changes in that regulation preparatory to their submission to the Commission.

1/ A number of states require that certified financial statements be included in offering circulars under Regulation A used to offer securities within their borders; such states include, for example, Texas, Oklahoma and New York.

2/ There were 254 Regulation B filings in the second half of 1968 as against 212 in the corresponding period in 1967, and 126 in the corresponding period in 1966.

B. Regulation A should be amended in various respects, particularly to permit its use in certain secondary offerings without affecting its full availability to the issuer.

1. Sales by control persons and persons who have purchased in private placements need not be integrated with those of the issuer under a "single issue" concept, except under limited circumstances.

At present, under Rule 254, securities sold in secondary offerings under Regulation A by persons in control of an issuer or by persons acquiring securities from an issuer in private transactions are "integrated" with sales under that regulation made on the issuer's behalf. Sales made by the issuer and all such persons in any period of one year may not in the aggregate exceed $300,000. Thus, if several persons utilize Regulation A for secondary offerings amounting to a total of $250,000, the issuer is thereby prevented (for one year) from making use of the regulation for a sale exceeding $50,000. Conversely, if the issuer uses the entire $300,000, no secondary sales can thereafter be made under the regulation for one year.

The Study sees no need for so rigid a pattern of restriction. Neither authority nor logic compels the Commission to classify the separate secondary offerings of individual shareholders as amounting to a single "issue" of securities within the meaning of that term in Section 3(b) of the Act. No greater reason is apparent for classifying all secondary sales and those made on behalf of the issuer as part of the same "issue."

A limited expansion of the availability of Regulation A within the present dollar limitation of Section 3(b) would assist controlling persons and statutory underwriters—particularly those of non-reporting companies—who wish to dispose of a portion of their holdings, while not neglecting the need for appropriate disclosures.

It would be unwise, of course, to carry this proposition too far. If an issuer could sell securities privately to a number of individual purchasers, each of whom could promptly resell $300,000 of such securities under Regulation A, an obvious evasion of the registration requirements of the Act would occur. Accordingly, the Study would retain the present maximum amount of $100,000 which can be sold within any one year by any one person other than the issuer.[3/]

Moreover, the concept employed by the Study in developing the rules recommended in Chapter VI[4/] provides a ready analogy. A person who takes securities privately from an issuer and resells within a short time is, in effect, a conduit for the issuer. To guard against this possibility and to provide certainty, under those

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3/ There is also a provision permitting a maximum of $300,000 to be sold by the estate of deceased person in any one year within 2 years after the death of such person. The Study would retain this exception.

4/ See pp. 199-200 supra.

rules the private purchaser who resells publicly within one year is deemed an underwriter. Similarly, it is suggested that this aspect of the integration concept properly applies under Regulation A to sales made directly by the issuer and sales made within one year of purchase by private purchasers from the issuer.

As to controlling persons, it appears appropriate to tie together (1) the issuer and (2) those who have become its controlling persons in the immediate past. By contrast, the controlling person who has occupied that status for over one year should be permitted to make use of Regulation A without adversely affecting the amount otherwise available to the issuer.

Accordingly, the Study recommends amendment of Rule 254 [5/] to establish the following standards:

(a) $300 shall constitute the maximum aggregate offering price within any one year for securities offered under Regulation A by (i) the issuer, (ii) its predecessors (as defined in Rule 251), (iii) all of its corporate affiliates which were incorporated or organized, or became affiliates within the past two years, (iv) holders of restricted securities of the issuer (as defined in proposed Rule 161, Appendix VI-1) outstanding less than one year, and (v) (individual) holders of non-restricted securities of the issuer who have been

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5/ The precise language of the recommended amendment has not as yet been drafted.

affiliates (i.e., controlling persons) of the issuer for less than one year.

(b) Any person other than a person described in (a) above may sell under Regulation A securities with an aggregate offering price of $100,000 in any one year.[6/]

2. The provisions for computing the aggregate offering price of securities of companies with a recent history of losses (Rule 253(a)(2)) are unnecessarily restrictive, and interfere with the usefulness of Regulation A as a disclosure tool.

The Study debated long and hard over Rule 253. It consulted with members of the Commission's staff and in particular with Regional Administrators of long experience. A number of suggested changes in the rule were considered. It was the Study's ultimate conclusion that, while the issue is not free from doubt, Rule 253 should be modified to apply only to issuers with less than one full year of operating history.

If an issuer is newly formed and has just commenced business, it makes sense to restrict the resale of its securities to the public on behalf of promoters, controlling persons and underwriters under a

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6/ The exception for sales by estates of deceased persons referred to in n. 3 on p. 302, should be retained.

statutory exemption. The issuer itself (under the terms of Rule 253) remains able to use Regulation A for primary financing purposes.

However, clause (a)(2) of the present rule draws a fine distinction between companies which have had two recent unprofitable years and companies with only one loss year out of the last two. The restrictions of Rule 253 limiting secondary sales apply to the first category of companies but not to the second. The anomalous results which might flow from that provision are readily apparent. Thus, for example, there would be no restriction on secondary sales of the stock of a company with a bare two year operating history, and gross sales of less than $1,000,000 per year, which made a $5,000 net profit in its first year and suffered a $250,000 net loss in its second. However, secondary sales under Regulation A would be forbidden if a company in existence for many years, with gross sales of $10,000,000 suffered a small operating loss in each of its last two years.

The Study doubts that the distinction drawn by Rule 253(a)(2) effectively protects the public interest. To the contrary, the Study has been advised by several of the experienced Regional Administrators that when Regulation A is denied for secondary sales, the result is often an intrastate offering which may take place without disclosure and involves substantial risk of violation of the ’33 Act.

It is no answer to say that full registration under the '33 Act is always available in such circumstances. For the small secondary offering, full registration would be impracticable. The Study believes it should be the Commission's objective to provide an appropriate vehicle, whenever possible, for public sales to take place with disclosures suited to the occasion.

For these reasons, the Study recommends that Rule 253 be amended to:

(a) delete clause (a)(2), and

(b) change clause (a) to read:

> "(a) the following provisions of this rule shall apply to any offering under this regulation of the securities of any issuer which has had less than one full year of continuous operations immediately prior to the filing of the notification."

3. Offer and sale of securities without an offering circular (Rule 257) is inconsistent with good disclosure policy. Rule 257 should be rescinded.

Rule 257 provides that, with certain exceptions, an offering circular need not be used if the aggregate offering price of all securities offered without the use of such a circular during any one year by the issuer, its predecessors and affiliates does not exceed $50,000.

Somewhat strangely, the rule provides that although an offering circular need not be given to public purchasers of the stock, all of the information required in an offering circular (except financial statements) must be furnished to the Commission as an exhibit to the usual notification. Thus, with the single exception of financial statements, all of the disclosures required by Regulation A must be prepared and given—but not to the public.

Moreover, the exception for financial statements is more apparent than real. Rule 257 may not be used by companies of the character specified in Rule 253(a). In order to determine whether or not a company is ineligible under this standard, the Commission's staff asks for and analyzes the appropriate financial statements of the issuer.

It makes little sense, in the Study's judgment, to require disclosures which will not be disseminated. Accordingly, little additional burden would seem to be involved for a user of Regulation A otherwise entitled to the benefits of Rule 257 if he must duplicate and deliver the offering circular. No other means of dissemination for the disclosures filed with the Commission is readily available. These documents are not, and in all probability will not be, included among the materials available on microfiche (see Chapter IX).

The Study therefore recommends rescission of Rule 257.

4. <u>The duration of disqualifications from use of Regulation A (Rule 252(c) and (d)) and other procedural rules should be altered to avoid hardship and inconsistency</u>.

Rule 252(c)(2) presently provides that Regulation A shall be unavailable if the issuer is subject to a suspension order under Rule 261 entered in the previous five years. Under Rule 261, an order temporarily suspending the exemption may be entered if the Commission has reason to believe that (among other things) (1) any sales literature used in the offering is misleading; or (2) the offering is being made in violation of Section 17 of the ’33 Act; or (3) any terms or conditions of Regulation A have not been complied with; or (4) any underwriter of the offering has been indicted for any crime (within a certain category) or is subject to an injunctive proceeding (of a designated character) or has failed to cooperate in any investigation of the offering by the Commission. After notice and opportunity for hearing, the Commission may enter a permanent suspension order on any of the foregoing grounds.

The happening of any of the foregoing occurrences may be due entirely to the actions of an underwriter of a Regulation A offering, the issuer being entirely innocent. Yet for five years thereafter, the issuer (or any person holding the issuer’s securities) is barred from the use of Regulation A, unless the Commission takes affirmative action (under Rule 252(f)) to lift the bar. This procedure seems unnecessary. If a suspension order does not charge the issuer with action which is a ground for suspension, the order should be no bar to any future use of Regulation A by the issuer or by any person not so charged. Rule 252(c) should be amended accordingly.

Under Rules 252(c) and (d), Regulation A may not be used as to the securities of any issuer if

> (1) the issuer, any predecessor, or any affiliated issuer is subject to a postal fraud order, or
>
> (2) any director, officer, principal security holder, promoter, underwriter, or officer, director, or partner of such underwriter, of the issuer is subject to an injunctive order (of a certain category), is subject to a Commission order (of a certain designated kind) has been expelled from an exchange (American or Canadian) or the NASD, or is subject to a postal fraud order.

Other types of conduct on the part of the foregoing persons, <u>including criminal conviction</u>, operate to bar the use of Regulation A for a five or a ten year period only.

The rules should be amended to provide that Regulation A is barred for a maximum period not to exceed five or ten years, whichever is appropriate, absent relief granted by the Commission under Rule 252(f).

Under existing doctrine, a technical violation of the terms and conditions—for example, failure to file a report of the termination of an offering on time—results in loss of the Section 3(b) exemption for the entire transaction. The Study believes that the more appropriate result of such technical violations would be loss of the exemption prospectively.

5. Various changes in Form 1A (the "Notification") and Schedule 1 (the "Offering Circular") would improve disclosure and codify existing administrative interpretations.

The Study has made no attempt to draft revisions of the notification and offering circular required by Regulation A. However, a number of suggestions have been made which, in the opinion of the Study, would improve the disclosure elicited by those documents and codify existing administrative interpretations.

(a) The notification.

Minor alterations should be made in the notification to codify existing practices of the regional offices and to require disclosures not now called for (such as the address of the issuer.)

(b) <u>The offering circular</u>.

(i) General instructions analogous to those in ’33 Act registration forms should be provided for the offering circular.

(ii) Various items of disclosure should be revised to codify existing review practices in the regional offices and to clarify certain items. For example, the disclosure of intended use of proceeds could be made more meaningful, and a statement added that consolidated financial statements are required, where appropriate.

CHAPTER IX

THE BREAKTHROUGH IN DISSEMINATION OF ’34 ACT REPORTS

A. Introduction

B. The microfiche system installed at the Commission in the fall of 1968 portends a major change in the dissemination of ’34 Act reports and other disclosure documents.

   1. Development and current status of the Commission’s microfiche system.

   2. Other related developments in the uses of microfiche.

   3. Prospective developments in dissemination of corporate information.

C. Some implications of improvement in dissemination techniques and in the content and quality of ’34 Act reports.

   1. ’34 Act reports are likely to be widely used.

   2. The financial community should play a more significant role in communicating material information contained in ’34 Act reports to investors.

   3. It should be possible to define in clear and reasonable fashion an obligation on the part of a broker-dealer to obtain and assess material information about a security and its issuer prior to submitting quotations for such security.

CHAPTER IX

THE BREAKTHROUGH IN DISSEMINATION OF ’34 ACT REPORTS

A. Introduction

At the outset of its review of the disclosure requirements of the Federal securities laws, the Study recognized that it would be unwise to expand ’34 Act reporting requirements without first improving existing means of dissemination of these reports. This chapter discusses the rapidly developing dissemination systems which should facilitate wider, more economical and more rapid distribution of those reports and greater use of the information they provide.

B. The microfiche system installed at the Commission in the fall of 1968 portends a major change in the dissemination of ’34 Act reports and other disclosure documents.

1. Development and current status of the Commission’s microfiche system.

Methods for improving the dissemination of materials filed with the Commission have long been under consideration by the Commission’s Office of Records and Services. Soon after its organization, the Study also participated actively in the development of an improved dissemination program. Various methods were considered. The “microfiche” was selected.

A microfiche is a small rectangular sheet of film on which many pages of typed or printed matter can be reproduced in a grid pattern. Most business and government installations which employ microfiche today utilize a film approximately four by six inches in size which can accommodate up to sixty standard-size pages of material. Such microfiche can be read by means of relatively inexpensive desk-top readers which project the microfiche image on a screen the size of a standard page. Somewhat more expensive reader-printer equipment is available which can produce a full-sized copy of any page of material being viewed on the screen.

In 1968, based on the joint recommendation of the Study and the Office of Records and Services, the Commission adopted a program under which anyone can obtain microfiche copies of various documents filed with it from a government contractor. The microfiche are of the standard sixty-page size. Individual copies of particular documents may be ordered or orders may be placed for various packages of documents on a subscription basis. At the outset, all of the basic K reports and all quarterly reports of investment companies filed on Form N-1Q were made available on microfiche. In response to the requests of actual and potential subscribers, the contractor has recently undertaken to offer, in addition, microfiche copies of registration statements filed under the '34 Act on Form 10, annual and interim reports to shareholders, definitive proxy statements, effective registration statements under the '33 Act, and Form N-1R reports.

Microfiche are mailed to subscribers within five days after filing of the document, on a twice-weekly basis. Efforts are currently being made to reduce the time gap between the filing of a document and the mailing of microfiche copies.

The microfiche system supplements the hard copy reproduction service which the Commission previously offered to the public. This service enables anyone to obtain a copy of any public document filed with the Commission at a cost of 9¢ per standard page. The cost of a copy of a 60-page document is $5.40. By contrast, a microfiche of the same document, individually ordered, would cost 75¢. On a subscription basis, depending upon the size of the subscription package, the cost per microfiche varies between 50¢ and 23¢.

In addition to these important direct economies, storage problems are virtually eliminated. A microfiche library requires a tiny fraction of the space needed to house the same volume of material in conventional form.

2. Other related developments in the uses of microfiche.

Since the announcement of the Commission's microfiche system, other programs have been developed which offer microfiche copies of documents useful in investment analysis.

One firm offers microfiche copies of all materials filed with the New York Stock Exchange, including all K reports, all listing applications, all quarterly reports sent to stockholders, any registration statements and proxy statements filed with the Commission, all reports on Forms 3 and 4, and annual reports to shareholders. A subscriber has the option of receiving these materials monthly, quarterly or annually and the subscription cost varies accordingly.

A second firm in offering, on microfiche, the corporation files in the securities research library assembled over the years by Merrill Lynch, Pierce, Fenner & Smith, Inc. Varying amounts of information on some 15,000 corporations are available in these files. Subscribers can select various subscription packages, including all companies, all New York Stock Exchange listed companies, all Amex listed companies, all over-the-counter companies, and selected over-the-counter companies.

3. Prospective developments in the dissemination of corporate information.

The high reduction of images possible under modern photographic technology permits the reproduction of up to 10,000 standard size pages on a four-by six inch microfiche. Automatic, random access readers capable of holding cartridges containing a number of such microfiche, and permitting the reader to locate and display any one of many tens of thousands of pages, are on the market. Experiments have been conducted in the connection of such readers to a computer and their operation as computer peripheral devices. The addition of hard copy printout capability is technically feasible.

Whether machines such as the foregoing will be useful to the investment business in the foreseeable future is somewhat conjectural. They may be more readily suited to such applications as reference libraries specializing in medicine, engineering or law, where voluminous, relatively static materials are involved. Costs are high and are likely to remain so for some time. Nevertheless, microfiche technology is developing rapidly. It is entirely possible that less ambitious equipment employing individual microfiche containing up to 300 pages or so will be available and useful before long to the investment community.

Also of interest is the pace of development of computer-based financial information services. These services enable users of corporate information, particularly investment analysts, to tap vast quantities of data in a few minutes time, even though they may themselves be located at a point remote from the computer and its associated memory system. One such service now in operation permits access to historical financial information recorded on a computer tape for about 4000 companies. The presently available data includes some 60 separate items of financial information covering a period of 20 years for each company. The information is up-dated as new figures become available. An eventual goal is the coverage of every publicly held company.

Although the full meaning of these developments cannot be foreseen at present, they lend significance to an effort to make information filed with the Commission available to all on as inexpensive and as timely a basis as possible.

C. Some implications of improvement in dissemination techniques and in the content and quality of '34 Act reports.

1. '34 Act reports are likely to be widely used.

The Study inquired not only into the question of how '34 Act reports could be made more useful, but also whether, if made more useful, they would be more widely used.

Many representatives of the securities industry with whom the Study conferred contributed to the Study's conclusion that improvement in '34 Act reports (the subject matter of the next chapter), combined with their prompt availability on microfiche, can be expected greatly to enhance their importance in the disclosure pattern.

An informal survey was conducted for the Study by a Committee of the Financial Analysts Federation, including one or more representatives of such varied users of information as brokerage firms, banks, investment companies, insurance companies, investment advisory firms and foundations. These representatives indicated that at present their organizations made only meager use of '34 Act reports filed with the Commission. Eighty percent of this group, however, advised the Study that their organizations could be expected to subscribe for and make significant use of all or a major portion of the '34 Act reports filed with the Commission if such reports were both improved in content and available on microfiche at the prices outlined in the first section of this chapter.

2. The financial community should play a more significant role in communicating material information contained in '34 Act reports to investors.

Improved content and accessibility of '34 Act reports will, in the nature of things, tend to enhance the obligation of broker-dealers to make sure that material information in such reports is fully considered in recommending securities to investors.

Expanding upon this proposition, Milton H. Cohen, formerly Director of the Commission's Special Study of the Securities Markets, observed in 1966:

> . . . for the most part the public's access to the disclosure files is and must be an indirect one, through the medium of the organized financial community of registered broker-dealers and investment advisers. This is as appropriate as it is

inevitable: while the disclosures are provided for the investing public and not the financial community as such, the latter is an essential middleman in seeking out, digesting, and evaluating data that would otherwise be far too voluminous to be of real use to most investors. Two types of obligations of this "middleman" community might well be established by regulations of the SEC or the self-regulatory bodies, the precise limits to be defined and refined from time to time in light of, among other things, improving techniques and changing economics of data dissemination: (1) obligations to consult the public file in connection with representatives or recommendations to customers regarding particular securities, and (2) obligations to communicate what is in the public file, in limited areas or on specified occasions of special importance.[1/]

Mr. Cohen's comments parallel a recommendation of the Special Study:

The importance of disclosure for the protection of investors has long been recognized in securities regulation, and it is of particular value in connection with selling practices. The present mandatory, officially filed disclosures by issuers (reports and proxy statements), extended and improved as recommended in chapter IX, should have wider and more prominent use in selling activities, and the obligations of broker-dealers in this regard should be appropriately defined by the self-regulatory agencies and the Commission. These obligations might include such matters as: actually consulting available officially filed data prior to recommending or selling specific securities; furnishing copies to customers in appropriate cases; and advising customers whether officially filed information is available with respect to any security recommended for purchase.[2/]

[1/] "Truth in Securities" Revisited, 79 Harv. L. Rev. 1340, 1377-78 (1966).
[2/] Report of the Special Study of Securities Markets of the Securities and Exchange Commission, H.R. Doc. 95, 88th Cong., 1st Sess., pt. 1 at 329.

More recently, Professor Robert L. Knauss picked up the same thread:

> I would think that the SEC could impose a rule which would . . . set forth what minimum investigation is needed in order for the broker-dealer to have an adequate basis for any recommendation he makes concerning a security. Specifically, I suggest the commission state that in the normal situation a broker-dealer should investigate the most recent material filed with the commission -- including the most recent Form 10K, and proxy statement -- and this be considered an adequate basis for a recommendation.[3/]

The Study has given careful consideration to these suggestions. It is believed desirable for the Commission and the financial community to have the benefit of a brief period of experience with the new dissemination techniques, and with improved '34 Act reports, before specific rules are proposed. During that period, it would be also helpful to compare a representative sample of such reports with market letters and other literature distributed by the financial community regarding the reporting companies. Following this, the Commission and the self-regulatory organizations of the securities industry should give careful thought to steps which would insure that material information in reports filed with and made available by the Commission is adequately utilized by the brokerage community.

[3/] Knauss, Disclosure Requirements -- Changing Concepts of Liability, 24 Bus. Law. 43, 52 (Nov. 1968).

Cf. Heller, "Integration" of the Dissemination of Information Under the Securities Act of 1933 and the Securities Exchange Act of 1934, 29 Law and Cont. Prob. 749, 765-66 (1964); Securities Act Release no. 4445 (February 2, 1962).

3. It should be possible to define in clear and reasonable fashion an obligation on the part of a broker-dealer to obtain and assess material information about a security and its issuer prior to submitting quotations for such security.

The obligation of a broker-dealer to consider available information concerning a security before submitting a quotation to an inter-dealer wholesale quotation service (generally the "Pink Sheets" prepared by the National Quotation Bureau, Inc.) is unsettled. Broker-dealers presently can trade by the numbers, i.e., submit bids or offers for securities based solely on the apparent market activity for a security, as indicated by the quotations of other dealers, with no knowledge as to the issuer or its business. Such a practice can play into the hands of the unscrupulous. The Special Study observed that --

> Quotations even of nonexistent companies have on occasion slipped by . . .
>
> * * * *
>
> The quotations . . . do not indicate whether a company is in bankruptcy or furnish other highly pertinent data about it . . . many companies quoted have been liquidated, dissolved or merged without notation of this fact in the sheets.[4/]

The National Quotation Bureau, Inc. is engaged in discussions with the staff of the Division of Trading and Markets as means of improving its standards relating to securities quoted in the "pink sheets." It is not, however, equipped adequately to police the quotations submitted by broker-dealers.

[4/] Id. Pt. 2 at 664; see also pt. 2 at 603-604.

The responsibility for obtaining and considering available information lies, in the first instance, with the broker-dealer submitting the quotation. It has been suggested that, as a minimum, a broker-dealer may have an obligation under the securities laws to consider the following categories of information before quoting a security: the identity and location of the issuer, the market for the security, financial information of the issuer, the market for the security, financial information concerning the issuer (preferably a recent balance sheet and profit and loss statement), the current nature of the issuer's operations, and whether or not the issuer files periodic reports with the Commission. It may be necessary for the Commission to give consideration to adoption of appropriate rules for this purpose.

Improved methods of dissemination of '34 Act reports should assist broker-dealers in meeting their obligations in this area.

CHAPTER X

REGISTRATION AND REPORTING UNDER THE ’34 ACT

A. Introduction

B. Basic criteria for ’34 Act registration and reporting forms reexamined

1. Reports should be as timely as is practicable without imposing unreasonable burdens on reporting companies

2. Registration statements and reports should be designed to provide information of maximum utility to investors and their advisers

3. Disclosure documents should be coordinated to avoid repetition

4. The format of ’34 Act reports and registration statements should be compatible with microfiche reproduction and procedures for electronic compilation, storage and retrieval of information concerning a registrant

C. Categories of information reviewed from the standpoint of the frequency of reporting

1. The ’34 Act Form Chart (Appendix X-1): an aid in reviewing the Study’s recommendations

2. Business

3. Earnings

4. Capital structure

5. Property

6. Management and control

7. Description of securities

8. Other financial information

9. The market for the registrant's securities

10. Material legal proceedings

11. Significant corporate documents

D. Form 10 -- the initial public reservoir of data concerning a company (Appendix X-2)

1. Recommended changes in format

2. Recommended changes in content

(a) Sales and income by lines of business

(b) Other business information

(c) Summary of earnings

(d) Source and application of funds statement

(e) The market for the registrant's securities

(f) Financial schedules

(g) Miscellaneous changes

E. Form 10-K -- An annual updating of information concerning a company (Appendix X-3)

1. Recommended change in filing date

2. Recommended change in format

3. Recommended changes in content

(a) Sales and income by lines of business

(b) Other business information

(c) Summary of earnings and statement of source and application of funds

(d) Property

(e) Management

(f) Miscellaneous changes

F. Form 10-Q – A recommended quarterly report to replace Forms 8-K and 9-K (Appendix X-4)

1. Quarterly financial reporting

2. Filing date

3. Recommended format of Form 10-Q

CHAPTER X

REGISTRATION STATEMENTS AND REPORTS UNDER THE '34 ACT

A. Introduction

In previous portions of this report, the Study has stressed the interdependence of its recommendations. Thus, the improvement in '34 Act reporting would provide continuing sources of disclosure which could act, to a larger degree, as an acceptable substitute for the special and, at best, occasional disclosures produced under traditional '33 Act practice. Such recommendations of the Study as permitting limited brokerage sales of the privately purchased securities of reporting companies, extending the availability of Form S-7 to a much larger category of issuers, and eliminating the post-effective prospectus delivery requirement for securities of reporting companies, all anticipate substantial improvement in '34 Act reporting.

The phrase "improvement in '34 Act reporting" has at least three aspects: (1) more comprehensive reporting forms, (2) better administration and enforcement of requirements relating to the preparation and filing of such forms. This chapter deals primarily with the first of these aspects. The second will be dealt with in Chapter XII. The third has already been discussed in Chapter IX.

In seeking ways to improve the reporting forms, the Study concentrated its effort on those of primary importance: Forms 10, 10-K, 9-K and 8-K.[1/] Careful review was given to suggestions relating to these forms which were received from many quarters. Some of these, intended to further the concept of "continuous disclosure", appeared to involve burdens which outweighed the expected benefits to investors. For example, the Study concluded that continuous reporting of information equivalent to that found in a Securities Act prospectus on a monthly or even quarterly basis was impracticable. The Study also considered it unduly burdensome for the timely disclosure policies of self-regulatory organizations to be duplicated by requiring that current reports be filed with the Commission immediately on the happening of a reportable event. A number of other suggestions (such as requiring a full description of a company's business in the annual proxy statement) were not adopted because they were inconsistent with the objective of avoiding unnecessary duplication of disclosure.

One aspect of the Study's work is not treated in this report. In the spring of 1968, the Study carefully reviewed the possibility of

[1/] The limited facilities of the Study prevented a comprehensive review of all reports and statements required to be filed under the '34 Act. Documents not subjected to critical review include reports required to be made by foreign issuers, reports designed for issuers subject to regulation by certain other government agencies, and various other forms and reports designed for limited purposes.

applying EDP techniques to the processing of ownership reports filed with the Commission pursuant to Section 16(a) of the '34 Act. A combined memorandum reflecting the views of the Study and those of the staff was forwarded to the Commission well in advance of the submission of this Report, since the need for implementation of the recommendations was critical.

The memorandum (1) pointed out the vast increase in the number of ownership reports (from approximately 20,000 in fiscal 1950 to approximately 94,000 in fiscal 1968), (2) noted the grave difficulties being experienced by the Section of Ownership Reports with monthly publication of the Official Summary of Securities Transactions ("Monthly Summary"), and the lapse of enforcement efforts, (3) provided a detailed plan for automating the recording and examination of ownership reports and the publication of the Monthly Summary, (4) listed the advantages of an automated system, including better administration and enforcement of the law and a more complete reporting of transactions in the Monthly Summary, and (5) estimated the costs of the system.

The Commission approved the recommendations.

The Study has one further suggestion to make relative to ownership reports.

Should the Commission adopt the Study's recommendations in Chapter VI relating to secondary offerings, a revision of Form 4 is recommended to require those who must file reports on that form to designate (possibly by a simple check mark) sales made under the provisions of Rule 162(b). The information thus elicited would be of assistance to the Commission in reviewing the operation of Rule 162, and in providing statistics which could well be relevant in considering any possible revision of the quantity limits imposed by that rule.

B. Basic criteria for '34 Act registration and reporting forms reexamined

1. Reports should be as timely as is practicable without imposing unreasonable burdens on reporting companies

It is axiomatic that informational reports intended to promote the objective of informed public markets should be as timely as circumstances permit. Many persons who consulted with the Study questioned the lengthy interval (120 days after the close of the fiscal year) permitted by the Commission for the filing of the 10-K report. They advised that the report would be far more useful, and would have greater impact on the information made available to shareholders and investors, if it were required to be filed at an earlier date. As explained more fully below (at pp. 352-4), the Study concluded that an earlier filing date for the annual 10-K report is both practicable and desirable.

There is growing recognition in the investment community of the need for prompt, current reporting by publicly-held corporations of material changes in their affairs. Both the New York and American

Stock Exchanges have recently revised and expanded their so-called "timely disclosure" policies.[2] These policies are informal in nature. They do not require the filing of specific, written reports. They depend on their implementation upon an active stock watch program.[3]

The Commission's current reporting requirements necessarily play a somewhat different role. They are not intended to, nor could they adequately, duplicate the timely disclosure policies of the self-regulatory agencies. Commission requirements act to a degree as a backstop for those policies; they operate to encourage willingness on the part of issuers to keep the market place informed. They provide details which may be overlooked in the preparation of a news release or may not be included in a published news report. The Study attempted to balance the requirements which it considered essential for meaningful current reports against the time to be allowed for filing them. It also considered how such reports could be best coordinated with other sources of disclosure. The conclusion reached was that a regular, quarterly report would be more useful than the present, irregular 8-K report.

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[2] NYSE Company Manual, pages A-18 through A-27, revised July 19, 1968. American Stock Exchange Company Guide, pp. 101-108.

[3] The NASD also has a timely disclosure policy applicable to corporations whose securities are quoted in its national list. Unfortunately, it has lacked surveillance facilities in the past. The Study hopes that when the new NASDAQ system goes into effect, the NASD will allocate the facilities and resources necessary to effective implementation of its timely disclosure policy.

Both the Commission's staff and interested investors would know when to expect a regular report whereas, at present, neither has any idea when a particular issuer will file its next 8-K report.

One exception to the proposed filing of current information on a quarterly basis is recommended by the Study. That exception concerns the report of a significant acquisition or disposition of assets. The Study is of the opinion that such a report is of sufficient importance to investors to justify a requirement that it be filed within 10 days after execution of a written agreement relating to such acquisition or disposition.

2. Registration statements and reports should be designed to provide information of maximum utility to investors and their advisers

Lengthy conferences were held with various groups to explore the value and utility of '34 Act reports. Representatives of securities firms, institutional investors and investment advisers who conferred with the Study agreed that Form 10-K, despite its present limitations, was by far the most useful of the '34 Act report forms. They advised that no general use was made by them of 8-K reports. Copies of such reports were looked at only on relatively rare occasions as, for example, when a firm was designated the managing underwriter of a public offering and deemed it appropriate to make a detailed study of the issuer. They commented on the fact that large numbers of 8-K reports contain only one item of information, usually of little or no value in security analysis.

The Study has attempted to make current reports more useful to investors and their advisers. One of the principal omissions in the pattern of '34 Act reporting mentioned by those with whom the Study conferred, including members of the accounting profession, was the absence of a quarterly summary of basic financial information prepared in accordance with reasonably specific standards. They Study recommends that this gap be filled (see pp. 357-8, infra.). In annual reports, the principal omission relates to disclosures concerning a registrant's business. The proposed revision of Form 10-K would remedy that defect. The Study questioned the utility of certain existing requirements. For example, it appears that detailed disclosures as to subsidiaries (required in Forms 10 and 10-K) could be simplified. Disclosure of management remuneration has been geared for over fourteen years to a $30,000 per year figure; in the Study's judgment, that figure could now be raised to at least $40,000.

In the interest of greater utility, Forms 10 and 10-K have been redesigned:

(a) To group this information in the two forms consistently, each item being given the same numbered designation in both forms; and

(b) To arrange the various items of information in what generally appears to be the order of their importance.

3. <u>Disclosure documents should be coordinated to avoid repetition</u>

Coordination has long been an objective of the Commission in shaping its disclosure policies. Incorporation by reference of documents previously filed is widely permitted by the present forms. Information supplied in a proxy statement need not be repeated in a 10-K report. Other instances could be mentioned; for example, detailed information as to stock options granted to employees (as distinct from officers and directors) has been omitted from the proposed revised Form 10, in view of (1) the disclosures as to options required in the notes to the financial statement, (2) the required submission of any option plan as an exhibit to the form, and (3) the requirement that the dilutive effect of outstanding options be reflected in the summary of earnings.

4. <u>The format of '34 Act reports and registration statements should be compatible with microfiche reproduction and procedures for electronic compilation, storage and retrieval of information concerning a registrant</u>

This objective required attention to three items:

<u>First</u>, in order to permit microfiche reproduction, the pages of a report should be of standard 8 1/2" by 11" size, and large fold-out pages should not be used. Rule 12b-12(a) should be amended accordingly. Financial statements requiring more than a single page should

be shown on opposing or successive pages.

Second, if incorporation by reference is to be compatible with microfiche reproduction, a copy of the document, or pages of the document, containing the data so incorporated, should be physically attached to the filing. Balancing the interests of users of microfiche copies of Commission reports against the interests of registrants, however, the Study would exempt from the requirement of physical attachment all material incorporated by reference as an exhibit to a registration statement or report, such as by-laws, indentures, and material contracts.[4/]

[4/] It is not practicable at present to photograph and disseminate bulky exhibits through the Commission's microfiche system. Certain basic documents such as charters, by-laws, indentures and material contracts will therefore not be readily available to interested persons on microfiche. The task of locating such documents at the present time can be very difficult. For example, although a company's by-laws were filed originally as an exhibit to a registration statement on Form 10, changes in those by-laws might be included in any number of annual or current reports.

In order to provide ready access to important documents, the Study strongly recommends expansion of the basic documents program on which a beginning has been made by the Office of Records and Services. Under that program, established to implement the records disposal policies reflected in Rule 24(b) of the Commission's Rules of Practice, separate files designed "X Company SEC Basic Document File" are being erected for the retention of all documents designated in writing by the company as being basic (such as articles of incorporation, by-laws and long term contracts). This program should be expanded to provide (1) for Commission designation of the categories of documents to be included in the basic document file and (2) for the regular inclusion of all materials updating such documents. As an interim measure, the first 10-K filed by each company under the revised reporting requirements should identify the location in the Commission's files of each of its designated basic documents.

Third, if the Commission is to make full use of its EDP facilities in cross-referencing related files, checking noncompliance situations, developing better indices, and producing compilations of statistical and economic data, a so-called "summary sheet" prepared by the registrant should accompany each filing. Appropriate forms for this purpose have been published for consent.

C. Categories of information reviewed from the standpoint of the frequency of reporting

1. The '34 Act Form Chart (Appendix X-1): an aid in reviewing the Study's recommendations

To assist in reviewing the Study's recommendations and to facilitate comparison of the forms and their proposed requirements, a chart has been prepared which will be found in Appendix X-1. The chart lists major categories of information and describes the extent to which such information is proposed to be required in Forms 10, 10-K and 10-Q (the proposed quarterly report form).

2. Business

A description of the registrant's business and of the development of that business in the recent past should be (and now is) required on initial registration. There is presently no provision, however, for a description of important aspects of the registrant's business in the annual updating process. This should be changed. It is a close question whether any material change in a registrant's business should be required to be described in current reports. The Study reached the conclusion that only specified, highly significant changes (such as a material acquisition or disposition of assets) should be required to be reported on Form 10-Q.

For many of today's corporate enterprises, the key to an understanding of the business and an appraisal of its future prospects is breakdown of revenues and, to the extent feasible, of profits by separate lines of business. All those engaged in security analysis to whom the Study spoke referred to this data as of crucial importance. Last fall, the Commission proposed to add the requirement of such a breakdown to Form 10.[5/] That proposal remains under active consideration. When the Commission determines the final formulation of the requirement, it should also be added to Form 10-K.

3. Earnings

No single aspect of a registrant's business is of more interest to investors than its earnings. A five year summary of consolidated

[5/] Securities Act Release No. 4922 and Securities Exchange Act Release No. 8397 (September 4, 1968); revision of proposal published for additional comment, Securities Act Release No. 4949 and Securities Exchange Act Release no. 8530 (February 18, 1969).

earnings should, in the Study's judgment, be required on initial registration as in a '33 Act registration statement. A running 5-year summary should also be provided annually. Condensed, unaudited earnings data should be supplied for each of the first three quarters of the fiscal year. In light of the estimates which must be made in preparing interim earnings statements, they should not be subject to liability under Section 18 of the '34 Act.

4. Capital structure

No separate capitalization table is needed either in the initial registration statement or in the annual updating report. The required financial statements provide the necessary capitalization information. A short statement of capitalization and shareholders' equity in quarterly reports, however, will permit a more adequate analysis of a registrant's financial position than is possible today. There appears to be no reason why information as to a company's indebtedness, of obvious significance to investors, should be made available only once a year -- sometimes following the application of certain cosmetic procedures. Moreover, significant changes in the amount of outstanding securities of any class should be highlighted in quarterly reports, with a brief description of the transactions involved.

5. Property

A brief description of property should accompany an initial filing. Of particular importance is the disclosure of data essential to an analysis of the resources of a company engaged in an extractive industry. This, of course, includes information relative to reserves.

A similar brief description should be provided on an annual basis, including such data as is practicable concerning the resources of extractive industries. There are, however, a number of problems connected with obtaining annual information on extractive reserves, despite its importance to an evaluation of reported annual earnings. The Study recommends that this issue be further explored with the assistance of the Commission's engineers and qualified consultants from industry. It may be found practicable to obtain this data on a periodic basis (for example, every three or five years, unless the registrant has filed a registration statement on Form S-1 in the interim) without imposing a burden out of line with the interests of investors. It may also be practicable in the 10-K report to ask for reserve data on any material new ore body, or oil or gas field, brought into production during the preceding fiscal year. These matters were not capable of resolution by the Study prior to the submission of this report.

On a current basis, information should be required as to the acquisition or disposition of material amounts of assets.

6. Management and control

Information as to directors and officers, their remuneration, their interests in transactions with the registrant, arrangements for their indemnification, and the names of principal holders of securities, should be given on initial registration. Most of this information is provided annually in the proxy statement; it need not be repeated in Form 10-K. Pertinent information should be requested on a more frequent basis as to any new directors or officers, together with data on the interest of any director, officer, or 10% shareholder in any material acquisition or disposition of assets.

Parents and subsidiaries of a registrant should be shown on an initial filing and in the annual updating. Information as to changes in control and as to any contracts or arrangements known to the registrant which may result in a change in control should be reported on a current basis.

7. Description of outstanding securities

Securities registered will be described in the initial filing. Repetition of such description does not appear essential on an annual basis but a reference to where such description may be found might be helpful. Any modification of the rights of holders of outstanding securities should be described in a quarterly report which would include as exhibits, copies of the instruments which accomplished such modification or which authorized any new class of securities.

8. Statement of financial position and other financial information

Balance sheets and the schedules required by Regulation S-X should be required both on initial registration and annually. On a current basis, financial statements of an acquired business which meets an appropriate size test should be required, as is the case today. A statement of the source and application of funds should be provided in the initial registration statement and in the annual report.

9. The market for the registrant's securities

On the initial Section 12(g) registration only, a company should be required to furnish information as to the trading market for its securities, together with representative share price information for a reasonable period.

10. Material legal proceedings

Material legal proceedings should be described in the initial registration statement and the status of pending proceedings should be disclosed annually. Any new proceedings, material interim orders or actions in pending proceedings, and termination of proceedings previously disclosed, should be reported currently.

11. Significant corporate documents

Important corporate documents should be filed as exhibits to the initial registration, as they are now. Changes would be supplied annually, except that certain designated documents relevant to items specified for quarterly reporting, such as material amendments to the registrant's charter or bylaws, would be supplied as exhibits to the appropriate quarterly reports.[6/]

D. Form 10 -- the initial public reservoir of data concerning a company (Appendix X-2)

Form 10 is the foundation of disclosure under the Exchange Act for registrants which have not previously filed a '33 Act registration statement. It is the filing through which information about the operations and finances of companies which have become sufficiently widely held to meet the minimum standards of Section 12(g) is first made publicly available. Although not required to be circulated directly to investors, it is expected that as a result of faster and more economical methods of dissemination, Form 10 will achieve increased significance in the disclosure system of the federal securities laws.

[6/] These documents would then be incorporated in the issuer's basic document file described in note 4 on page 336.

1. Recommended changes in format

The proposed revision of Form 10 set forth in Appendix X-2 would rearrange the items of the form in their order of importance. Two of the present items would be combined with other items so that the revised Form 10-K can follow a similar numbering pattern. These items (neither of which is required annually) are: (1) organization, which would be included under "Business" and (2) transactions with promoters where the registration statement is filed within five years of initial organization, which would be included under "Management."

2. Recommended changes in content

(a) Sales and income by lines of business

As mentioned previously, this highly significant addition is presently under consideration by the Commission.

(b) Other business information

In order to aid the registrant in describing its business, certain specific items (which reappear in the revised Form 10-K) have been added to the instructions. These are:

(i) The dollar amount of backlog of firm orders as of a recent date, and as of a comparable date in the preceding fiscal year, together with an indication of the proportion thereof not reasonably expected to be filled within the current fiscal year, and any seasonal or other significant aspects of the backlog.

(ii) The sources and availability of raw material essential to the business.

(iii) The importance and effect of all material patents, licenses, franchises and concessions held.

(iv) Any material research activities relating to the development of new products or services or the importance of existing products or services. If research activities are described, an estimate is requested of the dollar amount spent during each of the last two fiscal years on such research which was company-sponsored and on that which was customer-sponsored and an indication of the approximate number of professional employees engaged full time in each such category of activity during each such fiscal year.[7/]

(v) The number of persons employed by the enterprise.

[7/] The importance of specific information as to research activities was stressed by all who conferred with the Study. Some companies provide generalized information on so-called research activities which may include expenditures on such aspects of business as quality control. Others give glowing descriptions without figures, or fail adequately to compare the scope of research activities with prior years. The results can be misleading. The American Institute of Certified Public Accountant has, as one of its current projects, the development of a definition of research and development. This work is not yet complete. The language of the requirement drafted by the Study is designed to provide a reasonable degree of certainty without being overly restrictive.

(c) Summary of earnings

A 5-year summary of earnings, similar to the summary usually contained in a '33 Act registration statement, has been substituted for the three year profit and loss statement presently required.

(d) Source and application of funds statement

This recommendation parallels a similar suggestion for the prospectus, and is made for the same reason. (See Chapter III at pp. 90-91).

(e) The market for the registrant's securities

Information as to share price levels and movements is highly relevant to an appraisal of the registrant's securities for investment purposes. It is required in the prospectus and should be included in Form 10.

(f) Financial schedules

It is clear to the Study that certain of the schedules required by Regulation S-X to be included in Form 10[7a/] are in need of careful re-evaluation. The Study was not equipped to conduct such re-evaluation, however, and is in a position to submit only a few suggested areas for possible change. Many advances in financial reporting have occurred since the requirements for the schedules were first developed, and a

[7a/] The same schedules are required for Form 10-K.

review of the schedules in light of these advances would be productive.

There is enormous variation of opinion as to the value of a number of the schedules in investment analysis. Generally speaking, financial analysts believe the schedules contain essential information. Many accountants question this judgment. A committee of the AICPA has submitted to the Commission a series of recommendations for revision of Regulation S-X, including the requirements as to schedules. It would be desirable, in the opinion of the Study, for the Commission to convene a series of meetings between members of its staff and representatives of the AICPA, the Financial Analysts Federation, and the Financial Executives Institute to accomplish a revision and simplification of the schedules.

At the request of the Study, a special committee of the AICPA conducted an informal survey regarding the time necessary for the preparation of the schedules, and in particular Schedule XVI (Supplementary Profit and Loss Information). The variation between individual registrants and accounting firms was so large that no very helpful conclusions could be driven from this survey. However, it was apparent that in a large number of instances Schedule XVI consumed more hours in preparation than any other schedule. For this reason, pending possible simplification of that schedule, the Study recommends that registrants be permitted the option of filing Schedule XVI separate from the rest of the 10-K report and with a later due date. See pp. 352-3, infra.

A number of accountants (through a special committee of the AICPA), the Committee on Corporate Reporting of the Financial Executives Institute, and individual financial analysts discussed with the Study their views as to certain of the schedules, or provided the Study with informal written opinions. The Study submits the following brief comments for further consideration in connection with the program, recommended above, for revision of the schedules:

(1) In general, consideration should be given to the extent to which certain information required by several of the schedules could be simplified in light of the proposed requirement of a statement of the source and application of funds.

(2) The $20,000 limitation relating to Schedule II might well be raised, and consideration given to whether information as to the due date, interest rate, collateral (if any) and terms of payment of reported loans would be pertinent.

(3) Consideration might be given to the inclusion of 50% owned persons in Schedule III.

(4) Schedule VI should be reviewed in light of the information required to be provided in financial statements by APB Opinion No. 12. Consideration should be given to the question whether depreciation methods and rates should be shown. It is questionable whether the detail as to the accounts to which additions to reserves are charged is essential.

(5) A question is raised as to the need for detail on the accounts to which additions to reserves are charged in Schedule XII.

(6) The essential data required by Schedule XIV should be in a note to the financial statements rather than in a separate schedule.

(7) With regard to Schedule XVI the need for all of the detail under Columns B and C is questioned. The need for information on maintenance and repairs, in light of the practical aspects of gathering the necessary data, is questioned; in any event, a materiality test, expressed in terms of a percentage of total expenses, would seem appropriate. A materiality test should also be developed for management and service contract fees and for taxes other than income taxes. On the other hand, the Study believes that careful consideration should be given to two items not referred to in Schedule XVI which can be highly significant in the analysis of profit and loss information in certain cases. In some industries (toiletries, liquor, packaged goods, etc.), it is extremely difficult to determine the quality of reported earnings without information as to expenditures for advertising. Such expenditures may vary substantially from period to period and may constitute a major portion of total expenses. Subject to an appropriate materiality test which would limit the requirement to industries such as those mentioned above, advertising expense should be shown. Research and development expense is of similar significance in certain industries. Subject to a determination of those particular expenditures which should

be included under "research and development," a project on which a committee of the AICPA is presently working, and subject also to an appropriate materiality test, this data would be important. Finally, it should be made clear that if any portion of the data required in the schedule is furnished in any other schedule or in the financial statements and notes, that portion may be omitted in preparing Schedule XVI.

(g) Summary of miscellaneous changes

The Study's other recommended changes of any significance in the content of Form 10 can be summarized as follows: Property -- The expiration dates of material leases should be disclosed. Pertinent information needed by investors concerning extractive industries should be specified more clearly; the Study has worked with the Commission's engineers in developing new instructions for this purpose; Control -- The existence of pledges of securities or similar arrangements affecting control of the issuer should be disclosed. The names of consolidated or totally held subsidiaries could be omitted in certain situations; Principal holders of equity securities -- Information comparable to that required by Form S-1 should be provided as to the aggregate holdings of officers and directors as a group; Officers and directors -- Additional information bearing upon the experience and background of directors and executive officers should be required, consistent with the similar change proposed for the prospectus. See Chapter III at pp. 93-95. The term "executive officer" should be redefined to include only those vice presidents who have charge of a principal business function, such as sales, administration, or finance; Options -- A simplified method of disclosing options held by management, consistent with the proxy rules, would be appropriate; Transactions with management -- This item would be revised to conform to the proxy rules.

E. Form 10-K -- An annual updating of information concerning a company (Appendix X-3)

Form 10-K has not fulfilled its proper role in the pattern of disclosure. Other sources of information are now more timely and in many respects more informative. The Study recommends that the usefulness of Form 10-K be increased primarily by requiring it to update significant business information and to be filed at an earlier date. As more fully discussed in Chapter XI, the problem of the misleading annual report to shareholders will, it is believed, be lessened by improvement in Form 10-K.

1. Recommended change in filing date

The Study conferred with groups of securities analysts, accountants, corporate officials, and representatives of the major stock exchanges concerning the timing of the filing of the 10-K. As a result of these conferences, it appears that the 10-K could be filed earlier than is now required. Several accountants informed the Study that improved auditing methods now in use can greatly reduce any burden imposed by timelier reporting requirements, even for smaller companies. In addition, representatives of the major stock exchanges and a number of analysts expressed the view that there is a definite trend toward earlier publication of annual reports to shareholders. Ninety-eight percent of all companies with securities listed on the New York Stock Exchange and a significant number of companies with securities listed on the Amex published annual reports to shareholders for 1967 within 90 days or less following fiscal year-end. The Study has found no major differences between financial statements in reports to shareholders and those in 10-Ks, except for the schedules required by the latter form.

The Study recommends that the 10-K be required to be filed no later than 90 days after the close of the fiscal year. In order to coordinate the availability of the 10-K report with that of the annual report to stockholders (see Chapter XI), the 10-K should be filed no later than 5 days after publication of the annual report to stockholders if such publication takes place within 90 days after the fiscal year-end. To ease the transition from present requirements, the Study recommends that the proposed 90-day filing deadline not become effective until one year after its adoption. In addition, the revised form provides that Schedule XVI to the financial statements, which is time consuming to prepare, may at the registrant's option be filed separately at a later date no more than 120 days from the end of the fiscal year.

2. Recommended change in format

The disclosure items in the proposed revision of Form 10-K have been numbered to track the corresponding items in Form 10. (See discussion on pp. 334 and 344 of this Chapter.)

In order to provide easy reference on microfiche to the information available in the Commission's files concerning reporting companies, the Study recommends that the first 10-K report filed by each company on the revised form contain a response to each item of the form without referring to previously filed material, and also contain a list identifying all currently significant exhibits.

3. Recommended changes in content

(a) Sales and income by lines of business

This most important addition to Form 10-K has already been discussed (at 338).

(b) Other business information

Rule 14a-3 of the Commission's proxy rules permits a company soliciting proxies in compliance with those rules to omit any information concerning its business from its 10-K. It was at one time believed that adequate information on this subject would be provided in the annual report to shareholders which must accompany or precede the proxy statement. The Study's review of annual reports to stockholders, however, led to the conclusion that a substantial proportion of such reports do not contain adequate current business information.

It is therefore recommended that Form 10-K be revised to require disclosure of specific current developments in a company's business. A repetition of the business history required in Form 10 (and also by Form S-1) would not be called for, nor would it be necessary to arrange the information given in any particular narrative form, as would typically be done in preparing a Form S-1.

(c) Summary of earnings and statement of source and application of funds

For the reasons discussed on pp. 338-9 of the chapter, Form 10-K should be revised to require a five year summary of earnings and a statement of the source and application of funds.

(d) Property

Form 10-K does not presently provide for any updating of information relating to properties. It is recommended that the form be revised to include a brief updating. Where mining is of material importance, production data and (if material to evaluation of mine properties) average grade of ore and cost per ton data are, in the

Study's judgment, both practicable and useful to investors. Where oil and gas operations are of material importance, production, gross and net wells and producing acres, and certain associated data would be similarly practicable and useful. As previously mentioned at p. 340) further work and consultation with industry representatives are required to determine whether -- on same appropriate, periodic basis -- information as to reserves should be furnished. The draft revision of Form 10-K does not call for reserve data.

(e) Management

Most of the required information relating to management is disseminated by reporting companies to their stockholders in proxy or information statements. Only a company which does not file a proxy or information statement relating to an annual meeting of shareholders should be required to report such management information on Form 10-K. Necessary changes have been made in the revised Form 10-K so that its requirements will be consistent with the comparable items in Regulation 14A.

The revised Form 10-K also provides for an annual list of all officers of the registrant whether or not a proxy or information statement is filed.

(f) Miscellaneous changes

The following are the more significant miscellaneous changes in Form 10-K recommended by the Study: Description of securities -- The registrant would be asked each year in its 10-K report to identify and indicate the location in material previously filed with the Commission of the most recent description of its registered securities; Pending legal proceedings -- Form 10-K should be revised to require disclosure of the status of pending legal proceedings; such disclosures would coordinate with the disclosures as to such proceedings required by Form 10 and the proposed Form 10-Q; Exhibits -- As discussed on p. 336 of this chapter, the first 10-K filed by all registrants under the Study's proposed requirements should identify those documents previously filed with the Commission containing all currently significant exhibits required by the form; Holders of equity securities -- This information should be reported as of the end of the fiscal year to coordinate with the jurisdictional requirements of Sections 12(g) and 15(d) of the '34 Act; Schedules -- See p.. 346-350, supra.

F. Form 10-Q – A recommended quarterly report to replace Forms 8-K and 9-K (Appendix X-4)

The background of the Study's recommendation that a new quarterly report form be adopted to replace Forms 8-K and 9-K appears at an earlier point in this chapter (at pp. 332-3). Briefly, 8-K reports are unscheduled. An individual report may or may not cover an item of interest to investors or their advisers at the time the report is filed. For these reasons, they are not widely used. Moreover, it is impossible for the Commission's staff to know, on a routine basis, whether or not a particular issuer has complied with the filing requirement. Many persons advised the Study that a combination of 8-K items with a meaningful summary of financial data on a quarterly basis would be of great usefulness to investors.

1. Quarterly financial reporting

More and more publicly-held corporations are releasing condensed quarterly financial information. Both the New York and American Stock Exchanges require publication of such information by all listed companies, although the standards which they set for such information are minimal. The Study carefully examined a significant sample of quarterly financial reports and releases provided by the two exchanges. It was readily apparent (and acknowledged by representatives of the exchanges) that they varied from extremely useful to extremely poor and uninformative.

Conferences were held by the Study with accountants representing both large and small firms throughout the country, with members of a special committee of the Financial Executives Institute, and with the American Society of Corporate Secretaries, regarding the feasibility of condensed quarterly financial reporting. The general opinion was to the effect that such reporting was entirely feasible for all companies presently subject to Form 9-K requirements.

It was concluded that a useful advance in disclosure policy could be achieved by developing standards for quarterly financial reporting.

2. Filing date

It is proposed that Form 10-Q be filed no later than 45 days after the close of the registrant's fiscal quarter.[8/] The financial portion of the report (Part II) would not be required to be filed for the fourth quarter.

As mentioned previously (at p. 333) one exception to the foregoing is recommended: when a significant acquisition or disposition of assets occurs, General Instruction A(c) of Form 10-Q would required a report giving the information specified in item 2 of the form to be filed within 10 days following the execution of a written agreement for the acquisition or disposition which is being reported.

[8/] Form 9-K is presently required to be filed 45 days after the close of the first six months of registrant's fiscal year. The Study notes that both the FPC and FCC allow a period of 40 days for the filing of required monthly financial reports by corporations subject to their regulatory jurisdiction.

3. Recommended format of Form 10-Q

(a) Part I (Significant corporate events)

Part I of Form 10-Q contains the substance of the 8-K report and would be subject to the liability provisions of Section 18. The following changes have been made in present 8-K requirements, in part reflecting revisions to that form previously suggested by the Division of Corporation Finance: Management and control -- Pledges or other arrangements affecting control of the registrant would be disclosed. Information relating to the experience and background of newly designated officers and directors would be required, consistent with the change proposed for the prospectus (see Chapter III at pp. 93-95) and for Form 10 (see pp. 350-51; *supra*.); Acquisitions or dispositions of assets -- The test of a significant acquisition or disposition is changed from 15% to 10% of net book value or gross revenues; Increase or decrease in amount of securities outstanding -- The 5% test is retained, except for purchases by a corporation of its own shares, in which case a 1% test is used; Pending legal proceedings -- Any new proceedings, interim orders materially affecting but not terminating pending proceedings, and termination of proceedings previously reported, should be disclosed; Options -- This item should be revised for consistency with the corresponding disclosure item in Form 10; Material amendments to charter or bylaws -- This item should require a statement as to the effect of any material amendments not disclosed in response to any other item in the form.

For the convenience of registrants and their counsel, a check list of significant events which are required to be reported has been added to the form.

(b) Part II (Financial information)

A special subcommittee of the Governmental Relations Committee of the American Institute of Certified Public Accountants greatly assisted the Study in the preparation of this part of form 10-K. No effort will be made here to go into the requirements in detail; the reader is referred to the form itself and the accompanying instructions (Appendix X-4). The provisions relative to condensed profit and loss information are similar to those of Form 9-K, except for the addition of earnings per share data. The provisions relative to capitalization and stockholders' equity are new.

Certification is not required, but the information must be prepared in conformity with the accounting principles or practices, or methods of applying accounting principles or practices (including consolidation practices) reflected in the financial statements included in the 10-K report for the preceding fiscal year, or any differences which have a material effect on the results of operations must be noted and their effects reconciled or explained.

The information is not deemed to be filed for purposes of the liability provisions of Section 18 of the '34 Act.

If a quarterly report is sent by a registrant to its shareholders containing the information required by Part II of Form 10-Q, such report may be attached in lieu of answering this portion of the form.

4. Exemptions

Rules 13a-13 and 15d-13 under the '34 Act presently exempt certain categories of issuers from filing Form 9-K. If Form 9-K is replaced (as recommended) these two rules should be rescinded. Rules 13a-11 and 15d-11 currently specify the kinds of issuers required to file reports on Form 8-K. The Study recommends that these rules be revised to set forth appropriate exemptions applicable to each of the two parts of Form 10-Q. Drafts of the revised rules are provided in Appendices X-5 and X-6.

The revised rules would exempt from filing Part I of Form 10-Q the same types of issuers presently exempted from filing Form 8-K, viz., foreign governments, foreign private issuers required to make reports on Form 6-K, issuers of American Depository Receipts for the securities of any foreign issuer, and investment companies required to file quarterly reports pursuant to Rule 13a-12. Added to the foregoing exempt list would be so-called "case flow real estate companies" required to file quarterly reports pursuant to Rule 13a-15, for which a separate quarterly reporting form (Form 7-Q) would be provided. (See pp. 363 below).

Issuers exempt from filing Part II of Form 10-Q would include: (a) all issuers not required to file annual reports either on Form 10-K, Form 12-K or Form U-5S; (b) issuers in the promotional or developmental stage to which paragraph (b) or (c) of Rule 5A-01 of Article 5A of Regulation S-X applies; and (c) insurance companies other than title insurance companies.[9/] The foregoing list does not include certain issuers presently exempt from filing Form 9-K. The Study sees no reason why the trading markets should not have the benefit of quarterly financial information concerning bank holding companies and those few banks which are required to file 10-K reports, and suggests deletion of the exemption for such companies. Similarly, producers of a single crop agricultural commodity should not be wholly exempt from interim reporting, but would be permitted by Instruction E(c) to Part II of Form 10-Q to give information for the twelve months ended with the current interim quarter, with comparative data for the corresponding

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[9/] There is today no pattern of quarterly reporting to stockholders by insurance companies. A very few state insurance commissioners require quarterly financial reports to be filed as a matter of routine; others require such reports while an insurance company is in the formative stage. The scope of these requirements should be studied and consultations held with the industry to determine whether forms and procedures for meaningful quarterly financial reporting by life and casualty insurance companies -- designed for the information of investors and their advisers -- can be developed. Meanwhile, the exemption should be continued. (See pp. 214-15, supra., for further discussion.)

period of the preceding fiscal year. Lastly, public utilities and common carriers which file interim financial reports with the FPC, FCC or ICC should not be wholly exempted but should be permitted to substitute copies of such reports (covering the appropriate fiscal quarter) for Part II of Form 10-Q. This will involve no significant burden and will permit dissemination of financial as well as non-financial quarterly information concerning those companies on microfiche.

G. Quarterly reports of certain real estate companies (Form 7-Q)

Companies involved in the management of, or investment in, real property are required to file quarterly reports on Form 7-K if they make cash distributions to shareholders reflecting (in whole or in part) a return of capital. Some 50 to 60 companies are currently subject to this requirement. It would avoid confusion if a separate quarterly report form were developed for this group. Such a form (which could be designated 7-Q) would contain requirements similar to Part I of Form 10-Q and, in addition, the summary financial and cash flow information now required by Form 7-K.[10/]

[10/] It will be necessary to revise Rule 13a-15 and 15d-15 (1) to change the designation of the form to 7-Q, (2) to change the period in paragraph (a) to 45 days, (3) to delete the "except" clause at the end of paragraph (c), and (4) to delete subparagraph 3 of paragraph (b) and the whole of paragraph (c).

H. Miscellaneous recommendations

Form 12-K, which may be used by public utilities and common carriers regulated by the FCC, FPC or ICC, should be revised to require appropriate business information on an annual basis in addition to financial statements.

CHAPTER XI.

ANNUAL REPORTS TO SHAREHOLDERS AND PROXY STATEMENTS

A. Introduction

B. Modest steps should be taken to improve the quality of annual reports to shareholders.

   1. Present regulation of annual reports to shareholders.

   2. An appraisal of annual reports to shareholders.

   3. Recommendations relating to the quality of annual reports to shareholders.

   4. Dissemination of annual reports to shareholders.

C. The Study recommends no substantial change in present requirements for the annual proxy statement.

D. To enhance its usefulness to the average investor, the merger proxy statement should be divided into two separately printed documents: (1) a concise statement of basic information, and (2) an appendix containing more detailed information and financial statements.

   1. The usefulness of the typical merger proxy statement is impaired by its length and complexity.

   2. Several possible approaches to a solution.

   3. An analogous problem: the registration statement relating to a voluntary exchange of shares.

CHAPTER XI

ANNUAL REPORTS TO SHAREHOLDERS AND PROXY STATEMENTS

A. Introduction

In reviewing the disclosure documents produced under the federal securities laws, the Study gave special attention to those documents which are primarily directed at the existing shareholders of a corporation--annual reports to shareholders and proxy statements. These documents are often a fruitful and readily available source of information and are widely used in the process of investment analysis. The Study's recommendations are designed to make them more revealing and useful to those for whom they are intended in the first place, the shareholder whose vote or proxy is being sought.

B. Modest steps should be taken to improve the quality of annual reports to shareholders.

1. Present regulation of annual reports to shareholders.

Commission rules require that an annual report to shareholders accompany or precede each proxy statement which solicits proxies on behalf of management for the election of directors (Rule 14a-3(b)). The report is not deemed "filed" with the

Commission (Rule 14a-3(c)). It must contain certain financial statements, and material differences between these statements and financial statements filed with the Commission which result from application of different accounting principles or practices must be reconciled or explained in the report. Apart from the foregoing, the form and content of an annual report are generally left to the discretion of management (Rule 14a-3(b)).[1/]

There is something of a paradox in this situation. As former Commissioner Byron D. Woodside has expressed it:

> The treatment of the annual report of the corporation under the proxy rules is an interesting example of administrative dexterity. I can think of nothing more likely to persuade stockholders that management should be retained in office than an annual report containing all the indicia of existing and continuing success. As so viewed, it would seem odd not to conclude that the report, sent with a request for a proxy, was not part of the soliciting material, if not in fact, the most effective inducement to mail a proxy to management. As so viewed, the report would be subject to the proxy rules and it would be "filed" with the Commission as proxy material.[2/]

The Commission's decision not to treat the annual report as soliciting material responded to an industry argument summarized as follows by Mr. Woodside:

[1/] There are two minor exception: if no previous annual report has been sent to shareholders pursuant to the Commission's proxy rules, the report must contain information which will, in the opinion of management, "indicate the general nature and scope of the business of the issuer and its subsidiaries" (Rule 14a-3(b)(5)). Also, if any portion of an annual report comments upon or refers to any opposition solicitation in an election contest, that portion of the report must be filed with the Commission along with other proxy material (Rule 14a-11(f)).

[2/] Woodside, Development of S.E.C. Practices in Processing Registration and Proxy Statements, 24 Bus. Law 385-386 (1969).

> . . . if the report was made subject to the rules, management would not communicate freely concerning corporate affairs for fear of risking liability under the Act or for fear of interference by governement.[3/]

2. An appraisal of annual reports to shareholders.

To assist in determining whether or not it would be in the public interest to recommend any change in the present regulatory status of the annual report to shareholders, the Study reviewed the annual reports of a random sample of 125 companies. In addition, a detailed, comparative study, covering a period of 3 or more years, was made of the annual reports, proxy statements, '33 Act registration statements (when filed), 10-K and 8-K reports of a selected group of 10 companies of varying character and size.

The conclusions reached were as follows:

(1) In almost every instance, a statutory prospectus reveals far more in the way of facts material to investment judgment than does an annual report. Often, the text of an annual report will convey a somewhat inflated picture of a company's business and prospects. Nevertheless, only in a small minority of cases can it be said that the disclosures in present-day annual reports are seriously misleading.

(2) As a result of the amendment to Rule 14a-3(b) adopted in 1964[4/], financial statements in annual reports now seldom differ in material respects from those contained in Form 10-K.

[3/] Id. At 386.

[4/] Securities Exchange Act Release No. 7324 (May 26, 1964).

(3) Where seriously misleading disclosures do occur, they are most frequently found in textual references made to, or condensed presentations of, the results of operations.

Set forth below are three examples of the kind of disclosures which the Study considered to be materially misleading:

The "financial highlights" section in one annual report for 1967 spoke of net earnings for the year of approximately $4.9 million, or $1.72 per share, and sales of approximately $77 million. The highlights section then compared these figures with 1966 sales of only $23.7 million and "profits" of only $1.4 million, or $.66 per share. In the certified financial statements, the 1966 results were adjusted to reflect a pooling of interest. On a pooled basis, 1966 sales were $50.2 million, net income $2.6 million, and earnings per share $.88.

The president's letter in another annual report stated that net income for 1966 was $955,000 or $.39 per share. It proudly contrasted these figures with a net loss in 1965 of $175,000 or $.07 per share. The certified financial statements appearing some 15 pages after the president's letter reflected, for the year 1966, a net loss before extraordinary items (gain on the sale of certain property) of $1,814,151. Interestingly, in that company's next annual report to shareholders, the president's letter took pains to point out an extraordinary item which accounted for a $9.3 million net loss for the year.

One company, engaged in the franchise business, stated in the text of its 1962 annual report that net income for the year was equal to 57 cents a share, based on the average number of outstanding shares that year. The 1963 annual report, however, announced that the per share earnings of 59 cents in that year represented an 18% increase over earnings of <u>50</u> <u>cents</u> per share in 1962. The 1964 annual report changed the 59 cents reported in 1963 to 56 cents and then compared it with 81 cents per share for 1964. In the 1965 report, the 81 cents of 1964 was changed to 76 cents. These results, which appeared calculated to enhance the picture of year-to-year growth of earnings per share, were achieved by dividing the preceding year's earnings by the number of outstanding shares in the current year rather than by the average number of shares outstanding in the prior year.

In one annual report to shareholders a "financial highlights" section on the inside cover page reflected net sales of $242.3 million and net income per common share of $1.43 for 1967, in contrast to net sales of $90.6 million and net income per common share of $1.15 in 1966. These contrasts were further emphasized in the president's letter on page 1 of the report by such statements as "In 1967, alone, total sales increased more than $150 million over the $90.6 million reported in 1966…", and "Earnings per share . . . increased from the $1.15 reported in 1966 to $1.43." The following statement appeared at the bottom of the financial highlights section: "The data for . . . 1966 reflect amounts previously reported in the Company's annual reports. Operations of companies acquired in pooling-of-interest transactions are reported from the beginning of the year in which the acquisition occurs."

Quite a different picture was presented in the consolidated statements of income for the years ended December 31, 1966 and 1967 on pages 34 and 35 of the report. Those statements "restated to include accounts of companies acquired during 1967 in pooling of interest transactions" reflected the same figures for 1967, but net sales for 1966 of $195.9 million and net income per common share for 1966 of $1.75. In other words, with accounts appropriately restated net income per common share for 1967 <u>actually represented a $.32 per share decrease</u>, rather than the $.28 per share increase asserted in the "financial highlights" and the president's letter, and the increase in net sales amounted to only $46.4 million rather than $150 million.

3. <u>Recommendations relating to the quality of annual reports to shareholders.</u>

Based on the conclusions outlined in the preceding section of this chapter, the Study is of the opinion that annual reports should remain non-filed documents under the proxy rules. A certain amount of experimentation in methods of communication between a management and the company's shareholders ought to be permitted if consequences seriously adverse to the interests of investors do not ensue. However, steps should be taken to inhibit condensed presentations of financial information which lead the reader to believe that the financial results are more favorable than those shown in the company's certified financial statements. It is believed that such a rule would improve disclosures in annual reports without interfering with management's legitimate freedom of expression.

The reaction of the Commission to one example of a misleading condensed treatment of results of operations in an annual report was published in Securities Act Release No. 4910, issued on June 18, 1968. That release, however, dealt with the problem in the context of a request for acceleration of a pending registration statement. The subject surely deserves broader treatment. The Study considered the possibility of requiring by rule that all financial disclosures in an annual report to shareholders, wherever located in the report, be reviewed by the auditors for consistency with the certified financial statements and covered by their opinion. The opinion would be required to state that the auditor has reviewed such disclosures and that they are fairly based on the certified statements. An alternative approach would be to amend Rule 14a-3(b) to inhibit misleading condensations of financial information. A draft of the proposed amendment is submitted in Appendix XI-1.

In addition, the Study expects that the improvements in the scope and timeliness of Form 10-K recommended in Chapter X will exert a beneficial influence on the quality of the disclosures made in the annual report to shareholders. The revised Form 10-K would be required to be filed not later than 5 days after the mailing of the annual report to shareholders, and it would disclose significant aspects of the registrant's business. Such disclosures would therefore be available in timely fashion for comparison with those made in the annual report. This indirect way of influencing better disclosure in annual reports is preferable, in the Study's judgment, to the development of affirmative and specific Federal requirements for the text of annual reports.

4. Dissemination of annual reports to shareholders.[5/]

When the report of the Study was in preparation, it included two recommendations designed to insure that an annual report is actually received by all beneficial owners of the shares of a reporting company at least once a year. The Study is happy to note that, as of the date of completion of its report, neither of these recommendations is needed.

5/ As noted in Chapter IX, annual reports to shareholders are now available on microfiche.

Many owners of securities cause such securities to be held in street name by their brokers. The New York and American Stock Exchanges have rules requiring their members to forward proxy material and annual reports to beneficial owners of all securities held by them in street name upon being reimbursed for their reasonable expenses. It seemed desirable to the Study that the NASD be asked to put into effect a similar rule and it has recently done so.

The laws of several states permit a corporation to dispense with an annual meeting if the consents of holders of a specified number of its shares are obtained.[6/] This formerly meant that no annual report had to be furnished to shareholders, since Rule 14c-2 under Section 14, as formerly interpreted, required an information statement, which must be accompanied or preceded by an annual report, to be furnished only in connection with a meeting. It seemed desirable to the Study that steps be taken to require that an information statement (and annual report) be provided to shareholders if an annual meeting is dispensed with by a reporting company in accordance with state law on the basis of a consent procedure. Recently, the Commission adopted Rule 14c-2, which should accomplish this purpose.[7/]

[6/] See, for example, Delaware Corporation Law, Sec. 228.

[7/] Securities Act Release 8521 (February 10, 1969).

C. The Study recommends no substantial change in present requirements for the annual proxy statement. [8/]

Annual proxy statements relating to the election of directors play a unique part in the pattern of continuing disclosure. They are actually sent to shareholders, whereas reports designed to keep current the information filed with the Commission in dealing with non-management aspects of a company's affairs are not. This situation has led to suggestions that a description of the company's business be required to be set forth in each annual proxy statement. For reasons more fully stated in Chapter X, the Study did not adopt this suggestion.

Suggestions for changes in the rules governing the content of the annual proxy statement have been carefully considered and acted upon by the Commission at least twice in the last three years. While accumulated experience will doubtless indicate the desirability of additional changes in the future, at present the Study has only minor revisions to suggest. It is recommended (1) that Schedules 14A and 14C be revised to require disclosure of the aggregate amount of equity securities held by management, as now required in Form S-1, (2) the $30,000 limitation as to directors' and officers' remuneration should be changed to $40,000, in line

[8/] The observations in this section of Chapter XI also relate to annual information statements required by Section 14 of the '34 Act and Schedule 14C.

with the similar recommendation pertaining to Form 10, and (3) the required data concerning new directors reflect the changes recommended in Form S-1 (see Chapter III).

D. To enhance its usefulness to the average investor, the merger proxy statement should be divided into two separately printed documents: (1) a concise statement of basic information, and (2) an appendix containing more detailed information and financial statements.

1. The usefulness of the typical merger proxy statement is impaired by its length and complexity.

The rapid increase in the number of mergers and corporate acquisitions in recent years has greatly increased the importance of the merger proxy statement[9/] in the pattern of disclosure. In fiscal 1968, 634 definitive proxy statements were filed relating to mergers, consolidations, acquisitions of business, purchases (and sales) of property, and the dissolution of companies.[10/] By contrast, it is estimated that only 170 such proxy statements were filed in fiscal 1960.[11/]

In conferences with the Study, many security analysts stressed the value of merger proxy statements. No other single document, apart from the prospectus, was regarded as containing

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[9/] Hereafter, the phrase "merger proxy statement" is used to refer to a proxy statement relating to a vote of shareholders on a statutory merger or consolidation or a sale of assets incident to a business combination.

[10/] 34 SEC Annual Rep. 41 (1968).

[11/] 26 SEC Annual Rep. 87 (1960).

information of greater usefulness in evaluating the securities of publicly held corporations. However, the merger proxy statement has been criticized by those to whom it is primarily directed, the shareholders whose approval of the transaction is being sought. Several shareholder complaints came directly to the attention of the Study. In addition, representatives of the American Society of Corporate Secretaries informed the Study that they had received many complaints from shareholders concerning the length and complexity of merger proxy statements prepared in accordance with the Commission's rules.

The Study reviewed a number of merger proxy statements which ranged from approximately 60 to over 200 pages in length. The complaints of shareholders concerning these massive documents are understandable.

2. Several possible approaches to a solution.

First, the Study questions whether the mass of detailed financial statements provided in many merger proxy statements (and frequently constituting considerably more than half the bulk of the statement) are entirely necessary. A review of the requirements of Item 15 of Schedule 14A of the Proxy Rules should be made with a view to possible reduction of present requirements in the case of business combinations. In particular, if a large corporation proposes to acquire a small corporation by merger and must therefore seek the approving vote of its own stockholders, a very short summary of the proposed transaction may be all that is needed adequately to inform such shareholders.[12/] More complete information about both parties to the merger may well be needed by shareholders of the disappearing corporation.

Second, some means of summarizing the essential data for the benefit of the average shareholder should be found. This subject was discussed extensively with a special committee of the American Society of Corporate Secretaries. The following alternatives were considered:

(1) The Commission might develop standards for a summary merger proxy statement which would omit detailed descriptions of business and the bulk of the financial statements. Companies would either be permitted or required to send only the summary statement to shareholders. The full statement would be filed with the Commission.

(2) As a variant of (1), above, the summary statement would inform the shareholder that a copy of the full statement would be sent to him by the company at his request.

[12/] Schneider, Acquisitions Under the Federal Securities Acts--A Program For Reform, 116 U. Pa. L. Rev. 1323, 1343 ff. (1968).

(3) A very short summary of essential information, together with comparative net income, dividend and per share book value data would be required to be printed separately as the merger proxy statement. Accompanying the merger proxy statement would be an appendix containing the detailed information and financial statements not provided in the shorter document.

The Study was unable to accept alternative (1). Under this alternative, shareholders who desired to be completely informed before casting their votes would have no alternative but to order the full proxy statement at their own expense from the Commission. Alternative (2) was unacceptable to the special committee of the ASCS for reasons which the Study considered valid. It was estimated that a significant number of shareholders would request the full proxy statement. However, the exact number of such requests would be impossible to determine in advance, and the corporation would therefore be unable to determine the number of statements it should print. Moreover, responding to individual requests is relatively expensive as opposed to arranging a mailing to all shareholders. Delays might occur in voting which would be protracted in situations where securities are held in street name and requests would have to pass through a broker.

A further problem with either of the first two alternatives arises from the concern over liability provisions in the securities laws expressed by members of the Committee on Securities Regulation of the Banking and Business Law Section of the American Bar Association, who consulted with the Study. There was strong reluctance to prepare entirely separate summaries of disclosure documents which, by hindsight, might be found to have omitted material information.

In the Study's opinion, alternative (3) offers a measure of relief sufficient to justify its adoption. This alternative does not differ greatly from the practice followed today by a few companies and their counsel who undertake to summarize the essential features of a merger proxy statement in its first few pages. Such a summary, separately printed, should average no more than 6 or 7 pages.[13/] Its modest size, in comparison with a single, massive document would respond to the needs of the average shareholder. It should be written in clear and concise language and should be limited to:

(a) General information as to the purposes of the solicitation, date and place of meeting, securities entitled to vote, record date, appraisal rights and a brief description of the securities being offered.

[13/] The Study experimented with several large merger proxy statements, culling out the essential information in summary form. This experiment showed that a 6-7 page average length for the proxy statement could be expected.

(b) A brief outline of the proposal to be voted upon.

(c) A summary of the tax consequences.

(d) A brief identification of the business of the parties to the merger.

(e) Information as to the management of the surviving company.

(f) Comparative stock prices for an appropriate period.

(g) Comparative net income, dividends and book values per share on an historical and pro forma combined basis.

As to each item, reference should be made to the location of further details in the appendix and the last item in the proxy statement should be a table of contents of the appendix.

3. An analogous problem: the registration statement relating to a voluntary exchange of shares.

Many prospectuses filed with the Commission relating to offers of voluntary exchange which were examined by the Study presented problems similar to those of the merger proxy statement. There were 99 such prospectuses filed with the Commission from July 1, 1968, through December 31, 1968. A summarization of essential data, similar to that suggested for the merger proxy statement, should be required in the forepart of the prospectus used in an offer of exchange of securities.

CHAPTER XII.

ADMINISTRATION AND ENFORCEMENT OF '34 ACT REPORTING REQUIREMENTS

A. Introduction

B. Presently available procedures are adequate to deal with enforcement of reporting requirements if effectively used.

   1. Informal procedures for handling delinquent reports.

   2. Formal procedures.

      (a) Administrative compliance proceedings under Section 15(c)(4) of the Act.

      (b) Injunctive proceedings to compel compliance with reporting requirements.

      (c) Criminal reference.

   3. Suspension of trading.

C. New EDP programs should be developed to permit rapid discovery of reporting delinquencies and disclosure deficiencies and to aid in determining appropriate remedies.

D. Increased staff effort should be directed toward prompt review of '34 Act reports and registration statements.

E. Rule 12b-25 dealing with extensions of time to file reports should be tightened.

CHAPTER XII.

ADMINISTRATION AND ENFORCEMENT OF '34 ACT REPORTING REQUIREMENTS

A. Introduction

In preceding chapters, the Study has recommended increased coordination between the disclosure requirements of the '33 and '34 Acts and has suggested that still greater coordination may evolve as experience is gained with improved '34 Act reporting. The success of any such coordination depends heavily on improving procedures for and increasing emphasis on administration and enforcement of '34 Act reporting requirements. Commenting on this need, Milton Cohen observed:

> The most important measure of all, I believe, would be a combination of (1) SEC staff review of all 1934 Act filings resembling as far as practicable, in thoroughness and promptness, its review of 1933 Act filings, and (2) prompt and decisive action by the Commission--in the form of deficiency letters, publicity, suspension of trading, injunction proceedings, or other legal proceedings, as circumstances may warrant--to correct a false or misleading record.[1/]

Section B of this chapter concludes that the existing enforcement tools are adequate for this purpose, if they are properly used, together with imaginative employment of the Commission's EDP facilities, as suggested in Section C of this chapter. A critical need is for allocation of additional staff to the administration of '34 Act registration and reporting requirements. Should the Study's

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[1/] Cohen, "Truth in Securities" Revisited, 79 Harv. L. Rev. 1340, 1371-72 (1966).

recommendations in Chapter X be adopted, important new information will be called for in '34 Act reports. If other aspects of disclosure policy are to rely more heavily on the existence of this information, assurance that reasonable standards of disclosure are being met is essential. These considerations, set against a background of rapid growth in the trading markets and their importance to increasing numbers of investors, may well justify an addition to the Commission's professional staff.

B. Presently available procedures are adequate to deal with enforcement of reporting requirements if effectively used.

The Study gave careful consideration to several as yet untried methods of dealing with reporting delinquency which were suggested to it. These included (1) the preparation and publication of a delinquent list, together with establishment of an obligation on the part of broker-dealers to advise any purchaser of securities of an issuer on the delinquent list of that fact, and (2) rules against purchases or sales by insiders during a period of delinquency. Because of certain practical problems encountered with each of these novel procedures, it was decided not to recommend them; instead, the Study urges fuller and more effective use of presently available enforcement tools.

1. Informal procedures for handling delinquent reports.

The Division of Corporation Finance makes extensive us of informal procedures for dealing with deficiencies and delinquencies in '34 Act reports. It usually contacts a delinquent issuer by letter in an effort to ascertain the reason for the delinquency. Should informal procedures fail, the delinquency will normally be referred to the Office of the General Counsel for appropriate action.

As more fully described in Part E of this chapter, the Division also informally reviews requests for extensions of time to file reports under Rule 12b-25. Until recently, only the Commission could deny such a request. In January, 1969, the Commission delegated that authority to the director of the Division, a move which the Study considers highly desirable. A registrant can always ask review by the Commission of the director's determination.

Although these informal procedures are useful and necessary first steps in the enforcement of '34 Act reporting requirements, they have been pursued far too haphazardly in the past. In some cases, many months have elapsed before serious enforcement effort was considered. Delinquency in filing should not be tolerated for long periods of time when the issuer's securities are publicly traded.

2. Formal procedures.

(a) Administrative compliance proceedings under Section 15(c)(4) of the Act.

Section 15(c)(4) of the '34 Act, adopted as part of the '64 amendments, permits the Commission, after notice and opportunity for hearing, to issue an order requiring a delinquent issuer to comply with Sections 12, 13 or 15(d) of that Act. Should the issuer thereafter fail to comply, the Commission's order is enforceable in court.

This procedure, which has been employed only five or six times, can be highly useful, in the Study's judgment, as a means of bringing substantive violations of reporting requirements to the attention of investors and their advisers. As an example, the facts developed in a recent proceeding under Section 15(c)(4) indicated that a number of '34 Act reports of two reporting companies under common control were materially deficient, false and misleading. In substance, those reports failed to disclose that a controlling person of the two companies had secured ownership of a controlling block of stock in one company through concealed utilization of the assets of both companies. The proceedings against both companies were discontinued after the companies filed appropriate amendments to their reports and supplied the missing information. In view of the misleading information previously given investors, the Commission ordered both companies to send copies of its findings and opinion to all shareholders. In its opinion, the Commission observed that the controlling person's "personal ends were pursued without regard to the interest of other stockholders" and that "in the course of the transactions, material amounts of assets were subjected to risk without any apparent compensatory benefit to those shareholders."[2/]

The Study believes that the Division should consider ways by which Section 15(c)(4) procedures could be streamlined and thereby made more useful in delinquency situations.

(b) Injunctive proceedings to compel compliance with reporting requirements.

This remedy is sometimes sought when informal procedures to remedy delinquency in reporting do not achieve results. It is most often pursued in situations where there appear to be violations of other provisions of the securities laws as well as of the reporting provisions of the '34 Act. In such situations, compliance proceedings under Section 15(c)(4) of the '34 Act would not provide complete relief.

(c) Criminal reference.

The Commission may transmit evidence of violations of the '34 Act reporting requirements to the Attorney General who may, in turn, institute criminal proceedings under the Act.[3/] There have

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[2/] Securities Exchange Act Release No. 8200, pp. 7-8 (December 4, 1967

[3/] Securities Exchange Act of 1934, Section 21(e).

been several recent and successful prosecutions based on allegations of filing or conspiring to file false reports under the '34 Act.

For example, in 1966 several indictments were returned charging certain individuals connected with a reporting company with conspiring to violate the reporting provisions of the '34 Act. More specifically, the indictments charged the defendants with conspiring to file a false report on Form 10-K in order to conceal the effect of transactions where the company's funds were funneled [sic] through a subsidiary to certain of the defendants and others and used for their benefit. The government obtained convictions in the resulting trials.

In another case, certain officers and directors of a reporting company and others were indicted in 1968 for mail fraud and violation of the reporting and filing provisions of the '34 Act. The indictments charged that the defendants misappropriated company funds in transactions dressed up as loans from the company and concealed their alleged misappropriation by fictitious payments of those loans. The sham repayments were timed to coincide with the end of the company's fiscal year to avoid reflecting the loans on the company's balance sheets filed with the 10-K reports. The trial of these cases has not been completed.

3. <u>Suspension of trading</u>.

Perhaps the most immediately effective remedy available to the Commission where there has been serious failure to comply with the reporting requirements under the '34 Act is the power summarily to suspend trading under Sections 15(c)(5) and 19(a)(4) of that Act.

In one recent case, the Commission's staff reported that market quotations for a company's common stock had risen from 1¢ bid in June 1967 to $1.50 bid in February, 1968. There was no current information available concerning the company's financial condition. Although the company had been permanently enjoined in 1965 from failing to file timely and complete reports under the '34 Act, the last annual report on Form 10-K for the fiscal year ended May 31, 1966 had been filed approximately three months late on December 20, 1966. That report stated that the company had no income and no employees. Such statements were repeated in a 9-K report for the 6 months ended November 30, 1966, likewise filed many months late in June, 1967. No annual report had been filed for the 1967 fiscal year and no interim reports subsequent to the end of that year.

The Commission suspended trading pending investigation of the market activity and filing of the overdue reports. The reports were filed prior to termination of the trading suspension. They showed that, in addition to the absence of income or employees, the company had no assets and a large deficit.

The Study asked for reactions from many of the groups with which it conferred as to the Commission's use of its power to suspend trading. The reaction was uniformly favorable. No person indicated a belief that there had been too many suspensions. A number of comments were made concerning the value and significance of the information about certain companies pried loose by suspension of trading. Greater use of the power was suggested.

It is of interest to note that the major exchanges have made liberal use of their powers to halt trading or to delay openings in order to implement their own timely disclosure policies. In 1967, the New York Stock Exchange ordered 218 trading halts and 88 delayed openings to permit information which that exchange considered necessary to informed trading to be prepared and disseminated by listed companies. During the same year, there were 67 trading halts and 84 delayed openings on the Amex for the same purpose. No comparable mechanism exists for the over-the-counter market. As mentioned in a previous chapter (at pp. 332), the Study considers it important that such a mechanism be perfected by the NASD when its NASDAQ system goes into operation.

A suspension of trading by Commission order is, of course, a more formal and serious matter than an exchange trading halt. Most of the occasions calling for such a halt would not justify a Commission order suspending trading. A Commission order should be reserved for serious cases, and every effort should be made to lift the suspension as soon as possible in light of its effect on existing public stockholders. Where, however, there has been continued or reckless disregard of a company's obligation to file reports required in the interest of an informed trading market, careful consideration should be given, in the Study's opinion, to a suspension of trading until either (a) the required reports are filed, or (b) the Commission can itself release to the public such information as it has been able to obtain through investigation.[4/] As the Commission observed early in its history in a case involving a temporary suspension of registration on a national securities exchange:

> The statute contemplates that trading in securities on a national securities exchange should be permitted only where there is a public file of accurate and current information regarding the affairs of the issuer of such securities, and we do not believe that the statute authorizes us to permit the continuance of listing where the issuer has failed to keep current the information required by the statute.[5/]

C. New EDP programs should be developed to permit rapid discovery of reporting delinquencies and disclosure deficiencies and to aid in determining appropriate remedies.

The Commission's EDP equipment is now capable of producing as often as desirable a list of issuers delinquent in filing the revised Form 10-K and quarterly reports which would be required

[4/] Where fraud is not involved in a trading suspension, the Division of Trading and Markets has been developing procedures under which as much information concerning the issuer as can be elicited in a relatively short period is embodied in a public Commission release, after which trading is permitted to resume.

[5/] Austin Silver Mining Company, 8 S.E.C. 234-236 (1940).

should the Study's proposals be adopted. The computer could also assist in identifying those issuers which have not furnished shareholders with proxy or information statements and are therefore obliged to include in their Form 10-K reports information equivalent to that required in such statements. New computer programs would have to be written but those who would be responsible have assured the Study that such programs can easily be prepared. The information made available to the staff could include a history of past delinquencies and other violations of the securities laws by each issuer on the delinquent list. This information would assist the staff in determining quickly the appropriate enforcement procedure to be used.

The study recommends that these programs be authorized.

D. Increased staff effort should be directed toward prompt review of '34 Act reports and registration statements.

Improvement in '34 Act reporting requires a more effective procedure for review of '34 Act reports, identification of disclosure problems, and correction of less serious problems through contact between staff and registrant.

An analysis was made by the Study of information gathered by the Division of Corporation Finance relating to the review given to registration statements and periodic reports filed under the '34

Act from 1964 through 1967. In addition, the Study conducted its own survey (1) of the processing of registration statements on Form 10, including a careful review of the statements of a dozen Section 12(g) companies selected at random; and (2) of the processing of all documents filed with the Commission over a period of three or more years by ten additional companies.

The review process for Form 10 registration statements resembles in form, but not in emphasis, that for '33 Act registration statements. Letters of comment are prepared and amendments are requested and made in response to those comments. Under Section 12(g), however, registration automatically becomes effective 60 days after the filing of the registration statement. In only 3 of the 12 cases examined was the review process completed before the statement became effective. Letters of comment for the other 7 statements were sent from 66 days to 371 days after filing. The review process for these registrants, including appropriate amendments, was ultimately completed in periods ranging from 3 to 16 months. The average time to complete the review for all 12 registrants was approximately 7 months.

Form 10 registration statements represent the first full disclosure available to the trading markets concerning a Section 12(g) company. It is therefore important that they be given appropriate priority for review.

Periodic reports filed under the '34 Act have generally received even less attention than registration statements on Form 10. Early in 1967, the Division indicated to the Commission that it would be unable to review all periodic reports filed under the '34 Act. The Commission approved several suggestions made by the Division at that time to curtail the review of these reports and invited issuers filing 10-K reports to assist the staff by indicating by letter whether financial statements in the report reflect any change in the accounting principles or practices followed in the prior year.[6/] A screening policy has been adopted by the Division to identify those Form 10-K reports which should be reviewed on a priority basis. Unfortunately, the gap between the number of '34 Act reports filed and the manpower resources of the Division available for their review has continued to widen.

It is extremely doubtful that a greater degree of effort can be allocated to '34 Act reports through shifting the assignments of existing Division personnel. Workload in the area of '33 Act filings has greatly increased, and a substantial reduction in the review given to those filings was recently announced.[7/] The Study can only express its hope that the additional resources necessary to provide adequate review of augmented '34 Act filings can somehow be found. It is believed that a prompt review of '34 Act filings

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[6/] Securities Exchange Act Release 8040 (February 23, 1967).
[7/] Securities Act Release No. 4944 (January 15, 1969).

would reduce the scope of review needed for ’33 Act registration statements filed by reporting companies.

E. Rule 12b-25 dealing with extension of time to file reports should be tightened

Under Rule 12b-25, an issuer may by application request an extension of not more than 60 days following the due date in which to file a report. The application is deemed granted unless denied by Commission order issued within 10 days of receipt of the application. (The Division director was recently given delegated authority to deny such requests.) About 500 Rule 12b-25 applications were filed from February through about May 15, 1968. Only 13 were denied.

The Study noted a number of instances in which a clear abuse of Rule 12b-25 was shown. For example, a company whose securities were registered on the now defunct San Francisco Mining Exchange (and are now listed on the Salt Lake Stock Exchange) applied for two 30-day extensions of time to file its annual report on Form 10-K for the year ended December 31, 1967. The application for the second extension was denied by the Commission, the first request having been granted by operation of Rule 12b-25. The background indicated a continuing disregard by the company of the disclosure requirements of the ’34 Act. With the exception of 1960 (when a request for extension of time was denied) the company was either delinquent in reporting or received an extension of time in every year subsequent to 1957.

Moreover, an extension request can be an attempt to mask a fraud. In 1963, a company with securities listed on a national securities exchange requested an extension of time to file its annual report on Form 10-K for the fiscal year ended September 30, 1962, due January 28, 1963. On the company's representation that it had made substantial acquisitions of service routes during the previous quarter and that its auditors had not had sufficient time to review these transactions, the Commission granted a 30-day extension. The company later applied for a further 30-day extension. The Commission was informed by the company's auditors, however, that the reason for the delay in completion of the financial statement arose from the fact that the accounting firm could not issue an unqualified opinion because of doubt as to the collectibility of a large receivable. The Commission thereupon rejected the second extension request and ordered suspension of trading in the company's securities and an investigation. Based on the results of the investigation, a court order was obtained in April, 1963, appointing a conservator who was directed to prepare and file the reports required by the '34 Act. The company was ultimately placed in reorganization under Chapter X of the Bankruptcy Act. The underlying fraud which was concealed during the period of delay is filing the report on Form 10-K resulted in a number of criminal indictments and convictions.

The Study believes that Rule 12b-25 should be revised to prevent abuses and to facilitate its administration. The proposed revision, set forth in Appendix XII-1, incorporates some of the suggestions developed by the Division of Corporation Finance several years ago but never submitted to the Commission.

The Study suggests that the rule be prefaced by a note referring to the importance of prompt filing and that only serious and unexpected situations will justify delay. The reasons for any request should be required to be stated in detail. Each extension should be limited to 30 rather than 60 days. (The Division has informed the Study that many companies request the full sixty days regardless of their needs.) A signed statement from the company's auditors should be required in appropriate cases. The present procedure for automatic extension if the issuer has not been notified of denial of its request within 10 days should be retained. Finally, the rule should codify the practice of requiring timely filing of any material portion of a report available when an extension request as to the balance of the report is submitted.

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22.	Adopt proposed Article 5 of the General Rules and Regulations under the '33 Act, containing the following new rules relating to underwriters and non-public offerings under Sections 2(11) and 4(2) of the '33 Act: (a) Rule 160, specifying those persons not deemed to "control" an issuer. (b) Rule 161, defining a "restricted security." (c) Rule 162, defining a "distribution" for purposes of Section 2(11). (d) Rule 163, defining certain terms in Section 2(11) to mean that a person who disposes of a "restricted security" in a "distribution" is an "underwriter." (e) Rule 164, specifying those issuers whose securities may be sold without registration in certain types of secondary offerings excepted from the definition of "distribution." (f) Rules 180 and 181 relating to transactions not involving any public offering.	182-215
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APPENDIX II-1

OFFERINGS OF NEW EQUITY SECURITIES FOR CASH COMPARED TO EXCHANGE TRADING VOLUME IN EQUITY SECURITIES[1/]

(Dollar amounts in Millions)

Year	New Equity Securities Offered for Cash by Issuers or for their Accounts: Common	Preferred	Total	Aggregate Exchange Trading Volume in Equity Securities	New Equity Offerings by Issuers for Cash as a Percentage of Exchange Trading Volume in Equity Securities	Ratio of Exchange Trading in Equity Securities to New Offerings of Such Securities by Issuers for Cash
1920	$ 258	$ 333	$ 591	$16,511*	3.60%	27.8 to 1
1921	125	41	166	10,000*	1.66	60.2
1922	80	154	234	16,800*	1.40	71.4
1923	209	217	426	14,200*	3.00	33.3
1924	163	81	244	14,600*	1.66	60.2
1925	297	353	650	39,200	1.66	60.2
1926	236	322	558	44,100	1.27	78.7
1927	184	368	552	58,000	.95	105.3
1928	846	496	1,342	99,400	1.35	74.1
1929	1,688	642	2,330	157,500	1.48	67.6
1930	188	124	312	62,600	.50	200.0
1931	11	23	34	30,700	.01	10,000.0
1932	8	4	12	13,900	.01	10,000.0
1933	121	5	126	23,200	.05	2,000.0
1934	19	6	25	11,400	.02	5,000.0
1935	22	84	106	15,396	.07	1,428.6
1936	269	270	539	23,640	2.27	43.9
1937	285	403	688	21,024	3.25	30.6
1938	25	85	110	12,345	.89	112.4
1939	86	95	181	11,435	1.58	63.4
1940	103	181	284	8,420	3.37	29.7
1941	109	167	276	6,248	4.42	22.6
1942	34	102	136	4,314	3.15	31.7
1943	53	124	177	9,034	1.96	51.0
1944	162	362	524	9,810	5.34	18.7
1945	391	747	1,138	16,285	6.99	14.3
1946	879	1,084	1,963	18,828	10.43	9.6
1947	770	682	1,452	11,597	12.52	8.0

[1/] Figures for the pre-SEC period are based on Goldsmith, A Study of Savings in the United States 500 (1952). Post-SEC figures have been derived from the Commission's files. The figures in the table differ from those in the Commission's annual reports because the table is on a calendar year, while the annual reports are on a fiscal-year basis.

* Estimated.

(Dollar amounts in Millions)

Year	New Equity Securities Offered for Cash by Issuers or for their Accounts Common	Preferred	Total	Aggregate Exchange Trading Volume in Equity Securities	New Equity Offerings by Issuers for Cash as a Percentage of Exchange Trading Volume in Equity Securities	Ratio of Exchange Trading in Equity Securities to New Offerings of Such Securities by Issuers for Cash
1948	595	433	1,028	12,912	7.96	12.6
1949	730	382	1,112	10,747	10.35	9.7
1950	802	519	1,321	21,808	6.06	16.5
1951	1,200	762	1,962	21,306	9.21	10.9
1952	1,366	522	1,888	17,394	10.85	9.2
1953	1,319	406	1,725	16,716	10.32	9.7
1954	1,191	652	1,843	28,140	6.55	15.3
1955	2,129	516	2,645	38,039	6.95	14.4
1956	2,254	573	2,827	35,143	8.04	12.4
1957	2,465	376	2,841	32,213	8.82	11.3
1958	1,302	434	1,736	38,420	4.52	22.1
1959	1,992	444	2,436	52,001	4.68	21.5
1960	1,631	220	1,851	45,307	4.09	24.4
1961	3,226	217	3,443	64,072	5.37	18.6
1962	1,287	336	1,623	54,834	2.96	33.7
1963	951	159	1,110	64,417	1.72	58.1
1964	2,651	180	2,831	72,445	3.91	25.6
1965	1,511	361	1,872	89,530	2.09	47.9
1966	1,916	436	2,342	123,652	1.89	52.9
1967	1,857	758	2,642	162,177	1.63	61.4
1968	To be supplied.					

SECURITIES AND EXCHANGE COMMISSION
Washington, D.C. 20549

FORM S-17

REGISTRATION STATEMENT

under

THE SECURITIES ACT OF 1933

____
(Exact name of registrant as specified in charter)

______________________________ ______________________
(State or other jurisdiction of incorporation or organization) (I.R.S. Employer Identification No.)

______________________________ ______________________
(Address of principal executive offices) Zip Code

____
(Name and address of agent for service)

____
(Approximate date of commencement of proposed sale to the public)

CALCULATION OF REGISTRATION FEE

Title of each class of securities to be registered	Amount to be Registered	Market value per unit	Aggregate market value	Amount of Registration Fee

Instruction for Calculation of Registration Fee: The registration fee shall be determined on the basis of the aggregate market value of the securities to be registered as determined from transactions or quotations on a specified date within 15 days prior to the date of the filing of the registration statement.

GENERAL INSTRUCTIONS

A. Rule as to Use of Form S-17

Form S-17 may be used to register the securities of an issuer on the Commission's Rule 164 Qualified List when the offering is to be made:

(1) On behalf of a person or persons other than the issuer, and the delivery of prospectuses is effected in accordance with Rule 153; or

(2) Pursuant to Rule 427(c); or

(3) To holders of the convertible securities of an affiliate of the registrant, and the registered security is the security that such holders are entitled to receive upon conversion.

B. Application of General Rules and Regulations

Attention is directed to the General Rules and Regulations under the Act, particularly those comprising Regulation C. That regulation contains general requirements regarding the preparation and filing of the registration statement. Rules 405 and 439 should be especially noted. Notwithstanding Rules 404(c) and 421(c), no table of contents or cross-reference sheet need be included in the prospectus.

C. Documents Comprising Registration Statement

The registration statement shall consist of the facing sheet of the form, a prospectus containing the information called for by Part I of the undertaking specified in Part II, signatures, consents of experts, exhibits, and any other information or documents filed as part of the registration statement.

PART I. INFORMATION REQUIRED IN PROSPECTUS

Item 1. Identity of the Issuer

Name the issuer.

Item 2. Identity of the Security

Identify the registered security.

Item 3. Selling Security Holders

If the offering is to be made on behalf of a person or persons other than the issuer, name each such person, state his address, the amount of the registered security beneficially owned by him, the amount to be offered for his account, and the amount he will own beneficially after the offering. If any such person is an affiliate of the issuer, describe the nature of such affiliation.

Item 4. Documents Previously Filed with the Commission and Incorporated by Reference

Incorporate by reference the registrant's:

(a) Most recent annual report to the Commission or if registrant has not yet been required to file an annual report with the Commission, then registrant's registration statement on Form 10 or 12;

(b) Proxy or information statement used in connection with the last annual meeting of its stockholders together with any proxy or information statement or statements used in connection with subsequent special meetings; and

(c) Parts I, II and IV of current reports on Form 7-Q or 10-Q filed since the end of the latest fiscal year.

Item 5. Additional Information

(a) Disclose any material adverse change in the registrant's affairs subsequent to the filing of its last annual report to the Commission or, if registrant has not yet been required to file an annual report with the Commission, subsequent to the filing of its registration statement on Form 10 or 12. This item is inapplicable if adequate disclosure of such material adverse change has been made in any document filed with the Commission and incorporated by reference.

(b) Name the exchange or exchanges at which copies of the incorporated reports are available, and state that such copies can be obtained from the Commission upon payment of prescribed charges.

PART II. INFORMATION NOT REQUIRED IN THE PROSPECTUS

Undertaking

Include an undertaking in substantially the following form:

> The registrant undertakes to file a post-effective amendment or amendments to this registration statement incorporating by reference into the prospectus each annual report and Parts I, III and IV of each current report on Form 7-Q or 10-Q filed subsequent to the effective date of the registration statement. For the purposes of determining liabilities under the Securities Act of 1933, the effective date of each such amendment shall be deemed the effective date of the registration statement with respect to securities sold after such amendment shall have become effective. The undertaking to file post-effective amendments shall terminate when all the securities registered by this registration statement have been sold to the public or the offering terminated and such securities as have not been sold to the public deregistered.

Exhibits

Subject to the rules regarding incorporation by reference, the following exhibits shall be filed as a part of the registration statement: the registrant's charter and bylaws or instruments corresponding thereto, all amendments thereto, and all instruments defining or limiting the rights of holders of the registered securities.

Signatures

Pursuant to the requirements of the Securities Act of 1933, the registrant has duly caused this registration statement to be signed on its behalf by the undersigned, thereunto duly authorized, in the City of ________, State of __________ on ________, 19__.

____
(Registrant)

By______________________
(Signature and Title)

Pursuant to the requirements of the Securities Act of 1933, this registration statement has been signed below by the following persons in the capacities and on the dates indicated.

______________________	____________________	______________
(Signature)	(Title)	(Date)

Instructions. 1. The registration statement shall be signed by the registrant, its principal executive officer or officers, its principal financial officer, its controller or principal accounting officer and by at least the majority of the board of directors or persons performing similar functions. If the registrant is a foreign person, the registration statement shall also be signed by its authorized representative in the United States.

2. The name of each person who signs the registration statement shall be typed or printed beneath his signature. Any person who occupies more than one of the specified positions shall indicate each capacity in which he signs the registration statement.

Appendix III-2

Rule 157. Definition of the Standard of Reasonableness in Section 11(c) of the Act For Certain Transactions

(a) Persons entitled to rely on this Rule

A broker acting as agent in a distribution of securities registered with the Commission under the Act on Form S-17 shall be entitled to rely upon this rule if all of the following conditions are met:

1. The broker had no part in the preparation of the registration statement and no order was given to the broker to sell the securities covered by the registration statement until after the registration statement had become effective.

2. None of the proceeds of the offering will be received by the issuer of the securities.

3. The broker receives no more than the applicable minimum commission (including the commission from the buyer, if he acts for both buyer and seller) and has no reason to believe that the seller has made any payment in connection with the transaction to any other person.

4. The broker has obtained a statement in writing signed by the seller, dated not more than 15 days prior to the transaction, to the effect that to the seller's knowledge, the prospectus does not contain any untrue statement of a material fact or omit to state a material fact required to be stated therein or necessary to make the statements therein not misleading.

(b) Definition of Standard of Reasonableness

A broker entitled to rely on this rule shall be deemed to have made a reasonable investigation and to have reasonable ground for belief for the purposes of Section 11(b)(3) of the Act, and the standard of reasonableness under Section 11(c) shall be deemed to have been met, if the broker has read such registration statement and all documents incorporated by reference therein and is not aware of any untrue statement of a material fact therein, or any omission therein to state a material fact required to be stated therein or necessary to make the statements therein not misleading.

Appendix III-3

<u>Proposed rule which would permit the use of a short form prospectus on exercise of warrants sold under a prior full registration statement</u>.

Amend Rule 427 to add a new Section (c) to read as follows:

If registered securities are to be offered to the holders of outstanding warrants or rights upon the exercise thereof and such warrants or rights are exercised more than nine months after the effective date of the registration statement relating to such warrants or rights, a prospectus filed as part of an amendment to such registration statement may be prepared in accordance with the requirements of Form S-17, provided (1) the issuer is on the Commission's Rule 164 "Qualified List," and (2) no commission or other remuneration is paid or payable by the issuer for the exercise of such warrants.

Appendix IV-1

Rule 460. Distribution of Preliminary Prospectuses and Requests for Acceleration of Effective Date [1/]

(a) Pursuant to the requirement in section 8(a) of the Act that the Commission in ruling upon requests for acceleration of the effective date of a registration statement shall have due regard to the adequacy of the information respecting the issuer theretofore available to the public, the Commission will consider whether the persons making the offering have taken reasonable steps (i) to comply with Rule 15c2-8[2/] under the Securities Exchange Act of 1934, as amended (hereinafter the "Exchange Act") and (ii) where a registration statement is not effective as to a class of securities of the issuer in accordance with the provisions of section 12 of the Exchange Act and the Rules and Regulations thereunder, or the issuer is not subject to the requirements of Section 15(d) of the Exchange Act, to furnish preliminary prospectuses to those persons who may reasonably be expected to be purchasers of the securities.

(b) Acceleration shall be granted only upon submission of a written statement of the managing underwriter indicating that it has been advised by all underwriters and dealers expected to participate in the offering that they have taken all steps necessary to comply with Rule 15c2-8 of the Exchange Act.

(c) In offerings referred to in clause (ii) of paragraph (a), acceleration shall be granted only upon submission of a written statement of the managing underwriter satisfactory to the Commission which indicates the procedure followed or to be followed by underwriters and dealers expected to participate in the offering to furnish preliminary prospectuses to those persons whom they reasonably expect to be purchasers of the securities.

Ordinarily, the Commission will be satisfied by a written statement of the managing underwriter to the effect that sufficient copies of a preliminary prospectus complying with Rule 433(a) have been or are being distributed to all underwriters and dealers expected to participate in the offering so as to enable each such underwriter or dealer to mail copies thereof, a reasonable time prior to the desired effective date specified in the request

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[1/] The revised Rule 460 would supersede present Rules 460 and 461.

[2/] See Appendix IV-2.

for acceleration, to all persons to whom it then expects to mail confirmations of sale. For this purpose, a reasonable time shall ordinarily be at least 48 hours and mailing shall be by air mail if it is intended that confirmations will be sent by air mail. Such statement by the managing underwriter shall state that the managing underwriter has been advised by each such underwriter and dealer that such distribution has been made, or will be made as soon as practicable after such copies are received, and that each such underwriter and dealer has indicated the number of copies required for such distribution.

(d) Notwithstanding the provisions of paragraph (a) in the event that the form of preliminary prospectus, which has been distributed by the issuer or underwriter, is found to be inaccurate or inadequate in material respects, acceleration of the effective date of a registration statement will not be granted until the Commission has received satisfactory assurance that appropriate correcting material, including a memorandum of changes, has been sent to all underwriters and dealers who received such preliminary prospectus or prospectuses in quantity sufficient for their information and the information of others to whom the inaccurate or inadequate material was sent.

(e) Request for acceleration of the effective date of a registration statement shall be made in writing by the registrant, the managing underwriters of the proposed issue, and the selling security holders, if any, and shall state the date upon which it is desired that the registration statement shall become effective. If by reason of the expected arrangements in connection with the offering it is to be requested that the registration statement become effective at a particular hour of the day, the Commission must be advised to that effect not later than the second business day before the day on which it is desired that the statement shall become effective.

In addition to the statements required by paragraphs (b) and (c), the following information with respect to the extent of the distribution of the preliminary prospectus must be included in the request for acceleration:

(1) The dates of distribution;

(2) The number of underwriters and dealers expected to participate in the offering to whom they were furnished;

(3) The number of prospectuses so distributed;

(4) The number of prospectuses distributed to others, including persons reasonably expected to be purchasers of the securities from the managing underwriters, identifying them in general terms.

(f) Notwithstanding the provisions of the preceding paragraphs of this Rule 460, the granting of acceleration will not be conditioned upon the distribution of a preliminary prospectus in any state where such distribution would be unlawful under the laws of such state.

(g) Same as present paragraph (e) of Rule 460.

(h) Same as present paragraph (f) of Rule 460

Note to Rule 460 -- unchanged.

Appendix IV-2

Rule 15c2-8. Delivery of Prospectus

(a) It shall constitute a deceptive act or practice, as those terms are used in Section 15(c)(2) of the Act, for a broker or dealer who participates in a distribution of securities with respect to which a registration statement has been filed under the Securities Act of 1933 to fail or refuse to comply with the requirements set forth in paragraphs (b) through (g) below.

(b) Such broker or dealer shall take reasonable steps to see to it that any person who makes written request between the filing and effective dates for a copy of the preliminary prospectus or for any amended preliminary prospectus relating to such securities is furnished such copy promptly. Reasonable steps may include an undertaking by the managing underwriter or underwriters to honor such requests forwarded to them by such broker or dealer.

(c) Such broker or dealer shall take reasonable steps to see to it that any person who makes written request for a copy of the final prospectus relating to such securities between the effective date and the last to occur of (1) the termination of such distribution, or (2) the expiration of the applicable 40 or 90 day period under Section 4(3) of the Securities Act of 1933, is furnished such copy promptly. Reasonable steps may include an undertaking by the managing underwriter or underwriters to honor such requests forwarded to them by such broker or dealer. (The 40-day period referred to above shall be deemed to apply for purposes of this rule irrespective of the provisions of paragraph (b) of Rule 174 under the Securities Act of 1933).

(d) Such broker or dealer shall take reasonable steps to obtain and furnish (i) at least one copy of the preliminary prospectus relating to such securities to each of its associated persons who is expected, prior to the effective date, to solicit customer orders for such securities, before the making of any such solicitation by such associated persons and (ii) at least one copy of any amended preliminary prospectus to each of such associated persons, promptly after the filing thereof.

(e) Such broker or dealer shall take reasonable steps to obtain and furnish at least one copy of the final prospectus relating to such securities to each of its associated persons who is expected, after the effective date, to solicit customer orders for such securities, prior to the making of any such solicitation by such associated persons.

(f) A broker or dealer acting as a managing underwriter of such distribution shall take reasonable steps to see to it that all other dealers participating in such distribution, whether as principal underwriters, as defined in Rule 12(b)(2) or otherwise, are promptly furnished with sufficient copies, as requested by them, of each preliminary prospectus, each amended preliminary prospectus and the final prospectus to enable them to comply with paragraphs (b), (c), (d) and (e) above.

(g) Where the securities involved in the distribution are those of an issuer not required, immediately prior to the effective date of the registration statement, to file reports under Section 13 or 15(d), a broker or dealer acting as a managing underwriter of such distribution shall take reasonable steps to see to it that any dealer is furnished reasonable quantities of the final prospectus relating to such securities, as requested by him, in order to enable him to comply with the prospectus delivery requirement of Section 4(3) of the Securities Act of 1933.

(h) This rule shall not require the furnishing of prospectuses in any state where such furnishing would be unlawful under the laws of such state.

Rule 174. Delivery of Prospectus by Dealers: Exemptions under Section 4(3) of the Act

[Introductory material -- no change]

(a) No prospectus need be delivered if the registration statement is on Form S-12 or S-13 unless registration of the deposited security is also required.[1/]

(b) No prospectus need be delivered if the issuer is subject, immediately prior to the effective date of the registration statement, to the reporting requirements of section 13 or 15(d) of the Securities Exchange Act of 1934, as amended.

(c) No change.

(d) No change.

(e) No change.

[1/] Forms S-8, S-9 and S-7 deleted since to qualify for those forms a company must be reporting.

Appendix V-1

<u>Rule 137.</u> <u>Definition of "offers", "participates", or "participation" in relation to certain publications by non-participants in a distribution.</u>

The term "offers", "participates", or "participation" in Section 2(11) shall not be deemed to apply to the publication or distribution of information, opinions or recommendations with respect to the securities of an issuer which has a class of securities registered under Section 12 of the Securities Exchange Act of 1934 and has filed or proposes to file a registration statement under the Act if: (1) such information, opinions and recommendations are published and distributed in the regular course of its business by a dealer or an investment adviser which is not and does not propose to be a member of the underwriting syndicate or dealer group in connection with the distribution of the security to which the registration statement relates, and (2) such dealer or investment adviser receives no consideration, directly or indirectly, in connection with the publication and distribution of such information, opinions or recommendation from the issuer of, or any member of the underwriting syndicate or dealer group with respect to, the securities to which the registration statement relates and such information, opinions or recommendations are not published or distributed pursuant to any arrangement or understanding, direct or indirect, with such issuer, underwriter or dealer; provided, however, that nothing herein shall forbid payment of the regular subscription or purchase price of the document or other written communication in which such information, opinions or recommendations appear.

Rule 138. Definition of "offer for sale" and "offer to sell" in Sections 2(10) and 5(c) in relation to certain publications

Where an issuer which meets all of the conditions for the use of Forms S-7 or S-9 has filed or proposes to file a registration statement under the Act relating solely to a non-convertible debt security or to a non-convertible, non-participating preferred stock, publication or distribution in the regular course of its business by a dealer of information, opinions or recommendations relating solely to common stock or preferred stock convertible into common stock of such issuer shall not be deemed to constitute an offer for sale or offer to sell the security to which such registration statement relates for purposes of Sections 2(10) and 5(c) of the Act, even though such dealer is or will be a member of the underwriting syndicate or dealer group in connection with the distribution of the security to which such registration statement relates.

Where an issuer which meets all of the conditions for the use of Form S-7 has filed or proposes to file a registration statement under the Act relating solely to common stock or to preferred stock convertible into common stock, the publication or distribution in the regular course of its business by a dealer of information, opinions or recommendations relating solely to a non-convertible debt security, or to a non-convertible, non-participating preferred stock, shall not be deemed to constitute an offer for sale or offer to sell the security to which such registration statement relates for purposes of Sections 2(10) and 5(c) of the Act, even though such dealer is or will be a member of the underwriting syndicate or dealer group in connection with the distribution of the security to which such registration statement relates.

Appendix V-3

Rule 139. Definition of "offer for sale" and "offer to sell" in Sections 2(10) and 5(c) in relation to certain publications

Where an issuer which has a class of securities registered under Section 12 of the Securities Exchange Act of 1934 has filed or proposes to file a registration statement under the Act relating to its securities, the publication or distribution in the regular course of its business by a dealer of information, an opinion, or a recommendation with respect to the securities so registered or proposed to be registered shall not be deemed to constitute an offer for sale or offer to sell such securities for purposes of Sections 2(10) and 5(c) of the Act, even though such dealer is or will be a member of the underwriting syndicate or dealer group in connection with the distribution of such securities, if all of the following conditions exist:

(1) such information, opinion or recommendation is contained in a publication which has for at least the past 2 years been distributed with reasonable regularity on an annual or other more frequent basis and each issue of which contains a comprehensive list of securities currently recommended by such dealer;

(2) such information, opinion or recommendation is given no greater space or prominence in such publication than that given to other securities, and does not include projections of sales or earnings beyond the issuer's current fiscal year; and

(3) an opinion or recommendation no less extensive as to the security was published by the dealer either in the last previous publication of the same character, or in a subsequent publication of a different character, which was distributed prior to the time such dealer had reached an understanding that it would participate as a member of the underwriting syndicate or dealer group in connection with the distribution of such securities.

Appendix VI-1

ARTICLE 5. RULES RELATING TO UNDERWRITERS AND NON-PUBLIC OFFERINGS UNDER SECTIONS 2(11) AND 4(2) OF THE ACT

Preliminary Note:

Certain basic principles are essential to an understanding of the requirement of registration in the Act:

1. If any person utilizes the jurisdictional means to sell any non-exempt security to any other person, the security must be registered unless a statutory exemption can be found for the transaction.

2. Two exemptions should be dealt with at the outset. They are the so-called "intrastate" exemptions of a local nature, and the small offering exemption provided by Section 3(b) and the regulations of the Commission thereunder. The principal regulation adopted under Section 3(b) is Regulation A. Any offering (including a public offering) by any person of non-exempt securities which meets all of the requirements of Section 3(a)(11) or of Regulation A may be made without registration of the securities. (Two other exemptions in Section 3, namely, Sections 3(a)(9) and 3(a)(10), are designed primarily for transactions in which one security is exchanged for another).

3. The four remaining exemptions applicable to transactions in non-exempt securities are found in Section 4. Three of these are clearly not available to anyone acting as an "underwriter" of securities. (The fourth, found in Section 4(4), protects only those who act as brokers under certain limited circumstances.) An understanding of the term "underwriter" is therefore important to anyone who wishes to find out whether or not an exemption from registration is available for his sale of securities.

The term "underwriter" is broadly defined in Section 2(11). Thus, an investment banking firm which arranges with an issuer for the public sale of its securities is clearly an "underwriter" under that section. Not so clear or so well understood is the fact that individual investors who are not professionals in the securities business may be "underwriters" within the meaning of that term as used in the Act if they act as links in a chain of transactions through which securities move from an issuer to the public. Instances of this latter sort are covered by the rules in this Article 5. These rules set forth objective tests to determine when such persons are "underwriters" and when they are not.

The keys to such determination are the terms "restricted securities," defined in Rule 161 and "distribution," defined in Rule 162. Persons are underwriters when they participate in or are connected with a "distribution" of "restricted securities" (Rule 163).

Under Rule 162, a "distribution" means any public offering of securities excepting only a limited kind of public offering of the securities of a company which regularly provides public disclosure of its affairs by filing reports with the Commission under Sections 13 or 15(d) of the Securities Exchange Act of 1934. The names of such companies are available on the "Rule 164 Qualified List."

An example of a "restricted security" would be a security sold directly by its issuer to a non-public group of investors. Under Rule 161 (provided certain tests stated therein are met) a "restricted security" of this type ceases to be such 5 years after it was first issued. Another example of a "restricted security" would be a security sold by a person in a control relationship with the issuer to a non-public group of investors; a "restricted security" of this type ceases to be such 5 years after it was privately sold by the control person. Rule 160 defines the phrase "directly or indirectly controlling" an issuer to exclude certain persons and provides illustrative examples of situations in which a control relationship is not deemed to exist.

If one of the investors in the examples given in the previous paragraph should resell his "restricted securities" in a transaction <u>not</u> involving a <u>public</u> offering, he would not be making a "distribution." Therefore, he would not be an "underwriter." The securities, however, would remain "restricted securities" until the 5 year period had elapsed, and the purchaser of those securities in the non-public offering would be an "underwriter" if he should resell them prior to that time in a "distribution."

Once securities have, as a result of a public offering, entered the regular trading market, they are no longer "restricted securities." Thus, assume that a holder of restricted securities of a company on the "Rule 164 Qualified List" sells such securities to the public in a transaction which meets the requirements of Rule 162(b) and is therefore not a "distribution." The securities cease to be "restricted securities." Assume further that a portion of the securities so sold are purchased by a person not in a control relationship with the issuer and are later resold by him. His resale transaction may come within the definition of "distribution." However, the securities he is selling are not "restricted securities". Under these circumstances, he is not an underwriter. If he is not a dealer in securities, his transaction is exempt from registration under Section 4(1) of the Act; if he is a dealer in securities, his transaction would normally be exempt from registration under Section 4(3) of the Act.

Four of the rules in this Article 5 (Rules 180, 181, 182 and 183) define the phrase "transaction by an issuer not involving any public offering" in certain limited situations. Generally, whether or not an offering is public will depend on the facts and circumstances of the particular transaction. See S.E.C. v. Ralston Purina Co., 346 U.S. 119 (1952) and Securities Act Release No. 4552 (1962).[1/]

The rules in this Article 5 (the effect of which has been briefly outlined) are designed to implement the Act's fundamental aim: "To provide full and fair disclosure of the character of securities sold in interstate and foreign commerce and through the mails, and to prevent fraud in the sale thereof . . ." Pursuant to that objective, the rules operate (1) to inhibit the creation of public markets in securities whose issuers have not disclosed material information about themselves in appropriate filings with the Commission, and (2) to permit the sale in ordinary trading transactions of reasonable quantities of the securities of issuers which are making such disclosures.

These rules in no way prevent holders of restricted securities from reselling them in bona fide "private placements". Such placements can be made without registration even though the issuer has made no public disclosure of its affairs, provided they are not of such character as to convert an original private offering into a public

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[1/] The Study recommends that this release be revised and brought into consonance with the new rules.

offering. To assure that this does not occur, careful precautions by the issuer of the securities will ordinarily be essential. Although such assurance cannot be obtained merely by the use of an appropriate legend on stock certificates or other instruments evidencing securities originally sold in a “private placement”, a legend may serve as a very useful policing device. When the securities are subsequently transferred in private transactions and therefore remain restricted securities (as defined in Rule 161) the use of the legend on the certificates helps not only to prevent possible violation of the Act but also to alert the buyer to the restricted character of the securities he has acquired. It may thus assist in the prevention of fraud.

Absent a legend on the securities, the issuer may be unable, under applicable state law, to prevent a transfer thereof which would be inconsistent with exemption.

Accordingly, issuers of securities are urged to stamp or print on the face of certificates or other instruments evidencing restricted securities a conspicuous legend referring to the fact that the securities have not been registered under the Securities Act of 1933 and may be offered or sold only if registered under the provisions of that Act or if an exemption from registration is available. (Legends in general use frequently require an opinion of counsel satisfactory to the issuer as a condition precedent to an offer or sale. If the restrictions on transfer of the securities are contained in a written agreement, the appropriate legend may consist of a statement that no transfer will be valid unless made in accordance with such agreement). Issuers are likewise urged to maintain such legend on the securities until they cease to be "restricted securities." The Commission will regard the presence or absence of such a legend upon certificates or other instruments evidencing restricted securities as a significant indication as to whether or not the circumstances surrounding an offering are consistent with exemption under Section 4(2) of the Act.

Rule 160. Partial definition of "person directly or indirectly controlling" in Section 2(11).

(a) The phrase "person directly or indirectly controlling . . ." as used in Section 2(11) of the Act, when the issuer is a corporation, shall be deemed not to include a person who

(1) is neither an executive officer nor a director of such corporation,

(2) does not perform the functions of an executive officer or director of such corporation,

(3) is not a person owning beneficially, or possessing voting rights respecting, securities representing more than 10% of the voting power of such corporation,

(4) is neither father, mother, child, brother, sister or unseparated spouse of any individual referred to in (1), (2) or (3) above,

(5) is not a creditor of such corporation whose consent is presently required, or may be required under circumstances within his control, before changes in the management of the corporation, or other corporate transactions (apart from payment of dividends, increase in or extension of indebtedness, or the like) may take place.

(b) For the purposes of this rule, the term “executive officer” means the president, secretary, treasurer, any vice president in charge of a principal business function (such as sales, administration, or finance) and any other officer who performs similar policy-making functions for the registrant.

(c) As used in (a)(3) above, the term “person” shall include (1) an individual, (2) his spouse or minor children, (3) any relative of such individual or of his spouse who has the same home as such individual, (4) any trust or estate in which such individual, his spouse, any of his or his spouse’s minor children, and any relative of such individual or of his spouse who has the same home as such individual, collectively have a substantial beneficial interest or as to which any of the foregoing serves as trustee, executor, or in a similar fiduciary capacity, and (5) any corporation or other organization controlled by such individual, his spouse, any minor child of such individual or of his spouse, or any relative of such individual or of his spouse who has the same home as such individual.

(d) In computing the number of outstanding voting securities of any class held by a person and the total number of all outstanding voting securities of such class, the following shall be included: (1) outstanding securities of the class, (2) all securities of the class into which other securities beneficially owned by such person are convertible or may (after the passage of time or upon the happening of any event) be convertible, and (3) all securities of the class which such person has any call, option, or other contract right to acquire.

Note: This rule is not intended to imply that persons who do not come within its terms are for that reason deemed to be "in control" of an issuer. Thus, depending upon the circumstances of the individual case, a person who is a director or who owns more than 10% of the voting securities of a corporation may nevertheless not be "in control" of such corporation. Examples of such possible circumstances are provided by the following illustrative cases:

Example one: Dr. A, a distinguished chemist, is "vice president in charge of research" of the X Company, a producer of chemicals. The extent of Dr. A's participation in the management of the business as distinguished from the scientific side of the company's affairs is limited to advising the other officers and occasionally the directors as to the commercial feasibility of possible new products and processes. Dr. A is not a director of the company nor is he related by blood or marriage to any of its directors or officers. His holdings of the X's voting securities (when computed in accordance with this rule) do not reach the 10% level referred to therein.

Although Dr. A may be an executive officer of the X Chemical Company, he is not a person "directly or indirectly controlling" the company for purposes of Section 2(11) of the Securities Act. Since his role in the company is purely scientific, his influence over its management and policies is insufficient to be deemed controlling for Securities Act purposes. The result might be different if X were primarily a research organization as, for example, if it were primarily in the business of doing chemical research for others on a fee basis.

<u>Example two:</u> Messrs. C and D are directors of Z Company. They represent a group which owns about 20% of Z's voting securities. Another group associated with the Z family and with Z Company's executives owns 55% of Z's voting securities. Messrs. C and D have no allies on Z's 11-man board of directors. They owe their directorship solely to the fact that Z's certificate of incorporation provides for cumulative voting and they have been unable to get the board to accept their proposals.

C and D are not in control of Z.

Example three: Mr. E is the publisher of the leading daily newspaper in the city of K. Although journalism is his principal occupation, Mr. E also spends much time and energy in civic work and is regarded as one of the city's prominent citizens. At the request of its president, Mr. E has become a director of the K Machinery Company, one of the largest employers in K. The management of the machinery company wanted Mr. E on the board because it valued his demonstrated business judgment and knowledge of the community. Mr. E is unrelated to the officers or principal stockholders of the machinery company. He holds approximately 2% of the company's outstanding common stock. He spends relatively little time on the company's affairs apart from attendance at directors' meetings. He is not an officer of the company.

On these facts, Mr. E is not a controlling person of K machinery company.

Example four: Mr. and Mrs. E and their children sold their family-owned business to the X Corporation several years ago. As a result of that transaction the E family acquired 25% of X's stock. Mr. E thereupon retired from business to devote himself to various charitable endeavors in which he had long been interested. Neither he nor any member of his family serves as either an officer or a director of X Corporation. X Corporation's officers occasionally consult Mr. E with respect to the affairs of the segment of the corporation's business formerly operated by Mr. E. The Corporation's voting securities are held as follows:

Mr. E and his family	25%
Public investors	22%
The X family, which consists of the descendants of the founder of X Corporation and whose members act as a unit	53%
Total	100%

It is reasonably clear that the X Corporation is controlled by the X family and that in spite of its substantial holdings the E family has no dominion over the enterprise. Accordingly, the members of the E family are not deemed to be controlling persons of X Corporation for ’33 Act purposes.

Example five: Mr. F, the founder of F, Inc. was its president for many years. He still owns 25% of F, Inc.’s voting securities. Some years ago however, Mr. G, an investment banker and a group of his associates accumulated about 45% of F, Inc.’s stock. The balance of the stock is widely distributed. As a result of a proxy contest between Mr. F and his friends, on the one hand, and the G group on the other, the founder and his closest associations were removed from the board and from their executive positions with the company. The present board consists of Mr. G, his nominees and of two representatives of institutional investors who hold substantial blocks of the company’s securities and were allied with Mr. G in the proxy contest.

Mr. F has ceased to be a controlling person of F, Inc.

Rule 161. Definition of "Restricted Security"

(a) A "restricted" security" means any security acquired directly or indirectly from its issuer, or from any person in a control relationship with its issuer, in a transaction or chain of transactions none of which was a public offering or other public disposition.

(b) Shares issued as a result of a stock dividend on, stock split-up of or other recapitalization affecting outstanding restricted securities shall be deemed to be restricted securities and to have been such for a similar period of time.

(c) If a restricted security has been such for a period of at least 5 years during the last 4 of which its issuer has had annual gross revenues from the conduct of its business in the ordinary course amounting to at least $250,000, it shall cease to be a restricted security. Such 5-year period shall be deemed to begin upon any acquisition of a restricted security from a person in a control relationship with its issuer, whether or not the security was a restricted security in the hands of such person.

(d) The term "control relationship" as used herein means the relationship with an issuer of any person directly or indirectly controlling or controlled by or under direct or indirect common control with the issuer.

<u>Rule 162.</u> <u>General Definition of "Distribution" in Section 2(11)</u>

(a) For purposes of this Rule 162, the term "offeror" shall mean the person who offers a security, together with: (i) his spouse and minor children, (ii) any relative of such person or of his spouse who has the same home as such person, (iii) any trust or estate in which such person, his spouse, any of his or his spouse's minor children, and any relative of such person or of his spouse who has the same home as such person, collectively have a substantial beneficial interest or as to which any of the foregoing serves as trustee, executor or in a similar fiduciary capacity, and (iv) any corporation or other organization controlled by such person, his spouse, any minor child of such person or of his spouse, or any relative of such person or of his spouse who has the same home as such person.

(b) The term "distribution" in Section 2(11) of the Act means any public offering of a security excepting only a transaction which meets all of the following requirements:

(1) <u>Issuer on Rule 164 Qualified List.</u>

At the time of the transaction, the issuer of the security is listed on the Commission's Rule 164 Qualified List.

(2) Holding period for restricted securities. If the security is a restricted security, it has been held by the offeror for the period, and in accordance with the provisions, specified in part (c) of this Rule 162.

(3) Limitations on the Transaction. The offering is made through a broker acting as agent for the offeror and

(A) The broker does no more than execute an order or orders to sell as broker and receives in the case of a security listed on the New York Stock Exchange or other non-exempt national securities exchange no more than the applicable minimum commission and, in the case of a security not listed on any such exchange, no more than the minimum commission that would have been applicable had the security been listed on the New York Stock Exchange.

(B) The offeror makes no payment in connection with the execution of the transaction to any other person.

(C) The offeror neither solicits nor arranges for the solicitation of orders to buy in anticipation of or in connection with the transaction.

(D) The broker neither solicits nor arranges for the solicitation of customers' orders to buy in anticipation of or in connection with the transaction.

The foregoing shall not preclude inquiries by the broker of other bona fide brokers or dealers as to their interest in the security, nor shall it preclude the publications by the broker of bid and offer quotations for the security in an inter-dealer quotation service, provided (i) that such quotations are incident to the maintenance of a bona fide inter-dealer market for the security for the broker's own account, and (ii) the broker has published bona fide bid and offer quotations for the security in an inter-dealer quotation service on at least 7 of the 10 consecutive business days before his receipt of the offeror's order.

(E) The amount involved in the transaction is not substantial in relation to the number of shares or units of the security outstanding and the aggregate volume of trading in the security. Without limiting the generality of the foregoing, an amount shall not be deemed substantial for purposes of this paragraph if it involves a sale or series of sales of the security which, together with all other sales of securities of the same class by or on behalf of the same offeror with the preceding six months (excepting only sales of the security in non-public offerings) will not exceed the following: (i) if the security is traded only otherwise than on a securities exchange, approximately one percent of the shares or units of such security outstanding at the time of receipt by the broker of the order to execute such transactions; or (ii) if the security is admitted to trading on a securities exchange the lesser of (aa) one percent of the shares or units of such security outstanding at the time of receipt by the broker of the order to execute such transactions or (bb) the largest aggregate reported volume of trading on securities exchanges during any one week within the four calendar weeks preceding the receipt of such order.

(c) The required holding period for restricted securities under paragraph (2) of part (b) of this Rule shall be determined in accordance with the following principles:

(1) General Rule. The restricted securities shall have been beneficially owned by the offeror for at least one year prior to the transaction. If purchased by the offeror, the full purchase price of such securities shall have been paid at least one year prior to the transaction. During a period of one year prior to the transaction, the offeror shall not have purchased or agreed to purchase any other restricted securities of the same issuer, whether or not of the same class as the securities offered by him;

provided, however that this limitation does not apply to stock purchased on exercise of an option which meets the requirements of either Section 422, Section 423 or Section 424 of the Internal Revenue Code.

Shares acquired directly from the issuer by reason of a stock dividend, stock split-up or other recapitalization shall, for the purposes of this part (c), be deemed to have been held under the same conditions and for the same period of time as the changed or split shares or the shares on which the dividend was paid. Shares acquired on complete or partial liquidation of a partnership shall be deemed to have been purchased on the date of such liquidation.

Shares acquired by offeror directly from the issuer as an installment payment of the purchase price of assets sold to the issuer at least one year prior to such acquisition shall, for purposes of this part (c), be deemed to have been purchased at the time of such sale if, at the time of such sale, the issuer was committed to issue such shares subject only to conditions not involving the payment of any money or property by any person.

(2) Securities Acquired in Certain Business combinations. Where the offeror acquired the restricted securities for a consideration consisting primarily of an interest in a bona fide going business which has had, in the ordinary course of its business, gross revenues of not less than $250,000 during the immediately preceding twelve calendar months, then the

holding requirement shall be deemed satisfied if the period during which the offeror owned such interest, combined with the period during which he has owned the restricted security, totals at least one year. For purposes of the preceding sentence, any part or parts of such interest acquired by the offeror within one year prior to his acquisition of the restricted securities shall be treated separately, and the holding requirement as to an equivalent proportion of the restricted securities shall be deemed satisfied one year after the acquisition of each such part.

(3) Securities Acquired by Reason of Death, Gift or Termination of a Bona Fide Trust.

(a) Where the offeror acquired the restricted security from a person other than its issuer by reason of death, or inter-vivos gift, or distribution to beneficiaries on termination of a bona fide trust, the holding requirement shall be deemed satisfied if the period during which the offeror has owned the security, combined with the period during which the decedent, donor or trustee, as the case may be, owned the security, totals at least one year, and if, during a period of one year prior to the transaction, the offeror has neither purchased nor agreed to purchase any other restricted securities of the same issuer, whether or not of the same class as the securities offered by him.

(b) Where the offeror acquired the restricted securities from a person directly or indirectly controlling or controlled by or under direct or indirect common control with the issuer of such securities by reason of death, inter-vivos gift, or distribution to beneficiaries on termination of a bona fide trust, the holding requirement shall not apply if the securities were not restricted securities in the hands of such person.

(4) Pledged securities.

(a) Where the offeror is a bona fide pledgee of the restricted securities, the holding requirement shall be deemed satisfied if the period during which the pledgee has held the securities in pledge subsequent to the loan for which the pledge was received, combined with the period during which the pledgor owned the restricted securities prior to the pledge, totals at least one year, and if, during a period of one year prior to the offer, the pledgee has neither accepted in pledge nor agreed to accept in pledge from the same pledgor, any other restricted securities of the same issuer, whether or not of the same class as the securities offered by him.

(b) Where the offeror is a bona fide pledgee of the restricted securities and where the pledgor of the securities at the time the pledge was made directly or indirectly controlled, was controlled by, or was under common control with, the issuer of such securities, the holding requirement shall not apply if the securities were not restricted securities in the hands of the pledgor.

(c) Where the offeror has acquired the restricted securities in a non-public transaction from a pledgee thereof by reason of default on the loan for which the pledge was received, the holding requirement shall be deemed satisfied if the period during which the offeror has owned the securities, combined with the periods during which the pledgee held the securities in pledge and the pledgor owned the securities prior to the pledge, totals at least one year, and if, during a period of one year prior to the transaction, neither the offeror nor the pledgee has purchased or agreed to purchase any other restricted securities of the same issuer, whether or not of the same class as the securities offered by him.

(5) Securities Acquired by Conversion of Other Restricted Securities. Where the offeror acquired the restricted securities directly from the issuer for a consideration consisting solely of other restricted securities of the same issuer surrendered for conversion, the holding requirement shall be deemed satisfied if the period during which the offeror owned the securities so surrendered for conversion, combined with the period during which he has owned the securities issued on conversion, totals at least one year, and if during a period of one year prior to the transaction the offeror has neither purchased nor agreed to purchase any other restricted securities of the same issuer, whether or not of the same class as the securities offered by him.

Rule 163. Certain Persons Deemed to be "Underwriters"

The phrase "person who . . . offers or sells for an issuer in connection with the distribution of any security, or participates or has a direct or indirect participation in any such undertaking, or participates or has a participation in the direct or indirect underwriting of any such undertaking" in Section 2(11) shall include (but not be limited to) any person who disposes of a restricted security (as defined in Rule 161) in a distribution (as defined in Rule 162).

Rule 164. Rule 164 Qualified List

The Commission shall maintain a list to be known as the Rule 164 Qualified List, in accordance with this rule.

(a) Subject to paragraphs (b), (c) and (d) below, the Rule 164 Qualified List shall include (1) all issuers of any security registered on a national securities exchange pursuant to Section 12(b) of the Securities Exchange Act, (2) all issuers of any security as to which a registration statement filed with the Commission pursuant to Section 12(g) of the Securities Exchange Act has been effective for a period of six months, or such shorter period as the Commission may determine as to a particular issuer, and (3) all issuers required to file reports with the Commission pursuant to Section 15(d) of the Securities Exchange Act.

(b) The Rule 164 Qualified List shall include only these issuers referred to in paragraph (a) above which are required by the Commission's rules to file annual reports on one of the following forms: 10-K, 12-K, U5-S and N1-R.

(c) The Commission may at any time enter an order temporarily barring from the Rule 164 Qualified List an issuer of a security as to which registration statement filed pursuant to Section 12(g) of the Securities Exchange Act has become effective, (1) if it has reason to believe that such registration statement contains any untrue statement of a material fact or omits to state a material fact necessary in order to make the statements made, in the light of the circumstances under which they were made, not misleading, or (2) if it believes such order otherwise necessary or appropriate for the protection of investors.

(d) The Commission may at any time enter an order temporarily removing an issuer from the Rule 164 Qualified List (1) if it has reason to believe that the issuer has failed to file a report required to be filed pursuant to the Securities Exchange Act on or before the due date thereof or any extended filing date; or (2) if the issuer is subject to a proceeding under Sections 8(b) or 8(d) of the Act or Section 15(c)(4) of the Securities Exchange Act or any of the rules under Section 3(b) of the Act relating to the suspension of exemptions thereunder; of (3) if the Commission believes such order otherwise necessary or appropriate for the protection of investors.

(e) Upon the entry of an order under paragraphs (c) or (d) of this rule, the Commission will promptly give notice to the issuer (i) that such order has been entered, together with a brief statement of the reason for the entry of the order, and (ii) that the Commission, upon receipt of a written request within 30 days after the entry of such order, will, within 20 days after receipt of such request, set the matter down for hearing at a place to be designated by the Commission. If no hearing is requested and none is ordered by the Commission, the order shall become permanent on the thirtieth day after its entry and shall remain in effect unless and until it is modified or vacated by the Commission. Where a hearing is requested or is ordered by the Commission, the Commission will, after notice of opportunity for such hearing, either vacate the order or make the order permanent. All notices required by this rule shall be given to the issuer by personal service, registered or certified mail, or confirmed telegraphic notice at the office of the issuer set forth in the issuer's filings with the Commission.

Rule 165. Same as present Rule 140.

Rule 166. Same as present Rule 141.

Rule 167. Same as present Rule 142.

Rule 168. Same as present Rule 143.

Rule 169. Definition of Certain Terms Used in Section 2(11) in Relation to Certain Business Combinations

The terms "has purchased," "offers or sells for," "participates," and "participation" in Section 2(11) shall not be deemed to apply to the following persons, as respects their activities in submitting to the vote of the security holders of a corporation a plan or agreement of statutory merger or consolidation or a proposal for the transfer of assets of such corporation to another person:

(a) such corporation;

(b) the officers and directors of such corporation;

(c) any person or organization retained or employed by such corporation to assist in the solicitation of proxies in connection with such submission; and

(d) any person who merely transmits proxy soliciting material or performs ministerial or clerical duties in connection with such solicitation

or to a corporation or its officers and directors as respects their activities in recommending to security holders of such corporation the acceptance of an offer of exchange of securities made to such security holders by another corporation.

Rule 180. Effect of Transactions not Constituting "Distributions" Under Rule 162 on Applicability of the Exemption Contained in Section 4(2) of the Act

Resales of securities by persons other than the issuer thereof in public offerings which, by reason of the provisions of Rule 162(b)(1), (2) and (3), do not constitute "distributions", shall not be deemed to affect the availability of the exemption contained in Section 4(2) of the Act for the previous sale of such securities by the issuer, if such exemption is otherwise available.

Rule 181. <u>Definition of "Not Involving Any Public Offering" in Section 4(2) of the Act in Connection with the Acquisition by the Issuer of a Bona Fide Going Business</u>

(a) A transaction by an issuer shall be deemed a transaction "not involving any public offering", as that phrase is used in Section 4(2) of the Act, if it consists of an offer and sale of securities made solely in connection with the acquisition by the issuer of a bona fide going business, to not more than 25 offerees who are holders of interests in such business, whether the acquisition takes the form of a voluntary exchange of securities, a statutory merger or consolidation, or a purchase of assets of such business, unless a reoffering of such securities by one or more of such original offerees shall cause the entire transaction to involve a public offering.

(b) For purposes of this rule 181, an "offeree" shall include (1) an individual, (2) his spouse and minor children, (3) any trust or estate in which such individual, his spouse, and any of his or his spouse's minor children, collectively have a substantial beneficial interest or as to which any of the foregoing serves as trustee, executor, or in a similar fiduciary capacity, (4) any partnership substantially all of the partnership interests in which are held by such individual, his spouse and minor children of such individual or of his spouse, and (5) any corporation or other organization substantially all of the shares of which are held beneficially by such individual, his spouse and minor children of such individual or of his spouse.

Note: This rule is not intended to be exclusive. Depending upon the circumstances of the individual case, a transaction by an issuer of the type referred to in the rule in which securities are offered or sold to more than 25 persons may be a transaction "not involving any public offering". Issuers of securities should be aware of the fact that they bear the burden of proving that the exemption provided by Section 4(2) applies to any such transaction.

Rule 182. Same as present Rule 152.

Rule 183. Same as present Rule 156.

Appendix VI-2

Recommended Rearrangement of General Rules and Regulations under ’33 Act

It would be appropriate, in the Study’s judgment, to group together in a separate article the recommended new rules relating to underwriters and non-public offerings under Sections 2(11) and 4(2) of the ’33 Act. This is particularly true in light of the recommended preliminary note which precedes and explains such rules.

Accordingly, the Study suggests that a new Article 5 be substituted for the present Article 5 of the General Rules and Regulations, entitled “Rules relating to underwriters and non-public offerings under Sections 2(11) and 4(2) of the Act.” Both the new rules proposed by the Study, and related existing rules, would be located in this Article 5. (Rule 161, the single rule now located under Article 5, would be renumbered 101 and located in Article 1 of the General Rules and Regulations.)

Certain minor additional rule changes necessitated by the foregoing recommendation are indicated in the summary below:

Article 1.

Change title to “Definition of Terms Used in, and Applicability of, Rules and Regulations.”

Article 2.

No change.

Article 3.

No change.

<u>Article 4</u>.

Change title to "<u>Definitions of Terms Used in the Act Elsewhere than in Sections 2(11) and 4(2)</u>."

(Rules under this Article would be the following):

Rule 130	No change.
Rule 131	No change.
Rule 133	Revision recommended. (See Chapter VII)
Rule 134	No change.
Rule 135	Revision recommended. (See Chapter V and VII)
Rule 136	No change.
Rule 137) Rule 138) Rule 139)	New; relate to "gun jumping." (See Chapter V)
Rule 149	No change.
Rule 150	No change.
Rule 151	To be deleted.[1/]
Rule 152	Rule 152A, renumbered.
Rule 153	No change.
Rule 153A	New; definition of "preceded by a prospectus" for certain business combinations. (See Chapter VII)
Rule 154	Revision recommended (See Chapter VI)

[1/] The staff has recommended (and the Commission has approved) deletion of this rule, since the types of transactions referred to therein are no longer permitted.

[Rule 155]	[Rescission recommended. See Chapter VI]
Rule 157	New; definition of underwriter's duty of investigation when proposed Form S-17 is used. (See Chapter III)

Article 5.

Change title to "Rules Relating to Underwriters and Non-Public Offerings Under Sections 2(11) and 4(2) of the Act."

(The new rules under this Article are proposed in Chapter VI):

Preliminary Note	New; explanation of basic concepts.
Rule 160	New; definition of "directly or indirectly controlling an issuer" in Section 2(11), with examples.
Rule 161	New; definition of "restricted security."
Rule 162	New; definition of "distribution" in Section 2(11).
Rule 163	New; certain persons deemed to be "underwriters" under Section 2(11).
Rule 164	New; "qualified list."
Rule 165	Present Rule 140.
Rule 166	Present Rule 141.
Rule 167	Present Rule 142.[2/]

[2/] Clause 4 of this rule should be appropriately revised if new Rule 162 is adopted.

Rule 168	Present Rule 143.[3/]
Rule 169	New; definition of certain terms used in Section 2(11) in relation to business combinations.
Rule 180	New; effect of transactions not constituting "distributions" under Rule 162 on applicability of the exemption contained in Section 4(2) of the Act.
Rule 181	New; definition of "not involving any public offering" in Section 4(2) of the Act in connection with acquisitions of bona fide going businesses.
Rule 182	Present Rule 152.
Rule 183	Present Rule 156.

Article 6.

Remember the rules in this Article, starting with Rule 190.

[3/] This rule may be obsolete; if so, it could be rescinded.

Rule 154. Definition of certain terms used in Section 4(4)

(a) The term "brokers' transactions" in Section 4(4) of the Act shall be deemed to include transactions by a broker acting as agent for the account of

(1) any person controlling, controlled by, or under common control with the issuer of the securities which are the subject of the transaction, or

(2) any person disposing of a restricted security, as defined in Rule 161, in the transactions,

only if the broker has made reasonable inquiry of his customer and has no grounds for believing and does not believe that the transactions constitute a distribution as defined in Rule 162.

(b) Only the broker's part of a "brokers' transaction," as that term is used in Section 4(4) of the Act, is exempt under that section from the provisions of Section 5 of the Act.

Appendix VII-1

SECURITIES AND EXCHANGE COMMISSION
WASHINGTON, D.C. 20549

FORM S-16

REGISTRATION STATEMENT

under

THE SECURITIES ACT OF 1933

____
(Exact name of registrant as specified in its charter)

______________________________ ___________________
(State or other jurisdiction of incorporation or organization) (I.R.S. Employer Identification No.)

___________________________________ ______________
(Address of principal executive offices) (Zip Code)

____
(Name and address of agent for service)

CALCULATION OF REGISTRATION FEE

Title of securities being registered	Amount being registered	Proposed consideration to be received per unit being registered (in dollars)*	Proposed aggregate consideration to be received (in dollars)*	Amount of registration fee

*/ See Rule 457

GENERAL INSTRUCTIONS

A. Rule as to use of Form S-16

This form may be used for registration under the Securities Act of 1933 of securities to be offered to the shareholders of a corporation, where, pursuant to applicable statutory provisions or provisions contained in the certificate of incorporation of a corporation or by agreement there is submitted to the vote of the stockholders of the corporation (1) a plan, agreement or instrument intended to effect a statutory merger or consolidation of the corporation with another person, which other person will issue its securities in the transaction, or a reclassification of securities of the corporation, or (2) a plan or proposal for the transfer of assets of the corporation to another person in consideration of the issuance of securities of such other person or its affiliates.

B. Application of General Rules and Regulations

Attention is directed to the General Rules and Regulations under the Act, particularly those comprising Regulation C. That regulation contains general requirements regarding the preparation and filing of the registration statement. Notwithstanding Rules 404(c) and 421(c), no table of contents or cross reference sheet are required.

C. Documents Comprising Registration Statement

The registration statement shall consist of the facing sheet of the form, the prospectus containing the information specified in Part I, the information called for by Part II, signatures, consents of experts, exhibits and any other information or documents which are required or which the registrant may file as a part of the registration statement.

PART I. INFORMATION REQUIRED IN THE PROSPECTUS

1. Information Required by Schedule 14A.

A prospectus for securities registered on this form shall contain the information required by Schedule 14A of Regulation 14 under the Securities Exchange Act of 1934, to be furnished to the offerees of the securities registered hereunder, and may be in the form of proxy statement to be sent to such offerees by the corporation of which they are shareholders.

The information required by Rules 423 and 425 need not be furnished.

PART II. INFORMATION NOT REQUIRED IN THE PROSPECTUS

1. Interest of Experts Named in Registration Statement

If any expert named in the registration statement as having prepared or certified any part thereof was employed for such a purpose on a contingent basis or, at the time of such preparation or certification or at any time thereafter, had a substantial interest in the registrant or any other corporation which is a party to the transaction to any of their parents or subsidiaries, or was connected with the registrant or any such other corporation or any of their subsidiaries as a promoter, underwriter, voting trustee, director, officer or employee, furnish a brief statement of the nature of such contingent basis, interest or connection.

> Instruction. In the case of an accountant, any direct financial interest or any material indirect financial interest held during the period covered by the financial statements prepared or certified shall be deemed a "substantial interest" for the purpose of this item.

3. Exhibits Filed

List all exhibits filed as a part of the registration statement.

SIGNATURES

Pursuant to the requirements of the Securities Act of 1933, the registrant has duly caused this registration statement to be signed on its behalf by the undersigned, thereunto duly authorized, in the City of ______________, State of ____________, on ____________, 19__.

____
(Registrant)

By_____________________
(Signature and Title)

Pursuant to the requirements of the Securities Act of 1933, this registration statement has been signed by the following persons in the capacities and on the dates indicated.

_________________________	_____________________	_______________
(Signature)	(Title)	(Date)

<u>Instructions.</u> 1. The registration statement shall be signed by the registrant, its principal executive officer or officers, its principal financial officer, its controller or principal accounting officer and by at least the majority of the board of directors or persons performing similar functions.

2. If the securities to be offered are those of a corporation not yet in existence at the time the registration statement is filed, which will be a party to a consolidation involving two or more existing corporations, then each such existing corporation shall be deemed a registrant and shall be so designated on the cover page of this form, and the registration statement shall be signed by each such existing corporation and by the officers and directors of each such existing corporation as if each such existing corporation were the registrant.

3. The name of each person who signs the registration statement shall be typed or printed beneath his signature. Any person who occupies more than one of the specified positions shall indicate each capacity in which he signs the registration statement.

INSTRUCTIONS AS TO EXHIBITS

Subject to the rules regarding incorporation by the reference, the following exhibits shall be filed as a part of the registration statement. Exhibits shall be appropriately lettered or numbered for convenient reference. Exhibits incorporated by reference may bear the designation given in the previous filing. Where exhibits are incorporated by reference, the reference shall be made in the list of exhibits called for by Instruction 3, above.

1. Copies of the plan or other instrument for the reclassification, merger, consolidation or transfer of assets pursuant to which the securities being registered are to be issued.

2. Copies of the charter and by-laws of the registrant, or instruments corresponding thereto, as presently in effect and as proposed to be in effect upon consummation of the transaction.

3. (a) Specimens or copies of all securities being registered hereunder and copies of all constituent instruments defining the rights of holders of long-term debt of the registrant and of all subsidiaries for which consolidated or unconsolidated financial statements are required to be filed.

(b) There need not be filed, however, (1) any instrument with respect to long-term debt not being registered hereunder if the total amount of securities authorized thereunder does not exceed 5% of the total assets of the registrant and its subsidiaries on a consolidated basis and if there is filed an agreement to furnish a copy of such instrument to the Commission upon request, (2) any instrument with respect to any class of securities if appropriate steps to assure the redemption or retirement of such class will be taken prior to or upon delivery by the registrant of the securities being registered, or (3) copies of instruments evidencing fractions of shares.

4. Copies of any plan setting forth the terms and conditions upon which outstanding options, warrants or rights to purchase securities of the registrant or its subsidiaries from the registrant or any of its affiliates have been issued or will be issued in connection with consummation of the transaction together with specimen copies of such options, warrants, or rights; or, if not issued pursuant to such a plan, copies of each such option, warrant or right.

5. An opinion of counsel, as to the legality of the securities being registered, indicating whether they will when issued be legally issued, fully paid and non-assessable.

6. If any discount on capital shares is shown as a deduction from capital shares on the most recent balance sheet being filed for the registrant, there shall be filed a statement of the circumstances under which such discount arose and an opinion of counsel as to the legality of the issuance of the shares to which such discount relates. The opinion shall set forth any applicable constitutional and statutory provisions and shall cite any decisions which in the opinion of counsel are controlling.

7. If upon consummation of the transaction the registrant will have any shares the preference of which upon involuntary liquidation exceeds the par or stated value thereof, there shall be filed an opinion of counsel as to whether there are any restrictions upon surplus by reason of such excess and also as to any remedies available to security holders before or after payment of any dividend that would reduce surplus to an amount less than the amount of such excess. The opinion shall set forth any applicable constitutional or statutory provisions and shall cite any decisions which, in the opinion of counsel, are controlling.

8. Copies of all pension, retirement or other deferred compensation plans, contracts or arrangements in effect or which will be in effect upon consummation of the transaction. If any such plan, contract or arrangement is not set forth in a formal document, furnish a reasonably detailed description thereof. Copies of any available booklet or other written description of any such plan, contract or arrangement shall also be filed.

9. Copies of all indemnification contracts or arrangements under which any officer or director of the registrant is or will on consummation of the transaction be insured or indemnified in any manner against any liability which he may incur in his capacity as such.

10. Copies of any voting trust or similar agreement, know to the registrant relating to more than 10 percent of any class of securities being registered hereunder.

11. (a) Copies of every material contract not made in the ordinary course of business which is to be performed in whole or in part at or after the filing of the registration statement or which was made not more than two years before filing, except contracts called for, or the omission of which is expressly authorized by the foregoing instructions. Only contracts need be filed as to which the registrant or a subsidiary of the registrant is or will on the consummation of the transaction be a party or has succeeded to a party by assumption of assignment, or in which the registrant or such subsidiary has or will have a beneficial interest.

(b) If the contract is such as ordinarily accompanies the kind of business conducted by the registrant and its subsidiaries or by any of the other constituent corporations or their subsidiaries, it is made in the ordinary course of business and need not be filed, unless it falls within one or more of the following categories, in which case it should be filed except where immaterial is amount or significance:

(1) Persons who are, or on consummation of the transaction will be, directors, officers, promoters, voting trustees, or security holders named in answer to Item 6(a)(5) of Regulation 14 are parties thereto except where the contract merely involves purchase or sale of current assets having a determinable market price, at such price.

(2) It is of such materiality as to call for specific reference to it in the prospectus.

(3) The registrant's business is or will on consummation of the transaction be substantially dependent upon it, as in the case of continuing contracts to sell the major part of registrant's production in the case of a manufacturing enterprise or to purchase the major part of registrant's requirements of goods in the case of a distributing enterprise, or licenses to use a patent or formula upon which registrant's business depends to a material extent.

(4) It calls or will on consummation of the transaction call for a consideration exceeding 15% of all fixed assets of the registrant and its subsidiaries.

(5) It is a lease under which a significant part of the property of the registrant is held, or is to be held upon the consummation of the transaction.

(6) The amount of the contract, or its importance to the business of the registrant and its subsidiaries, or to such business upon consummation of the transaction, are material, and the terms and conditions are of a nature of which investors reasonably should be informed.

(c) Any management contract or bonus or profit-sharing plan, contract or arrangement (or if not set forth in any formal document, a written description thereof) except the following, shall be deemed material and shall be filed:

(1) Ordinary purchase and sales agency agreements.

(2) Agreements with managers of stores in a chain organization or similar organization.

(3) Contracts providing for labor or salesmen's bonuses or payments to a class of security holders, as such.

Rule 135. Notice of certain proposed offerings.

(a) For the purposes only of Section 5 of the Act, the following notices given in accordance with the terms and conditions of this rule shall not be deemed to offer any security for sale:

(1) a notice given by an issuer that it proposes to make a public offering of securities to be registered under the Act, which notice does no more than identify the security, state the number of shares or units which the issuer expects to register, and state the approximate dollar amount of the proposed offering;

(2) a notice given by an issuer to any class of its security holders advising them that it proposes to issue to such security holders rights to subscribe to securities of such issuer;

(3) a notice given by an issuer to any class of security holders of such issuer or of another issuer advising them that it proposes to offer its securities to them in exchange for other securities presently held by such security holders;

(4) a notice given by an issuer of a proposal for a statutory merger or consolidation of another corporation into the issuer, or of a proposal for the transfer of assets of such other corporation to the issuer in consideration of the issuance of securities of the issuer or its affiliate, involving an offer of securities to the security holders of such other corporation, or a similar notice given by such other corporation; and

(5) A notice to its employees or to the employees of any affiliate advising them that it proposes to make an offering of its securities to such employees.

(b) Any notice contemplated by clauses (2) through (5) of (a) above shall state that the offering will be made only by means of a prospectus which will be furnished to such security holders or employees, as the case may be, and shall contain no more than the following additional information:

(1) the name of the issuer;

(2) the title of the securities proposed to be offered;

(3) in the case of a rights offering, the class of securities the holders of which will be entitled to subscribe to the securities proposed to be offered, the subscription ratio, the proposed record date, the approximate date upon which the rights are proposed to be issued, the proposed term or expiration date of the rights and the approximate subscription price, or any of the foregoing;

(4) in the case of an exchange offering, the name of the issuer and the title of the securities to be surrendered in exchange for the securities to be offered, the basis upon which the exchange is proposed to be made and the period during which the exchange may be made, or any of the foregoing;

(5) in the case of an offering of the type referred to in (a)(4) above, the name of the issuer and the title of the securities to be surrendered in exchange for the securities to be offered in any such plan of merger, consolidation or sale of assets, the basis upon which the exchange is proposed to be made, and the expected date or period of time on or during which the transaction is to be consummated, or any of the foregoing;

(6) in the case of an offering to employees, the name of the employer and class or classes of employees to whom the securities are proposed to be offered, the offering price or basis of the offering and the period during which the offering is to be made, or any of the foregoing; and

(7) any statement or legend required by state law or administrative authority.

(c) Any notice contemplated by this rule may take the form of a news release, or a written communication directed to security holders or employees as the case may be.

Appendix VII-3

<u>Rule 153A</u>. <u>Definition of "Preceded by a Prospectus" as used in Section 5(b)(2), in relation to certain transactions requiring approval of security holders</u>

The term "preceded by a prospectus," as used in section 5(b)(2) of the Securities Act of 1933, as amended, in respect of any requirement of delivery of a prospectus to security holders of a corporation, where there is submitted to the vote of such security holders a plan or agreement for a statutory merger, consolidation or reclassification of securities or a proposal for the transfer of assets of such corporation to another person, shall mean sending of a prospectus, prior to such vote, to all security holders of record of such corporation entitled to vote on such plan, agreement or proposal, at their addresses of record on the transfer records of such corporation.

Appendix VII-4

Rule 133. Offer for sale of securities in connection with reclassification and acquisitions of businesses

(a) Where there is submitted to the vote or consent of the stockholders of a corporation

(1) a proposal for the reclassification of its securities which involves the substitution of a new security or securities for an existing security; or

(2) a plan or agreement for a statutory merger or consolidation under which such corporation will not survive; or

(3) a plan or agreement for the transfer of assets of such corporation to another person in consideration of the issuance of securities of such other person or any of its affiliates

then such corporation (in the event of a reclassification of its securities), or the person or corporation whose securities are to be issued in connection with such merger or consolidation or transfer of assets, shall be deemed to have offered such securities for sale to such stockholders, provided that, in the event of a transfer of assets, the plan or agreement provides for dissolution of the corporation whose stockholders are voting, or the board of directors of such corporation adopts resolutions relative to its dissolution within one year after the taking of such vote of stockholders.

(b) This rule shall supersede the provisions of Rule 133, as previously in effect, on and after   , and shall have no effect upon proposals, plans or agreements submitted to the vote or consent of the stockholders of any corporation prior to that date.

Note: A reclassification of securities covered by this rule would be exempt from registration pursuant to Sections 3(a)(9) or 3(a)(10) of the Act if the conditions of either of these sections are satisfied.

Transactions by issuers of securities described in this rule are exempt from registration requirements under Section 4(2) if they are transactions "not involving any public offering." See Rule 180 as to the effect of resales of securities by persons other than the issuer thereof not constituting "distributions" under Rule 162 upon the applicability of that exemption. See also Rule 181 for definition, in connection with the acquisition of a bona fide going business, of the phrase "not involving any public offering" in Section 4(2).

APPENDIX X-1

’34 ACT FORMS CHART

Nature of Information	Form 10	Form 10-K	Form 10-Q
Status of Business	Item 1. Brief five-year history plus description of present business activities, expanded to require “lines of business” breakdown.	Item 1. (new) Brief description of present business activities (including “lines of business” breakdown) with emphasis on changes since beginning of last full fiscal year.	Item 2. (revised) Information about acquisition or disposition of material amounts of assets (10% test); otherwise, no report on general business matters.
Earnings	Item 2. (new) Provides a 5-year summary similar to Form S-1 except that no “stub” periods required.	Item 2. (new) Same as Form 10.	Part II. (new) Condensed information covering each of the first three fiscal quarters. (Not subject to Section 18 liabilities.)
Capital Structure	Information as to capital structure can be obtained from financial statement; no separate table is needed.	Same as Form 10.	Items 3 and 4. (revised) Increases or decreases of outstanding securities (5% test). Decrease by reason of issuer’s purchase of its own securities (1% test). Part II requires a new short statement of capitalization and shareholders’ equity.

Nature of Information	Form 10	Form 10-K	Form 10-Q
Property	Item 3. (revised) Expiration dates of material leases shown. Additional details regarding mining and oil properties required, including reserves.	Item 3. (new) Same as Form 10, except data on reserves not required.	Item 2. (revised) Information about acquisition or disposition of material amounts of assets (10% test).
Parents and Subsidiaries:	Item 4. (revised)	Item 4. (revised)	Item 1(a), (b) and (c) (revised)
Description	Existing item of Form 10 simplified; consolidated totally held subsidiaries not identified.	Same as Form 10 (reference to previously filed material if no change).	Omitted.
Change in control	Omitted.	Omitted.	Required to be reported.
Contractual arrangements which may result in change of control	New paragraph, similar to Item 5(f) of Schedule 14A of proxy rules.	Omitted.	Required to be reported.
Principal Holders of Securities	Item 5.	Item 5. (revised) Same as Form 10. May be omitted if contained in proxy statement.	Not applicable; in view of Sections 13(d) and 16(a) reporting requirements.

Nature of Information	Form 10	Form 10-K	Form 10-Q
Officers and Directors	Item 6. (revised and expanded) Requires information as to experience, etc. of directors and executive officers for past 10 years; also period of service and term of office of directors.	Item 6. (revised and expanded) Requires current list of executive officers and pertinent information (similar to Item 6 of proxy rules) as to directors. Information as to directors may be omitted if contained in proxy statement.	Item 1 (d) through (g). (new) Requires information as to experience, etc. of any new executive officer or director, and report when a person has ceased to be a director or executive officer.
Remuneration of Officers and Directors	Item 7. (new) Unchanged from present Form 10 except raises test from $30,000 to $40,000.	Item 7. Same as Form 10. May be omitted if contained in proxy statement.	Omitted.
Options to Purchase Securities	Item 8. (revised) Requires simplified data on options to management only. Deletes data on options generally since such data is contained in footnotes to financial statements.	Item 8. (revised) Same as Form 10. May be omitted if contained in proxy statement.	Item 10. (revised) Simplified requirement relating to new options (or extension) in excess of 5% of that previously reported.

Nature of Information	Form 10	Form 10-K	Form 10-Q
Interest of Management and Others in Certain Transactions	Item 9. (revised and expanded) (a) revised in accord with recent changes in Item 7(f) of proxy rules; (b) adds indebtedness data in accordance with Item 7(e) of proxy rules; (c) adds insider and company interest in pension plans in accord with Item 7(g) of proxy rules; (d) requires information as to promoters where registrant organized within 5 years (formerly Item 5 of Form 10).	Item 9. (revised and expanded) Same as Form 10 except that information as to promoters not required. May be omitted if contained in proxy statement.	Item 2 (modified) Requires data concerning interest of officers, directors, their associates and any 10% shareholder in material acquisitions or dispositions of assets.
Pending Legal Proceedings	Item 10. (no change) Status of pending material litigation described as in present Form 10.	Item 10. (new) Same as Form 10, requiring annual update on status of pending material litigation.	Item 5. (revised) Description of new material litigation and termination of other cases required as in present Form 8-K. Added requirement for description of interim judgments rendered in pending cases.

Nature of Information	Form 10	Form 10-K	Form 10-Q
Number of Equity Security Holders	Item 11(a). (revised) Requires data as of end of fiscal year to coordinate with Sections 12(g) and 15(d).	Item 11(a). (revised) Same as Form 10.	Omitted.
Indemnification of Directors and Officers	Item 11(b). (unchanged) Same as present Form 10.	Item 11(b). (new) Requires annual update of this data. If no change, need only refer to location of original description.	Omitted.
Recent Sales of Securities	Item 11(c). (unchanged) Requires data on sales of unregistered securities; same as present Form 10.	Omitted because contained in Form 10-Q reports.	Item 3. (revised) Increase in securities outstanding (5% test).
Registered Securities	Item 12. (no change) Description of registered Capital Stock, Debt and other securities (same as present Form 10). Also data on nature of trading market and representative quotations required for securities registered under Section 12(g).	Omitted.	Items 6 and 7. (no change) Changes in governing documents of registered securities and the withdrawal or substitution of security underlying debt (same as present From 8-K).

Nature of Information	Form 10	Form 10-K	Form 10-Q
Defaults Upon Senior Securities	Not specified, since would be shown in description of business or securities.	Omitted because contained in Form 10-Q report.	Item 8. Unchanged from present Form 8-K except to add a paragraph requiring data on events that would have been defaults except for waiver.
Revaluation of Assets and Restatement of Capital Share Account	Shown under Historical Financial Information (unchanged).	Omitted because contained in Form 10-Q report.	Item 9. Unchanged from present Form 8-K.
Submission of Matters to a Vote of Security-holders	Inapplicable.	Omitted because contained in Form 10-Q report.	Item 11. Substantially unchanged from present Form 8-K.
Material Amendments to Charter or By-Laws	Inapplicable.	Omitted because contained in Form 10-Q report.	Item 12. A new requirement disclosing the effect of such changes not shown elsewhere in the reports.
Other Materially Important Events	Inapplicable.	Omitted because contained in Form 10-Q report.	Item 13. Unchanged from present Form 8-K permitting but not requiring disclosure.

Nature of Information	Form 10	Form 10-K	Form 10-Q
Exhibits	Unchanged from present Form 10 requirements.	Unchanged from present requirements except that the first 10-K report filed on the revised form should identify all currently significant exhibits.	Important documents which relate to matters reported in the form.
Financial Statements *Present requirement **New requirement	(a) Balance Sheet, Parent* (b) Balance Sheet, Consolidated* (c) 3 Year P&L, Parent* (d) 3 Year P&L, Consolidated* (e) 5 Year Summary of Earnings which can substitute for (d) above** (f) Comparative 2 Year Statement of Funds**	(a) Balance Sheet, Parent* (b) Balance Sheet, Consolidated* (c) one Year P&L, Parent* (d) one Year P&L, Consolidated* (e) 5 Year Summary of Earnings which can substitute for (d) above** (f) Comparative 2 Year Statement of Funds**	(a) Quarterly comparative condensed profit and loss information** (b) Quarterly summary of capitalization and shareholders' equity** (c) Financial Statements of Acquired Business*

SECURITIES AND EXCHANGE COMMISSION
Washington, D.C.
20549

FORM 10

GENERAL FORM FOR REGISTRATION OF SECURITIES
PURSUANT TO SECTION 12(b) OR (g) OF THE
SECURITIES EXCHANGE ACT OF 1934

GENERAL INSTRUCTIONS

A. Rule as to USE of Form 10.

Form 10 shall be used for registration pursuant to Section 12(b) or (g) of the Securities Exchange Act of 1934 of classes of securities of issuers for which no other form is prescribed.

B. Application of General Rules and Regulations.

(a) The General Rules and Regulations under the Act contain certain general requirements which are applicable to registration on any form. These general requirements should be carefully read and observed in the preparation and filing of registration statements on this form.

(b) Particular attention is directed to Regulation 12B which contains general requirements regarding matters such as the kind and size of paper to be used, the legibility of the registration statement, the information to be given whenever the title of securities is required to be stated, and the filing of the registration statement. The definitions contained in Rule 12b-2 should be especially noted.

C. Preparation of Registration Statement.

(a) This form is not to be used as a blank form to be filled in, but only as a guide in the preparation of the registration statement on paper meeting the requirements of Rule 12b-12. The registration statement shall contain the item numbers and captions, but the text of the items may be omitted provided the answers thereto are prepared in the manner specified in Rule 12b-13.

(b) Unless otherwise stated, the information required shall be given as of a date reasonably close to the date of filing the registration statement.

(c) Attention is directed to Rule 12b-20 which states: “In addition to the information expressly required to be included in a statement or report, there shall be added such further material information, if any, as may be necessary to make the requirement statements, in light of the circumstances under which they are made, not misleading.”

D. Signature and Filing of Registration Statements.

Eight complete copies of the registration statement on this form, including exhibits and all papers and documents filed as part thereof, shall be filed with the Commission. At least one complete copy of each statement shall be filed with each exchange on which registration is applied for. At least one of the copies of each statement filed with the Commission and one copy filed with each such exchange shall be manually signed. Unsigned copies shall be conformed.

E. Disclosure with Respect to Foreign Subsidiaries.

Information required by any item or other requirement of this form with respect to any foreign subsidiary may be omitted to the extent that the required disclosure would be detrimental to the registrant, provided a statement is made that such information has been omitted. In such case, a statement of the names of the subsidiaries omitted shall be separately furnished. The Commission may, in its discretion, call for justification that the required disclosure would be detrimental.

F. Incorporation by Reference.

(a) Any registrant which has filed with the Commission pursuant to Rule 424 under the Securities Act of 1933 copies of a prospectus meeting the requirements of Section 10(b) of that Act after the effective date of the registration statement under that Act may, subject to Rule 24 of the Commission's Rules of Practice and Rule 12b-36, incorporate by reference in a registration statement on this form any information, including financial statements, contained in the prospectus.

(b) Any matter, or the relevant pages thereof, incorporated by reference pursuant to the General Rules and Regulations or this Instruction, shall be physically attached to this Form prior to the signature page. The foregoing shall not apply to incorporation of exhibits by reference pursuant to Rule 12b-32.

SECURITIES AND EXCHANGE COMMISSION
Washington, D.C.
20549

FORM 10

GENERAL FORM FOR REGISTRATION OF SECURITIES

Pursuant to Section 12(b) or (g) of
The Securities Exchange Act of 1934

____
(Exact name of registrant as specified in its charter)

(State or other jurisdiction of incorporation or organization)	(I.R.S. Employer Identification No.)

(Address of principal executive offices	(Zip Code)

Securities to be registered pursuant to Section 12(b) of the Act:

Title of each class to be so registered	Name of each exchange on which each class is to be registered

Securities to be registered pursuant to Section 12(g) of the Act:

(Title of class)

(Title of class)

INFORMATION REQUIRED IN REGISTRATION STATEMENT

Item 1. Business.

(a) State the year in which the registrant was organized and its form of organization (such as “a corporation”, an “unincorporated association” or other appropriate statement).

(b) Briefly describe the business done and intended to be done by the registrant and its subsidiaries and the general development of such business during the past five years, or such shorter period as the registrant may have been engaged in business.

Instructions. 1. The description shall not relate to the powers and objects specified in the charter, but to the actual business done and intended to be done. Include the business of subsidiaries of the registrant only insofar as is necessary to understand the character and development of the business conducted by the total enterprise.

2. In describing developments, information shall be given as to matters such as the following: The nature and results of any bankruptcy, receivership or similar proceedings with respect to the registrant or any of its significant subsidiaries; the nature and results of any other materially important reorganization, readjustment or succession of the registrant or any of its significant subsidiaries; the acquisition or disposition of any material amount of assets otherwise than in the ordinary course of business; any materially important changes in the types of products produced or services rendered by the registrant and its subsidiaries; and any materially important changes in the mode of conducting the business, such as fundamental changes in the methods of distribution.

3. The business of a predecessor or predecessors shall be deemed to be the business of the registrant for the purpose of this item.

4. Appropriate disclosure shall be made with respect to any portion of the business subject to renegotiation of profits or termination of contracts or subcontracts at the election of the government.

5. To the extent significant for an understanding of such business, briefing describe the following:

(A) The dollar amount of backlog of firm orders as of a recent date, and as of a comparable date in the preceding fiscal year, together with an indication of the proportion thereof not reasonably expected to be filled within the current fiscal year, and any seasonal or other significant aspects of the backlog;

(B) The sources and availability of raw material essential to the business;

(C) The importance and effect of all material patents, licenses, franchises and concessions held;

(D) Any material research activities relating to the development of new products or services or the importance of existing products or services. If research activities are described, estimate the dollar amount spent during each of the last two fiscal years on such research which was company-sponsored and on that which was customer-sponsored and indicate the approximate number of professional employees engaged full time in each such category of activity during each such fiscal year; and

(E) The number of persons employed by the enterprise.

(c) [Insert here appropriate requirements as to separate lines of business.]

Item 2. Summary of Earnings.

Furnish in comparative columnar form a summary of earnings for the registrant or for the registrant and its subsidiaries consolidated, or both, as appropriate, for each of the last five fiscal years of the registrant (or for the life of the registrant and its immediate predecessors, if less). In connection with such summary, whenever necessary, reflect information or explanation of material significance to investors in appraising the results shown, or refer to such information or explanation set forth elsewhere in this registration statement.

Instructions. 1. Include comparable data for any additional fiscal years necessary to keep the summary from being misleading. Subject to appropriate variation to conform to the nature of the business or the purpose of the offering, the following items shall be included: net sales or operating revenues; cost of goods sold or operating expenses (or gross profit); interest charges; income taxes; net income before extraordinary items; extraordinary items; and net income. The summary shall reflect the retroactive adjustment of any material items affecting the comparability of the results.

2. If a period or periods reported on include operations of a business prior to date of acquisition or for other causes differ from reports previously issued for any period, the summary shall be reconciled as to sales or revenues and net income in the summary or by footnote with the amounts previously reported.

3. If common stock is being registered under Section 12 of the Act, the summary shall be prepared to present earnings applicable to common stock. Per share earnings applicable to common stock, per share earnings assuming conversion of all outstanding convertible securities which would result in dilution and exercise of options and warrants, and dividends declared for each period of the summary shall also be included, unless inappropriate, and the basis of computation, including the number of shares used shall be stated.

4. (a) If debt securities are being registered under Section 12 of the Act, the registrant may, at its option, show in tabular form for each fiscal year the ratio of earnings to fixed charges.

(b) Earnings shall be computed after all operating and income deductions except fixed charges and taxes based on income or profits and after eliminating undistributed income of unconsolidated persons. In the case of utilities, interest credits charged to construction shall be added to gross income and not deducted from interest.

(c) The term "fixed charges" shall mean (i) interest and amortization of debt discount and expense and premium on all indebtedness; (ii) one-third of all rentals reported in the schedule prepared in accordance with Rule 12-16 of Regulation S-X, or such portion as can be demonstrated to be representative of the interest factor in the particular case; and (iii) in case consolidated figures are used, preferred stock dividend requirements of consolidated subsidiaries, excluding in all cases items eliminated in consolidation.

(d) Any registrant electing to show the ratio of earnings to fixed charges, in accordance with this instruction, shall file as an exhibit a statement setting forth in reasonable detail the computations of the required ratios.

Item 3. Properties.

State briefly the location and general character of the principal plants, mines and other materially important physical properties of the registrant and its subsidiaries, whether held in fee or leased, and if leased, the expiration dates of material leases.

Instructions. 1. What is required is information essential to an investor's appraisal of the securities to be registered. Such information should be furnished as will reasonably inform investors as to the suitability, adequacy, productive capacity and extent of utilization of the facilities used in the enterprise. Detailed descriptions of the physical characteristics of individual properties or legal descriptions by metes and bounds are not required and should not be given.

2. Where mining is of material importance, show for each important mine or, if appropriate, for each group of mines in a mining district, the total tonnage of ore produced during each of the last three fiscal years and the estimated ore reserves (excluding "possible ore") as of a recent date. Where material to evaluation of mining properties, furnish for each such mine or group of mines for each of the last three fiscal years, preferably in tabular form, information showing: (1) the average grade of ore produced (2) the average direct operating cost per ton or ore produced, (3) the aggregate of all additional costs per ton of ore produced (to the extent practicable) and (4) the average dollar amount realized per ton of ore produced. State whether, between the beginning of the last three fiscal years, and the present, there have been material changes in the principal ore bodies or in the physical mining conditions at each such mine or group of mines and whether any such changes are anticipated. If so, describe such changes and state their significance.

In the case of coal mining, the term "ore" as used in this instruction refers to "coal"; the term "ore body" refers to "coal bed" or "coal seam"; and information as to "average grade of ore" need not be furnished.

3. Where oil and gas operations are of material importance, show: (1) net oil and gas production, preferably in tabular form, for oil in barrels and gas in MCF for each of the last three fiscal years; (2) the gross and net productive wells, and the gross and net

producing acres as of a recent date; (3) the proven developed and proven undeveloped estimated recoverable reserves; (4) undeveloped acreage, including gross acres and net acres, either located as to states or geological areas, and whether the acreage is in blocks or in checker-board together with the minimum and maximum remaining terms of leases on such acreage; (5) present activities, such as, the number of wells in the process of drilling, waterfloods in the process of installation, or other related operations of material importance.

4. Where the report of an engineer other expert is referred to in the registration statement, a copy of the full report shall be furnished as supplemental information but not as a part of the registration statement.

Item 4. Parents and Subsidiaries.

(a) Furnish a list or diagram of all parents and subsidiaries of the registrant and as to each person named indicate the percentage of voting securities owned, or other basis of control, by its immediate parent, if any.

Instructions. 1. The list or diagram shall include the registrant and shall be so prepared as to show clearly the relationship of each person named to the registrant and to the other persons named. If any person is controlled by means of the direct ownership of its securities by two or more persons, so indicate by appropriate cross reference.

2. Designate by appropriate symbols (a) subsidiaries for which separate financial statements are filed; (b) subsidiaries included in consolidated financial statements; (c) subsidiaries included in group financial statements filed for unconsolidated subsidiaries; and (d) other subsidiaries, indicating briefly why financial statements of such subsidiaries are not filed.

3. Include the name of the State or other jurisdiction in which each subsidiary was incorporated or organized.

4. The names of particular subsidiaries may be omitted if the unnamed subsidiaries, considered in the aggregate as a single subsidiary, would not constitute a significant subsidiary.

5. The names of consolidated totally-held subsidiaries may be omitted, provided that the number of such subsidiaries shall be given. This instruction shall not apply to banks, savings and loan associations or other subsidiaries subject to Federal regulation.

(b) Describe any contractual arrangements, including any pledge of securities of the registrant or any of its parents the operation of the terms of which may at a subsequent date result in a change of control of the registrant.

Instruction. This paragraph does not require a description of ordinary default provisions contained in the charter, trust indentures or other governing instruments relating to securities of the registrant.

Item 5. Principal Holders of Securities.

(a) Furnish the following information as of a specific date within 90 days prior to the date of filing in substantially the tabular form indicated as to the voting securities of the registrant owned of record or beneficially by each person who owns of record, or is known by the registrant to own beneficially, more than 10 percent of any class of such securities. Show in Column (3) whether the securities are owned both of record and beneficially, of record only, or beneficially only, and show in Columns (4) and (5) the respective amounts and percentages owned in each such manner:

(1)	(2)	(3)	(4)	(5)
Name and Address	Title of class	Type of Ownership	Amount owned	Percent of class

(b) Furnish the following information as of a specified date within 90 days prior to the date of filing in substantially the tabular form indicated as to each class of equity securities of the registrant or any of its parents or subsidiaries, other than directors' qualifying shares, beneficially owned directly or indirectly by all directors and officers of the registrant, as a group, without naming them.

(1)	(2)	(3)
Title of class	Amount beneficially owned	Percent of class

Instructions. 1. The percentages are to be calculated on the basis of the amount of outstanding securities, excluding securities held by or for the account of the issuer. In any case where the amount owned by directors and officers as a group is less than 1 percent of the class, the percent of the class owned by them may be omitted.

2. If, to the knowledge of the registrant, more than 10 percent of any class of voting securities of the registrant are held or to be held subject to any voting trust or other similar agreement, state the title of such securities, the amount held or to be held and the duration of the agreement. Give the name and address of the voting trustees and outline briefly their voting rights and other powers under the agreement.

Item 6. Directors and Officers.

(a) List the names of all directors and executive officers of the registrant and all persons chosen to become directors and executive officers. Give a brief account of the business experience during the past ten years of each person named, including his principal occupations or employments during that period, and give his present position with the registrant.

Instructions. 1. If any person chosen to become a director or executive officer has not consented to act as such, so state.

2. The term "executive officer" means the president, secretary, treasurer, any vice president in charge of a principal business function (such as sales, administration, or finance) and any other officer who performs similar policy-making functions for the registrant.

3. Occurrence of an event referred to in (A), (B) or (C) below during the past 10 years may be material to evaluation of the ability and integrity of registrant's management. If so, appropriate disclosure should be made. If such an event has occurred but disclosure thereof is omitted on the ground that it is not material, registrant should furnish, as supplemental information and not as a part of the registration statement (1) a description of the omitted information and (2) a statement of the reasons for its omission:

(A) A petition under the Bankruptcy Act or any state insolvency law was filed by or against, or a receiver, fiscal agent or similar officer was appointed by a court for business or property of, any person named, or any partnership in which he was a general partner at or within 2 years before the time of such filing, or any corporation or business association of which he was an executive officer at or within 2 years before the time of such filing;

(B) Any person named was convicted in a criminal proceeding (excluding traffic violations and other minor offenses) or is a defendant in a criminal proceeding (excluding traffic violations and other minor offenses) which is presently pending; or

(C) Any person named was the subject of any order, judgment, or decree of any court of competent jurisdiction permanently or temporarily enjoining him from acting as an investment adviser, underwriter, broker, or dealer in securities, or as an affiliated person, director or employee of any investment company, bank, savings and loan association or insurance company, or from engaging in or continuing any conduct or practice in connection with any such activity or in connection with the purchase or sale of any security, or was the subject of any order of a federal or state authority barring or suspending for more than sixty days the right of such person to be engaged in any such activity which order remains in effect.

(b) As to each director, or person chosen to become a director, state his term of office, the period or periods during which he has served as such, and briefly describe any arrangement or understanding between such person and any other person or persons pursuant to which such director, or chosen director, has been selected.

Instruction. Do not include arrangements or understandings between directors or chosen directors and the directors and officers of the registrant acting solely in that capacity.

Item 7. Remuneration of Directors and Officers.

(a) Furnish the following information in substantially the tabular form indicated below as to all direct remuneration paid by the registrant and its subsidiaries during the registrant's last fiscal year to the following persons for services in all capacities:

(1) Each director of the registrant whose aggregate direct remuneration exceeded $40,000, and each of the three highest paid officers of the registrant whose aggregate direct remuneration exceeded that amount, naming each such director and officer.

(2) All directors and officers of the registrant as a group, stating the number of persons in the group without naming them.

(A)	(B)	(C)
Name of individual or number of persons in group	Capacities in which remuneration was received	Aggregate direct remuneration

Instructions. 1. Except as provided in Instruction 2, paragraph (a)(1) of this item applies to any person who was a director or officer of the registrant at any time during the period specified. However, information need not be given for any portion of the period during which such person was not a director or officer of the registrant.

2. In the first registration statement filed on this form for the registration of a class of securities of an issuer pursuant to Section 12 of the Act, this item does not apply to any person who is not a director or officer of the registrant at the time the statement if filed, provided the same information is not otherwise required to be disclosed in any other material filed with the Commission.

3. The information is to be given on an accrual basis if practicable. The tables required by this paragraph and paragraph (b) may be combined if the registrant so desires.

4. Do not include remuneration paid to a partnership in which any director or officer was a partner, but see Item 9.

5. If the registrant has not completed a full fiscal year since its organization or if it acquired or is to acquire the majority of its assets from a predecessor within the current fiscal year, the information shall be given for the current fiscal year, estimating future payments, if necessary. To the extent that such remuneration is to be computed upon the basis of a percentage of profits, it will suffice to state such percentage without estimating the amount of such profits to be paid.

6. If any part of the remuneration shown in response to this item was paid pursuant to a material bonus or profit-sharing plan, briefly describe the plan and the basis upon which directors or officers participate therein. See Instruction 1 to paragraph (b) for the meaning of the term "plan."

(b) Furnish the following information in substantially the tabular form indicated as to all annuity, pension or retirement benefits proposed to be paid to the following persons in the event of retirement at normal retirement date pursuant to any existing plan provided or contributed to by the registrant or any of its subsidiaries:

(1) Each director or officer named in answer to paragraph (a) (1), naming each such person.

(2) All directors and officers of the registrant who are eligible for such benefits, as a group, stating the number of persons in the group without naming them.

(A)	(B)	(C)
Name of individual or number of persons in group	Amount set aside or accrued during registrant's last fiscal year	Estimated annual benefits upon retirement

Instructions. 1. The term “plan” in this paragraph and in paragraph (c) includes all plans, contracts, authorizations or arrangements, whether or not set forth in any formal document.

2. Column (B) need not be answered with respect to payments computed on an acturarial basis under any plan which provides for fixed benefits in the event of retirement at a specified age or after a specified number of years of service. In such case, Columns (A) and (C) need not be answered with respect to directors and officers as a group.

3. The information called for by Column (C) may be given in the form of a table showing the annual benefits payable upon retirement to persons in specified salary classifications.

4. In the case of any plan (other than those specified in Instruction 2) where the amount set aside each year depends upon the amount of earnings of the registrant or its subsidiaries for such year or a prior year, or where it is otherwise impracticable to state the estimated benefits upon retirement, there shall be set forth, in lieu of the information called for by Column (C), the aggregate amount set aside or accrued to date, unless it is impracticable to do so, in which case there shall be stated the method of computing such benefits.

(c) Describe briefly all remuneration payments (other than payments reported under paragraph (a) or (b) of this item) proposed to be made in the future, directly or indirectly, by the registrant or any of its subsidiaries pursuant to any existing plan or arrangement to (i) each director or officer named in answer to paragraph (a)(1), naming each such person, and (ii) all directors and officers of the registrant as a group, without naming them.

Instruction. Information need not be included as to payments to be made for, or benefits to be received from, group life or accident insurance, group hospitalization or similar group payments or benefits. It if is impracticable to state the amount of remuneration payments proposed to be made, the aggregate amount set aside or accrued to date in respect of such payments should be stated, together with an explanation of the basis for future payments.

Item 8. Management Options to Purchase Securities.

Furnish the following information as to all options to purchase securities from the registrant or any of its subsidiaries held by any of the following persons: (i) each director or officer named in answer to paragraph (a)(1) of Item 7, naming each such person; and (ii) all directors and officers of the registrant as a group, without naming them.

(a) the title and amount of securities called for;

(b) the option prices, expiration dates and other material provisions;

(c) any consideration received for the granting thereof;

(d) the market value of the security on the date of grant.

Instructions. 1. The term "options" as used in this term includes all options, warrants or rights, other than those issued to security holders as such on a prorata basis.

2. The extension, regranting or material amendment of options shall be deemed the granting of options within the meaning of this item.

3. Where the total market value of securities called for by all outstanding options does not exceed $10,000 for any person required to be named, or $30,000 for all directors and officers as a group, or for all option holders as a group, this item need not be answered with respect to such person or group.

4. In case a number of options are outstanding having different prices and expiration dates, the options may be grouped by prices and dates. If this produces more than five separate groups then there may be shown only the range of the expiration dates and prices.

Item 9. Interest of Management and Others in Certain Transactions.

(a) Described briefly any transactions during the last three years or any presently proposed transactions, to which the registrant or any of its subsidiaries was or is to be a party, in which any of the following persons has or is to have a direct or indirect material interest, naming such person and stating his relationship to the registrant, the nature of his interest in the transaction and, where practicable, the amount of such interest:

(1) Any director or officer of the registrant; or person shown to become a director or officer;

(2) Any security holder named in answer to Item 5(a);

(3) Any relative or spouse of any of the foregoing persons, or any relative of such spouse, who has the same home as such person or who is a director or officer of any parent or subsidiary of the registrant.

Instructions. 1. This item 9(a) applies to any person who held any of the positions or relationships specified at any time during the period specified. However, information need not be given for any portion of the period during which such person did not hold any such position or relationship.

2. No information need be given in response to this Item 9(a) as to any remuneration or other transaction reported in response to Items 7 or 8, or as to any transaction with respect to which information may be omitted pursuant to Instruction 2 to Item 7(b), the instruction to Item 7(c), or Instruction 2 or 3 to Item 9(b).

3.. No information need be given in answer to this Item 9(a) as to any transaction where--

(a) the rates or charges involved in the transaction are determined by competitive bids, or the transaction involves the rendering of services as a common or contract carrier, or public utility, at rates or charges fixed in conformity with law or governmental authority;

(b) the transaction involves services as a bank depository of funds, transfer agent, registrar, trustee under a trust indebenture, or similar services;

(c) the amount involved in the transaction or a series of similar transactions, including all periodic installments in the case of any lease or other agreement providing for periodic payments or installments, does not exceed $30,000; or

(d) the interest of the specified person arises solely from the ownership of securities of the registrant and the specified person receives no extra or special benefit not shared on a pro rata basis by all holders of securities of the class.

4. It should be noted that this item calls for disclosure of indirect, as well as direct, material interests in transactions. A person who has a position or relationship with a firm, corporation, or other entity, which engages in a transaction with the registrant or its subsidiaries may have an indirect interest in such transaction by reason of such position or relationship. However, a person shall be deemed not to have a material indirect interest in a transaction within the meaning of this Item 9(a) where--

(a) the interest arises only (i) from such person's position as a director of another corporation or organization (other than a partnership) which is a party to the transaction, or (ii) from the direct or indirect ownership by such person and all other persons specified in subparagraphs (1) through (3) above, in the aggregate, of less than a 10 percent equity interest in another person which is a party to the transaction, or (iii) from both such positions and ownership;

(b) the interest of such person arises solely from an interest in another person which is a party to the transaction with the registrant or any of its subsidiaries and the transaction is not material to such other person; or

(c) the amount involved in the transaction or a series of similar transactions, including all periodic installments in the case of any lease or other agreement providing for periodic payments or installments, does not exceed $30,000.

5. The amount of the interest of any specified person shall be computed without regard to the amount of the profit or loss involved in the transaction. Where it is not practicable to state the approximate amount of the interest, the approximate amount involved in the transaction shall be indicated.

6. In describing any transaction involving the purchase or sale of assets by or to the registrant or any of its subsidiaries, otherwise than in the ordinary course of business, state the cost of the assets to the purchaser and, if acquired by the seller within two years prior to the transaction, the cost thereof to the seller.

7. The foregoing instructions specify certain transactions and interests as to which information may be omitted in answering this item. There may be situations where, although the foregoing instructions do not expressly authorize nondisclosure, the interest of a specified person in the particular transaction or series of transactions is not a material interest. In that case, information regarding such interest and transaction is not required to be disclosed in response to this item.

(b) State as to each of the following persons who was indebted to the registrant or its subsidiaries at any time during the last three years (i) the largest aggregate amount of indebtedness outstanding at any time during such period, (ii) the nature of the indebtedness and of the transaction in which it was incurred, (iii) the amount thereof outstanding as of the latest practicable date, and (iv) the rate of interest paid or charged thereon:

(1) Each director or officer of the registrant; and

(2) Each associate of any such director or officer

Instructions. 1. Include the name of each person whose indebtedness is described and the nature of the relationship by reason of which the information is required to be given.

2. This paragraph does not apply to any person whose aggregate indebtedness did not exceed $10,000 or one percent registrant's total assets, whichever is less, at any time during the period specified. Exclude in the determination of the amount of indebtedness all amounts due from the particular person for purchases subject to usual trade terms, for ordinary travel and expense advances and for other transactions in the ordinary course of business.

3. Notwithstanding Instruction 2, if the registrant or any of its subsidiaries is engaged primarily in the business of making loans and loans to any of the specified persons in excess of $10,000 or one percent of its total assets, whichever is less, were outstanding at any time during the period specified, such loans shall be disclosed. However, if the lender is a bank, such disclosure may consist of a statement, if such is the case, that the loans to such persons (i) were made in the ordinary course of business, (ii) were made on substantially the same terms, including interest rates and collateral, as those prevailing at the time for comparable transactions with other persons, and (iii) did not involve more than normal risk of collectibility or present other unfavorable features.

(c) Describe briefly any transactions during the last three years or any presently proposed transactions, to which any pension, retirement, savings or similar plan provided by the registrant, or any of its parents or subsidiaries, was or is to be a party, in which any of the following persons had or is to have a direct or indirect material interest, naming such persons and stating his relationship to the registrant, the nature of his interest in the transaction and, where practicable, the amount of such interest:

(1) Any director or officer of the registrant;

(2) Any security holder named in answer to Item 5(a);

(3) Any relative or spouse of any of the foregoing persons, or any relative of such spouse, who has the same home as such person or who is a director or officer of any parent or subsidiary of the registrant; or

(4) The registrant or any of its subsidiaries.

Instructions. 1. Instructions 2, 3, 4 and 5 to Item 9(a) shall apply to this Item 9(c).

2. Without limiting the general meaning of the term "transaction" there shall be included in answer to this item any remuneration received or any loans received or outstanding during the period, or proposed to be received.

3. No information need be given in answer to paragraph (c) with respect to--

(a) payments to the plan, or payments to beneficiaries, pursuant to the terms of the plan;

(b) payment of remuneration for services not in excess of 5 percent of the aggregate remuneration received by the specified person during the registrants' last fiscal year from the registrant and its subsidiaries; or

(c) any interest of the registrant or any of its subsidiaries which arises solely from its general interest in the success of the plan.

(d) If the registrant was organized within the past five years, furnish the following information:

(a) State the names of the promoters, the nature and amount of anything of value (including money, property, contracts, options or rights of any kind) received or to be received by each promoter directly or indirectly from the registrant, and the nature and amount of any assets, services or other consideration therefore received or to be received by the registrant.

(b) As to any assets acquired or to be acquired by the registrant from a promoter, state the amount at which acquired or to be acquired and the principle followed or to be followed in determining the amount. Identify the persons making the determination and state their relationship, if any, with the registrant or any promoter. If the assets were acquired by the promoter within two years prior to their transfer to the registrant, state the cost thereof to the promoter.

Item 10. Pending Legal Proceedings.

Briefly describe any material pending legal proceedings, other than ordinary routine litigation incidental to the business, to which the registrant or any of its subsidiaries is a party or of which any of their property is the subject. Include the name of the court or agency in which the proceedings were instituted, the date instituted and the principal parties thereto.

Instructions. 1. If the business ordinarily results in actions for negligence or other claims, no such action or claim need be described unless it departs from the normal kind of such actions.

2. No information need be given with respect to any proceeding which involves primarily a claim for damages if the exceed 15 percent of the current assets of the registrant and its subsidiaries on a consolidated basis. However, if any proceeding presents in large degree the same issues as other proceedings pending or known to be contemplated, the amount involved in such other proceedings shall be included in computing such percentage.

3. Notwithstanding Instructions 1 and 2, any material bankruptcy, receivership, or similar proceeding with respect to the registrant or any of its significant subsidiaries shall be described. Any material proceedings to which any director, officer of affiliate of the registrant, any security holder named in answer to Item 5(a), or any associate of any such director, officer or security holder, is a party, or has a material interest, adverse to the registrant or any its subsidiaries shall also be described.

Item 11. Miscellaneous Data Required.

(a) State in the tabular form indicated below, the approximate number of holders of record of each class of equity securities of the registrant as of the end of the last fiscal year.

(1)	(2)
Title of Class	Number of record holders

Instructions. 1. Attention is directed to the definitions of the term "equity security" in Section 3(a)(11) of the Act and Rule 3a11-1 thereunder, and the definition of the term "held of record" in Rule 12g5-1.

2. Information need not be given with respect to the number of holders of "restricted stock options", "qualified stock options", or options granted pursuant to a plan qualified as an "employee stock purchase plan", as those terms are defined in Sections 422 through 424 of the Internal Revenue Code of 1954, as amended.

(b) State the general effect of any charter provision, bylaw, contract, arrangement or statute under which any director of officer of the registrant is insured or indemnified in any manner against any liability which he may incur in his capacity as such.

(c) Furnish the following information as to all securities of the registrant sold by the registrant within the past three years, or presently purposed to be sold, which were not, or are not to be, registered under the Securities Act of 1933. Include sales of reacquired securities as well as new issues, securities issued in exchange for property, services, or other securities, and new securities resulting from the modification of outstanding securities:

(1) Given the date of sale and the title and amount of securities sold.

(2) Given the names of the principal underwriters, if any. As to any securities sold privately, name the persons or identify the class of persons to whom the securities were sold.

(3) As to securities sold for cash, state the aggregate offering price and the aggregate underwriting discounts or commissions. As to any securities sold otherwise than for cash,

state the nature of the transaction and the nature and aggregate amount of consideration received by the registrant.

(4) Give a reasonably itemized statement of the purposes, so far as determinable, for which the net proceeds have been or are to be used and the approximate amount to be used for each purpose.

(5) Indicate the section of the Act or the Rule of the Commission under which exemption from registration was claimed and state briefly the facts relied upon to make the exemption available.

Instructions. 1. Information need not be set forth as to notes, drafts, bills of exchange or bankers' acceptances which mature not later than one year from the date of issuance.

2. If the sales were made in a series of transactions, the information may be given by such totals and periods as will reasonably convey the information required.

Item 12. Registered Securities.

(a) If capital stock is to be registered, state the title of the class and furnish the following information:

(1) Outline briefly (i) dividend rights; (ii) voting rights; (iii) liquidation rights; (iv) pre-emptive rights; (v) conversion rights; (vi) redemption provisions; (vii) sinking fund provisions; and (viii) liability to further calls or to assessment by the registrant.

(2) If the rights of holders of such stock may be modified otherwise than by a vote of a majority or more of the shares outstanding, voting as a class, so state and explain briefly.

(3) Outline briefly any restriction on the repurchase or redemption of shares by the registrant while there is any arrearage in the payment of dividends or sinking fund installments. If there is no such restriction, so state.

Instructions. 1. This item requires only a brief summary of the provisions which are pertinent from an investment standpoint. A complete legal description of the provisions referred to is not required and should not be given. Do not set forth the provisions of the governing instruments verbatim; only a succinct resume is required.

2. If the rights evidenced by the securities to be registered are materially limited or qualified by the rights evidenced by any other class of securities or by the provisions of any contract or other document, include such information regarding such limitation or qualification as will enable investors to understand the rights evidenced by the securities to be registered.

(b) If long-term debt is to be registered, outline briefly such of the following as are relevant:

(1) Provisions with respect to interest, conversion, maturity, redemption, amortization, sinking fund or retirement.

(2) Provisions with respect to the kind and priority of any lien, securing the issue, together with a brief identification of the principal properties subject to such lien.

(3) Provisions restricting the declaration of dividends or requiring the maintenance of any ratio of assets, the creation or maintenance of reserves or the maintenance of properties.

(4) Provisions permitting or restricting the issuance of additional securities, the withdrawal of cash deposited against such issuance, the incurring of additional debt, the release or substitution of assets securing the issue, the modification of the terms of the security, and similar provisions.

Instruction. Provisions permitting the release of assets upon the deposit of equivalent funds or the pledge of equivalent property, the release of property no longer required in the business, obsolete property or property or property taken by eminent domain, the application of insurance moneys, and similar provisions, need not be described.

(5) The name of the trustee and the nature of any material relationship with the registrant or any of its affiliates; the percentage of securities of the class necessary to require the trustee to take action, and what indemnification the trustee may require before proceeding to enforce the lien.

Instruction. The instructions to paragraph (a) shall also apply to this paragraph.

(c) If securities other than capital stock or long-term debt are to be registered, outline briefly the rights evidenced thereby. If subscription warrants or rights are to be registered, state the title and amount of securities called for, the period during which and the price at which the warrants or rights are exercisable.

Instruction. The instructions to paragraph (a) shall also apply to this paragraph.

(d) As to each class of securities to be registered pursuant to Section 12(g), state briefly the nature of the trading market, if any, in such securities, including the names of the principal market makers, and the high and low bid prices for each quarterly period within the past three years.

Item 13. Financial Statements and Exhibits.

(a) List separately all financial statements filed as part of the registration statement.

(b) List all exhibits filed as part of the registration statement, including those incorporated by reference.

SIGNATURES

Pursuant to the requirements of Section 12 of the Securities Exchange Act of 1934, the registrant has duly caused this registration statement to be signed on its behalf by the undersigned, thereunto duly authorized.

____
(Registrant)

Date__________________ By______________________
(Signature)*

*Print and name and title of the signing officer under his signature.

INSTRUCITONS AS TO FINANCIAL STATEMENTS

These instructions specify the balance sheets and profit and loss and source and application of funds statements required to be filed as a part of an application on this form. Regulation S-X governs the certification, form and content of the balance sheets and profit and loss statements required, including the basis of consolidation, and prescribes the statements of surplus and schedules to be filed in support thereof. Attention is directed to Rule 12b-23(b) and 12b-36. If either the profit and loss or earned surplus statements required are included in their entirety in the Summary of Earnings required by Item 2, the statements so included need not be included elsewhere in the registration statement.

A. STATEMENTS OF THE REGISTRANT

1. Balance Sheets of the Registrant.

(a) The registrant shall file a certified balance sheet as of the close of its latest fiscal year unless such fiscal year has ended within 90 days prior to the date of filing the registration statement, in which case the balance sheet may be as of the close of the preceding fiscal year.

(b) If the latest fiscal year of the registrant has ended within 90 days prior to the date of filing the registration statement and the balance sheet required by paragraph (a) is filed as of the end of the preceding fiscal year, there shall be filed as an amendment to the registration statement, within 120 days after the date of the latest fiscal year, a certified balance sheet of the registrant as of the end of the latest fiscal year.

2. Profit and Loss and Source and Application of Funds Statements of the Registrant.

(a) The registrant shall file certified profit and loss and Source and Application on Funds statements for each of the three fiscal years preceding the date of the balance sheet required by instruction 1(a).

(b) There shall be filed with each balance sheet filed pursuant to Instruction 1(b) certified profit and loss and source and application of funds statement of the registrant for the fiscal year immediately preceding the date of the balance sheet.

3. Omission of Registrant's Statements in Certain Cases.

Notwithstanding Instructions 1 and 2, the individual financial statements of the registrant may be omitted if (1) consolidated statements of the registrant and one or more of its subsidiaries are filed, and (2) the conditions specified in either of the following paragraphs are met.

(a) The registrant is primarily an operating company and all subsidiaries included in the consolidated financial statements filed are totally-held subsidiaries; or

(b) The registrant's total assets, exclusive of investments in and advances to the consolidated subsidiaries, constitute 85 percent or more of the total assets shown by the consolidated balance sheets filed and the registrant's total gross revenues for the period for which its profit and loss statements would be filed, exclusive of interest and dividends received from the consolidated subsidiaries, constitute 85 percent or more of the total gross revenue shown by the consolidated profit and loss statements filed.

B. CONSOLIDATED STATEMENTS

4. Consolidated Balance Sheets.

(a) There shall be filed a certified consolidated balance sheet of the registrant and its subsidiaries as of the close of the latest fiscal year of the registrant, unless such fiscal year has ended within 90 days prior to the date of filing the registration statement, in which case this balance sheet may be as of the close of the preceding fiscal year.

(b) If the latest fiscal year of the registrant has ended within 90 days prior to the date of filing the registration statement, and the balance sheet required by paragraph (a) if filed as of the end of the preceding fiscal year, there shall be filed as an amendment to the registration statement, within 120 days after the close of registrant's fiscal year, a certified consolidated balance sheet of the registrant and its subsidiaries as of the end of the latest fiscal year.

5. Consolidated Profit and Loss and Source and Application of Funds Statements.

(a) There shall be filed certified consolidated profit and loss and source and application of funds statements of the registrant and its subsidiaries for each of the three fiscal years preceding the date of the consolidated balance sheet required by Instruction 4(a).

(C) There shall be filed with each balance sheet filed pursuant to Instruction 4(b), certified consolidated profit and loss and source of application of funds statements of the registrant and its subsidiaries for the fiscal year immediately preceding the date of the balance sheet.

C. UNCONSOLIDATED SUBSIDIARIES AND OTHER PERSONS.

6. Unconsolidated Subsidiaries.

(a) Subject to Rule 4-03 of Regulation S-X regarding group statements of unconsolidated subsidiaries, there shall be filed for each majority-owned subsidiary of the registrant not consolidated the financial statements which would be required if the subsidiary were itself a registrant. Insofar as practicable, those financial statements shall be as of the same dates or for the same periods as those of the registrant.

(b) If the fiscal year of any unconsolidated subsidiary ends within 90 days before the date of filing the registration statement, or ends after the date of filing, the financial statements of the subsidiary may be filed as an amendment to the registration statement within 120 days after the end of the subsidiary's fiscal year.

7. Fifty-percent Owned Persons and Other Persons.

If the registrant owns directly or indirectly approximately 50 percent of the voting securities of any person and approximately 50 percent of the voting securities of such person is owned directly or indirectly by another single interest, or if registrant takes up the equity in undistributed earnings of any other person not a majority owned subsidiary, there shall be filed for each such person the financial statements which would be required if it were a registrant. The statements filed for each such person shall identify the other single interest, or other interests in any person.

8. Omission of Statements Required by Instructions 6 and 7.

Notwithstanding Instructions 6 and 7, there may be omitted from the registration statement all financial statements of any one or more unconsolidated subsidiaries or 50 percent owned persons or other persons if all such subsidiaries and 50 percent owned persons or other persons operated jointly for which statements are so omitted, considered in the aggregate as a single subsidiary, would not constitute a significant subsidiary.

9. Affiliates Whose Securities Secure an Issue Being Registered.

(a) For each affiliate, securities of which constitute or are to constitute a substantial portion of the collateral securing any class of securities to be registered, there shall be filed the financial statements that would be required if the affiliate were a registrant.

(b) For the purposes of this instruction, securities of a person shall be deemed to constitute a substantial portion of the collateral if the aggregate principal amount, par value, or book value as shown by the books of the registrant, or market value, whichever is the greatest, of such securities equals 20 percent or more of the principal amount of the class secured thereby.

D. SPECIAL PROVISIONS

10. Reorganization of Registrant.

(a) If during the period for which its profit and loss statements are required the registrant has emerged from a reorganization in which substantial changes occurred in its asset, liability, capital stock, surplus or reserve accounts, a brief explanation of such changes shall be set forth in a note or supporting schedule to the balance sheets filed.

(b) If the registrant is about to emerge from such a reorganization, there shall be filed, in addition to the balance sheets of the registrant otherwise required, a balance sheet giving effect to the plan or reorganization. These balance sheets shall be set forth in such form, preferably columnar, as will show in related manner the balance sheet of the registrant prior to the reorganization, the changes to be affected in the reorganization and the balance sheet of the registrant after giving effect to the plan of reorganization. By a footnote or otherwise a brief explanation of the changes shall be given.

11. Succession to Other Business.

(a) If during the period for which its profit and loss statements are required, the registrant has by merger, consolidation or otherwise succeeded to one or more businesses, the additions, eliminations and other changes effected in the succession shall be appropriately set forth in a note or supporting schedule to the balance sheets filed. In addition, profit and loss statements for each constituent business, or combined statements if appropriate, shall be filed for such period prior to the succession as may be necessary when added to the time, if any, for which profit and loss statements after the succession are filed to cover the equivalent of the period specified in Instructions 2 and 5 above.

(b) If the registrant by merger, consolidation or otherwise is about to succeed to one or more businesses, there shall be filed for the constituent business financial statements, combined if appropriate, which would be required if they were registering securities under the Act. In addition, there shall be filed a balance sheet of the registrant giving effect to the plan of succession. These balance sheets shall be set forth in such form, preferable columnar, as will show in related manner the balance sheets of the constituent businesses, the changes to be effected in the succession and the balance sheet of the registrant after giving effect to the plan of succession. By a footnote or otherwise, a brief explanation of the changes shall be given.

(c) This instruction shall not apply with respect to the registrant’s succession to the business of any totally-held subsidiary or to any acquisition of a business by purchase, if it would not constitute a significant subsidiary.

12. Acquisition of Other Businesses.

(a) There shall be filed for any business directly or indirectly acquired by the registrant after the date of the balance sheet filed pursuant to Part A or B above and for any business to be directly or indirectly acquired by the registrant, the financial statements which would be required if such business were a registrant.

(b) The acquisition of securities shall be deemed to be the acquisition of a business if such securities give control of the business or combined with securities already held give such control. In addition, the acquisition or securities which will extend the registrant's control of a business shall be deemed the acquisition of the business if any of the securities to be registered hereunder are to be offered in exchange for the securities to be acquired.

(c) No financial statements need be filed, however, for any business acquired or to be acquired from a totally-held subsidiary. In addition, the statements of any one or more businesses may be omitted if such business, considered in the aggregate as a single subsidiary, would not constitute a significant subsidiary.

13. Statements of Banks and Insurance Companies.

Notwithstanding the requirements of the foregoing instructions, financial statements filed for banks or insurance companies (other than title insurance companies) need not be certified.

14. Registrants Not in the Production Stage.

Notwithstanding the foregoing instructions, if the registrant falls within the terms of paragraph (b) or (c) of Rule 5A-01 of Regulation S-X, the following statements, all of which shall be certified, shall be filed for the registrant and each of its significant subsidiaries, if any:

(a) The statements specified in Rules 5A-02, 5A-03, 5A-04, 5A-05 and 5A-07 shall be filed as of the end of the registrant's latest fiscal year unless such fiscal year has ended within 90 days prior to the date of filing the registration statement, in which case such statements may be as of the close of the preceding fiscal year.

(b) If the latest fiscal year of the registrant has ended within 90 days prior to the date of filing the registration statement and the statements required by paragraph (a) are filed as of the end of the preceding fiscal year, statements as of the end of the latest fiscal year shall be filed as an amendment to the registration statement within 120 days after the close of registrant's latest fiscal year.

(c) The statement of cash receipts and disbursements specified in Rule 5A-06 shall be filed for each of the three fiscal years preceding the date of the statements required by paragraph (a) above, and for the fiscal year immediately preceding the date of any statements filed pursuant to paragraph (b).

15. Filing of Other Statements in Certain Cases.

The Commission may, upon the request of the registrant, and where consistent with the protection of investors, permit the omission of one or more of the statements herein required or the filing in substitution therefore of appropriate statements of comparable character. The Commission may also require the filing of other statements in addition to, or in substitution for, the statements herein required in any case where such statements are necessary or appropriate for an adequate presentation of the financial condition of any person whose financial statements are required, or whose statements are otherwise necessary for the protection of investors.

E. HISTORICAL FINANCIAL INFORMAITON

16. Scope of Part E.

The information required by Part E shall be furnished for the seven-year period preceding the period for which profit and loss statements are filed, as to the accounts of each person whose balance sheet is filed. The information is to be given as to all of the accounts specified whether they are presently carried on the books or not. Part E does not call for an audit, but only for a survey or review of the accounts specified. It should not be detailed beyond a point material to an investor. Information may be omitted, however, as to any person for whom equivalent information for the period has been filed with the Commission pursuant to the Securities Act of 1933 or the Securities Exchange Act of 1934.

17. Revaluation of Property.

(a) If there were any material increases or decreases in investments, in property, plant and equipment, or in intangible assets, resulting from revaluing such assets, state (1) in what year or years such revaluations were made; (2) the amounts of such increases or decreases, and the accounts affected, including all related entries; and (3) if in connection with such revaluations any related adjustments were made in reserve accounts, state the accounts and amounts with explanations.

(b) Information is not required as to adjustments made in the ordinary course of business, but only as to major revaluations made for the purpose of entering the books current values, reproduction cost or any values other than original cost.

(c) No information need be furnished with respect to any revaluation entry which was subsequently reversed or with respect to the reversal of a revaluation entry recorded prior to the period if a statement as to the reversal is made.

18. Capital Shares.

(a) If there were any material restatements of capital shares which resulted in transfers from capital share liability to surplus or reserve, state the amount of each such restatement and all related entries. No statement need be made as to restatements resulting from the declaration of share dividends.

(b) If there was an original issue of capital shares, any part of the proceeds of which was credited to accounts other than capital share accounts, state the title of the class, the accounts and the respective amounts credited thereto.

19. Debt Discount and Expense Written Off.

If any material amount of debt discount and expense, on long-term debt still outstanding, was written off earlier than as required under any periodic amortization plan, give the following information: (1) title of the securities, (2) date of the write-off, (3) amount written off, and (4) to what account charged.

20. Premiums and Discount and Expense on Securities Retired.

If any material amount of long-term debt or preferred shares was retired, and if either the retirement was made at a premium or there remained, at the time of retirement, a material amount of unamortized discount and expense applicable to the securities retired, state for each class (1) title of the securities retired, (2) date of retirement, (3) amount of premium paid and of unamortized discount and expense, (4) to what account charged, and (5) whether being amortized and, if so, the plan of amortization.

21. Other Changes in Surplus.

If there were any material increases or decreases in surplus, other than those resulting from transactions specified above, the closing of the profit and loss account or the declaration of payment of dividends, state (1) the year or years in which such increases or decreases were made; (2) the nature and amounts thereof; and (3) the accounts affected, including all material related entries. Instruction 17(c) above shall also apply here.

22. Predecessors.

The information shall be furnished, to the extent it is material, as to any predecessor of the registrant from the beginning of the period to the date of succession, not only as to the entries made respectively in the books of the predecessor or the successor, but also as to the changes effected in the transfer of the assets from the predecessor. However, no information need be furnished as to any one or more predecessors which, considered in the aggregate, would not constitute a significant predecessor.

23. Omission of Certain Information.

(a) No information need be furnished as to any subsidiary, whether consolidated or unconsolidated, for the period prior to the date on which the subsidiary became a majority-owned subsidiary of the registrant or of a predecessor for which information is required above.

(b) No information need be furnished hereunder as to any one or more unconsolidated subsidiaries for which separate financial statements are filed if all subsidiaries for which the information is so omitted, considered in the aggregate as a single subsidiary, would not constitute a significant subsidiary.

(c) Only the information specified in Instruction 17 need be given as to any predecessor or any subsidiary thereof if immediately prior to the date of succession thereto by a person for which information is required, the predecessor or subsidiary was in insolvency proceedings.

INSTRUCITONS AS TO EXHIBITS

Subject to Rule 12b-32 regarding the incorporation of exhibits by reference, the following exhibits shall be filed as a part of the registration statement. Such exhibits shall be appropriately lettered or numbered for convenient reference. Exhibits incorporated by reference may be referred to by the designation given in the previous filing. Where exhibits are incorporated by reference, the reference shall be made in the list of exhibits called for under Item 13.

1. Copies of the charter and by laws or instruments corresponding thereto as presently in effect.

2. Copies of any plan of acquisition, reorganization, readjustment or succession described in answer to Item 1, 10 or 11(c).

3. (a) Specimens or copies of all securities to be registered hereunder, and copies of all constituent instruments defining the rights of holders of long-term debt of the registrant and of all subsidiaries for which consolidated or unconsolidated financial statements are required to be filed.

(b) There need not be filed, however, (1) any instrument with respect to long-term debt not to be registered hereunder if the total amount of securities authorized thereunder does not exceed 5 percent of the total assets of the registrant and its subsidiaries on a consolidated basis and if there is filed an agreement to furnish a copy of such instrument to the Commission upon request, (2) any instrument with respect to any class of securities if appropriate steps to assure the redemption or retirement of such class will be taken prior to or upon delivery by the registrant of the securities to be registered, or (3) copies of instruments evidencing scrip certificates for fractions of shares.

4. Copies of all pension, retirement or other deferred compensation plans, contracts or arrangements. If any such plan, contract or arrangement is not set forth in a formal document, furnish a reasonably detailed description thereof. Copies of any available booklet or other written description of any such plan, contract or arrangement shall also be filed.

5. Copies of any plan setting forth the terms and conditions upon which outstanding options, warrants or rights to purchase securities of the registrant or its subsidiaries from the registrant or its affiliates have been issued, together with specimen copies of such options, warrants or rights; or, if they were not issued pursuant to such a plan, copies of each such option, warrant or right.

6. Copies of any voting trust agreement referred to in answer to Item 5.

7. If any discount on capital shares is shown as a deduction from capital shares on the balance sheet being filed for the registration, there shall be filed a statement of the circumstances under which such discount arose and an option of counsel as to the legality of the issuance of the shares to which such discount relates. The opinion shall set forth any applicable constitutional and statutory provisions and shall cite any decisions which in the opinion of counsel are controlling.

8. If the registrant has any shares the preference of which upon involuntary liquidation exceeds the par or stated value thereof, there shall be filed an opinion of counsel as to whether there are any restrictions upon surplus by reason of such excess and also as to any remedies available to security holders before or after payment of any

dividend that would reduce surplus to an amount less than the amount of such excess. The opinion shall set forth any applicable constitutional and statutory provisions and shall cite any decisions which in the opinion of counsel are controlling.

9. (a) Copies of every material contract not made in the ordinary course of business which is to be performed in whole or in part at or after the filing of the registration statement or which was made not more than two years before such filing. Only contracts need be filed as to which the registrant or a subsidiary of the registrant is a party or has succeeded to a party by assumption or assignment, or in which the registrant or such subsidiary has a beneficial interest.

(b) If the contract is such as ordinarily accompanies the kind of business conducted by the registrant and its subsidiaries, it is made in the ordinary course of business and need not be filed, unless it falls within one or more of the following categories, in which case it should be filed except where immaterial in amount or significance:

(1) Directors, officers, promoters, voting trustees, or security holders named in answer to Items 5, 6, or 9(d) are parties thereto except where the contract merely involves purchase or sale of current assets having a determinable market price, at such price;

(2) It is of such materiality as to call for specific reference to it in answer to Items 1, 3 or 9.

(3) The registrant's business is substantially dependent upon it, as in the case of continuing contracts to sell the major part of registrant's production in the case of a manufacturing enterprise or to purchase the major part of registrant's requirements of goods in the case of a distribution enterprise, or licenses to use a patent or formula upon which registrant's business depends to a material extent;

(4) It calls for the acquisition or sale of fixed assets for a consideration exceeding 10 percent of all fixed assets of the registrant and its subsidiaries.

(5) It is a lease under which a material part of the property described under Item 3 is held by the registrant; or

(6) The amount of the contract, or its importance to the business of the registrant and its subsidiaries, are material, and the terms and conditions are of a nature of which investors reasonably should be informed.

(b) Any management contract or bonus or profit-sharing plan, contract or arrangement (or if not set forth in any formal document, a written description thereof), except the following, shall be deemed material and shall be filed:

(1) Ordinary purchase and sales agency agreements;

(2) Agreements with managers of stores in a chair organization or similar organization;

(3) Contracts providing for labor or salesmen's bonuses or payments to a class of security holders, as such.

10. Copies of each material foreign patent for an invention not covered by a United States patent.

APPENDIX X-3

SECURITIES AND EXCHANGE COMMISSION
Washington, D.C.
20549

FORM 10-K

ANNUAL REPORT TO SECTION 13 OR 15(d) OF
THE SECURITIES EXCHANGE ACT OF 1934

GENERAL INSTRUCTIONS

A. Rule as to Use of Form 10-K.

(a) Form 10-K shall be used for annual reports pursuant to Section 13 or 15(d) of the Securities Exchange Act of 1934 for which no other form is prescribed.

(b) Reports on this form shall be filed within 90 days after the end of the fiscal year covered by such report or within 5 days of the mailing of the annual report to stockholders, whichever occurs first. However, Schedule XVI required by Rule 12-16 of Regulation S-X may, at the option of the registrant, be filed not later than 120 days after the end of the fiscal year. Such schedule, if not filed as part of Form 10-K, should be filed as an amendment under cover of Form 8.

B. Application of General Rules and Regulations.

(a) The General Rules and Regulations under the Act contain certain general requirements which are applicable to reports on any form. These general requirements should be carefully read and observed in the preparation and filing of reports on this form.

(b) Particular attention is directed to Regulation 12B which contains general requirements regarding matters such as the kind and size of paper to be used, the legibility of the report, the information to be given whenever the title of securities is required to be stated, and the filing of the report. The definitions contained in Rule 12b-2 should be especially noted. See also Regulations 13A and 15D.

C. Preparation of Report.

(a) This form is not to be used as a blank form to be filled in, but only as a guide in the preparation of the report on paper meeting the requirements of Rule 12b-12. The report shall contain the item numbers and captions of all items but the text of such items may be omitted provided the answers thereto are prepared in the manner specified in Rule 12b-13. If the answer to any item is “none”, so state.

(b) Except as otherwise stated, the information required shall be given as of the latest practicable date.

(c) Attention is directed to Rule 12b-20, which states: "In addition to the information expressly required to be included in a statement or report, there shall be added such further material information, if any, as may be necessary to make the required statements, in the light of the circumstances under which they are made, not misleading."

D. Signature and Filing of Report.

There shall be filed with the Commission three complete copies of the report, including financial statements, exhibits and all other documents and papers filed as a part thereof and five additional copies which need not include exhibits. At least one complete copy of the report, including financial statements, shall be filed with each exchange on which any class of securities of the registrant is listed and registered. At least one complete copy of the report filed with the Commission and one such copy filed with each exchange shall be manually signed. Copies not manually signed shall bear typed or printed signature.

E. Disclosure with Respect to Foreign Subsidiaries.

Information with respect to any foreign subsidiary which is required by any item or other requirement of this form may be omitted from the report to the extent that the required disclosure would be detrimental to the registrant, provided a statement is made that such information has been omitted. Where the names of foreign subsidiaries are omitted pursuant to this instruction, the number of subsidiaries whose names are omitted shall be stated in the report and the names of such subsidiaries shall be separately furnished. The commission will accord confidential treatment to such names, but may, in its discretion, call for justification that the required disclosure would be detrimental.

F. Incorporation of Certain Information by Reference.

(a) Information contained in an annual report to security holders furnished to the Commission with this report or pursuant to Rule 14a-3, or in definitive material filed with the Commission pursuant to Section 14 of the Act, may be incorporated by reference in answer or partial answer to any item of this form. In addition, any financial statements in any such annual report or definitive material may be incorporated by reference provided such financial statements substantially meet the requirements of this form.

(b) Any matter incorporated by reference, or the relevant pages thereof, shall be physically attached to this form prior to the signature page. The foregoing shall not apply to incorporation of exhibits by reference pursuant to Rule 12b-32.

G. Information as to Employee Stock Purchase, Savings and Similar Plans.

Attention is directed to Rule 15d-21 which provides that separate annual and other reports need not be filed pursuant to Section 15(d) of the Act with respect to any employee stock purchase, savings or similar plan if the issuer of the stock or other securities offered to employees pursuant to the plan furnishes to the Commission the information and documents specified in the rule. If the registrant elects to follow the procedure permitted by Rule 15d-21, the information, financial statements and exhibits specified in paragraph (a)(2) of the rule shall be furnished on Form 11-K as an exhibit to the registrant's manual report. Such exhibit need not be signed, but the accountant's certificate accompanying the financial statements included therein shall be manually signed.

H. Restatement or Omission of Information Previously Filed.

(a) Items 5, 6(b), 7, 8 and 9 need not be restated or answered by any registrant which, since the close of the fiscal year, has filed with the Commission a definitive proxy statement pursuant to Regulation 14A, or a definitive information statement pursuant to Regulation 14C, which involved the election of directors, or which proposes to file such a proxy or information statement not later than 90 days after the close of the fiscal year.

(b) If the required answer to Items 4, 5, 10 or 11(b) would be unchanged from that given on a previous report on form 10-K, a reference to the previous report which includes the required description will be sufficient.

SECURITIES AND EXCHANGE COMMISSION
Washington, D.C.
20549

FORM 10-K

ANNUAL REPORT PURSUANT TO SECTION 13 OR 15(d) OF
THE SECURITIES EXCHANGE ACT OF 1934

For fiscal year ended _________________ Commission file number ___________

____
(Exact name of registrant as specified in its charter)

____________________________________ ______________________
(State or other jurisdiction of incorporation or organization) (I.R.S. Employer Identification No.)

____ _________________
(Address of principal executive offices) (Zip Code)

Securities to be registered pursuant to Section 12(b) of the Act:

Title of each class	Name of each exchange on which registered
________________________________	______________________________
________________________________	______________________________

Securities to be registered pursuant to Section 12(g) of the Act:

____
(Title of class)

____
(Title of class)

Item 1. Business

(a) Identify the principal products and services of the business done by the registrant and its subsidiaries, the principal markets for and methods of distribution of such products and services. Briefly describe any significant changes in such products, services, markets or methods of distribution since the beginning of the last fiscal year.

(b) To the extent significant to an understanding of such business and with particular emphasis on material changes and developments since the beginning of the last fiscal year, briefly describe the following:

(1) Competitive conditions in the industry or industries involved and the competitive position of the enterprise.

(2) The dollar amount of backlog of firm orders as of the end of registrant's last fiscal year, and as of the end of the preceding fiscal year, together with an indication of the proportion thereof not reasonably expected to be filled within the current fiscal year, and any seasonal or other significant aspects of the backlog.

(3) The sources and availability of raw materials essential to the business.

(4) The importance and effect of all material patents, licenses, franchises and concessions held.

(5) Any material research activities relating to the development of new products or services or the improvement of existing products or services. (If research activities are described, estimate the dollar amount spent during the last fiscal year on such research which was company-sponsored and on that which was customer-sponsored and indicated the approximate number of professional employees employed full time to each such category of activity during the fiscal year.)

(6) The number of persons employed by the enterprise.

(c) [Insert here appropriate requirements as to separate lines of business.]

Item 2. Summary of Earnings

Furnish in comparative columnar form a summary of earnings for the registrant, or for the registrant and its subsidiaries consolidated, or both, as appropriate, for each of the last five fiscal years of the registrant (or for the life of the registrant and its immediate predecessors, if less). In connection with such summary, wherever necessary, reflect information or explanation of material significance to investors in appraising the results shown or refer to such information or explanation set forth elsewhere in the annual report.

Instructions. 1. Include comparable data for any additional fiscal years necessary to keep the summary from being misleading. Subject to appropriate variation to conform to the nature of the business, the following items shall be included: net sales or operating revenues, cost of goods sold or operating expenses (or gross profit); interest charges, income taxes, net income before extraordinary items, extraordinary items; and net income. The summary shall reflect the retroactive adjustment of any material items affecting the comparability of the results.

2. If a period or periods reported on include operations of a business prior to date of acquisition or for other causes differ from reports previously issued for any period, the summary shall be reconciled as to sales or revenues and net income in the summary or by footnote with the amounts previously reported.

3. If common stock is registered under Section 12 of the Act, the summary shall be prepared to present earnings applicable to common stock. Per share earnings applicable to common stock, per share earnings assuming conversion of all outstanding convertible securities which would result in dilution and exercise of options and warrants, and dividends declared for each period of the summary shall also be included, unless inappropriate, and the basis of computation, including the number of shares used shall be stated.

4. (a) If debt securities are registered under Section 12 of the Act, the registrant may, at its option, show in tabular form for each fiscal year the ratio of earnings to fixed charges.

(b) Earnings shall be computed after all operating and income deductions except fixed charges and taxes based on income or profits and after eliminating undistributed income of unconsolidated persons. In the case of utilities, interest credits charged to construction shall be added to gross income and not deducted from interest.

(c) The term "fixed charges" shall mean (i) interest and amortization of debt discount and expenses and premium on all indebtedness, (ii) one-third of all rentals reported in the schedule prepared in accordance with Rule 12-16 of Regulation S-X, or such portion as can be demonstrated to be representative of the interest factor in the particular case; and (iii) in case consolidated figures are used, preferred stock dividend requirements of consolidated subsidiaries, excluding in all cases items eliminated in consolidation.

(d) Any registrant electing to show the ratio of earnings to fixed charges, in accordance with this instruction, shall file as an exhibit a statement setting forth in reasonable detail the computations of the required ratios.

Item 3. Properties

State briefly the location and general character of the principal plants, mines and other materially important physical properties of the registrant and its subsidiaries, whether held in fee or leased, and if leased, the expiration dates of material leases.

Such information should be furnished as will reasonably inform investors as to the suitability, adequacy and extent of utilization of the facilities used in the enterprise. Detailed descriptions of the physical characteristics of individual properties or legal descriptions by metes and bounds are not required and should not be given.

Instructions. 1. Where mining is of material importance, show for each important mine or, if appropriate, for each group of mines in a mining district, the total tonnage of ore produced during the last fiscal year. Where material to evaluation of mining properties, furnish for each such mine or group of mines for the last fiscal year (1) the average grade of ore produced, (2) the average direct operating cost per ton of ore produced, (3) the aggregate of all additional costs per ton of ore produced (to the extent practicable) and (4) the average dollar amount realized per ton of ore produced. State whether, between the beginning of the last fiscal year and the present, there have been material changes in the principal ore bodies or in the physical mining conditions at each such mine or group of mines, and whether any such changes are anticipated. If so, describe such changes and state their significance. In the case of coal mining, the term “ore” as used in this instruction refers to “coal”; the term “ore body” refers to “coal bed” or “coal seam”; and information as to “average grade of ore” need not be furnished.

2. Where oil and gas operations are of material importance, show: (1) net oil and gas production, preferably in tabular form, for oil in barrels and gas in MCF for the last fiscal year; (2) gross and net productive wells and gross and net producing acres as of a recent date; (3) undeveloped acreage, including both gross acres and net acres, either located as to states or geological areas, and whether the acreage is in blocks or in checkerboard, together with the minimum and maximum remaining terms of leases on such acreage; and (4) present activities, such as the number of wells in the process of drilling, waterfloods in the process of installation, or other related operations of material importance.

3. Where the report of an engineer or other export is referred to in this annual report, a copy of the full report shall be furnished as supplemental information but not as a part of this annual report.

Item 4. Parents and Subsidiaries

(a) Furnish a list or diagram of all parents and subsidiaries of the registrant and as to each person named indicate percentage of the registrant owned, or other basis of control, by its immediate parent, if any.

Instructions. 1. The list or diagram shall include the registrant and shall be so prepared as to show clearly the relationship of each person named to the registrant and to the other persons named. If any person is controlled by means of the direct ownership of its securities by two or more persons, so indicate by appropriate cross reference.

2. Designate by appropriate symbols (a) subsidiaries for which separate financial statements are filed; (b) subsidiaries included in consolidated financial statements; (c) subsidiaries included in group financial statements filed for unconsolidated subsidiaries; and (d) other subsidiaries, indicating briefly why financial statements of such subsidiaries are not filed.

3. Include the name of the sate or other jurisdiction in which each subsidiary was incorporated or organized.

4. The names of particular subsidiaries may be omitted if the unnamed subsidiaries, considered in the aggregate as a single subsidiary, would not constitute a significant subsidiary.

5. The names of consolidated totally-held subsidiaries may be omitted, provided that the number of such subsidiaries shall be given together with an explanation of the basis for omission of names. This instruction shall not apply to banks, savings and loan associations or other subsidiaries subject to Federal regulation.

ITEMS 5, 6(b), 7, 8, AND 9 NEED NOT BE RESTATED OR ANSWERED BY ANY REGISTRANT WHICH, SINCE THE CLOSE OF THE FISCAL YEAR, HAS FILED WITH THE COMMISSION A DEFINITIVE PROXY STATEMENT PURSUANT TO REGULATION 14A, OR A DEFINITIVE INFORMATION STATEMENT PURSUANT TO REGULATION 14C, WHICH INVOLVED THE ELECTION OF DIRECTORS, OR WHICH PROPOSES TO FILE SUCH A PROXY OR INFORMATION STATEMENT NOT LATER THAN 90 DAYS AFTER THE CLOSE OF THE FISCAL YEAR.

Item 5. Principal Holders of Securities.

(a) Furnish the following information in substantially the tabular form indicated as to the voting securities of the registrant owned of record or beneficially by each person who owns of record, or is known by the registrant to own beneficially, more than 10 percent of any class of such securities. Show in Column (3) whether the securities are owned both of record and beneficially, of record only, or beneficially only, and show in Columns (4) and (5) the respective amounts and percentages owned in each such manner:

(1)	(2)	(3)	(4)	(5)
Name and Address	Title of class	Type of Ownership	Amount owned	Percent of class

(b) Furnish the following information in substantially the tabular form indicated as to each class of equity securities of the registrant or any of its parents or subsidiaries, other than directors' qualifying shares, beneficially owned directly or indirectly by all directors and officers of the registrant, as a group, without naming them.

(1)	(2)	(3)
Title of class	Amount beneficially owned	Percent of class

Instructions. 1. The percentages are to be calculated on the basis of the amount of outstanding securities, excluding securities held by or for the account of the issuer. In any case where the amount owned by directors and officers as a group is less than 1 percent of the class, the percent of the class owned by them may be omitted.

2. If, to the knowledge of the registrant, more than 10 percent of any class of voting securities of the registrant is held or to be held subject to any voting trust or other similar agreement, state the title of such securities, the amount held or to be held and the duration of the agreement. Give the names and addresses of the voting trustees and outline briefly their voting rights and other powers under the agreement.

Item 6. Directors and Officers.

(a) List the names of all executive officers of the registrant and indicate all positions and offices held. The term "executive officer" means the president, secretary, treasurer, any vice president in charge of a principal business function (such as sales, administration or finance and any other officer who performs similar policy-making functions for the registrant.

(b) Furnish the following information, in tabular form to the extent practicable, with respect to each director of the registrant:

(1) Name each such director, state the date on which his present term of office will expire and list all other positions and offices with the registrant presently held by him.

(2) State his present principal occupation or employment and give the name and principal business of any corporation or other organization in which such employment is carried on. If not previously reported, give a brief account of his business experience during the past 10 years, including his principal occupations or employments during that period.

Instructions. Where a director's business experience during the past 10 years is described, the occurrence of an event referred to in (A), (B) or (C) below during the previous 10 years may be material to an evaluation of his ability and integrity. If so, appropriate disclosure should be made. If such an event has occurred but disclosure thereof is omitted on the ground that it is not material, registrant shall furnish, as supplemental information and not as a part of this report, (1) a description of the omitted information and (2) a statement of the reasons for its omission:

(A) A petition under the Bankruptcy Act or any state insolvency law was filed by or against, or a receiver, fiscal agent or similar officer was appointed by a court for business or property of, such person, or any partnership in which he was a general partner at or within 2 years before the time of such filing, or any corporation or business association of which he was an executive officer at or within 2 years before the time of such filing;

(B) Such person was convicted in a criminal proceeding (excluding traffic violations and other minor offenses) or is the subject of a criminal proceeding which is presently pending; or

(C) Such person was the subject of any order, judgment, or degree of any court of competent jurisdiction permanently or temporarily enjoining him from acting as an investment adviser, underwriter, broker, or dealer in securities, or as an affiliated person, director or employee of any investment company, bank, savings and loan association or insurance company, or from engaging in or continuing any conduct or practice in connection with any such activity or in connection with the purchase or sale of any security, or was the subject of any order of a Federal or state authority barring or suspending for more than sixty days the right of such person to be engaged in any such activity which order remains in effect.

(3) State, as of the most recent practicable date, the approximate amount of each class of equity securities of the registrant or any of its parents or subsidiaries, other than directors' qualifying shares, beneficially owned directly or indirectly by him. If he is not the beneficial owner of any such securities, make a statement to that effect.

(4) If more than 10 percent of any class of securities of the registrant or any of its parents or subsidiaries are beneficially owned by him and his associates, state the approximate amount of each class of such securities beneficially owned by such associates, naming each associate whose holdings are substantial.

Item 7. Remuneration of Directors and Officers.

(a) Furnish the following information in substantially the tabular form indicated below as to all direct remuneration paid by the registrant and its subsidiaries during the registrant's last fiscal year to the following persons for services in all capacities:

(1) Each director of the registrant whose aggregate direct remuneration exceeded $40,000, and each of the three highest paid officers of the registrant whose aggregate indirect remuneration exceeded that amount, naming each such director and officer.

(2) All directors and officers of the registrant as a group, stating the number of persons in the group without naming them.

(A)	(B)	(C)
Name of individual or number of persons in group	Capacities in which remuneration was received	Aggregate direct remuneration

Instructions. 1. Except as provided in Instruction 2, paragraph (a) of this item applies to any person who was a director or officer of the registrant at any time during the period specified. However, information need not be given for any portion of the period during which such person was not a director or officer of the registrant.

2. Paragraph (a)(1) of this item does not apply to any person who was not named as a director or officer of the registrant in the first registration statement filed on Form 10 for the registration of a class of securities pursuant to Section 12 of the Act, provided (i) such person has not been a director or officer of the registrant since the filing of such statement and (ii) the same information is not otherwise required to be disclosed in any other material filed with the Commission.

3. The information is to be given on an accrual basis if practicable. The tables required by this paragraph and paragraph (b) may be combined if the registrant so desires.

4. Do not include remuneration paid to a partnership in which any director or officer was a partner, but see Item 9.

5. If any part of the remuneration shown in response to this item was paid pursuant to a material bonus or profit-sharing plan, briefly describe the plan and the basis upon which directors or officers participate therein. See Instruction 1 to paragraph (b) for the meaning of the term "plan."

(b) Furnish the following information in substantially the tabular form indicated as to all annuity, pension or retirement benefits proposed to be paid to the following person in the event of retirement at normal retirement date pursuant to any existing plan provided or contributed to by the issuer or any of its subsidiaries:

(1) Each director or officer named in answer to paragraph (a)(1), naming each such person.

(2) All directors and officers of the issuer who are eligible for such benefits, as a group, stating the number of persons in the group without naming them.

(A) Name of individual or number of persons in group	(B) Amount set aside or accrued during issuer's last fiscal year	(C) Estimated annual benefits upon retirement

Instructions. 1. The term "plan" in this paragraph and in paragraph (c) includes all plans, contracts, authorizations or arrangements, whether or not set forth in any formal document.

2. Column (B) need not be answered with respect to payments computed on an actuarial basis under any plan which provides for fixed benefits in the event of retirement at a specified age or after a specified number of years of service. In such case, Columns (A) and (C) need not be answered with respect to directors or officers as a group.

3. The information called for by Column (C) may be given in the form of a table showing the annual benefits payable upon retirement to persons in specified salary classifications.

4. In the case of any plan (other than those specified in Instruction 2) where the amount set aside each year depends upon the amount of earnings of the issuer or its subsidiaries for such year or a prior year, or where it is otherwise impracticable to state the estimated benefits upon retirement, there shall be set forth, in lieu of the information called for by Column (C), the aggregate amount set aside or accrued to date, unless it is impracticable to do so, in which case there shall be stated the method of computing such benefits.

(c) Describe briefly all remuneration payments (other than payments reported under paragraph (a) or (b) of this item) proposed to be made in the future, directly or indirectly, by the registrant or any of its subsidiaries pursuant to any existing plan or arrangement to (i) each director or officer named in answer to paragraph (a)(1), naming each such person, and (ii) all directors and officers of the registrant as a group, without naming them.

Instruction. Information need not be included as to payments to be made for, or benefits to be received from, group life or accident insurance, group hospitalization or similar group payments or benefits. If it is impracticable to state the amount of remuneration payments proposed to be made, the aggregate amount set aside or accrued to date in respect of such payments should be stated, together with an explanation of the basis for future payments.

Item 8. Management Options to Purchase Securities.

Furnish the following information as to all options to purchase securities, from the registrant or any of its subsidiaries, which were granted to or exercised by the following persons since the beginning of the registrant's last fiscal year: (i) each director or officer named in answer to paragraph (a)(1) of Item 7 naming each such person and (ii) all directors and officers of the registrant as a group, without naming them.

(a) As to options granted, state (i) the title and amount of securities called for; (ii) the prices, expiration dates and other material provisions; (iii) the consideration received for the granting thereof; and (iv) the market value of the securities called for on the granting date.

(b) As to options exercised, state (i) the title and amount of securities purchased; (ii) the purchase price; and (iii) the market value of the securities purchased on the date of purchase.

(c) As to all unexercised options held as of the latest practicable date, regardless of when such options were granted, state: (i) the title and aggregate amount of securities called for, and (ii) the average options price per share.

Instructions. 1. The term “options” as used in this Item 8 includes all options, warrants or rights, other than those issued to security holders as such on a pro rata basis. Where the average option price per share is called for, the weighted average price per share shall be given.

2. The extension, regranting or material amendment of options shall be deemed the granting of options within the meaning of this item.

3. (i) where the total market value on the granting dates of the securities called for by all options granted during the period specified does not exceed \$10,000 for any officer or director named in answer to paragraph (a)(1) or \$30,000 for all officers and directors as a group, this item need not be answered with respect to options granted to such person or group. (ii) Where the total market value on the dates of purchase of all securities purchased through the exercise of options during the period specified does not exceed \$10,000 for any such person or \$30,000 for such group, this item need not be answered with respect to options exercised by such person or group. (iii) Where the total market value as of the latest practicable date of the securities called for by all options held at such time does not exceed \$10,000 for any such person or \$30,000 for such group, this item need not be answered with respect to options held as of the specified date by such person or group.

4. The information for all directors and officers as a group regarding market value of the securities on the granting date of the options and on the purchase date, may be given in the form of price ranges for each calendar quarter during which options were granted or exercised.

Item 9. Interest of Management and Others in Certain Transactions.

(a) Describe briefly any transactions since the beginning of the last fiscal year or any presently proposed transactions, to which the registrant or any of its subsidiaries was or is to be a party, in which any of the following persons has or is to have a direct or indirect material interest, naming such person and stating his relationship to the registrant, the nature of his interest in the transaction and, where practicable, the amount of such interest:

(1) Any director or officer of the registrant;

(2) Any security holder named in the answer to Item 5(a);

(3) Any relative or spouse of any of the foregoing persons, or any relative of such spouse, who has the same home as such person or who is a director or officer of any parent or subsidiary of the registrant.

Instructions. 1. This Item 9(a) applies to any person who held any of the positions or relationships specified at any time during the period specified. However information need not be given for any portion of the period during which such person did not hold any such position or relationship.

2. No information need be given in response to this Item 9(a) as to any remuneration or other transaction reported in response to Items 7 or 8, or as to any transaction with respect to which information may be omitted pursuant to Instruction 2 to Item 7(b), the instruction to Item 7(c), or Instruction 2 or 3 to Item 9(b).

3. No information need be given in answer to this Item 9(a) as to any transaction where --

(a) the rates or charges involved in the transaction are determined by competitive bids, or the transaction involves the rendering of services as a common or contract carrier, or public utility, at rates or charges fixed in conformity with law or governmental authority;

(b) the transaction involves services as a bank depository of funds, transfer agent, registrar, trustee under a trust indenture, or similar services;

(c) the amount involved in the transaction or a series of similar transactions, including all periodic installments in the case of any lease or other agreement providing for periodic payments or installments, does not exceed $30,000; or

(d) the interest of the specified person arises solely from the ownership of securities of the registrant and the specified person receives no extra or special benefit not shared on a pro rata basis by all holders of securities of the class.

4. It should be noted that this item calls for disclosure of indirect, as well as direct, material interests in transactions. A person who has a position or relationship with a firm, corporation, or other entity, which engages in a transaction with the registrant or its subsidiaries may have an indirect interest in such transaction by reason of such position or relationship. However, a person shall be deemed not to have a material indirect interest in a transaction within the meaning of this Item 9(a) where--

(a) the interest arises only (i) from such person's position as a director of another corporation or organization (other than a partnership) which is a party to the transaction, or (ii) from the direct or indirect ownership by such person and all other persons specified in subparagraphs (1) through (3) above, in the aggregate, or less than a 10 percent equity interest in another person which is a party to the transaction, or (iii) from both such position and ownership;

(b) the interest of such person arises solely from an interest in another person which is a party to the transaction with the registrant or any of its subsidiaries and the transaction is not material to such other person; or

(c) the amount involved in the transaction or a series of similar transactions, including all periodic installments in the case of any lease or other agreement providing for periodic payments or installments, does not exceed $30,000.

5. The amount of the interest of any specified person shall be computed without regard to the amount of the profit or loss involved in the transaction. Where it is not practicable to state the approximate amount of the interest, the approximate amount involved in the transaction shall be indicated.

6. In describing any transaction involving the purchase or sale of assets by or to the registrant or any of its subsidiaries, otherwise than in the ordinary course of business, state the cost of the assets to the purchaser and, if acquired by the seller within two years prior to the transaction, the cost thereof to the seller.

7. The foregoing instructions specify certain transactions and interests as to which information may be omitted in answering this item. There may be situations where, although the foregoing instructions do not expressly authorize non-disclosure, the interest of a specified person in the particular transaction or series of transactions is not a material interest. In that case, information regarding such interest and transaction is not required to be disclosed in response to this item.

(b) State as to each of the following persons who was indebted to the registrant or its subsidiaries at any time since the beginning of the last fiscal year of the registrant, (i) the largest aggregate amount of indebtedness outstanding at any time during such period, (ii) the nature of the indebtedness and of the transaction in which it was incurred, (iii) the amount thereof outstanding as of the latest practicable date, and (iv) the rate of interest paid or charged thereon:

(1) Each director or officer of the registrant; and

(2) Each associate of any such director or officer

Instructions. 1. Include the name of each person whose indebtedness is described and the nature of the relationship by reason of which the information is required to be given.

2. This paragraph does not apply to any person whose aggregate indebtedness did not exceed $10,000 or one percent of the registrant's total assets, whichever is less, at any time during the period specified. Exclude in the determination of the amount of indebtedness all amounts due from the particular person for purchases subject to usual trade terms, for ordinary travel and expense advances and for other transactions in the ordinary course of business.

3. Notwithstanding Instruction 2, if the registrant or any of its subsidiaries is engaged primarily in the business of making loans and loans to any of the specified persons in excess of $10,000 or one percent of its total assets, whichever is less,

were outstanding at any time during the period specified, such loans shall be disclosed. However, if the lender is a bank, such disclosure may consist of a statement, if such is the case, that the loans to such persons (i) were made in the ordinary course of business, (ii) were made on substantially the same terms, including interest rates and collateral, as those prevailing at the time for comparable transactions with other persons, and (iii) did not involve more than normal risk of collectibility or present other unfavorable features.

4. If to the knowledge of the registrant any indebtedness required to be described arose under Section 16(b) of the Act and has not been discharged by payment, state the amount of any profit realized, that such profit will inure to the benefit of the registrant or its subsidiaries and whether suit will be brought or other steps taken to recover such profit. If in the opinion of counsel a question reasonably exits as to the recoverability of such profit, it will suffice to state all facts necessary to describe the transaction, including the prices and number of shares involved.

(c) Describe briefly any transactions since the beginning of the registrant's last fiscal year or any presently proposed transactions, to which any pension, retirement, savings or similar plan provided by the registrant or any of its parents or subsidiaries, was or is to be a party, in which any of the following persons had or is to have a direct or indirect material interest naming such person and stating his relationship to the registrant, the nature of his interest in the transaction and, where practicable, the amount of such interest:

(1) Any director or officer of the registrant;

(2) Any security holder named in answer to Item 5(a);

(3) Any relative or spouse of any of the foregoing persons, or any relative of such spouse, who has the same home as such person or who is a director or officer of any parent or subsidiary of the registrant; or

(4) The registrant or any of its subsidiaries.

Instructions. 1. Instructions 2, 3, 4 and 5 to Item 9(a) shall apply to this Item 9(c).

2. Without limiting the general meaning of the term "transaction" there shall be included in answer to this item any remuneration received or any loans received or outstanding during the period, or proposed to be received.

3. No information need be given in answer to paragraph (c) with respect to --

(a) payments to the plan, or payments to beneficiaries, pursuant to the terms of the plan;

(b) payment of remuneration for services not in excess of 5 percent of the aggregate remuneration received by the specified person during the registrant's last fiscal year from the registrant and its subsidiaries; or

(c) any interest of the registrant or any of its subsidiaries which arises solely from its general interest in the success of the plan.

Item 10. Pending Legal Proceedings

Briefly describe any material pending legal proceedings, other than ordinary routine litigation incidental to the business, to which the registrant or any of its subsidiaries is a party or of which any of their property is the subject. Include the name of the court or agency in which the proceedings were instituted, the date instituted and the principal parties thereto.

Instructions. 1. If the business ordinarily results in actions for negligence or other claims, no such action or claim need be described unless it departs from the normal kind of such actions.

2. No information need be given with respect to any proceeding which involves primarily a claim for damages if the amount involved, exclusive of interest and costs, does not exceed 15% of the current assets of the registrant and its subsidiaries on a consolidated basis. However, if any proceeding presents in large degree the same issues as other proceedings pending or known to be contemplated, the amount involved in such other proceedings shall be included in computing such percentage.

3. Notwithstanding Instructions 1 and 2, any material bankruptcy, receivership, or similar proceeding with respect to the registrant or any of its significant subsidiaries shall be described. Any material proceedings to which any director, officer of affiliate of the registrant, any security holder named in answer to Item 5(a), or any associate of any such director, officer or security holder, is a party, or has a material interest, adverse to the registrant or any of its subsidiaries shall also be described.

Item 11. Miscellaneous Data Required

(a) State in the tabular form indicated below, the approximate number of holders of record of each class of equity securities of the registrant, as of the end of the last fiscal year:

(1)	(2)
Title of Class	Number of record holdings

Instructions. 1. Attention is directed to the definitions of the term "equity security" in Section 3(a)(11) of the Act and Rule 3a11-1 thereunder, and the definition of the term "held of record" in Rule 12g5-1.

2. Information need not be given with respect to the number of holders of "restricted stock options", "qualified stock options", or options granted pursuant to a plan qualified as an "employee stock purchase plan", as those terms are defined in Sections 422 through 424 of the Internal Revenue Code of 1954, as amended.

(b) State the general effect of any charter provision, bylaw, contract, arrangement or statute under which any director or officer of the registrant is insured or indemnified in any manner against any liability which he may incur in his capacity as such.

Item 12. Financial Statements and Exhibits

(a) List separately all financial statements filed as part of the report.

(b) List all exhibits filed as part of the report including those incorporated by reference.

SIGNATURES

Pursuant to the requirements of Section 13 or 15(d) of the Securities Exchange Act of 1934, the registrant has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized.

____
(Registrant)

Date ________________________ ________________________
(Signature)*

*Print name and title of the signing officer under his signature.

INSTRUCTIONS AS TO FINANCIAL STATEMENTS

The following instructions specify the balance sheets and profit and loss and source and application of funds statements required to be filed as a part of annual reports on this form. Regulation S-X governs the certification, form and content of such balance sheets and profit and profit and loss statements, including the basis of consolidation, and prescribes the statements of surplus and the schedules to be filed in support thereof.

If either the profit and loss or earned surplus statements required are included in their entirety in the summary of earnings required by Item 2, the statements so included need not be otherwise included in the annual report.

1. Statements of the Registrant

(a) There shall be filed for the registrant a certified balance sheet as of the close of the fiscal year and certified profit and loss and source and application of funds statements for the fiscal year.

(b) Notwithstanding paragraph (a), the individual financial statements of the registrant may be omitted if (1) consolidated statements of the registrant and one or more of its subsidiaries are filed, and (2) the conditions specified in either of the following paragraphs are met:

(i) The registrant is primarily an operating company and all subsidiaries included in the consolidated financial statements filed are totally-held subsidiaries; or

(ii) The registrant's total assets, exclusive of investments in and advances to the consolidated subsidiaries, constitute 85 percent or more of the total assets shown by the consolidated balance sheet filed and the registrant's total gross revenues for the period for which its profit and loss statement would be filed, exclusive of interest and dividends received from the consolidated subsidiaries, constitute 85 percent or more of the total gross revenue shown by the consolidated profit and loss statement filed.

2. Consolidated Statements

There shall be filed for the registrant and its subsidiaries a certified consolidated balance sheet as of the close of the fiscal year of the registrant and certified consolidated profit and loss and source and application of funds statements for such fiscal year.

3. Statements of Subsidiaries not Consolidated

(a) Subject to Rule 4-03 of Regulation S-X regarding group statements, there shall be filed for each majority-owned subsidiary of the registrant not consolidated as of the close of the subsidiary's most recently ended fiscal year the financial statements which would be required if it were a registrant.

(b) If the fiscal year of any unconsolidated subsidiary ends within 90 days before the date of filing the annual report, or after the date of filing, the statements of the subsidiary required by paragraph (a) may be filed as an amendment to the report within 90 days after the end of the subsidiary's fiscal year.

4. Fifty-percent Owned Persons and Other Persons

If the registrant owns directly or indirectly approximately 50 percent of the voting securities of any person and approximately 50 percent of the voting securities of such person is owned directly or indirectly by another single interest or takes up the equity in undistributed earnings of any other person which is not a majority-owned subsidiary, there shall be filed for each such person the financial statements which would be required if it were a registrant. The statements filed for each such person shall identify the other single interest or other interests in any person operated jointly.

5. Omission of Statements Required by Instructions 3 and 4

Notwithstanding Instructions 3 and 4, there may be omitted from the annual report all financial statements of any one or more unconsolidated subsidiaries or 50 percent owned persons or other persons if all such subsidiaries and 50 percent owned persons or other persons for which statements are so omitted, considered in the aggregate as a single subsidiary, would not constitute a significant subsidiary.

6. Affiliates whose Securities are Pledged as Collateral

(a) For each affiliate of the registrant whose securities constitute a substantial portion of the collateral securing any class of registered securities, there shall be filed the financial statements that would be required if the affiliate were a registrant. However, statements need not be filed pursuant to this instruction for any person whose statements are otherwise filed with the report on an individual, consolidated or combined basis.

(b) For the purposes of this instruction, securities of a person shall be deemed to constitute a substantial portion of the collateral if the aggregate principal amount, par value, or book value as shown by the books of the registrant, or market value, whichever is the greatest of such securities equals 20 percent or more of the principal amount of the class secured thereby.

7. Statements of Banks and Insurance Companies

Notwithstanding the requirements of the foregoing instructions, financial statements filed for banks or insurance companies (other than title insurance companies) need not be certified.

8. Registrants Not in the Production Stage

(a) Notwithstanding the foregoing instructions, if the registrant falls within the terms of paragraph (b) or (c) of Rule 5A-01 of Regulation S-X, the following statements, all of which shall be certified except as provided in (b) below, shall be filed for the registrant and each of its significant subsidiaries, if any:

(i) The statements specified in Rules 5A-02, 5A-03, 5A-04, 5A-05 and 5A-07 shall be filed as of the end of the fiscal year.

(ii) The statement of cash receipts and disbursements specified in Rule 5A-06 shall be filed for the fiscal year.

(b) The financial statements prescribed in (a) above need not be certified if all of the following conditions are met by the registrant and each of its significant subsidiaries, if any:

(i) Gross receipts from all sources for the fiscal year are not in excess of $5,000;

(ii) The registrant has not purchased or sold any of its own stock, granted options therefor, or levied assessments upon outstanding stock;

(iii) Expenditures for all purposes for the fiscal year are not in excess of $5,000;

(iv) No material change in the business has occurred during the fiscal year, including any bankruptcy, reorganization, readjustment or succession or any material acquisition or disposition of plants, mines, mining equipment, mine rights or leases;

(v) No exchange upon which the shares are listed, or governmental authority having jurisdiction, requires the furnishing to it, or the publication of, certified financial statements.

9. Filing of Other Statements in Certain Cases

The Commission may, upon the informal written request of the registrant and where consistent with the protection of investors, permit the omission of one or more of the statements herein required or the filing in substitution therefor of appropriate statements of comparable character. The Commission may also be informal written notice require the filing of other statements in addition to, or in substitution for, the statements herein required in any case where such statements are necessary or appropriate for an adequate presentation of the financial condition of any person whose financial statements are required, or whose statements are otherwise necessary for the protection of investors.

INSTRUCTIONS AS TO EXHIBITS

Subject to Rule 12b-32 regarding the incorporation of exhibits by reference, the following exhibits shall be filed as a part of the report:

A. Copies of all amendments or modifications, not previously filed, to all exhibits previously filed (or copies of such exhibits as amended or modified).

B. (a) Copies of every material contract not made in the ordinary course of business and not previously filed which was performed or to be performed in whole or in part at or after the beginning of the fiscal year covered by the report on this form. Only contracts need be filed as to which the registrant or a subsidiary of the registrant was or is a party or succeeded to a party by assumption or assignment or in which the registrant or such subsidiary had or has a beneficial interest.

(b) If the contract is such as ordinarily accompanies the kind of business conducted by the registrant and its subsidiaries, it is made in the ordinary course of business and need not be filed, unless it falls within one or more of the following categories, in which case it should be filed except where immaterial in amount of significance:

(1) Directors, officers, promoters, voting trustees, or security holders named in answer to Item 5 are parties thereto except where the contract merely involves purchase or sale of current assets having a determinable market price, at such price;

(2) It is of such materiality as to call for specific reference to it in answer to Item 5(b) or 9;

(3) The registrant's business is substantially dependent upon it, as in the case of continuing contracts to sell the major part of registrant's production in the case of a manufacturing enterprise or to purchase the major part of registrant's requirements of goods in the case of a distribution enterprise, or licenses to use a patent or formula upon which registrant's business depends to a material extent;

(4) It calls for the acquisition or sale of fixed assets for a consideration exceeding 10 percent of all fixed assets of the registrant and its subsidiaries;

(5) It is a lease under which a material amount of property is held by the registrant; or

(6) The amount of the contract, or its importance to the business of the registrant and its subsidiaries, are material, and the terms and conditions are of a nature of which investors reasonably should be informed.

(c) Any management contract or bonus or profit-sharing plan, contract or arrangement (or if not set forth in any formal document, a written description thereof), except the following, shall be deemed material and shall be filed:

(1) Ordinary purchase and sales agency agreements;

(2) Agreements with managers of stores in a chain organization or similar organization;

(3) Contracts providing for labor or salesmen's bonuses or payments to a class of security holders, as such.

C. Copies of each material foreign patent for an invention not covered by a United States patent, not previously filed.

D. Copies of all other documents of a character required to be filed as an exhibit to an original registration statement on Form 10 which were executed or in effect during the fiscal year and not previously filed.

SUPPLEMENTAL INFORMATION TO BE FURNISHED WITH REPORTS FILED PURSUANT TO SECTION 15(d) OF THE ACT BY ISSUERS WHICH HAVE NOT REGISTERED SECURITIES PURSUANT TO SECTION 12 OF THE ACT

(a) Every registrant which files an annual report on this form pursuant to Section 15(d) of the Act shall furnish to the Commission for its information, at the time of filing its report on this form, four copies of the following:

(1) Any annual report to stockholders covering the registrant's last fiscal year; and

(2) Every proxy statement, form of proxy or other group soliciting material sent to more than ten of the registrant's stockholders with respect to any annual or other meeting of stockholders.

(b) The foregoing material shall not be deemed to be "filed" with the Commission or otherwise subject to the liabilities of Section 18 of the Act, except to the extent that the registrant specifically incorporates it in its annual report on this form by reference.

(c) If not such annual report or proxy material has been sent to stockholders, a statement to that effect shall be included in the answer to Item 13. If such report or proxy material is to be furnished to stockholders subsequent to the filing of the annual report on this form, the registrant shall so state in the answer to Item 13 and shall furnish copies of such material to the Commission when it is sent to stockholders.

Appendix X-4

SECURITIES AND EXCHANGE COMMISISON
Washington, D.C.
20549

FORM 10-Q

CURRENT REPORT PURSUANT TO SECTION 13 or 15(d) OF
THE SECURITIES EXCHANGE ACT OF 1934

GENERAL INSTRUCTIONS

A. Rule as to Use of Form 10-Q

(a) Form 10-Q shall be used for current reports under Section 13 or 15(d) of the Securities Exchange Act of 1934, filed pursuant to Rule 13a-11 or Rule 15d-11.

(b) A report on this form shall be filed within 45 days after the close of each fiscal quarter relating to events occurring during that quarter. The report relative to events occurring during the fourth fiscal quarter may omit Part II - Condensed Financial Information.

(c) In addition to the reports required to be filed on this form pursuant to (b) above, a current report limited to the information required to be furnished by Item 2, including the related exhibit called for by Clause 1 of Part IV- Exhibits herein, shall be filed within 10 days after the occurrence of an event specified by item 2.

B. Application of General Rules and Regulations

(a) The General Rules and Regulations under the Act contain certain general requirements which are applicable to reports on any form. These general requirements should be carefully read and observed in the preparation and filing of reports on this form.

(b) Particular attention is directed to Regulation 12B which contains general requirements regarding matters such as the kind and size of paper to be used, the legibility of the report, the information and the filing of the report. The definitions contained in Rule 12b-2 should be specially noted. See also Regulations 13A and 15D.

C. Presentation of Report

(a) This form is not to be used as a blank form to be filled in, but only as a guide in the preparation of the report on paper meeting the requirements of Rule 12b-12. The report shall contain the numbers and captions of all items to which answers are furnished, but the text of such items and instructions thereunder shall be omitted. If no answer is required to any item or items by reason of the fact that no change has occurred calling for the submission of an answer, so state, identifying such items by number only.

(b) Each answer furnished shall be complete, provided that a cross reference to one or more other items in the report may be used to avoid reporting a particular transaction more than once.

(c) Attention is directed to Rule 12b-20 which states: "In addition to the information expressly required to be included in a statement a report, there shall be added such further material information, if any, as may be necessary to make the required statements, in the light of the circumstances under which they are made, not misleading."

D. Signature and Filing of Reports

There shall be filed with the Commission three complete copies of the report, including financial statements, if any, exhibits and all other papers and documents filed as a part thereof, and five additional copies which need not include exhibits. At least one complete copy of the report, including financial statements, exhibits and all other papers and documents filed as a part thereof, shall be filed with each exchange on which any class of securities of the registrant is listed and registered. At least one complete copy of the report filed with the Commission and one such copy filed with each such exchange shall be manually signed. Copies not manually signed bear typed or printed signatures.

E. Incorporation by Reference

(a) Information contained in a proxy statement filed with the Commission pursuant to Regulation 14A or in an information statement filed pursuant to Regulation 14C or in an annual report submitted to stockholders pursuant to Rule 14a-3 or 14c-3 may be incorporated by reference in answer or partial answer to any item or items of this form. In addition, any financial statements contained in any such statement or report may be incorporated by reference provided such financial statements substantially meet the requirements of this form. Where certified financial statements contained in an annual report to stockholders are incorporated by reference, the written consent of the certifying accountants to such incorporation by reference shall be filed with the report on this form. Such written consent shall be dated and signed manually. If a quarterly report is sent by the registrant to its shareholders containing the information required by Part II of this Form, such report may be incorporated by reference.

(b) Any matter, or the relevant pages thereof, incorporated by reference pursuant to the General Rules and Regulations or this Instruction, shall be physically attached to this Form prior to the signature page. The foregoing shall not apply to incorporation of exhibits by reference pursuant to Rule 12b-32.

SECURITIES AND EXCHANGE COMMISISON
Washington, D.C.
20549

FORM 10-Q

CURRENT REPORT PURSUANT TO SECTION 13 or 15(d) OF
THE SECURITIES EXCHANGE ACT OF 1934

For Quarter Ended _________________: Commission file number _____________
(If filed pursuant to General Instruction A(c): Date of event ___________________)

____
(Exact name of registrant as specified in its charter)

____
(State or other jurisdiction of incorporation or organization) (I.R.S. Employer Identification No.)

____
(Address of principal executive offices) (Zip Code)

PART I. MATERIAL EVENTS

For those not familiar with Form 10-Q, the following check list may be of assistance in locating the items of the form which require, upon the happening of certain material events, the furnishing of specific information:

	Item
Acquisition, significant*	2
Articles of Incorporation, amendment affecting rights of security holders	6
Assets, acquisition of significant amount*	2
Assets, disposition of significant amount*	2
Assets, revaluation of	9
By Laws -- amendment generally	12
Capital account, restatement of	9
Capital, transfer to surplus	9
Charter, amendment affecting rights of security holders	6
Charter, amendment generally	12
Contract which may result in change in control of registrant	1
Control, change in	1
Control group, change in	1
Debt, default in respect of	8
Debt, default in respect of, waived by lender	8
Debt, decrease in	4
Debt, increase in	4
Director, new	1
Dividends, arrearage	8
Equity securities, decrease in	3
Equity securities, increase in	3
Judgment, litigation	5
Legal proceedings, commencement of	5
Legal proceedings, termination of	5
Officer, new	1
Options, granted or extended	10
Preferred stock, default in respect of	8
Preferred stock, dividend arrearage	8

* See Instruction 4 to Item 2 for test of a “significant” amount.

Item 1. Management and Control

(a) If any person has become a parent of the registrant, as defined in Rule 12b-2 under the Act, give the name of such person, the date and a brief description of the transaction or transactions by which the person became such a parent and the percentage of voting securities of the registrant owned by such parent or other basis of control by such parent over the registrant. Include the consideration involved in the transaction and any material related contractual arrangements.

(b) If any person has ceased to be parent of the registrant, give the name of such person and the date and a brief description of the transaction or transactions by which the person ceased to be a parent.

(c) If to the knowledge of the registrant any person has entered into any contract or arrangement, including any pledge of securities of the registrant or any of its parents, the operation of the terms of which may at a subsequent date result in a change in control of the registrant, describe such contract or arrangement, including the names of the parties thereto and the amounts of securities or other consideration involved.

(d) If any person has become a director of the registrants, state his name and, to the extent not previously reported in a definitive proxy statement or information statement filed pursuant to Regulation 14A or 14C, give a brief account of his business experience during the past ten years, including his principal occupations or employments.

(e) If any person has become a director of the registrant, otherwise than by election by security holders, pursuant to any arrangement or understanding between such person and any other person or persons, except (i) the directors of the registrant acting solely in their capacity as such or (ii) any person currently identified in reports filed with the Commission as a parent of the registrant, name such other person or persons and describe briefly such arrangement or understanding.

(f) if any person has become an executive officer of registrant, state his name, indicate all positions and offices he holds, and give a brief account of his business experience during the past ten years, including his principal occupations or employments.

(g) If any person has ceased to be a director or executive officer of the registrant, state his name, the position terminated, and the date of such termination.

Instructions. 1. The term “executive officer” means the president, secretary, treasurer, any vice president in charge of a principal business function (such as sales, administration, or finance) and any other officer who performs similar policy-making functions for the registrant.

2. Occurrence of an event referred to in (A), (B) or (C) below during the past 10 years may be material to evaluation of the ability and integrity of registrant’s management. If so, appropriate disclosure should be made. If such an event has occurred but disclosure thereof is omitted on the ground that it is not material, registrant should furnish, as supplemental information and not as a part of this report (1) a description of the omitted information and (2) a statement of the reasons for its omission:

(A) A petition under the Bankruptcy Act or any state insolvency law was filed by or against, or a receiver, fiscal agent or similar officer was appointed by a court for business or property of, any person named in answer to (d) or (f) above, or any partnership in which he was a general partner at or within 2 years before the time of such filing, or any corporation or business association of which he was an executive officer at or within 2 years before the time of such filing;

(B) Any person named in answer to (d) or (f) above was convicted in a criminal proceeding (excluding traffic violations and other minor offenses) or is a defendant in a criminal proceeding (excluding traffic violations and other minor offenses) which is presently pending; or

(C) Any person named in answer to (d) or (f) above was the subject of any order, judgment, or decree of any court of competent jurisdiction permanently or temporarily enjoining him from acting as an investment adviser, underwriter, broker, or dealer in securities, or as an affiliated person, director or employee of any investment company, bank, savings and loan association or insurance company, or from engaging in or continuing any conduct or practice in connection with any such activity or in connection with the purchase or sale of any security, or was the subject of any order of a federal or state authority barring or suspending for more than sixty days the right of such person to be engaged in any such activity which order remains in effect.

Item 2. Acquisition or Disposition of Assets

If the registrant or any of its majority-owned subsidiaries or fifty-percent-owned persons has acquired or disposed of a significant amount of assets, otherwise than in the ordinary course of business, state the date and manner of acquisition or disposition and a brief description of the assets involved, the nature and amount of consideration given or received therefor, the accounting treatment thereof, the principle followed in determining the amount of such consideration, the identity of the persons from whom the assets were acquired or to whom they were sold, and the nature of any material relationship between such persons and the registrant or any of its affiliates, any director of or officer of the registrant, any associate of such director or officer, or any person owning beneficially more than 10 percent of the outstanding voting securities of the registrant.

Instructions. 1. No information need be given as to (i) any transaction between any person and any wholly-owned subsidiary of such person: i.e., a subsidiary substantially all of whose outstanding voting securities are owned by such person and/or its other wholly-owned subsidiaries; (ii) any transaction between two or more wholly-owned subsidiaries of any person; or (iii) the redemption or other acquisition of securities from the public, or the sale or other disposition of securities to the public, by the issuer of such securities.

2. The term “acquisition” includes every purchase, acquisition by lease, exchange, merger, consolidation, succession or other acquisition; provided that such term does not include the construction or development of property or the acquisition of materials for such purpose. The term “disposition” includes every sale, disposition by lease, exchange, merger, consolidation, mortgage, or hypothecation of assets, assignment, whether for the benefit of creditors or otherwise, abandonment, destruction, or other disposition.

3. An acquisition or disposition shall be deemed to have occurred when the parties to the transaction enter into a written agreement pursuant to which it is to be effected, even though the subsequent

approval of security holders or a government agency may be required. Any failure to consummate a reported acquisition or disposition shall be deemed a disposition or acquisition for the purpose of this item.

4. An acquisition or disposition shall be deemed to involve a significant amount of assets if--

(i) the value of such assets (less any valuation or qualifying reserves) as shown by the books of the persons disposing of such assets, or the amount of consideration given or received therefor, including liabilities assumed or to be discharged by the person acquiring the assets or the fair value of securities given or received for such assets, exceeded 10 percent of the total assets shown by the latest consolidated balance sheet of the registrant and its subsidiaries, as of a date prior to the transaction, which has been filed with the Commission, or if a consolidated balance sheet has not been filed, by the latest balance sheet of the registrant, as of a date prior to the transaction, which has been filed with the Commission; or

(ii) it involved the acquisition or disposition of a business whose gross revenues for its last fiscal year exceeded 10 percent of the aggregate gross revenues shown by the latest consolidated profit and loss statement of the registrant and its subsidiaries filed with the Commission for a full fiscal year prior to the transaction or, if a consolidated profit and loss statement has not been filed, by the latest profit and loss statement of the registrant filed with the Commission for a full fiscal year prior to the transaction.

In Computing the foregoing percentages, all related transactions contemporaneously negotiated among the respective parties and their affiliates shall be included.

5. The acquisition of disposition of securities shall be deemed the acquisition a disposition of all of the assets of the issuer of such securities if it results in the acquisition or disposition of control of such issuer.

6. Where assets are acquired or disposed of through the acquisition or disposition of control of a person, the person from whom such control was acquired or to whom it was disposed of shall be deemed the person from whom the assets were acquired or to whom they were disposed of, for

the purposes of this item. Where such control was acquired from or disposed of to not more than five persons, their names shall be given, otherwise it will suffice to identify in an appropriate manner the class of such persons.

7. Attention is directed to the requirements of Part III.

Item 3. Increase in Amount of Securities Outstanding

If the amount of securities of the registrant outstanding has been increased through the issuance of any new class of securities or through the issuance or reissuance of any additional securities of a class outstanding and the aggregate amount of any such increase in any class of securities not previously reported exceeds 5 percent of the securities of that class previously outstanding, furnish the following information:

(a) Title of the class, the amount outstanding as last previously reported, and the amount presently outstanding (as of a specified date).

(b) A brief description of the transaction or transactions resulting in the increase and a statement of the aggregate sale price, aggregate selling expense, and net proceeds to the registrant. If securities are issued for a consideration other than cash, state the nature and aggregate amount of any such other consideration received or to be received by the registrant.

(c) As to securities issued in a transaction involving a public offering, state the method of distribution employed. Give the names of the principal underwriters, if any, and state the nature of any material relationship between any of such underwriters and the registrant. State whether or not securities were registered under the Securities Act of 1933; if not, state the exemption claimed and the facts relied upon to make the exemption available.

(d) As to securities issued in a transaction not involving any public offering, for which exemption from registration is claimed under Section 4(2) of the Securities Act of 1933, (1) state the approximate number of persons to whom the securities were offered and the number of purchasers, and (2) describe the class of persons who purchased the securities.

(e) Give a reasonably itemized statement of the purposes, so far as determinable, for which the net proceeds have been or are to be used and the approximate amount used or to be used for each such purpose.

(f) If the securities were capital shares, a statement of the amount of the proceeds credited or to be credited to any account other than the appropriate capital share account.

Instructions. 1. No report need be made with respect to:

(a) increases resulting from stock splits or stock dividends;

(b) the granting of qualified, restricted or other non-transferable options to purchase equity securities of the registrant;

(c) any increase resulting from the issuance of securities to wholly-owned subsidiaries;

(d) any increase where the amount not previously reported, although in excess of 5 percent of the securities of the class previously outstanding; does not exceed $50,000 face amount of indebtedness or 1000 shares of capital stock.

2. Information is to be included as to all indebtedness owed to banks, insurance companies, finance companies or other persons, evidenced by one or more bonds, debentures, notes or other evidence of indebtedness, except that information need not be given as to notes, drafts, bills of exchange or bankers' acceptances which mature not later than one year from the date of issuance. A guarantee of indebtedness shall be deemed a security for the purpose of this item.

3. This item includes the reissuance of treasury securities and securities held for the account of the issuer thereof. The extension of the maturity date of indebtedness shall be deemed to be the issuance of new indebtedness for the purpose of this item. In the case of such an extension, the percentage shall be computed upon the basis of the principal amount of the indebtedness extended.

4. If the securities referred to in answer to this item materially limit or qualify the rights evidenced by any class of registered securities, appropriate disclosure of such limitation or qualification shall be set forth in answer to Item 6.

5. A guarantee of indebtedness for money borrowed shall be deemed a security. However, no report need be made under this item with respect to the guarantee of indebtedness of a wholly-owned subsidiary.

Item 4. Decreases in Amount of Securities Outstanding

If the amount of any class of securities of the registrant outstanding has been decreased through one or more transactions furnish the following information:

(a) Title of the class, the amount outstanding as last previously reported, and the amount presently outstanding (as of a specified date).

(b) A brief description of the transaction or transactions involving the decrease and a statement of the aggregate amount of cash or the nature and aggregate amount of any other consideration paid or to be paid by the registrant in connection with such transaction or transactions.

(c) In the case of equity securities other than convertible preferred stock or convertible debt securities, (1) a statement of the purpose for which the decrease was effected and a description of any plan or program pursuant to which additional decreases may be made, and (2) the name and relationship to the registrant, if any, of the person or persons from whom the securities were acquired, if acquired otherwise than by purchase in the open market.

Instructions. 1. No report need be made with respect to the following:

(a) Decreases in any class of securities resulting from ordinary sinking fund operations, similar periodic decreases made pursuant to the terms of the constituent instruments, or other decreases made pursuant to a plan or document previously reported to or filed with the Commission;

(b) Decreases resulting from the payment of indebtedness at maturity;

(c) Decreases in securities evidencing indebtedness, other than those referred to in (a) and (b) above, unless the aggregate amount of all such decreases not previously reported exceeds 5 percent of the amount of securities of the class previously outstanding or $50,000, whichever is greater.

(d) Decreases in outstanding qualified, restricted, or other non-transferable options;

(e) Decreases in securities not evidencing indebtedness which result from open market purchases, unless the aggregate of all such purchases not previously reported exceeds 1 percent of the amount of the class previously outstanding.

Item 5. Legal Proceedings

(a) Briefly describe any material legal proceedings, not previously reported, other than ordinary routine proceedings incidental to the business, to which the registrant or any of its subsidiaries has become a party or of which any of their property has become subject. Include the name of the court or governmental agency in which the proceedings were instituted, the date instituted and the principal parties thereto.

(b) If such proceeding previously reported has been terminated, any materially important judgment has been entered in the proceeding, or any materially important settlement has been effected, identify the proceeding, and state the date and nature of such action and the general effect thereof with respect to the registrant and its subsidiaries.

Instructions. 1. If the business ordinarily results in actions for negligence or other claims, no such action or claim need be described unless it departs from the normal kind of such actions.

2. No information need be given with respect to any proceeding which involves primarily a claim for damages if the amount involved exclusive of interest and costs, does not exceed 15 percent of the current assets of the registrant and its subsidiaries on a consolidated basis. However, if any proceeding presents in large degree the same issues as other proceedings pending or known to be contemplated, the amount involved in such other proceedings shall be included in computing such percentage.

3. Notwithstanding Instructions 1 and 2, any bankruptcy, receivership, or similar proceeding with respect to the registrant or any of its significant subsidiaries shall be described. Any proceeding to which any director, officer or affiliate of the registrant, any person who owns of record or is known by registrant to own beneficially, more than 10 percent of any class of voting securities of the registrant, or any associate of any such director, officer or security holder, is a party, or has a material interest, adverse to the registrant or any of its subsidiaries, shall also be described.

4. Proceedings by a government agency need be reported only when they are formal public proceedings initiated by a published order for one or more specific purposes. Rate proceedings need not be reported unless they are of material importance in relation to the registrant's total business.

Item 6. Changes in Registered Securities

(a) If the constituent instruments defining the rights of the holders of any class of registered securities have been materially modified, give the title of the class of securities involved and state briefly the general effect of such modification upon the rights of holders of such securities.

(b) If the rights evidenced by any class of registered securities have been materially limited or qualified by the issuance or modification of any other class of securities, state briefly the general effect of the issuances or modification of such other class of securities upon the rights of the holders of the registered securities.

<u>Instruction</u>. Working capital restrictions and other limitations upon the payment of dividends are to be reported hereunder.

<u>Item 7. Changes in Security for Registered Securities</u>

If there has been a material withdrawal or substitution of assets securing any class of registered securities of the registrant, furnish the following information:

(a) Give the title of the securities.

(b) Identify and describe briefly the assets involved in the withdrawal or substitutions.

(c) Indicate the provisions in the underlying indenture, if any, authorizing the withdrawal or substitution.

<u>Instruction</u>. This item need not be answered where the withdrawal or substitution is made pursuant to the terms of an indenture which has been qualified under the Trust Indenture Act of 1939.

<u>Item 8. Defaults Upon Senior Securities</u>

<u>General Instructions</u>. This item need not be answered as to any default or arrearage with respect to any class of securities all of which is held by, or for the account of, the registrant or its totally held subsidiaries.

(a) If there has been any material default in the payment of principal, interest, a sinking or purchase fund installment, or any other material default not cured within 30 days, with respect to any indebtedness of the registrant or any of its significant subsidiaries exceeding 5 percent of the total assets of the registrant and its consolidated subsidiaries, identify the indebtedness and state the nature of the default. In the case of such a default in the payment of principal, interest or a sinking or purchase fund installment, state the amount of the default and the total arrearage on the date of filing this report.

(b) If any event occurred which would have resulted in a material default as described in paragraph (a) above except for a waiver of such default and/or an amendment of the loan agreement, briefly describe such event and the terms of the waiver and/or amendment, and include such amendment as an exhibit hereto.

<u>Instruction</u>. Paragraphs (a) and (b) refer only to events which have become defaults under the governing instruments, i.e. after the expiration of any period of grace and compliance with any notice requirements.

(c) If any material arrearage in the payment of dividends has occurred or if there has been any other material delinquency not cured within 30 days, with respect to any class of preferred stock of the registrant which is registered or which ranks prior to any class of registered securities, or with respect to any class of preferred stock of any significant subsidiary of the registrant, give the title of the class and state the nature of the arrearage or delinquency. In the case of an arrearage in the payment of dividends, state the amount and the total arrearage on the date of filing this report.

Item 9. Revaluation of Assets or Restatement of Capital Share Account.

(a) If there has been a material revaluation of the assets of the registrant or any of its significant subsidiaries involving a write-up, write-down, write-off or abandonment, state the date of the revaluation, the amount involved and the accounts affected, including all related entries. If any adjustment was made in any related reserve account in connection with the revaluation, state the account and amounts involved and explain the adjustment.

(b) If there has been a material restatement of the capital share account of the registrant resulting in a transfer from capital share liability to surplus or reserves, or vice versa, state the date, purpose and amount of the restatement and give a brief explanation of all related entries in connection with the restatement.

Item 10. Options to Purchase Securities

If any options to purchase securities of the registrant or any of its subsidiaries from the registrant or any of its subsidiaries have been granted or extended and the amount of securities called for by all such options the granting or extension of which has not been previously reported, exceeds 5 percent of the outstanding securities of the class, furnish the following information: (i) the title and amount of securities called for, (ii) the prices, expiration date and other material provisions, (iii) the consideration received for the granting or extension thereof, (iv) the market value of the securities called for at the granting or expiration date and (v) a statement whether or not such securities have been or are required to be registered under the Securities Act of 1933 and, if not, a statement of the exemption claimed, the number of persons to whom options were issued and all other facts relied upon to establish the exemption claimed.

Instruction. In case a number of options are outstanding having different prices and expiration dates, the options may be grouped by prices and dates. If this produces more than five separate groups then there may be shown only the range of the expiration dates and the average purchase prices, i.e., the aggregate purchase price of all securities of the same class called for by all outstanding options to purchase securities of that class divided by the number of securities of such class so called for.

Item 11. Submission of Matters to a Vote of Security Holders

If any matter has been submitted to a vote of security holders, through the solicitation of proxies or otherwise, furnish the following information:

(a) The date of the meeting and whether it was an annual or special meeting. If no meeting was involved, state the date on which the matter was submitted to a vote of security holders.

(b) If the meeting involved the election of directors, state the name of each director elected at the meeting and the name of each other director whose term of office as a director continued after the meeting.

(c) Briefly describe each other matter voted upon at the meeting and state the number of affirmative votes and the number of negative votes cast with respect to each such matter.

Instructions. 1. If any matter has been submitted to a vote of security holders otherwise than at a meeting of such security holders, corresponding information with respect to such submission shall be furnished. The solicitation of any authorization or consent (other than a proxy to vote at a stockholders' meeting) with respect to any matter shall be deemed a submission of such matter to a vote of security holders within the meaning of this item.

2. This item need not be answered with respect to the election of directors if (i) the names of the management's nominees were set forth in a proxy statement or information statement sent to security holders pursuant to Section 14(a) or (c) of the Act, (ii) there was no solicitation in opposition to such nominees and (iii) all such nominees were elected.

3. Paragraph (c) need not be answered as to procedural matters or as to the selection or approval of auditors.

4. If the issuer has published a report containing all of the information called for by this item, the item may be answered by a reference to the information contained in such report, provided copies of such report are filed as an exhibit to the report on this form.

Item 12. Material Amendments to Registrant's Charter or By laws

State the general effect of any material amendment to the registrant's charter or by laws which has been made and with respect to which information is not required by any other item of this form.

Item 13. Other Materially Important Events

The registrant may, at its option, report under this item any events, with respect to which information is not otherwise called for by this form, which the registrant deems of material importance to security holders.

Item 14. Financial Statement and Exhibits

List separately the financial statement and exhibits, if any, filed as a part of this report, as required by Parts II, III and IV.

PART II. SUMMARIZED FINANCIAL INFORMATION

General Instructions as to Financial Information

A. Persons for Whom the Information is to be Given

(a) The required information is to be given as to the registrant or, if the registrant includes consolidated financial statements in its annual reports filed with the Commission it shall be given for the registrant and its consolidated subsidiaries. If the information is given for the registrant and its consolidated subsidiaries, it need not be given separately for the registrant. See Rule 13a-11 or 15d-11 regarding exemptions from filing summarized financial information.

(b) The required information shall also be given separately as to each unconsolidated subsidiary or fifty percent owned person or group of such subsidiaries and fifty percent owned persons for which separate individual or group statements are required to be included in the registrant's annual reports filed with the Commission. It need not be furnished, however, for any such unconsolidated subsidiary or person which would not be required pursuant to Rule 13a-11 to file quarterly financial information if it were a registrant.

B. Preparation of Financial Information

The form requires only the items of information specified. The information is not required to be certified and may carry a notation to that effect and any other qualification considered necessary or appropriate. Amounts may be stated in thousands of dollars (000 omitted) provided it is stated that such has been done. Losses or other negative amounts shall be indicated clearly in the caption and the amounts shown in parentheses.

C. Incorporation by Reference to Published Statements

If the registrant makes available to its stockholders or otherwise publishes, within the period prescribed for filing the report, a financial statement containing the information required by this form, the information called for may be incorporated by reference to such published statement provided copies thereof are filed as an exhibit to the report on this form.

D. Delay in Filing Information

The information required in A(b) above may be omitted with respect to foreign subsidiaries not consolidated if it is impracticable to furnish it within the time specified for filing the report, provided it is indicated that such information has been omitted and the omitted information is furnished by amendment when available. Apart from the foregoing, any request for extension of time for the filing of the report or the furnishing of any of the required information shall be made pursuant to Rule 12b-25.

E. Presentation of Financial Information

(a) Furnish, in comparative columnar form, in the manner described under the caption “Profit and Loss Information” below, subject to appropriate variations to conform to the nature of the business, a summary of the results of operations for (1) the interim period between the end of the last fiscal year and the end of the latest fiscal quarter, and (2) the corresponding period of the preceding fiscal year.

(b) In the case of reports for the second and third fiscal quarters, a summary of results of operations may also be furnished at the option of the registrant for the most recent fiscal quarter and the corresponding period of the preceding fiscal year.

(c) For registrants having material seasonal cycles, or material variations in operating results from other causes, comparable figures may be given for the 12 months to the end of the period for which the report is filed and for the corresponding 12 months ending in the preceding fiscal year in addition to the information required by (a) above. For registrants engaged in the seasonal production and the seasonal sale of a single-crop agricultural commodity, the summary of operating results may include information for the 12 months ended with the current interim quarter, with comparative data for the corresponding period of the preceding fiscal year, in place of the year-to-date information specified by (a) above.

(d) If, during the current period specified in (a) above, the registrant or any of its consolidated subsidiaries, entered into a business combination treated for accounting purposes as a pooling of interests, the results of operations reported herein--for both the current year and the preceding year--shall reflect the combined results of the pooled businesses. Supplemental disclosure of the separate results of the combined entities for periods prior to the combination may be desirable, with appropriate explanations.

(e) In case the registrant has disposed of any significant portion of its business or has acquired a significant amount of assets in a transaction treated for accounting purposes as a purchase, during any of the periods covered by the report, the effect thereof on revenues and net income--total and per share--for all periods shall be disclosed. (See Inst. 4 to Item 2 of Part I of this form.)

(f) The financial information to be included in this quarterly report shall be prepared in conformity with the accounting principles or practices, or methods of applying accounting principles or practices (including consolidation practices), reflected in the financial statements included in the annual report filed with the Commission for the preceding fiscal year; or any differences which have a material effect on the results of operations shall be noted and the effects thereof on this financial information reconciled or explained.

(g) Furnish any material information necessary to make the information called for not misleading, such as a statement that the results for interim periods are not necessarily indicative of results to be expected for the year, due to seasonal or other specified factors, or an explanation of any unusual increase or decrease in net sales or income.

(h) The financial information shall reflect all adjustments which are, in the opinion of management, necessary to a fair statement of the results for the interim periods. A statement to that effect shall be included. Such adjustments might include, for example, appropriate estimated provisions for bonus and profit sharing arrangements normally determined or settled at year-end.

(i) Any material retroactive prior period adjustment made during any period included in this report shall be disclosed, together with the effect thereof upon net income--total and per share--of any prior period included herein and upon the balance of earned surplus. If results of operations for any period reported herein have been adjusted retroactively by such an item subsequent to the initial reporting of such period, similar disclosure of the effect of the change shall be made.

(j) The registrant may furnish any additional financial information related to the periods being reported on which, in the opinion of management, is of significance to investors, such as a statement of source and application of funds, the dollar amount of backlog of firm orders, and an explanation of commitments and contingent liabilities.

Summarized Financial Information

Company or group of companies for which report is filed:

Profit and Loss Information	For the ____ Months Ended: (Current Year)	(Preceding Year)
1. Gross sales less discounts, returns and allowances	$__________	$__________
2. Operating revenues	$__________	$__________

Instruction. If income is derived from both gross sales and operating revenues, captions 1 and 2 may be combined, provided the lesser amount is not more than 10 percent of the sum of the two captions.

3. Total of captions 1 and 2	$__________	$__________

Instruction. If the total of gross sales and operating revenue includes excise taxes in an amount equal to 10 percent or more of such total, the amount of such excise taxes shall be stated separately.

4. Costs and expenses --		
(a) Cost of goods sold*	$__________	$__________
(b) Operating expenses*	$__________	$__________
(c) Selling, general and administrative expenses*	$__________	$__________
(d) Interest expense	$__________	$__________
(e) Other deductions, net*	$__________	$__________
Total costs and expenses	$__________	$__________
5. Income (or loss) before taxes on income and extraordinary items	$__________	$__________
6. Provision for taxes on income	$__________	$__________

Instruction. If the provision for taxes on income includes any material provisions for deferred income taxes (or charges in lieu of taxes) resulting from allocations, they shall be disclosed and explained. The methods used (e.g., proportion of year expired, or estimated annual effective tax rate) in the allocation

*Items marked with an asterisk may be combined or omitted.

to the interim periods of the income tax effects of operating loss carry-backs, carry-forwards and the investment tax credit shall be described.

7. Income (loss) before extraordinary items	$__________	$__________
8. Extraordinary items, less applicable income tax	$__________	$__________

<u>Instruction</u>. State separately under this caption any material amounts of an unusual or non-recurring nature included in the determination of net income or loss during the period covered by the report. The amount of income tax applicable shall be disclosed.

9. Net income (or loss)	$__________	$__________
10. Earnings per share data -		
a. Per share of common stock, including residual securities -		
income before extraordinary items	$__________	$__________
extraordinary items, net of tax	__________	__________
net income	$__________	$__________
b. Per share of common stock, assuming conversion of all outstanding convertible securities which would result in dilution, and exercise of options and warrants -		
income before extraordinary items	$__________	$__________
extraordinary items, net of tax	__________	__________
net income	$__________	$__________
11. Dividends declared, per share	$__________	$__________

Furnish, insofar as practicable in the manner described below, a summary of capitalization and stockholders' equity as at the end of the latest fiscal quarter.

Capitalization and Stockholders' Equity

____
(Date)

Debt	Amount
Short-term loans, notes, etc.	$ ______________
Long-term debt, including portion due within one year (list separately convertible debt)	______________
Total debt	$______________

Stockholders' equity

	Shares Outstanding	Amount
Preferred stock list separately convertible and non-convertible preferred stock)	____________	$ ______________
Common stock	____________	$ ______________
Capital in excess of par value		$ ______________
Earned surplus -		
Balance at beginning of current fiscal year		$ ______________
Prior period adjustments, if any (show credits (and charges) separately)		______________
Net income (Item 9. above)		______________
Dividends (state cash and stock dividends on common stock separately, indicating amount per share--dividends on preferred stocks may be shown in one amount)		$(______________)

Other credits (charges)
(explain nature and amounts) ____________

Balance at end of interim period $ ____________

Treasury stock
(identify class of security,
number of shares and basis at
which stated) ___________ $(____________)

Total stockholders' equity $____________

Instructions

(1) The form and content shall conform generally with that in the balance sheet and notes thereto appearing in the annual report filed with the Commission.

(2) Minority interests shall not be included.

(3) The number of shares of each class of security reserved for conversion, warrants, options and other rights shall be separately disclosed.

* * * * * * *

SIGNATURES

Pursuant to the requirements of the Securities Exchange Act of 1934, the registrant has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized.

____
(Registrant)

Date ____________________ ______________________
(Signature)*

*Print name and title of the signing officer under his signature.

PART III FINANCIAL STATEMENTS OF BUSINESSES ACQUIRED

1. Businesses for which Statements are Required.

The financial statements specified below shall be filed for any business the acquisition of which is required to be described in answer to Item 2 above.

2. Statements Required.

(a) There shall be filed a balance sheet of the business as of a date reasonably close to the date of acquisition. This balance sheet need not be certified, but if it is not certified, there shall also be filed a certified balance sheet as of the close of the preceding fiscal year.

(b) Profit and loss statements of the business shall be filed for each of the last three full fiscal years and for the period, if any, between the close of the latest of such fiscal years and the date of the latest balance sheet filed. These profit and loss statements shall be certified up to the date of the certified balance sheet.

(c) If the business was in insolvency proceedings immediately prior to its acquisition, the balance sheets required shall be certified to the close of the latest full fiscal year.

(d) Except as otherwise provided in this instruction, the principles applicable to a registrant and its subsidiaries with respect to the filing of individual, consolidated and group statements in an original registration statement or an annual report shall be applicable to the statements required by this instruction.

3. Application of Regulation S-X.

Regulation S-X governs the certification, form and content of the balance sheets and profit and loss statements required by the preceding instruction, specifies the basis of consolidation thereof, and prescribes the statements of surplus to be filed in support thereof. No supporting schedules need be filed.

4. Filing of Other Statements in Certain Cases.

The Commission may, upon the informal written request of the registrant, and where consistent with the protection of investors, permit the omission of one or more of the statements herein required or the filing in substitution therefor of appropriate statements of comparable character. The Commission may also by informal written notice require the filing of other statements in addition to, or in substitution for, the statements herein required in any case where such statements are necessary or appropriate for an adequate presentation of the financial condition of any person for which financial statements are required, or whose statements are otherwise necessary for the protection of investors.

PART IV. EXHIBITS

Subject to the rules as to incorporation by reference, the following documents shall be filed as exhibits to this report, and a list of all exhibits so filed shall be included:

1. Copies of any contract, plan or arrangement for any acquisition of disposition described in answer to Item 2, including any plan of reorganization, readjustment, exchange, merger, consolidation or succession in connection therewith. See also 4 below.

2. Copies of any judgment or any document setting forth the terms of any settlement described in answer to Item 5. See also 4 below.

3. Copies of the plan pursuant to which the options referred to in answer to Item 10 were granted or, if there is no such plan, specimen copies of the options. See also 4 below.

4, Copies of all amendments to any documents filed as exhibits to previous reports on Form 10-Q, pursuant to paragraphs 1-3 above.

5. Copies of all constituent instruments defining the rights of the holders of any new class of securities referred to in answer to Item 3.

6. Copies of the amendments to all constituent instruments and other documents described in answer to Item 6.

7. Copies of the text of any proposal described in answer to Item 11.

8. Copies of any material amendments to the registrant’s charter or by laws described in answer to Item 12.

Rule 13a-11. Current Reports on Form 10-Q.

(a) Except as provided in paragraphs (b) and (c), every registrant subject to Rule 13a-1 shall file current reports on Form 10-Q within the time periods specified in General Instruction A to that Form.

(b) This rule shall not apply to foreign governments, foreign private issuers required to make reports on Form 6-K pursuant to Rule 13a-16, issuers of American Depositary Receipts for securities of any foreign issuer, investment companies required to file quarterly reports pursuant to Rule 13a-12, and real estate companies required to file quarterly reports pursuant to Rule 13a-15.

(c) Notwithstanding paragraph (a) of this rule, the summarized financial information required by Part II of Form 10-Q need not be filed by (1) any issuer not required to file annual reports on either Form 10-K, Form 12-K or Form U5S; (2) companies in the promotional or development stage to which paragraph (b) or (c) of Rule 5A-01 of Article 5A of Regulation S-X is applicable, and (3) insurance companies, other than title insurance companies.

(d) Public utilities and common carries [sic] which submit financial reports to the Federal Power Commission, Federal Communications Commission, or Interstate Commerce Commission may file either the summarized financial information required by Part II of Form 10-Q or may, at their option, in lieu thereof, file duplicate copies of the report submitted by them to such other Commissions for the preceding fiscal quarter year or for each month of such quarter year, as the case may be, together with a copy of the quarterly report for such period (if any) sent to their shareholders.

(e) Notwithstanding the foregoing paragraphs of this rule, the summarized financial information required by Part II of Form 10-Q shall not be deemed to be "filed" for the purpose of Section 18 of the Act or otherwise subject to the liabilities of that Section, but shall be subject to all other provisions of the Act.

(e) If the application is made by telegram, it shall be confirmed in writing promptly after the filing thereof.

(f) The application shall be deemed granted unless the Commission within ten days after the receipt thereof shall enter an order denying the application or shall notify the registrant that the application does not meet the requirements of the rule.

(g) If the application, or the extension of time granted, relates only to a portion of the required information, document, or report, the registrant shall file the remaining portion, and the portion filed shall prominently indicate the nature of the omitted portion.

Rule 15d-11. Current reports on Form 10-Q.

(a) Except as provided in paragraphs (b) and (c), every registrant subject to Rule 15d-1 shall file current reports on Form 10-Q within the time periods specified in General Instruction A to that form.

(b) This rule shall not apply to foreign governments, foreign private issuers required to make reports on Form 6-K pursuant to Rule 15d-16, issuers of American Depositary Receipts for securities of any foreign issuer, investment companies required to file quarterly reports pursuant to Rule 15d-12, and real estate companies required to file quarterly reports pursuant to Rule 15d-15.

(c) Notwithstanding paragraph (a) of this rule, the summarized financial information required by Part II of Form 10-Q need not be filed by (1) any issuer not required to file annual reports on either Form 10-K, Form 12-K or Form U5S; (2) companies in the promotional or development stage to which paragraph (b) or (c) of Rule 5A-01 of Article 5A of Regulation S-X is applicable; and (3) insurance companies, other than title insurance companies.

(d) Public utilities and common carriers which submit financial reports to the Federal Power Commission, Federal Communications Commission, or Interstate Commerce Commission may file either the summarized financial information required by Part II of Form 10-Q or may, at their option, in lieu thereof, file duplicate copies of the reports submitted by them to such other Commissions for the preceding fiscal quarter year or for each month of such quarter year, as the case may be, together with a copy of the quarterly report for such period (if any) sent to their shareholders.

(e) Notwithstanding the foregoing paragraphs of this rule, the summarized financial information required by Part II of Form 10-Q shall not be deemed to be “filed” for the purpose of Section 18 of the Act or otherwise subject to the liabilities of that Section, but shall be subject to all other provisions of the Act.

Appendix XI-1

Rule 14a-3. Information to be Furnished Security Holders

(b)(4)[1/] No chart, schedule, "financial highlights" section, graph, figure, or similar material of a financial nature contained anywhere in the report shall present the results of operations or other material financial information, or a comparison of the results of operations or other material financial information for two or more periods, in a light either more or less favorable than the financial statements included in the report, or in any prior reports.

[1/] Present paragraphs (4) and (5) would become (5) and (6).

Appendix XII-1

Rule 12b-25. Extension of time for furnishing information.

Note: The disclosures required in reports filed with the Commission are essential to the preservation of free, fair and informed securities markets. It is of critical importance that such reports be filed with the Commission prior to their respective due dates under the Commission's rules. Only the most compelling and unexpected circumstances justify a delay in the filing of a report and the dissemination to the public of the factual information called for therein.

(a) If any required information, document or report cannot be furnished at the time it is required to be filed, the registrant shall file with the Commission as a separate document an application, signed by its chief financial officer (1) identifying the information, document, or report in question, (2) stating in detail the specific reasons why the filing thereof at the time required cannot be made, and (3) requesting an extension of time for filing the information, document or report to a specified date not more than 30 days after the date it would otherwise have to be filed.

(b) After the expiration of 30 days, one additional extension of not more than 30 days may be applied for following the same procedures as the original application.

(c) If the requested extension is necessitated by the inability of any person other than the registrant to furnish any required opinion, information, report or certification (1) the application shall be accompanied by a statement signed by such person stating the specific reasons why such person is unable to furnish the required opinion, information, report of certification within the required time; and (2) the application shall state whether the registrant has published a preliminary release of sales and earnings and mailed an annual report to shareholders containing financial statements certified by independent accountants relating to the registrants latest fiscal year.

(d) The application shall be filed at least ten days prior to the time the information, document or report is required to be filed. Failure to file such application in the time required without adequate reasons shall constitute a ground for denial of such application.